Karnataka Bank (KTKBANK)

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Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228182
P. B. No.599, Mahaveera Circle E-Mail : comsec@ktkbank.com
Kankanady Website : www.karnatakabank.com
Mangaluru – 575 002 CIN : L85110KA1924PLC001128

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Madam/ Dear Sir,

Reg: Trans cript of post result Analyst/Investor Meet.

Pursuant to Regulation 46(2) (oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirement s) Regulations, 2015, we attach herewith transcript of Post result Analyst/Investor meet held on May 30th 2023 for Audited Financial results of the Bank for the Quarter and Year ended on March 31, 2023.

The same is also being made available on the Bank's website under the following web link:

https://karnatakabank.com/investor -portal/investor -presentations

This is for your information and records.

Yours faithfully,

(Sham K)
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Limited Q4FY23 Earnings Conference Call "
held on the 30th of May , 202 3

MANAGEMENT : MR. SEKHAR RAO – MANAGING DIRECTOR AND CEO (INTERIM)
MR. BALACHANDRA Y V – CHIEF OPERATING OFFICER
MR. GOKULDAS PAI – CHIEF BUSINESS OFFICER
MR. ABHISHEK BAGCHI – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to Karnataka Bank's Q4 F.Y. 2023 Audited Earnings Conference Ca ll hosted by Karnataka Bank. As a reminder, all participant lines will be in listen -only mode , and you will be able to ask questions after the presentation concludes. If you need assistance during the conference, please signal an operator by pressing the star and zero on a touchstone phone. Please note that this conference is being recorded.

On behalf of Karnataka Bank, today's call is attended by Mr. Sekhar Rao, Managing Director , and Chief Executive Officer (Interim); Mr. Balachandra Y V, Chief Operating Officer; Mr. Gokuldas Pai, Chief Business Officer; and Mr. Abhishek S. Bagchi, Chief Financial Officer. I now hand the conference over to Mr. Sekhar Rao, to give his opening remarks before the Q&A session. Thank you, and over to you, sir.

Sekhar Rao: Than k you. Hello everyone thank you for taking the time to join this call. A very good evening, and welcome to this conference call discussing the results of Karnataka Bank for the quarter and the year ended 31st of March, 2023. Currently, I'm serving as the Interim MD and CEO, and other colleagues have also joined the call. I took on the role of Executive Director of the Bank on the 1st of February and have been operating as the Interim CEO since mid -April.

As you might know, the bank has identified the new MD and CEO, Mr. Srikrishnan Harihara Sarma, whose appointment has been approved by the Reserve Bank of India (RBI). Before being selected for Karnataka Bank, he served at Jio Payments Bank, was an entrepreneur, and part of the founding team at HDFC. Given hi s impressive credentials, we're thrilled to welcome him on board. This marks an important shift for the bank, as for the first time, we're appointing an industry veteran from outside the organization as the Managing Director and CEO.

Regarding the financia l performance of the past year, as you're aware, it saw one of the sharpest monetary tightening and highest inflation rates in economic history. Central banks worldwide, including India, responded with aggressive rate hikes. The U.S. led the way with aroun d 475 basis points, while the RBI raised the repo rate by 250 basis points. This both benefited and tightened operations for banks, presenting both advantages and challenges.

Moreover, many banks, including ours, have focused on digitization, and we antici pate this trend to accelerate. On the economic front, concerns predominantly lie in potential job displacement due to automation and digitization, risks related to climate change, the rise of the gig economy, and remote work. These are emerging trends, but it's still early to predict their full impact.

Our financial performance has significantly improved, and for the first time, our bank has declared a net profit in four figures. It stands at INR 1,180 crores, which is nearly INR 100 crores per month. Coincidentally, we're celebrating our centenary year, and we believe this achievement is the greatest tribute we can offer to our founding fathers. We're delighted to announce this result.

Regarding various business strategies, some of which we've already begun to implement, include a sharper focus on retail lending, portfolio optimization, and digital origination. We've laid the groundwork in these areas and plan to build upon it moving forward.

The net profit for Q4 was around INR 353.75 crores, a year -on-year growth of 171.39%. Last year in the same quarter, it was INR 130.34 Cr. Another important point to note is that other income, excluding depreciation and trading profit, also stood at INR 1,15 5.50 crores. This also represented a healthy 15% increase o ver the last year. During the quarter, the operating profit exhibited a growth rate of 80.41%. Net interest income during the quarter rose by 31%, and for the full year, 27.86%. We've seen improvement in our NIM, reaching 3.87%, compared to 3.25% for the q uarter ended March '22. For the full year, it rose from 3.18% to 3.70%, a healthy increase of 52 basis points. The ROA during the quarter increased from 0.56% to a record high of 1.4%. For the full year, it stood at 1.21%. ROE rose from 7.4 2% to 17.61%.

Gross NPA is at INR 2,292.91 crores, slightly up from INR 2,250.82 crores. This was primarily due to some accelerated provisioning and quicker recognition of NPAs that we did in Q4 since our balance sheet was very healthy. In percentage terms, it's down to 3.74% from 3.90%. This accelerated provisioning is a one -time exercise, and it will contribute to the bank's overall health. As for net NPA, it has reduced to INR 1,021 crores from INR 1,376.97 crores, a healthy reduction of 25.83 basis points.

Turning to t he slippage ratio, last March, it was 3.11%, and this year, it's 3.31%. The reason is, as I stated earlier, because of the accelerated actions that we took. The provision coverage ratio is a healthy 81%, compared to 73.47% last year. Cost -to-income has mod erated to 47.14% from 52.57%. The interesting point to note on the accelerated provisions is out of the INR 328.82 crores of provisioning that we did

during the quarter, almost INR 249.14 crores is the accelerated provision, and the balance is as per IRAC norms.
The overall business turnover reached a new high of INR 1,47,319.63 crores, just short of INR 1,50,000 crores, with a growth rate of 7.40%. Despite deposits growing at 8.68%, we didn't observe significant movement of deposits from CASA to term depos its, which was a trend in the market. We managed to protect our CASA franchise. In fact, our Savings Bank account franchise has the most competitive deposit cost in the industry at around 2.9 1%.
The Credit -Deposit (CD) ratio has marginally decreased to 69% from 71%. But this was a deliberate decision that we made. In the rising interest rate environment, we managed to retain our CASA market share. The yield on advances during the full year has improved by 57 bps, up from 8.84% to 9.41%. The cost of deposit for the last year is down slightly from 4.66% to 4.62%.
The other positive news is our Board has proposed a dividend of 50%, subject to shareholder s' approval. I firmly believe that we are poised for an impressive launch

from here to ensure business excell ence during FY '23 -'24, particularly in the area of growth in advances, which could outpace industry growth rates. We also expect significant improvement in asset quality. Our technology initiatives are being strengthened further. Our technology budget for the upcoming y

ear has increased by almost 80%.
While there have been many positive outcomes, there have also been lessons learn t. The key here is to recognize these and begin working on improvements, clearly demonstrating our intent. In this regard, I wan ted to share some of the major initiatives we've already launched. Our organizational structure, which I mentioned in a media interview earlier today, has been realigned. We've made it more linear, with an intensified focus on retail, branch banking, and p roduct management. The product management will, of course, support the sales verticals.
We've benchmarked our gold loan and housing loan products to make them more competitive in terms of features and pricing. We're already seeing the early signs of succes s from this. We're improving our underwriting capabilities, both in terms of efficiency and capacity. We're increasing the number of retail hubs from 3 to 5, with plans to expand to 8.
One more promise I want to make to all of you is that we plan to increa se our interaction with you and seek your feedback on an ongoing basis, rather than just once a year. With this, I open the floor for questions.
Moderator: We have the first question from the line of Sushil Choksey from Indus Equity Advisors.
Sushil Choksey: Congratulations to Karnataka Bank on the centenary celebration and the performance which you achieved in F.Y. '23 Sekhar . Referring to the comments which you made in media and right now of your joining the bank this year and the new M.D. coming in , what is the broader vision of Karnataka Bank in terms of perspective which you would like to see over a period of 1 decade or two decades because it's one bank which has never lost money in any of the financial years of last 100?
Sekhar Rao: As we see it , while we aren't planning for a decade out, it's clear that we have a robust network. We are a recognized brand in Karnataka and in markets where we operate. We have significant presence in cities beyond Karnataka, including Mumbai, Delhi, Hyderabad, and Chennai. We have a great deal of customer goodwill and we plan to leverage this to increase our focus on retail. We've already made several strides in this direction. Firstly, we have revised our organizational structure to make it more retail - centric, est ablishing a dedicated retail advances vertical and a branch banking vertical to take advantage of our network of over 900 branches.
Secondly, we're refining our credit underwriting processes to improve turnaround times. At present, 85% of the loans we orig inate are digitally underwritten. We intend to deepen this process to further enhance customer experience. We're also increasing capacity by adding two more retail credit hubs immediately, which will process loans up to the value of INR 2.5 crores. This wi ll eventually increase to 8 hubs. Given these capacity enhancements and the investments we're making in technology, we hope to see a significant uptick in our retail market share.
Additionally, we've initiated another important project - setting up analyti cs centre of excellence. With a large customer base of 1.3 million customers , in fact, out of a bankable population of 458 million, 1 out of every 40 customers bank with Karnataka

Bank . This analytics centre will use data analytics to enhance our understanding of our customers, propensity modelling for preapproved loans, and cross -selling. Our current product penetration is between 1.5 to 2, and we plan to increase it further. These are some of the strategies and thoughts that we are rolling out fo r the next three years.

Sushil Choksey: Okay. My follow -up question is a couple of points that you've highlighted. So what is your expectation on NIM, cost of funds, and ROE for coming years? What kind of provisions have you taken or have you taken some pr ovisions for slippages. And what was the

provision for mark -to-market and treasury?

Sekhar Rao: So yes, you will likely see some moderation in Net Interest Margins (NIMs), which will reflect in Net Interest Income (NII). However, we are optimistic that thi s will be offset by a change in product mix, business growth, and other income. Return on Assets (ROAs) and Return on Equity (ROEs) will be marginally higher than current levels.

As you can see, our provisioning has already exceeded 80%.

Our Non -Performing Assets (NPA) provisioning is also quite robust. We will continue to make provisions as needed, and we expect it to be somewhere between 81% and 85% as the year progresses. We have also seen a significant reduction in our restructured book, which has been beneficial. Nearly 90% of the restructured accounts are repaying their loans, which is a reassuring sign.

Last year, the rising interest rate scenario did not provide much opportunity for trading profits. However, we are already seeing green shoots of that in Q1. As we speak, we have a depreciation benefit, which will be one of the narratives that will unfold during the current year. But this will not be unique to us; in fact, most banks should benefit from this.

Sushil Choksey: Okay. But if you can highlig ht as what you said, some accelerated provision was made in the quarter. And what was mark -to-market loss ?

Sekhar Rao: Say, for example, the mark -to-market last year was around INR 180 -plus crores. This is already captured in the balance sheet. This year, we anticipate an improvement and a write -back there. As for accelerated provisions, the specific number I have on hand pertains to Q4. Ou t of the INR 328.82 crores, we allocated INR 249.14 crores for accelerated provisions. Clearly, we've leveraged the health of the balance sheet to make the correct decisions regarding provisioning.

Sushil Choksey: What was the reason for this accelerated provision?

Sekhar Rao: So, there were multiple factors involved. Wh erever we identified some stressed accounts, and also in some places where the fair sale value changes occurred, a combination of these factors led us to make the decision to set aside thes e additional provisions.

Sushil Choksey: My last question. What would be your kind of credit growth aspirations , the industry is talking about 12% to 14% across private or public sector banks. What would be an aspirational number at Karnataka Bank for the year?

Sekhar Rao: So, we would beat the industry growth rate this year.

Moderator: We have the next question from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: So, on accelerated provisions as a follow -up. So basically, you are saying that out of the INR330-odd crores provisions, INR250 crores was sort of more than what we were required to take, and we took it because we had healthy profitability for the year and the quarter?

Sekhar Rao: Yes, yes. That would be the right assessment of that. So close to INR79 crores as per IRAC and balance on account of accelerated provisions.

Sarvesh Gupta: So ideally, these will not recur in the coming years . This INR250 crores?

Sekhar Rao: Yes, these will not recur in the coming years. And these are one -offs. So whenever you see an opportunity, you take these measures as a prudent measure.

Sarvesh Gupta: And on our restructured book, so that came down from, let's say, INR41 crores, INR42 crores of standard restructured which was there last year. Now we have around, I think, INR2,500 crores odd. And this reduction also contributed to, let's say, INR800 crores of gross NPA out of the INR1,800 crores of the slippage. So further, how much can we expect this year against this INR800 crore which has come from this book?

Sekhar Rao: Regarding this restructured book, like I said, almost 90% of these accounts are repaying, and we only see stress in about 8% of them. The

refore, I would estimate that
we will need to implement enhanced measures on about INR200 crores. The positive aspect is that most of our portfolios are backed by bankable securities, so we are confident about recovery in that area as well.
Additionally, you should know that the figure of INR2,570 crores is based on the RBI classification, which includes related accounts as well. So, the core restructured book is actually lower than this.
Sarvesh Gupta: Okay. So basically, what you are saying is that so in F.Y. '22, we had an opening balan ce of, let's say, INR4,000 crores , and 20% of that slipped into NPA, right, INR800 crores. Now out of the remaining INR2,500 crores, you are saying 10% can slip?
Sekhar Rao: See, in reality, we've seen around INR630.51 crores precisely, that has slipped into NPA from this amount. This was primarily due to the fallout from the COVID situation. However, we're noticing an improvement in this portfolio. As for our projections, we're fairly confident that the actual outcome will align very closely with what we 're currently predicting.
Sarvesh Gupta: So 90% is well taken care of because there is an element of SMA -2 also in the current standard also restructured , right? So you feel that only 10% will slip from here?
Sekhar Rao: Restructured accounts , are divided into three categories: the first category contains accounts that have overflow; the second category includes accounts that are making regular payments; and the third category encompasses accounts that are making payments but with a slight delay. The combin ation of all these three categories constitutes around 90% of the total, and the remaining accounts represent about 8%.
Sarvesh Gupta: Okay. And the other thing, sir, is the growth on the overall credit side. So I think this year, we did only 5%, 6%. And even if I just look at the retail, which is where we were supposed to grow, that also is at 11%, 12%. So both are lower than the industry growth rates significantly, overall , as well as the retail piece. So what gives us the confidence that we will be able to match the industry growth on an overall number because we

have not been able to match even the retail growth number for this year compared to the industry and most of the players?
Sekhar Rao: Yes. There are several key points to be noted here. Firstly, we were experiencing a growth rate of around 12% until about Q3. However, we consciously decided to slow down in Q4. The idea was to retire advances that had lower yields than Government Securities (G -Secs) yields. The solid state of our balance sheet gav e us the opportunity to make this decision. While it might have seemed to negatively impact our growth rate, it indeed helped us improve our bottom line, as this money was redeployed in higher yielding instruments.
Secondly, we now have a clear understandi ng of what drives retail growth. Our pricing and product construct were slightly out of sync with current market trends. Take gold loans, for example, we have now revamped our product to make it simpler. Previously, we didn't have a bullet loan product, bu t now we have introduced one.
Our home loan prices were not in line with the market rate. Currently, we are offering a headline home loan pricing of 8.75% for someone with a CIBIL score of more than 800. We are speeding up our processing through our digita l journey, enhancing our capacity in terms of underwriting capability and Turnaround Time (TAT).
We have a significant presence in most of our markets in the mid -corporate lending to the builder and promoter segment. Despite this, we never leveraged this f or builder tie - ups on the retail side. Now we're moving in a very calculated manner. In fact, over the last quarter, more than 300 properties in Bangalore have been assessed, valued, and preapproved by our bank.
These measures, the struc

tured approach, and our plan to deploy nearly 200 people on the ground for home loans give us confidence that we can accelerate in the retail front. These diverse measures give us confidence that we can speed up on the retail front. We have shown this in earlier years. In fa ct, when we offered competitive pricing, our home loan and retail portfolios grew faster than market rates.
Sarvesh Gupta: Okay. Sir, on your ROA. So your pre-tax ROA might have increased by, let's say, 90 basis points or something like that for this year. And the NIM alone contributed to more than half of it. So NIM expanded by, let's say, 52 basis points. So how much of

a mean reversion is possible in your NIM going forward, especially as we see t hat your cost of deposits has actually gone down this year by four basis points , even in a year when interest rates are moving up ?

And now , that same benefit you will not get when the interest rates move down if they were to move down. But you are also gui ding for an increase in ROA instead of any decrease. But most of the increase in ROA has actually come from your NIM. So what is that conservative or how should we take your ROA guidance and include the NIM guidance?

Sekhar Rao: So, our RO A guidance will b e trending around current levels with a possible slight increase, but largely it will stay around the current levels. He mentioned that NIMs will not reach the current year levels and will be within a range of 3.5% to 3.7%. The compression in NIMs will be offset by an increase in our growth and a change in our product mix. The treasury part of our business will start to contribute more this year, and signs of this are already visible. Both trading profits are expected to improve,

which will keep our ROA lar gely protected. The factors contributing to ROA might change slightly, but the overall output will remain around these levels.

Sarvesh Gupta: And NIM should trend in a similar range as where we are right now at 3.87%?

Sekhar Rao: Yes. I said it would be ra nge-bound between , on the optimistic side to around 3.7%, on the pessimistic side 3.5%.

Sarvesh Gupta: Okay. And what is your estimated number on cost -to-income and the OPEX side, sir?

Sekhar Rao: For the cost -to-income ratio, we anticipate a very slight marginal increase. This rise will be due to some provisions made for wage revisions and substantial technology spending, most of which has been budgeted for and already accounted for. We have also incurred some of the capital expenditure already. Consequen tly, you might notice a fluctuation in the current operating expense levels, possibly within a range of plus or minus 1% to 1.5%.

Moderator: We have the next question from the line of Manish Dhariwal from Fiducia Capital.

Manish Dhariwal: Yes. So there are a lot of reasons for celebration at Karnataka Bank. So it's a centenary year. Then a management change. And you have come out with fantastic numbers. So congratulations for all of that.

Now my whole concern or the question is surrounding the growth, which is not coming at a high credit loss. So while Karnataka Bank is a good brand surrounding Karnataka and other places, but then I think the other banks also are claiming the same. And the confidence that the management has expressed about growing higher tha n the industry is something that if you could maybe give more insight . And what do we understand about the credit costs going ahead? How would one look at that? So growth is in sync with the emerging credit cost.

Sekhar Rao: So I believe your question has two parts. One is about your growth concerns , and the second on the credit cost. I largely answered what we are doing on the retail credit growth side, a series of measures, including product rejig, organization structure, capacity building, investing in t echnology, and so on and so forth, which is pre

tty much
a standard playbook.

We enjoy significant goodwill in the markets where we operate, and we will continue to capitalize on this. We have a robust network of 900 branches, as well as a tooth -to-tail ra tio exceeding 85%, signifying that a large proportion of our employees operate from branches. We utilize this presence in terms of both people and infrastructure to drive our growth. I have already detailed specific initiatives in response to a previous question.

As for your mention of credit costs, there was a one -time operation in Q4 due to accelerated provisioning and the Gross Non -Performing Assets (GNPA) decisions we made. However, going forward, we expect to maintain levels consistent with those seen in other quarters. Thus, we anticipate an average of around 0.25 to 0.30.

Manish Dhariwal: Okay. See, I was also talking in the line of a recent communication which has come out from the RBI saying that there has been some smart way of hiding NPAs and all that. So basically, see, the level at which retail is getting credit, ultimately , the pain has to come. And there are some institutions that have been like doing retail for a long time. There are some institutions like ours that have recently kind of start ed focusing

on the retail side. So how is it that we are kind of ensuring that it doesn't come to bite us, so maybe close too ahe ad.
Sekhar Rao: I'm not sure I fully understood the first part of your question where you hinted at potential concealment of no n-performing assets (NPAs) and RBI's guidance on that matter. In fact, we have chosen to be transparent and have gone ahead and disclosed this information. In an abundance of caution, we have taken prudent measures such as accelerated provisioning.
To elab orate on the second part concerning the situation in Karnataka, there's been a trend following bank consolidation a few years back. Now, only two truly Karnataka domicile banks remain: Canara and Karnataka Bank. Given our 100 -year legacy and the goodwill w e've garnered from our customers, we're witnessing a significant movement of business and consolidation in our favour .
We have plans that extend beyond Karnataka, including the national retail rollout. However, within Karnataka, we're striving to be the ba nk of choice. We're actually preparing to launch a campaign titled "Namma Bank, Apna Bank " which translates to "Our Bank." This campaign will leverage the sentiment of being a preferred bank in Karnataka.
With these measures and others that we will implement, we are confident that we can regain our esteemed position as the bank of choice in Karnataka.
Moderator: We have the next question from the line Chintan Shah from ICIC Securities.
Chintan Shah: Congratulations on a good set of numbers. One, two questions from my end. Sir, firstly, in terms of our loan book, in terms of fixed and floating, how much percentage of our book will be pegged rate and floating, if you could help with those numbers?
Sekhar Rao: To help you understand the proportion of flo ating to fixed -rate loans in our portfolio, here's the breakdown. About 79% of our loans have a floating interest rate. The details are as follows: about 1% are linked to the base rate, 22% are linked to the Marginal Cost of Funds Based Lending Rate (MCLR) , and the majority, approximately 56%, are linked to the External Benchmark Lending Rate (EBLR). Loans tied to the T -bill rate make up around 1.28% and fixed -rate loans make up the remaining 21%.
Chintan Shah: 21%, okay. Sure. So got it. And so, sir, as we anticipated that the decline in the interest rate going ahead, there could be some pressure on the NIM. So in terms of our borrowing side, how much hike is expected? Are any tentative hikes expected in the borrowing cost from here on? Any plans of raising the deposit rate further from here on? Or are we at the peak

rates as of now , considering the current RBI rate?
Sekhar Rao: I believe that the interest rates will now moderate. We won't see the previous rates of around 7.7% to 7.8%. Currently, our headlin e rate for a year stands at 7.3%. We anticipate a fluctuation of plus or minus 5 to 10 basis points, but no major changes beyond that. Such adjustments will be dictated by market opportunities and our liquidity needs. At present, our liquidity position is comfortable.
Chintan Shah: Sure, sure. So this is on the growth side, sir . It will largely be driven by the retail piece, right, if I'm not wrong?
Sekhar Rao: Yes. Credit growth will be strategically on the retail piece. But we will take tactical calls as and when required on the corporate and mid -corporate pieces as well.

Chintan Shah: Sure. And sir, you mentioned 1 to 1.5 percent plus/minus on the OPEX . So that was the opex -to-asset ratio, right, or cost -to-income?
Sekhar Rao: Cost-to-income.
Chintan Shah: Okay, okay. Cost -to-income. got it. And also , on the recovery in TWO, so I think we have seen quite a steep recovery in TWO for us as well as for the system during this year. So what is the expectation of this , any recover y in of accounts expected in the next year? Any ballpark number which you're expecting for that?
Sekhar Rao: Our Technical Write -Off (TWO) in the fiscal year before last was approximately INR 246 cr. In the last fiscal year, it was around INR 283 cr. Currently, we have a TWO book of INR 3,043 cr. We anticipate TWO recoveries at around the same levels as last year. An estimate between INR 250 to 275 cr would be reasonable.
Chintan Shah: Okay. 250 to 275. Sure, sir.
Moderator: We have the next question from the line of Jai Mundhra from ICIC I Securities.
Jai Mundhra: Sir, I wanted to get your views on the retail strategy, right? So if you can elaborate on that? You have said that retail is going to be the key driver for growth, and that is where

you want to sort of increase the product p er customer as well. You clearly have a retail franchise in terms of customers. But I wanted to check what is your, let's say, key target segment . Is it going to be a self-employed segment? Or do you have any vision for, let's say, prime salaried customers also?

And then the associated question would be that what is it that probably will give us the right to win in this segment? And maybe the last thing is that usually , retail comes with a higher opex , at least in the initial phase. Where are we in that inv estment phase with respect to retail business?

Sekhar Rao: Yes, I did explain our retail strategy in detail earlier in the call when Mr. Sushil first posed the question. However, I'll be happy to go over it again. Essentially, any retail strategy hinges on a combination of pricing, distribution, and speed, specifically, Turnaround Time (TAT). For now, we are customer sub -segment agnostic; meaning, if our loans are priced attractively, underwritten quickly, and their overall features are customer -friendly, w e foresee significant low -hanging fruit.

Currently, we have approximately 13 million customers, 70% of whom are active. At present, these customers are banking with other institutions for some of their products. So, one of our initial measures will be to a ddress this.

Additionally, we are working to improve our salary proposition. Until now, our salary proposition has been just a standalone savings account. Like most banks, we are introducing a bundled salary product that combines a savings account, locker, fee discounts, and special pricing on asset products. However, as you might be aware, building a salary franchise does take some time. So initially, we will be largely sub - segment agnostic, capitalizing on the opportunities created by improvements in the three aforementioned areas.

As for products, we are fo

cusing on home loans, gold loans, and agri loans with strategic partnerships. For instance, we have put a couple of large alliances in place that will facilitate scaling up our agribusiness. These are the areas where we anticipate significant action moving forward.

Jai Mundhra: Right, sir. And , sir, in terms of investment in retail, right? So all the retail is high touch, lower ticket size relative to corporate, SME , and more effort involved. So where are we in terms of this investment phase? Or is it more likely that the OPEX growth will be at lea st for the next 6 to 12 months will be much higher than the loan growth as you build the processes, systems, etcetera ?

Sekhar Rao: That's a great question, and it allows me to emphasize a key point. I believe our franchise is currently underleveraged. We h ave 9 01 branches, and we are in the process of reorganizing our retail hubs, growing from three to five, and eventually to eight. These will be operating out of our existing regional offices, so we don't foresee incurring additional costs.

Previously, we u ndertook a transformation journey with the help of BCG, a journey we called KBL VIKAAS, which digitalized most of our loan underwriting. The infrastructure is in place, the scoring models are established, and the underwriting team is ready. The point being , the entire operating expense has already been spent, and we are in possession of an underleveraged franchise. We'll continue to make improvements in our product, process, and policy areas.

Additionally, we are following the standard playbook: we have cre ated an associate company, KBL Services, which will employ field staff for builder tie -ups and employee at automobile showrooms.

So, we don't expect a significant increase in operating expenses. Yes, there will be some investment in terms of staffing for f ield work, but they operate largely on a high variable, low fixed model, and their compensation will be outcome -linked.

Jai Mundhra: Right. And , sir, any talent gap that you see at the current juncture for all these initiatives to play out? Have you identi fied any talent gap at the existing mid -management level?

Sekhar Rao: We recently restructured our organization to make it more linear. You may be familiar with this structure from your experience with ICICI Bank and other such groups, where you have branch banking, retail assets, etc. Our structure is aligned with that of product vertical s.

We've identified certain talent gaps, specifically in middle and senior roles in technology, transaction banking, and product management, as well as some areas of risk. These are the areas where we plan to augment our talent pool through lateral hiring.

Jai Mundhra: Right. And lastly, on commercial/SME, MSME piece, right ? So retail , you elaborated. Corporate, you had said that the stance would be more opportunistic. On commercial/SME, how are you seeing things panning out because large pri vate banks they have become very aggressive in this space. So do you , what kind of, let's say, priorities or aspirations do you have in SME/commercial segment?

Sekhar Rao: We already have a significant presence in the MSME/SME sector, with 30% of our portf olio situated there. This is one area where older private sector banks often have an advantage over newer ones, because the MSME/SME sector is heavily reliant on relationships. In the operating model of newer private sector banks, a large part of these businesses is centralized, and branches are more or less agnostic to the MSME customer, serving primarily as points of transaction or service.

In contrast, our model ensures that the MSME customer is not just serviced by the branch, but is also 'owned' by the branch, providing a considerable level of comfort for the MSME. Moreover, our legacy a

s a bank is advantageous because a large percentage of our branch staff and branch managers are able to understand credit and carry out basic underwriting tasks, such as drafting Credit Appraisal Memorandums (CAMs). This is one of our core strengths, and we aim to leverage this to further strengthen our position in the MSME sector.

One clear area for improvement is our pricing structures and product propositions. To addre ss this, we're developing products specifically for the contractor segment and other sector -specific products. These efforts will assist us in solidifying our position in the MSME space.

Jai Mundhra: Right. No, no, I understand, sir. We have a very good le gacy and a very decent, let's say, presence in the SME space. I wanted to check. As you said, retail is going to be the key driver. Would the same hold true for SMEs also, so that is what I wanted to check.

Sekhar Rao: I would like to respond to this in the following way: the MSME sector is currently like a cash cow for us, whereas the retail sector is the star that we are aiming to nurture. We will, of course, continue to invest our energies in the MSME sector because it's an area that we understand well . However, given our extensive presence and potential in the retail sector, we intend to scale up and build upon it. This explains the increased intensity in our retail sector initiatives.

Moderator: We have the next question from the line of Hitendra Gupt a from Systematix Shares.

Hitendra Gupta: Congratulations on the good set of numbers. I have just two questions. One is with regard to the appointment of Mr. Sarma. So when will he be assuming the charge?

Sekhar Rao: Yes. He will be assuming charge shortly . In fact, the selection was made almost a couple of months or a little more than that back. And as you know, there's a process of RBI approval, which has been received.

Hitendra Gupta: Okay. So his involvement right now is nothing as of now?

Sekhar Rao: As of now, of course yes.

Hitendra Gupta: Yes. And my other question is with regard to the loan growth , sorry, the average loan ticket size. So what is the average ticket size for your different segments like retail, mid-corporate, and large corporates?

Sekhar Rao: So retail, including agri , is INR 9.67 lakhs. Mid -corporate would be around INR16.13 crores. Large corporate would be around INR150 crores to INR170 crores.

Hitendra Gupta: Okay. So no, no, I was referring to your slide. On Slide #21, it was retail was INR9.96 crores. So I was just wondering whether it's INR9.96 crores or INR9.69.

Sekhar Rao: It is INR 0.10 crores.

Hitendra Gupta: INR 0.10 crores, yes. And what kind of growth can we expect in terms of NII going forward?

Sekhar Rao: So yes. I have said , will be range bound . NII would be aligned to top-line predictions that we have predicted.

Hitendra Gupta: What would be that, sir?

Sekhar Rao: It will be ahead of market rates currentl y, a comfortable guess would be around a 15% to 18% increase in NI I.

Moderator: We have the next question from the line of Rakesh Kumar from B&K Securities.
Rakesh Kumar: So the first question is with respect to total cash balances, the income on the cash balances is gaining no interest income. But we have a total on an average , we are holding close to around INR5,500 crores , and our income is slightly low. So other than CRR, are we not like earning anything on the call money market or other markets, money markets?
Sekhar Rao: No, of course, we are earning on-call money. We have excess SLR. So while the cash with RBI is strict as per requirement, the balance is deployed in sui table money market instruments. And yes, currently, we do have excess SLR, which we recognize.
Rakesh Kumar: No, sir. What is the total income that we have accrued in this quarter from cash balances?
Sekhar Rao

: Let me get back to you on this as we go thro ugh the other questions . I'll very quickly get back to you on the income from cash balances.
Rakesh Kumar: Because for the year , I see it is INR1.58 crores for this F.Y. '23. And for this quarter, it is INR0.2 crores.
Sekhar Rao: Yes. I'll come back to that question very soon.
Rakesh Kumar: Sure, sir. Secondly, sir, can we give 2 or 3 reasons why there is close to around a 40 bps rise in the yield on advances this quarter ? So like , what is the change that we have seen in the loan portfolio mix that has led to this kind of a jump ? Like if we see like , as you mentioned, the loan breakup thing on the like floating and fixed and all those things. So based on that, yield movement should not have been close to 40 bps this quarter. So if you can ex plain the reason why this rise in yield was there?
Sekhar Rao: Regarding the improvement in yield, it is primarily due to the decision we made in Q4 to retire some low -yielding advances . This was a proactive measure taken because these advances were genera ting lower returns, even below the T -bill rate.
Consequently, this had an impact on our overall yields, which increased. However, it's important to note that this was a one -time action that we had to take at a certain point.
We had to choose between keepin g these on our books, which would have affected our Net Interest Margin (NIM), or retiring them and reallocating the funds to better - yielding instruments.
As for the composition of our spread in March '23, let me provide the figures you asked for. Currentl y, our retail plus agri segment accounts for around 50% of our portfolio, mid-corporate stands at 30%, and the large corporate segment represents approximately 20%. In December '22, the figures were slightly different, with retail plus agri at 48%, mid -corporate at 29%, and large corporate at 23%. These changes in composition have subsequently impacted our NIM.

Rakesh Kumar: Okay. And like during the call , if you can just highlight the reason the yield on the cash balances other than CRR.
Sekhar Rao: Yes, I'll quickly get back to you.
Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Company.
Saket Kapoor: Sir, could you first provide some insight into the Return on Assets (ROA) situation? We concluded Q4 with a ROA of 1.4%, a nd our average for Fiscal Year '23 was 1.21%.
What trajectory should we anticipate for the ROA? Regarding the Net Interest Margin (NIM), I understand from your comments that it will range between 3.5% and 3.7%.
Sekhar Rao: I believe I've addressed the ROA trajectory as well. We anticipate it to remain relatively steady, around the current year's level, with a slight increase on the optimistic side. Therefore, we do not foresee any significant surge in ROA moving forward.
Saket Kapoor: So this 1.2% will be m aintained. 1.4% was an anomaly for the fourth quarter then.
Sekhar Rao: Yes, it will be . I earlier also during the call , gave a number, and we would be around that level.
Saket Kapoor: 1.2%?
Sekhar Rao: Yes. Slightly more than 1.2%, yes.
Saket Kapoor: Okay , sir. And for the capital raising part, sir, currently, we have a CRR of about 17.45%. So what is the outlook on the capital raising exercise? Anything you would like to share?
Sekhar Rao: Regarding capital raising, we are currently in a comfortable posit ion. However, our evaluation of this matter will be based on our growth trajectory. The next capital raise that we undertake will consider two significant factors. Firstly, we will assess the capital needed to support our growth ambitions. Secondly, we wil l consider any changes in accounting standards, particularly those related to Expected Credit Loss

(ECL) and other relevant factors that you may be aware of. Taking these factors into account, we may choose to e

xpedite our capital raising plans or delay th em accordingly.

Saket Kapoor: Sir, on the ECL front, I would like to throw what is your primary observation on the same . And how is that notification , if and when implemented, would impact our numbers?

Sekhar Rao: So I think that there's a transcript of yesterday's RBI organized meeting for Directors of Private Banks , in the Q&A session , if you go through the transcript, from what we understand, even they are looking at a 3 to 5 year horizon. And beyond that, we would not want to hazard a guess.

Saket Kap oor: So, taking into account our book, what should be the impact? If that is spread over a period of 3 to 5 years, what should be an annual impact?

Sekhar Rao: So I wouldn't want to comment on it right now because there are 2, 3 moving aspects within ECL i tself on how to recognize, whether we'll be completely aligned to global standards, or we will have our own parameters. So unless there is ample clarity on the same, I wouldn't want to kind of comment on that right now.

Saket Kapoor: Sir, a small point on the book value and the dividend payout . Firstly, on the book value part. Sir, currently also , the market is not giving the right valuation. So I think a lot of effort has gone over the last 1.5 years by our early CMD also. And current ly also , when we'll be interacting with the new CMD in the next call, we hope that steps will be taken to increase your stakeholders' value also. We are trading well below even on time , I think INR260, INR265 is the bank, and we are currently at INR150. So there should be a concerted effort wherein value creation for the stakeholders should be the upmost task there.

Sekhar Rao: Yes, we'll hope for the best. There are a few aspects to consider. Firstly, our bank does not have a specific promoter, and institu tional holdings stand at approximately 30%, while retail ownership comprises around 70%. Controlling certain aspects of retail ownership can be challenging. Nevertheless, we remain committed to delivering strong performance, and through our continued effor ts, we anticipate improvements in this regard. We also rely on the support of your community, including stakeholders like yourself, to assist us in addressing these aspects.

Saket Kapoor: Sir, on the dividend payout , sir, we , this time , kept the payout ratio lower than what the payout was last year. So if you could give us an understanding of how we came to that figure of 50% , last year, it was INR4 on an EPS of INR16. And this year, we have made a record profit, and on an EPS of closer to INR38, the payout is INR5 per share. So if you could explain to us how did we conclude this payout , sir?

Sekhar Rao: I'm not sure how to react to this. I thought INR 5 was a very good number when compared to what's being announced elsewhere. And we were personally very ela ted at INR 5. Let us see how it goes going forward. My colleague is saying yeh dil mange more.

Saket Kapoor: But there has to be a formula on the basis of which the dividend is distributed to your shareholders, sir. It is not about the dil maange more conc ept, but there has to be something on a proportionate basis. On EPS of INR16, you are distributing INR4. And on EPS of INR37.6, you're INR5. So there has to be some understanding on the basis of which the dividend payout the Board has deliberated.

Sekhar Rao: So we've shored up well and we are at fairly decent capital adequacy norms. We have the flexibility to distribute significant dividends, enter the market to raise capital at discounted rates, and ensure our shareholders remain content. It's important to note that making decisions in this area requires a balanced approach, and there is no straightforward answer that fits all situations.

When determining the 50% threshold, we considered several factors, includ

ing the overall condition of our balance shee t, the construction of reserves, our growth aspirations, and the potential for future capital raising opportunities. Sustainability was also a key consideration. We arrived at this figure after careful evaluation, and we have received positive feedback fro m our existing shareholders regarding this decision.

Saket Kapoor: We hope for continued performance going ahead because it is the performance that is going to undermine all the principles going ahead. So we hope to look forward that the environment is con ducive for us to report a continuous set of growth numbers. This

should be the endeavour . Sir, we hope for that ahead.
Sekhar Rao: So, regarding cash with the RBI, the interest earned amounted to approximately INR 1.58 crores. However, the answer to this q uestion is slightly more complex. The

interest earned is influenced by various factors such as reverse repos, swap deals, and other considerations. Nonetheless, I hope this provides clarity on the earlier question raised. The amount of INR 1.58 crores repr esents the interest earned on balances with the RBI and other banks. It is worth noting that this figure appears lower compared to the previous year due to two factors. Firstly, during a portion of the year, particularly in Q3, we were on the borrowing sid e, which contributed to the muted interest earned figure.
Moderator: We will move to the next question from the line of Yashwant Kumar T hippeswam y, a private investor.
Yashwant Thippeswamy : Congratulations , Karnataka Bank team as a whole. It's a great job. So yes, my first question , I mean , quite a few people have already asked about the growth. We are targeting more than the industry growth. So I just wanted to get a little more details with respect to the last, I mean, two months. How has it been?
And the next question is on the establishment expenses. So do we foresee that it could continue in coming quarters as well?
Sekhar Rao: So, as we mentioned earlier in the call, we have observed positive indications of the changes we made on the retail side in the past two months, and we anticipate this momentum to continue. There has been increased activity in areas such as gold loans, home loans, and to some extent, the MSME space. We have implemented a robust agri co-lending model, and have alr eady disbursed a significant amount through this arrangement. Additionally, we have more collaborations in the pipeline, which further enhances our excitement about the opportunities ahead.
Regarding operating expenses (opex), we anticipate an approximate increase ranging from 5% to 8% in the future. This is due to provisions we need to make for employee costs as we plan to open around 50 new branches. There is also heightened investment in technology. If our growth aspiratio ns materialize according to plan, which we are already witnessing positive signs of, the OPEX increase is likely to be closer to 8%.
Okay ?
Yashwant Thippeswamy : Okay. I mean, the ballpark number is about 50 -odd branches in this financial year?
Sekhar Rao: Yes.
Yashwant Thippeswamy : Is that what you said? Okay. Perfect. And coming to the other income part of it. So , I mean, I understand that the strategy is to focus more on retail and gold loans especially.
So having said this, I understand that there shoul d be a right balance in improving the other income as well. So are there any thoughts that are calling on that side?
Sekhar Rao: Yes, regarding other income, we have already achieved INR 1,155.60 crores, excluding trading profits and depreciation. This inc ome is well -distributed across various categories. We have made good progress in terms of banking fees and commissions, while there are areas where we can improve, such as exchange profit and locker rentals. Additionally, we will focus more on third -party income,

where we see
significant opportunities emerging. With our maturing analytics capability, we expect our cross -selling models to fall into place effectively.
It is important to note that while there may be some slowdown in areas like debit cards and ATMs due to the impact of UPI, this will be offset by growth in transaction

banking fee income and third -party fee income. We will also make tactical decisions regarding areas like locker rentals to optimize our overall performance.
Yashwant Thippeswamy : Okay. And I mean, I just wanted , I mean , this questio n.
Sekhar Rao: Sorry. Lastly, if we see the current trend of interest rates pan out, there will be a write - back of MTM and depreciation opportunities as well.
Yashwant Thippeswamy : Okay. So yes. This question is exclusively for you because you joined about three months back. So I just wanted to understand. Considering the strategy that you've got in like retail, inc rease in the retail portfolio. So I mean, this is referring to the 26 Slide number, and that is about the NPA breakup. So I see that the credit portfolio with

respect to retail it's at 65%.
Sekhar Rao: The mentioned figure represents the proportion of NPAs in relation to the total NPA, including both retail and agri sectors. The higher proportion is influenced by various factors that occurred over the last two years, such as the rising interest rate scenario and the impact of the COVID -19 pandemic. However, we anticipate this proportion to gradually moderate in the future.
It is worth noting that a significant percentage of these NPAs is from the agri sector. Additionally, our retail portfolio constitutes almost 50% of our overall book, which is known for be ing a relatively high -yielding segment. While the ratio may stand out, we closely monitor this area and have a strong understanding of the business. Rest assured, this is an area we are well -versed in and will continue to focus on, as it plays a crucial role in achieving our growth aspirations.
Yashwant Thippeswamy : Yes, I get that. But my question is more of like , because we are targeting more of retail advances, increasing impact. So my question is more about whether the existing framework works out well with respect to arresting this NPA with respect to the retail portfolio . Or do you think that there have to be some more additions , I mean, additional criteria that need to be added to the existing framework in order to improvise and decrease or otherwise reduce the contribution from the retail side? That's my question.
Sekhar Rao: So yes, of cours e. There is always room for improvement, and we have organized our operatio ns to effectively manage our stressed portfolio. We have two key functions dedicated to this purpose: credit monitoring and recovery. In our credit monitoring department, we extensively leverage technology to track early warning signs and identify potentia l instances of stress. This enables us to take necessary actions at an early stage. If an account still slips into default or becomes an NPA, our credit recovery department steps in to initiate appropriate measures.
One positive aspect is that a significan t portion of our loan portfolio is backed by security, and these are considered bankable securities. Historically, our ability to recover from such loans has been quite favourable, which provides us with a sense of reassurance. Additionally, we are establi shing a comprehensive analytics shop. This initiative will enhance our surveillance and monitoring capabilities using AI and other advanced technologies. It will enable us to identify trends in the behaviour of our portfolio and proactively respond to them . I trust this addresses your question regarding our approach to managing the stressed portfolio.
Yashwant Thippeswamy : Sorry. Come again? I didn't get that.

Sekhar Rao: As mentioned earlier, we are in the process of establishing an Analytics Centre of Excellence (ACOE), which will enhance our capability to monitor accounts effectively. This dedicated centre will strengthen our early warning sign systems, allowing us to identify accounts showing signs of incipient stress at an early stage. Additionally, we are also enhancing our call centre capability, which will further improve our ability to track and monit or such accounts.
By combining these initiatives with the measures, we have already implemented, we are confident in our ability to effectively manage any potential NPAs or stressed assets that may arise. These efforts will enable us to proactively address emerging issues and take appropriate actions to mitigate risk.
Moderator: We have the next question from the line of Deb Bhattacharya from PNB MetLife India Insurance.
Deb Bhattacharya: Sir, just a couple of questions. So one is on the restructured accoun ts. So I just saw that the provision is around 10%. So in your opinion, what could be the percentage, are we like well provided there? Or would there be any further slippage or so just your view on that as well?
Sekhar Rao: So, our standard restructured pr ovision stands slightly higher, approximately around 13%. We continuously assess the opportunity to increase provisioning whenever it is supported by our financials and considered a prudent decision, as we did in the fourth quarter. It is noteworthy that a lmost 90% of the restructured book is performing well, with customers repaying their obligations in the three mentioned buckets.
I stand corrected. The current provisioning stands at 10.31%. However, it is important to mention that the quality of the book has significantly improved. The restructured book currently amounts to INR 2,570 crores, and if we exclude related accounts, it comes down to approximately INR 2,070 crores. To provide further insights into this specific aspect, I will now pass the phone t o my colleague, Mr. Abhishek Bagchi.

Abhishek Bagchi: Actually, to highlight the numbers, as the size has decreased in this quarter as compared to December, in this quarter, we have a reversal of provision. It is about INR25 crores. We have a reversal of t he provision.
Sekhar Rao: So that's another reason why . So basically, there's been a reversal of provision, which is why this further looks at around 10.31%.
Deb Bhattacharya: Okay. But looking at the portfolio, you're like kind of okay with that number.
Sekhar Rao: Yes, we are comfortable at current levels. Yes.
Deb Bhattacharya: Okay. Okay. I think you mentioned that some of the portfolios were like for the low yielding. So was it more from the large corporate portfolio ?
Sekhar Rao: Of course, it was fro m the large corporate and PSU portfolio.
Deb Bhattacharya: Okay, okay. So going forward, one is on the retail strategy that , so from a risk -weighted asset standpoint, would we kind of see an increasing risk on the book? Or you feel that, broadly we would b e at the same level ?
Sekhar Rao: It could be similar to lower levels because you also see gold loans playing out and home loans. So we would see this at around current levels to kind of reducing. That's

where we are. So it's range -bound between somewhere i f you see the risk -weighted assets, it's around INR53,000 crores right now against the December number of INR54,000 crores. So it is plus or minus INR1,000 crores . In terms of percentage, it would more or less be around the same area. Of course, it will grow in tandem with the growth that we demonstrate.
Deb Bhattacharya: Okay. So broadly, whatever the overall number for the bank, the weighted mix of these two would kind of be broadly the same from at an overall bank level?
Sekhar Rao: Yes.
Moderator: Ladie

s and gentlemen, we will take one last question from the line of Rakesh Kumar from B&K Securities.
Rakesh Kumar: I was a little confused when you replied saying that it is on the interbank some borrowing that we had taken. So in the interest expense line s, do we not include interbank borrowings and the RBI borrowings number? How do we do it? Like we net it off from the income line? Like, how do we do that? Because there is a separate line item in the interest expense for interbank borrowings.
Sekhar Rao: So I'll request my colleague, Mr. Abhishek, will take this question.
Abhishek Bagchi: Yes. I was answering on the interest income side. As majority part of this year it was on a borrowing side. So it is the income on the asset and the overnight market lending. That is the interest income I was referring to. Interest expenses are accounted for separately under the expenses schedule.
Sekhar Rao: Does that answer your question?
Rakesh Kumar: I think we can discuss it separately, si r.
Abhishek Bagchi: You can mail me across. And I'll be replying, Okay?
Rakesh Kumar: Sure, sir. Sure, sir.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Sekhar Rao, MD , and CEO of Interim Karnataka Bank , for closing comments.
Sekhar Rao: Thank you, ladies and gentlemen, for being a part of this call. It's been a pleasure speaking to you. And a lot of insightful questions. We hope to build on these. We look forward to more frequen t interactions with all of you instead of just this customary call at year -end. We once again thank you for your support and your compliments. Thank you, Ms. Melissa, for hosting us. Good evening, everyone. Thank you.
Moderator: Thank you, ladies and gentl emen, for joining us on this call. I would like to express my gratitude to Melissa for hosting us, and it has been a pleasure speaking with all of you. The questions and discussions have been insightful, and we aim to build upon them in the future. We look forward to more frequent interactions with all of you, rather than just the customary year -end call. Once again, we appreciate your support and compliments. Good evening, everyone. Thank you.
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Call: Aug 2023

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Dear Sir/Madam,

Reg: Transcript of Q1FY24 Earnings Conference Call

Pursuant to Regulation 46(2) (oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the analyst/institutional investors concall held on Au gust 03 , 2023 post declaration of unaudited Financial Results of the Bank for the Quarter ended June 30 , 2023. The same is also made available on the Bank's website under the following web link:

https://karnatakabank.com/investor -portal/investor -presentations

This is for your information and dissemination.

Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Karnataka Bank Ltd.
Your Family Bank . Across India.
Regd. & Head Office
P. B. No.599, Mahaveera Circle
Kankanady
Mangal uru – 575 002
Phone : 0824 -2228182
E-Mail : comsec@ktkbank.com
Website : www.karnatakabank.com
CIN : L85110KA1924PLC001128

SECRETARIAL DEPART MENT

"Karnataka Bank Limited
Q1 FY 2 4 Earnings Conference Call "
August 03, 2023

MANAGEMENT : MR. SRIKRISHNAN – MANAGING DIRECTOR , CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO –EXECUTIVE DIRECTOR – KARNATAKA BANK LIMITED
MR. BALACHANDRA Y V – CHIEF OPERATING OFFICER – KARNATAKA BANK LIMITED
MR. GOKULDAS PAI – CHIEF BUSINESS OFFICER – KARNATAKA BANK LIMITED
MR. ABHISHEK BAGCHI – CHIEF FINANCIAL OFFICER – KARNATAKA BANK LIMITED
MR. SHAM K– COMPANY SECRETARY – KARNATAKA BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY 2024 Earnings Conference Call hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode, and you will be able to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pres sing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference to MD and CEO Mr. Sri krishnan H. from Karnataka Bank. Thank you , and over to you, sir.
Srikrishnan: Thank you very much.
Good afternoon, ladies and gentlemen. I am Srikrishnan, the MD and CEO of Karnataka Bank. I am here on behalf of the Board of Directors, and I want to thank you for participating today. Joining me are Sekhar Rao, our Executive Director, and senior manageme nt team members: Balachandra, our Chief Operating Officer; Abhishek Bagchi, our CFO; Gokuldas Pai, our Chief Business Officer; and Sham K, our Company Secretary.
Today is historic day for us due to the new management's inauguration. Just to clarify, I have been with the bank for slightly under two months, and our new Executive Director has been on board for around four to five months. As we move forward, expect to hear more from Karnataka Bank under the tagline: " Banking with a legacy and embracing the f uture". Today, we are discussing the bank's future based on our recent quarterly results.
We recently informed the stock exchanges about our highest -ever quarterly net profit: INR 370.7 0 crores, compared to INR 114 crores from the same period last year. Three critical metrics define our bank's performance: growth in advances, growth in the book, and deposit growth. Our advances have seen a year -to-date annualised growth of about 10%, and for this quarter, we achieved 5.4%. Our deposits increased by nearly 8%, with a healthy CASA mix maintained at around 32% - 33%. Historically, our CD ratio reached its peak at 70%.
Our net NPA decreased significantly to 1.43%, down from the previous year. We've worked hard on recovery and controlling slippages, which currently stand at 0.5%, compared to 3.31% last year. Even compared to the last quarter, there is a reduction of about 27 bps. We also proudly announce our provisioning at a record high of 83.47%. The good news is also about the core provisions which stands at about 62% as against 55%. Additionally, we've maintained our NIM guidance within the 3.5% to 3.71% range.
Regarding our bank's growth, our Return o n Equity (ROE) is an impressive 17.7% , with a Return on Assets (ROA) of 1.47%. Our cost -to-income ratio is competitive within our banking segment at approximately 47%. Lastly, despite asset growth, our CRAR is at a solid 17%, with Tier 2 steadily maintained.
With its rich tradition and excepti onal customer service, Karnataka Bank operates 900 -odd branches throughout the nation, over 60% of which are in Karnataka. We're present in 14 economic zones, and our goal is to evolve from a regional story to a national story . Our strategy is three -prong ed: efficiently run the bank, grow the bank by adopting a more outward -looking approach, and change the bank by embracing innovation.

We sort them all out, make them all more efficient, lot of centralization of processes and making sure that, the optimal e fficiencies that we derive, not only on the cost, but also the turnaround time as far as the customer journey is concerned. Now the capacity is in two parts, one is related to the operational side, the other is related to technology. Both is something that you know we are definitely augmenting here as you know the new management. The second part is that along with that we need to grow the bank. Now when I talk about grow the bank,

we need to change
the culture of the bank. The culture of the bank has been n ot so outward looking and there is not much of a sales culture which is including deployment of sales teams outside of the branches. So far, they have been only looking at the channels of sales which is the branch channel. We are, introducing essentially t he sale channel both on the asset side as well as on the liability side for CASA as well. And these are teams that will be deployed in branch serving areas in and around the branch to get the new to bank acquisitions. So, the NTB numbers, which is currentl y at about 4,000 odd accounts per day is going to move up and that's the second piece of growth. The other part related to grow the bank is also to make sure that in addition to the DSA channel, there is a huge amount of digitization that, we have already invested into.
And we are just on the verge of launching many such journeys, whereby the digital channels of the bank, which include the mobile as well as our browser -based internet banking channels, will be translated, just not but transformational, but a lso everything to do with transactional. So, which means that we would actually be in a position to acquire clients end to end. Most of the digital journey is almost 100%. Some of the journey is near 100%, whereby all of the new customer acquisitions need not necessarily have to be physical.
And that's a new channel that we are building. In addition to the existing channels, which is the branch channel, which we are activating fully, and this also now would be helped by the sales channel, which is the DSAs, as well as the sales teams, the feet on street, who are deployed on the ground. And the last one, which I talked about, is the digital. So, this is essentially the grow the bank culture that we are bringing in. And here, there's a lot of reorientation tha t we need with all our existing workforce and most of them are receptive.
The last about you know 40 days that I have been going around the regions, visiting them etc., I have a fair pulse of the bank of the ground level you know impressions as well. And t he third piece is changing the bank. Now this is a transformational journey in the overall scene. What we are trying to do is that organically while I was talking about the growing part related to the three channels of client acquisitions, new customers, e tc., there is also an existing customer base of 1.3 crores that we have. And we need to make sure that there is a lot of upsell and cross -sell that is possible for this huge customer segment.
To transform and evolve, we've established digital and analytica l centres of excellence housed in a new 40,000 -square -foot office in Bangalore. This not only facilitates the digital journey but also positions us in India's Silicon Valley. And here, talent acquisition is also possible currently, the very reason being th at we are sitting in the heart of the Silicon Valley of India, that is Bangalore. Now given this, change that we have, instrumented over the last about 30 to 40 days. We believe that, this digital journey that we are undertaking will be far easier because the investment not only in technology, but investment into processes and we have also taken some

help from external consultants here, whereby the analytics related to our existing customers on their behaviour, on what products they use, based on t heir transactions, what other products they could potentially use is being extracted.
Those cuts are being given to the branches and to the sales channels for them to actually go and acquire new customers. Along with that, the existing customers for new pr oducts. So, this is the upsell, whereby the share of the wallet is going to pretty much increase. Now this is step number one, as far as the change the bank is concerned. Step number two is all about innovation

s and
collaborations.
Now the bank will innova te but obviously we are not a FinTech, so we are not like some of the technology companies which are innovating and creating breakthroughs and really looking at some kind of a new product which is like, completely digitized but they cannot scale up. So, we have already launched this program called KBL -FinOne, which essentially is a FinTech collaboration whereby we have identified three or four product areas, which include some of the asset side, which is related to co -lending, as well as, consumer loans, an d also a lot on the MSME side. Now, these are the FinTechs or some of the new age companies who are focused on certain segments, and they will collaborate with the bank, and we will scale that up whereby we acquire clients, we also give them a wider range of services including other banking services which we

can offer. But on the other side, the FinTech benefits a lot because scaling up is something that the bank is ready to do.
We want to work on the inherent strengths of this bank. The inherent strength o f this bank lies one in Karnataka, as a geography, but we want to expand to other regions also.So, whatever we do well in Karnataka, we want to make sure that we do it even better in the other states where we have the presence. And it is not a small presen ce because most of the states that even typically take Maharashtra or even take some of the other South Indian states, we have an excess of fifty branches in each of these states. Now what we are trying to do is to make sure that the geographical strength that we have acquired in Karnataka is something that we will replicate.
Our bank's strengths lie in sectors like MSME lending and agri -lending. In addition to providing financial services to these sectors, we also facilitate government payments, soon to en compass direct and indirect taxes.
So, we are in the process of creating online as well as portal -based, which is a complete revamp of our website and also allow all of th ese third parties to come in and make sure that we are working with a very open but very system atic and information security control portal. The last part is that we are very big in agri -lending. As a percentage of our total loans, agri forms a major part.
Now agri -lending, retail and MSME opportunity is there in these segments . Now we be lieve that we can help a lot in the agri also. The reason being that here again, there are a lot of value addition that we can provide because the fact that, access in terms of telecom access and connectivity has already been provided by a lot of service p roviders in the country. So thereby, we are able to actually get going with just adding more products to it and delivering them digitally.

So, this is the other piece which is related to change the bank. So, in terms of the overall summary, ladies and gentlemen, what we are trying to do is to run the bank more efficiently and simplify a lot of processes, grow the bank organically and change the bank to introduce a lot of inorganic but not acquisition based but collaboratively from other third -party play ers. The bank in addition offers a complete you know suite of personal loan products that includes insurance, investment as well as broking and these are again done through the third -party initiatives that we have already put in place.
So, the bank can hel p in protecting our customers for both life as well as non -life and health. And likewise, we can also help them to facilitate the trading in case, they are interested and so on. So, this is basically a quick summary of, what and w here we are and what we wa nt to do. The results are very encouraging.
The results are very encouraging, the reason being that the bank on a financial positioning is also well placed. From the overall management team, yes, there could be potentially a lot

of
lateral hiring that we need to focus that we have talked about in the existing plans. We will supplement them with a lot of specialists depends on whatever kind of specialists are required where we cannot fill up the gap from internal resources. But we do have a very good manage ment team already. And we believe that, we are really creating a digital bank of the future.
Now on that note, I think I have done my introductory talk. And I'll hand it over back to the moderator for the next steps here. Now, Sekhar, is there anything else you want to add?
Sekhar Rao: Perfect. I think so you've covered it all. I will just add a couple of comments in the closing remarks. This is a pretty good summary of where we are headed and where we are.
Srikrishnan : Thank you. So, moderator back to y ou, please.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We'll take the first question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Congratulations on a great set of numbers, and best wishes for all the aspirations which you just highlighted. Question number one, so you had given a broad vision in one of your media interactions when you commenced, what a journey to get to INR1 lakh crores , which means 18%, 20% growth year-on-year. Can you highlight a bit on that?
Srikrishnan : Thank you for your insights, Mr. Sushil. Our annualised growth rate currently stands at approximately 10% for our advances book, while our liability side is nearing 8%. Our goal is to double these figures within the next 3 to 3.5 years. This implies an 18% to 20% compounded quarter -on-quarter growth annually. To put it simply, within the span of 3 to 3.5 years, our figures should more than double their current state.
Our initial target was to surpa ss INR 100,000 crores in our total asset book within that timeframe. Reflecting on our performance after the June results, without making any forward -looking statements, I can confirm that we've already crossed the INR 150,000 crores milestone in our

overa ll business growth, and we're just entering August. This significant growth from our

previously declared figures showcases the effective changes implemented in our frontend branch channel.

In the upcoming quarter, we will introduce our second sales channel , followed by our third channel focusing on digital acquisition. With these steps in place, we are confident in our trajectory and believe robust growth is achievable for both our assets and liabilities.

We need to meticulously monitor our metrics, particu larly those that are crucial for success. This includes ensuring our net NPAs and gross NPAs stay within controlled parameters, as well as maintaining stability in the NIMs. We're currently facing challenges in managing costs, particularly with the rising cost of deposits. However, despite global increases, such as the Federal Reserve's rate hikes, we believe that deposit rates in India have reached their zenith.

Given this scenario, we're optimistic about maintaining our current NIM ranges. We plan to achieve this by strategically adjusting our asset growth and ensuring optimal pricing. I trust this provides clarity on our approach moving forward, Mr. Sushil, and addresses your query.

Sushil Choksey: So where do you see your cost of deposit of 5.1 currently to by the year-end and cost of funds which is at 5.2 by the year-end?

Srikrishnan : Our cost of funds has historically ranged between 4.7% and 5.5%. We aim to maintain this range, although it's influenced by seasonal variations. To illustrate, consider the patterns of our clients, including contractors and agricultural farmers.

Farmers, for instance, tend to withdraw significantly from their Current Account and Savings Account (CASA) during the sowing period. However, post -harvesting, we've

observed a
consi stent trend: our CASA witnesses an influx as farmers deposit their earnings from crop sales back into the bank. This cyclic nature highlights the bank's established CASA retention strength.

Similarly, contractors often see delays in payments, be it from go vernment projects or other contracts. These delays can sometimes lead to temporary CASA withdrawals. Yet, over time, they revert to maintaining substantial deposits with us, which indicates trust and a stable banking relationship.

Furthermore, we've yet to fully launch our government business operations. Once initiated, the government business's float is expected to decrease our overall cost of funds by a few basis points initially. As we further expand this segment, we anticipate additional opportunities t o ensure our cost of funds remains within the targeted range.

Sushil Choksey: My next question is, your vision is more about co - lending, growing retail , and the bank was ready on technology, but I think the current management team brings a lot of bandwidt h with the vision to empower the digital technology transformation to a next level and the next support which will be required for that is human resource. So how are we planning our TAT, which was brilliant in the first half of last year, I don't know the reason we slackened a bit, but all these measures are going to bring in a fantastic change as it's visualised in the stock price too. So, what kind of spending are we going to do annually for this year or next year to enable all these growth paths and the vision which you are carrying today?

Srikrishnan : That's a noteworthy observation, Mr. Choksey. Over the years, we have invested heavily in technology, maintaining a core solution with Finacle that's been operational for over 23 years, complemented by seve ral auxiliary systems. Investments geared towards digitisation focus on streamlining customer onboarding journeys and enhancing data analytics to optimise our cross - selling capabilities through various channels.

While these investments are in place, the pr oducts deriving from them haven't been launched. Our immediate strategy pivots around product development and launching, but equally crucial is integrating contemporary technology and business process methodologies. This is why I emphasised our intentions to conduct significant lateral hiring.

However, despite these developments and the bank's current cost -to-income ratio standing at 47% (considering provisions for certain statutory actuarial valuations related to superannuation and contingencies like the b ipartite settlement), we project an initial ratio of around 48 to 50%. This is expected to decrease as revenue scales, aligning with our forward -looking investments.

In essence, while we do seek specialists, both the executive director and I are confident in our ability to attract top -tier talent. Our institution's legacy, combined with the promising trajectory we offer, makes a compelling narrative for potential hires looking for substantial career growth."

Moderator: We will take the next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good afternoon , sir, and congratulations on a good set of numbers. Sir, what would be your guidance for the growth rate in terms of both cr edit and deposit , as well as CASA? Where would you want to reach by the end of or the exit quarter of this financial year?
Srikrishnan : Good afternoon, Mr. Sarvesh. Thank you for your question. Based on our current trajectory, our annual growth rate for ad vances is approximately 10%, which places our current total advances at around INR 63,000 crores . Therefore, by the end of the financial year, we anticipate that this figure could likely reach between INR 73,000 crores and INR 75,000 crores.
Regarding o ur CASA, our CD ratio presently

hovers between 68% and 70%. Our ambition is to elevate this ratio. This implies that our assets will see faster growth than our liabilities, though we're confident that liabilities won't fall far behind. Specifically, for li abilities, we project growth of about 10% to 12%, positioning us to achieve a target close to INR 1 lakh crores.
Given these projections, the bank's turnover should appear much healthier by year -end, potentially surpassing the INR 1,75,000 crores mark. To put it into perspective, we currently stand at INR 1,50,000 crores. I hope this provides a clearer picture of our anticipated book size, Mr. Sarvesh."
Sarvesh Gupta: Understood. And one problem which I think most of the small and mid -sized banks have been facing is the trouble in gathering enough CASA. So, I mean, you did talk about making it more sales -oriented and all, but I mean, if you can throw some more light on your path towards sort of doing a better job on the gathering of CASA, this has been sort of ailing, most of the banks in your, at your size and scale? And secondly, you talked about a lot of transformation -related

hiring as well as technology , so will that affect materially any of your cost-to-income ratio in this financial year , or you feel that you have enough cushion or the investments have already been done?
Srikrishnan : As I mentioned earlier in response to a previous question, we are actively seeking new talent. However, we're specifically targeting specialists who possess s kills and expertise not currently present within our existing team. That is our primary approach.
In terms of cost -to-income ratios, there might be short -term fluctuations. While our current ratio stands at 47%, it could momentarily rise to 49% or even 50% . However, we anticipate this to decrease in subsequent quarters for two main reasons. Firstly, our capital concerns will be addressed. Secondly, as our revenue grows, it will naturally counterbalance the cost, leading to a more favourable ratio.
Regarding the Net Interest Margin (NIM), we remain committed to maintaining its strength. Reflecting on past performance, there might have been areas where we could've been more effective, just as some of our peers in the mid -size segment faced similar challenges. However, at present, our direction is guided by a clear and focused strategy."
Sarvesh Gupta : So, on the CASA side, what's the sort of aspiration in the next one years, two years, three years, where can we reach?
Srikrishnan : As I mentioned earlier, our go al for the next three -and-a-half years is to achieve a certain target,. However, if we break this down using simple mathematics and aim to bring our CD ratio closer to the 80s from its current position of around 70, it implies that our CASA and overall funding must sufficiently support that number. This includes the hundred thousand figures plus any additional calculations you might infer. This target sets our broader vision, but it's crucial to implement i t step by step. This is where the new management's focus lies. As of now, we're actively on our execution path, and the entire team is fully behind this initiative.
Sarvesh Gupta : Thank you, sir, and all the best.
Srikrishnan : Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Suraj Das from B&K Securities. Please go ahead.
Suraj Das: Yes, hello sir. Thanks for the opportunity , and congratulations on your appointment. Couple of questions, you laid out the reason for the next couple of years. So, sir, I was asking, you laid the foundation or reason for, what you are going to do in the next couple of years in terms of growing the bank or a couple of changes that you have highlighted. I just wanted to know, let us say, sligh tly from a longer -term next three years to five years, what kind of , let us say , products or

segments will be in your focus. So, in terms of loan mix, what kind of loan mix, we'll see. Let us say, by 2026 or 2027, when you build that one lakh crore of asset side book? So that would be my question number one.

Srikrishnan : Mr. Suraj, as is often said in sports, we must approach each game, each session, one step at a time. Drawing parallels from cricket, there are distinct strategies for different form ats, and forecasting a three -to-five-year game plan requires us to deeply consider our current execution. While I'm more comfortable discussing a three -year outlook as I've mentioned in previous responses the real challenge lies in our strategic approach.
We're currently emphasising three primary sectors: MSME, agriculture, and retail. Our growth strategy is three -pronged: utilising physical branch channels, sales channels, and digital channels along with collaborations. This strategy shifts our reliance fr om a single engine of growth to three potent engines. In time, I anticipate each engine will perform with equal vigour, distributing business more evenly. Central to our future growth is the development and optimisation of these engines. That's our current focus and direction, Mr. Suraj."
Suraj Das: Okay. So, the currently the share of retail if I see in your presentation, there is something like 50%, 51%. So, over the next couple of years, is it fair to assume that this share would increase to something li ke 60%, 65% or so?
Srikrishnan : On the topic of advances, retail currently stands at roughly 50 -51%. We're witnessing significant growth in areas like gold loans and home loans, among others. However, while these sectors expand, we're also shifting our foc us towards MSMEs and mid -sized corporates – areas the bank previously didn't prioritise as much. This segment is bound to grow as well. Therefore, it's not just about retail's percentage increase; it's a comprehensive growth across all three key segments: MSMEs, retail, and agriculture. As for specific percentages and how they will evolve, let's give it a few quarters to see the emerging trends, after which we can more accurately adjust and align our objectives.
Suraj Das: Okay, understood, sir. The second question is, sir, on the underwriting side, have you done any changes or let us say, you see any gap, where you can fill in or any kind of action you have taken just wanted to know. You have said many things about many cha nges on the product side, on the sales side, on the marketing side. However, on the underwriting asset quality side, have you done any changes, or you are taking any action there?
Srikrishnan : I appreciate your question. One unique strength of this bank is that even at the branch level, both branch managers and their assistants, regardless of whether the branch is in a rural or semi -urban area, are adept at writing credit proposals and overseeing credit evaluation and monitoring. Another key asset is our te am of over a hundred agricultural field officers dispersed across the bank. I'm working to centralise their efforts in the field. Many peer banks face challenges in assembling such a qualified team skilled in agriculture – our officers are both academicall y trained and honed their skills within the bank, making them well -equipped to navigate agri loans and the agri business supply chain.
To enhance our efficiency, we're taking several steps. Firstly, we're expanding our underwriting capability by increasing our regional processing centers from five to eight, ensuring faster loan approval processes. Secondly, we're making significant investments in technology, emphasizing workflow and document management processes to promote efficient and paperless informatio n

transfer. Lastly, as part of our efforts in digital loan origination, we're in

the process of
developing credit scoring models that facilitate quick, digital approvals using precise parameters. By analysing available data, we aim to refine our scoring mo dels and increasingly base them on observed behaviour. This holistic approach is what we're implementing to elevate our services.
Suraj Das: Okay. Thanks for the detailed answer. And the last question from my side, sir, in terms of your return ratio, ROA a nd ROE, whatever kind of vision that you are having and the kind of transformational journey you are on. So, upon completion of this journey, let us say next two years to three years, what kind of ROA, ROE on a steady state basis, the bank can generate? Have you given any thought on that, or have you made any projection to that, that the kind of business model that you are developing, what kind of ROA, ROE on a steady state basis, you want the bank to deliver?
Srikrishnan : So Mr. Suresh, the ROE, ROA is a d erivative of how well we do on the other parameters. So, what happens there is that, if you do all of this right, then the outcome of that will be the ROE and the ROA. Currently what we are doing is that we do have a current healthy, ROE of almost like 17% plus, right? Now that is a very good kind of a sign. The other is that, the ROE currently

is at 1.47%, but we would definitely be hovering in the same region of about 1.2% to 1.4%, and that is a stated objective again. So, this would bring in a lot more v alue to the stakeholder on a long-term basis and that is something that, we are quite confident about.
Moderator: We'll take the next question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Srikrishnan : Good afternoon, Chintan.
Chintan Shah: Good afternoon, sir. Thank you for the opportunity. Sir, just two - three data keeping questions from my end. Sir, firstly, if you could just provide the breakup of GNPA movement into slippages, write -off recovery and update for the quarter?
Chintan Shah: Yes. Okay. And secondly, sir, also, could you just provide the breakup of loan book into fixed and floating and how much would be linked to a repo rate and MCLR? And lastly, sir, on the CASA breakup, if we could just have help us with the numb er of current CASA means CA and SA? And lastly, as on the income part, other income breakup...
Srikrishnan : The first part related to the gross and the net NPA and the additions and reduction. That's what you wanted, right?
Chintan Shah: Yes.
Srikrishnan : In terms of our overall gross NPA, the additions for this quarter amount to INR292 crores. Up-gradations stand at around INR90 crores while recoveries are at about INR167 crores. Technical write -offs are relatively small, coming in at about INR10 crores, which includes other write -offs. The total for this quarter is INR2 69 crores. I mentioned the gross NPA as a percentage earlier, which has shown healthy performance compared to both the previous quarter of last year and the preceding quarter of this year. That indicates the direction we are taking. Your next

question perta ining to the EBLR rates and their percentage in relation to the overall gross credit. Approximately 20.31% is on the MCLR, while EBLR linked rates are around 6.54%. T -bill rates account for about 46.94%. This gives a comprehensive view of the percentage di stribution for the gross credit. Lastly, you had a query regarding CASA. Could you please restate that question?
Srikrishnan : Allow me a moment to check the numbers. Our savings accounts hold approximately INR 23,077 crores, while the current accounts hav e around INR 4,658 crores. Additionally, there's a minor float, estimated to be slightly less than INR 250 crores to INR 260 crores, spread across overdraft (OD) accounts and other floats.
Chintan Shah: Sir, this is very helpful. And sir, just lastly, on t he other income part

that are INR324 crores. So
in other income, could you help us with the breakup at least in the treasury and on no n- treasury and or fee income.
Srikrishnan : For the quarter, the total trading income has been only about INR8 crores. And the depreciation on investment has been about INR43 crores. And the other, which is...
Sekhar Rao : INR273 crores.
Srikrishnan : The fees and commissions amount to INR273 crores. This includes third -party fees, ATM charges, and all other commissions. To pro vide a more detailed breakdown: the total encompasses service charges, guarantee commissions, insurance commissions, ATM interchange fees, locker rental, among other things. If you need a detailed breakdown, we can provide that information to you offline.
Chintan Shah: Sure, sir. I will take that offline if required. Thank you so much for patiently answering all the questions, sir.
Srikrishnan : Thank you so much.
Moderator: Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.
Anand Dama: Thank you, sir and c ongratulations for your appointment. So first, in your presentation, you talked about retail share. I think that is a RAM share, right? Because retail, as such, it is very misleading. So that is num ber one, if you can change that in your presentation going forward.
Sir, second is that, if you look at Karnataka Bank we have been tracking it for a long, long time. Is that the asset quality and particularly the MSME book always has been an issue in the bank whenever basically there are bad asset quality cycles, how do you try and contain this? you said that basically, I mean, bank has a branch led credit processing system right now.
So, first you would want to change that, you would want to change the un derwriting the way basically it has been happening in the past across the legacy businesses that they have. And secondly is that, what are the new business lines that you would actually look at? Because bank is already into mortgages, they are doing gold l oans, any other new product that you would want to introduce going forward? So, these are the key questions that I have?

Srikrishnan : We're focused on refining our existing products and underwriting processes rather than making drastic changes. The bank ha s worked diligently to manage slippages, NPAs, coverage, and recoveries. Recognising the strengths of some bank segments, our objective now is to activate newer sectors. We're leaning on past experiences and harnessing digital data. For instance, by observing customer behavior, such as payments for rent or utilities, we can gauge their purchasing power. This insight allows us to offer pre -approved consumer loans based on their activity this is a direction we're keen on exploring. Furthermore, we value the loyalty of our longstanding customers and aim to provide them with more flexibility o n the liability side. For those who maintain considerable balances in savings and current accounts, we're introducing a 'Flexi CASA' option, enabling customers to manage their funds via online platforms. We're also expanding our offerings, integrating with customs, GST, and CBDT, to provide versatile use cases directly to the customer, eliminating the need for in -branch visits. One area we haven't previously discussed is our intent to establish a government business vertical. Given our significant presence in Karnataka and existing relationships with various institutions including religious bodies, educational establishments, and more we believe there's an opportunity to serve government departments as well. This initiative represents another facet of our on going efforts to redefine our products, redevelop them, and target new verticals.

Anand Dama: But sir, you talked about again the new initiatives that you take, but how do you fix the past?

Srikrishnan : The past

is a growing, particularly the cross -sale a spect mentioned earlier. We possess analytics related to each of our existing customers. As a result, we aim to offer additional products with a high level of focus based on their behavior and transaction history. This approach extends to our existing cust omer base. This is where the analytics factor y comes into play, continuously generating vast amounts of data and supplying it to our branches. This data helps guide the branches in suggesting suitable products for certain customer segments, even if the con nection is not direct but rather on a larger scale. The power of data enables us to accomplish this feat.

Anand Dama: So, basically if you look at your specific PCR, obviously your NPA is still higher than as compared to some of the other peer banks. But i f you look at a specific PCR is still some where's in the mid -60s as such, if you take out the technical write -offs. So, any plans basically to improve that in the near term, consuming the profits that you're actually generating at this point of time, whic h is very high. So, you run down your book first, and then basically look at taking it past 70% and try and contain the credit cost that will actually flow in the future. So, any thoughts over there?

Srikrishnan : Yes, if we prioritise Non-Performing Asset s (NPA) and focus solely on managing them, it might lead to a loss of growth opportunities. Our approach is to strike a balance by emphasising both growth and NPA containment. We have set objectives to reduce NPA rates compared to the previous year and las t quarter, and we are successfully achieving this. The trend for both gross and net NPAs is positive.

Regarding the Provision Coverage Ratio (PCR) and net of technical write -offs, you are correct. Our coverage stands at around 62% for these items. However, if we consider even the gross NPA secured by assets like land and buildings, the coverage is approximately 76.5%. So, the bank is well protected, and although certain processes may take time, we are secure.

Our primary focus remains on growth and expanding the book size. As the book size increases, the percentage of NPA may not decrease, but we will address it strategically on an account -by-account basis. It is essential not to confuse the old bank's functions with the new ban k's focus. The old bank will continue its existing operations efficiently, while the new bank will concentrate on growth without neglecting NPA management. We are committed to maintaining a dual approach and not giving up on either front.

Moderator: Thank you. We'll take the next question from the line of Ketan Athavale from Robo Capital. Please go ahead.

Ketan Athavale: Thank you for the opportunity. I just wanted to know what is the expected credit cost for FY’24 - 25 in percentage terms?

Srikrishnan : Currently, the credit cost stands at approximately 0.28%. Looking ahead, we believe there is a high likelihood of maintaining this level or potentially even reducing it further. By the end of the year, we anticipate that the credit cost will remain stable an d be around the same level, Ketan.

Ketan Athavale: Same for FY 25 also?

Srikrishnan : No, we anticipate a slight reduction, around 25 basis points, in the credit cost. The reason behind

this reduction lies in our strategy to focus on digital acquisition. By creating a loan book that primarily comprises salary loans, flexi loans, and other related products, combined with partnerships with payroll processing companies, we can ensure repayment guarantee as the next payroll will automatically come through the ba nk. This approach will have a positive impact on reducing the credit cost. However, achieving this reduction will require dedicated focus on both the digital side and the development of these specific products.
Ketan Athavale: Okay. Thank you. That's it

fr om my side.
Srikrishnan : Thank you so much.
Moderator: Thank you. The next question is from the line of Manish Dhariwal from Fiducia Capital Advisors Private Limited. Please go ahead. As the current participant is not answering, we'll move on to the next question, which is from the line of Aalok from MNCL. Please go ahead.
Aalok: Thanks for the opportunity and sir, congratulations on a great set of numbers. The presentation which is being put out clearly outlines the vision which the management is looking forward, so this is really commendable. Sir, I had two questions to understand from you? One is more on the asset quality what is that we are looking in terms of the slippages run rate maybe in FY'24 as a whole, including any element of restructuring port folio that might come out in the coming periods. So that's my first question?
Srikrishnan : Let me address that directly, Aalok. Currently, our slippage stands at approximately 0.5%. Looking ahead, compared to the previous quarter, we have witnessed a subst antial reduction, and compared to the previous year, the reduction has been even more significant. This performance represents our best slippage figures thus far. Our goal is to maintain this positive trend and, at the very least, sustain the same level of performance for the remainder of the year.

By achieving this, we can look forward to a healthy outlook by the end of the year. Additionally, as we progress through two more quarters, some other stress in the portfolio will have gone through its lifecycle, further strengthening our position. As a management team, maintaining this level of performance would make us content and confident about the bank's overall performance.
Aalok: So, would you like to give some numbers on GNPA and NPA at end of FY'24?
Srikrishnan : The market standard for mid -sized banks like ours regarding net NPA is to aim for a reduction of around 20 to 30 basis points. We aspire to bring our current net NPA of approximately 1.43% down to about 1.20% by the end of the financial year. Given our relatively low book size, achieving this target requires minimising absolute recoveries and new additions.
Regarding the Provision Coverage Ratio (PCR), we are in a good position with sufficient coverage. This gives us the ability to negotiate an d handle any potential slippages, including the possibility of taking haircuts and resolving them adequately. Overall, we have gradually moved towards a reasonable position concerning NPAs. Although not entirely comfortable, we are making progress.
Barring any unforeseen surprises, if the credit monitoring department continues to perform as it has been, and we maintain our focus on NPA management, we should reach a comfortable range of around 1.20% for net NPA. In the next financial year, we will continue w orking to further reduce it to a lower level. Some of the most successful banks in the country have achieved a net NPA of 1% or even lower, and we aim to move in that direction as well.
Aalok: And sir, would you like to leave us with some number on SMA2 po rtfolio, how is that looking like?
Srikrishnan : I think I'll ask my colleague Bala chandra to answer that question, SMA2.Just give us a minute please.
Y V. Balachandra: As of the 30th of June, the Special Mention Accounts -2 (SMA2) stands at approximately INR 1,197 or you can consider it as 1,200. There has been a slight increase compared to previous periods, attributed to specific reasons. Some sectors have encountered realisation issues due to ongoing political dispensation in particular states.
Aalok: Thank you, Bala chandra sir. Sir, a question to you. So, would it be safe to say that now all of the efforts are to realise more toward growth and not at asset quality, also because if I look at the way ALM is positioned, there are drivers for margin expansion from ye

ar onward as well, we
are at LDR of 70%. So, that gives you a cushion, maybe more on the lending side versus borrowing side and opex while that might see some increase, with the kind of thought p rocess on lending side, I believe it's going to circle more around growth. So how are you looking at that number inching up?
Srikrishnan : Yes, on a blended basis, the monitoring of our operations is carried out between me and S ekhar,

who serves as the Executive Director (ED) here. At the vertical head level, there is a strong focus

on growth. This focus includes managing both liabilities an d assets, ensuring a balance between growth and maintaining quality.

Credit quality is vital for the asset side, but we also emphasise maintaining quality on the liability side. We are cautious about increasing transactions without deriving the correspondi ng benefit in terms of balances. We aim to avoid the bank becoming a conduit for unproductive volume. Our management team has been guided to prioritise quality on both sides.

To ensure this quality is maintained, we are implementing governance mechanisms a nd monitoring systems. At a high -level, we are committed to insisting on good quality assets and fostering productive CASA (Current Account Savings Account) relationships. We aim to avoid customers who solely deposit cash without contributing to the bank's overall growth. Instead, we will focus on migrating such customers to digital channels, and we have plans for migration projects to facilitate this process.

Moderator: Thank you. Mr. Alok, we request you to kindly rejoin the queue. Thank you. The next que stion is from the line of Manish Dhariwal from Fiducia Capital Advisors Private Limited. Please go ahead.

Manish Dhariwal: Thank you so much for this opportunity and my apologies for previously unable to connect. I think there was a problem at my side on t he voice track. So, at the outset, congratulations and compliments to the new team, especially the new CEO, Mr. Srikrishnan. So, we wish you all the best as our fortunes are also pretty much, kind of moved with how margin performs. So, my question basicall y is related to this pay book.

You know, it's a pay book that is across the older banks where they already have a huge chunk of customers who have been banking with them for the last so many years. But then to these customers, these new products are being offered in the line of say, personal loans or variety of other products like car loans, whatever. My question is that these customers typically, are they new to these products or they have experienced these products much from some other originator?

Srikri shnan : Good afternoon, Manish. Based on my personal interactions with customers during branch visits over the last 40 days, I have visited about four to five regions, covering approximately eight branches in each region. This amounts to nearly 40 to 45 bra nches out of our total network. I have also engaged in discussions with a few invited customers.

A key finding from these interactions is that customers are highly satisfied with the personal relationships they have developed with their branch managers and staff. They express strong loyalty towards the bank and have no intentions of moving elsewhere. However, some customers have sought out new digital products and services that they couldn't find within Karnataka Bank, leading them to use offerings from oth er institutions.

These customers are digitally savvy and are keen on accessing digital products from Karnataka Bank. Many have personally asked me to bring new products to the bank, expressing their willingness to use them if made available. This presents a promising opportunity for the bank. While the bank's potential has not been fully utilised in the past, I am determined to work alongside the new management team to capitalise on this opportunity

. There is nothing like

offering more products to an existing set of loyal customers, and we intend to make the most of this situation.

Manish Dhariwal: Absolutely, absolutely. Really, that has to be the first catchment area. I realised that and which is why I was trying to understand whether these were like new to these products, or you were saying that you were kind of...

Srikrishnan : Absolutely, the customers in Karnataka are well -informed and highly aware of the technological advancements and opportunities in the digital landscape. The advent of technolog y platforms has made them very digitally savvy. They are well -versed with digital solutions and eager to embrace new technological offerings. The market in Karnataka is ripe with opportunities for catering to their digital needs, and we recognise the impor tance of leveraging their digital awareness and enthusiasm to provide them with the best possible banking experience.

Manish Dhariwal: Wonderful. So now what is, now see, like a very nice and a focused plan has been shared, you in fact shared that with us as well. Now what would be your thoughts on the equity dilution? Because if you're going to be growing fast, then maybe there'll be requirement of fresh capital.

Srikrishnan : Certainly, I understand your interest, but I must refrain from addressing forwar d-looking statements. However, as an expert in this field, you are aware that banks require capital to facilitate growth. Currently, we stand at a capital adequacy level of 17% overall, and we have a Tier 2 structure in place.

If necessary, we may consider churning the Tier 2 or making changes when opportunities arise. This is a continuous process for banks like ours.

While we aspire for growth capital to support our growth path, I cannot provide specific details about our fundraising plans at this stage. A s I have only been in this position for two months, we are still assessing the overall situation. If there were an urgent need for capital, we would have addressed it immediately. However, at present, we believe that we are in a comfortable position. Rest assured, any decisions regarding fundraising will be made with careful consideration and in the best interest of the bank.

Manish Dhariwal: Yes, I think that's what I was trying to understand. Yes, that there is no plan in the immediate term. At a personal level, what do you think are the personal milestones that you are setting for yourself when you've taken up this very interesting opportunity of helping a 100% old bank, but then you know, infusing it with new ideas, new technology, new way of doing thing s, really waking up a very old organisation . So, how are you taking your personal milestones?

Srikrishnan : Thank you for asking me this, Manish. It's indeed an intriguing opportunity for me. Having worked with several startup -like organisations in my previous roles, including three new banks, joining Karnataka Bank on its 100th year is a particularly interesting challenge. On this momentous occasion, I declared that this bank will be treated like a startup bank. Our efforts are now focused on creating and aligning everything around this narrative.

Moderator: Thank you. The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, good evening sir. I wanted to understand a bit on the verticalisation in the non -corporate products. So, retail, MSME, Agri, to what level these products have been verticalised and I think you had said that the branch managers or the select branch managers, they also have a good understanding of the underwriting practices. So, I also wanted to check that, some of the banks of your size, they have a business and risk responsibility lying with the same individual. Is this the same proc

ess here, or the business and risk are entirely separate functions?

Srikrishnan : Thanks for asking, Jai. This is about leveraging the bank's strengths in the right direction. We've made progress in verticalisation , appointing MSME National Head, Agri National Head, and separate teams for retail, branch banking, asset, and credit market ing. This ensures clear segregation between retail credit, mid -size corporate credit, and MSME credit.

At both regional and head office levels, there's a structured approach with slab -wise credit sanctions. We have five regional processing hubs, expanding to eight, ensuring smooth flow from branches to regions and the national head office. Turnaround times vary based on the type of credit, faster for retail and a little slower for larger credits. We are committed to continuous process improvements as we mov e forward.

Moderator: Thank you, sir. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes, sir. Sir, I missed your initial commentary. So, pardon me for repeating. For exit of FY ‘24, what should be ou r net NPA level? And NPA as a provision of books, what percentage are we eyeing, sir?

Srikrishnan : Sure, Saket. As mentioned earlier, our exit target for net NPA is around 1.2%, a notable improvement from the current 1.4%. Achieving this target relies heav ily on robust monitoring practices. We aim to avoid any unexpected surprises, and at this stage, we have reviewed all regions and accounts, leading us to believe that we are on the right track to achieve our goal.

Saket Kapoor: And provision books, sir? As a percentage, the total loan book, what should be the provision book percentage?

Srikrishnan : The PCR is 83%, as I told you. And for the core book, it is about 62% right now, core provisions.

Saket Kapoor: Okay, sir. And for the NIMs trajectory, sir, I t hink you were explaining that the cost of funds will go up going ahead. So, taking that into factoring that, what should be our NIM trajectory for the exit of the financial year and also going ahead? What's the…

Srikrishnan : The team has previously mentio ned a target of 3.5% to 3.7% for our overall Net Interest Margin (NIM), and we are maintaining that stance. While there is pressure on the cost of deposits, we have some loans and new acquisitions on the loan book that are helping offset this pressure. Despite the challenges, we are committed to adhering to the guidance of achieving a NIM between 3.5% to 3.7%.

Moderator: Thank you, sir. The next question is from the line of Yaswanth Kumar Thippeswamy, a retail investor. Please go ahead.

Srikrishnan : Good af ternoon Mr. Yaswanth.
Yaswanth Kumar: Yes, good afternoon, Srikrishnan. And congratulations on the results. And I had a couple of questions with respect to asset quality and the growth. I think you have already addressed that, so I will not repeat that que stion. So, yes, the question that I have now is with respect to the yield and advances. So last quarter, I remember Mr. S ekhar had identified advances which were yielding less than the government securities. So, I mean, having said this, there was some retiring of advances. So, similarly, I would want your inputs. Have you noticed anything of that sort? And at the same time, can we expect that lead -in advances to improve from here on?
Srikrishnan : Sure, Sekhar is available to address the question. From my perspective, as I joined the bank, one of the first exercises was to review the percentage yield on the asset book based on d ifferent tenors. We conducted a thorough analysis and took necessary actions to exit some assets and improve the rate on others, focusing on repricing and continuous improvements.
If you need specific details related to what Sekhar mentioned earlier and ho w it has improved, Sekhar can provide more insights as he

is here with us. So, over to you, Sekhar, to address the last part of the question and elaborate on the improvements made.
Sekhar Rao: Hi again, good to connect with you. These tactical decisions ar e part of our regular practices. We recently identified an arbitrage opportunity where the advances were yielding less than what was available through investment options. In response, we made the strategic decision to retire those low -yielding advances. Ou r focus remains on continuously monitoring opportunities to rationalise costs and exit unprofitable buckets and tenors. This process is ongoing and helps us optimise our operations.
As a result of these efforts, our corporate loan book yield has shown sign ificant improvement. It has increased from mid -7% to slightly above 8%, specifically at 8.29%. This reflects our commitment to maximising yield and making well -informed decisions to enhance the bank's overall performance.
Moderator: Thank you, sir. We'll t ake the next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: Yes, Hi, sir. Thanks a lot. So, I have a couple of questions. So, we have a couple of low hanging fruits currently in terms of the LDR number LCR number and we are in a scenario when the credit quality may remain fine for some time. And so, you have that much time, so you have that much time to ramp -up your business in that time.
The question is that we would like to first take a proof of some opportunities that we have in terms of asset mix, LDR number being low, LCR number being very high. Is that the first thing that we are going to do or what is the plan that we hav e on the branch expansion side, which are the vertical hills that we are going to build -up, which are the loan segments where we are going to increase the market share? So, these three things if you can highlight and the first question also.

Srikrishnan : Absolutely, you are right. We recognise the existing strengths of the bank and have no intention of moving away from them. Instead, we aim to leverage these strengths to their fullest potential.
As part of our strategic goals, we have provided clear targets to all branches and regions to increase the CD (Credit -Deposit) ratio. Initially, the CD ratio stood at around 60% when the new management, including myself and Sekhar, took charge. Through continuous efforts and process improvements, we have seen progress, and the CD ratio has now reached 70%. However, we are not content with 70% and aim to push it further as an immediate target.
Regarding branch expansion, this financial year, we have plans to open around 50 new branches. Additionally, our focus on digital expansion has no boundaries. Significant investments have been made in backend systems and frontend access. Currently, we are working on enhancing product journeys to ensure a seamless dig ital experience for customers.
We have achieved a digital approval rate of 100% in certain loan approvals, and for others, it stands at around 70% to 80%. Our goal is to minimise manual interventions and repairs, streamlining the process and reducing the c ost of acquisition. The investments in technology open up new possibilities beyond just our branch presence, and we are determined to maximise the benefits from these digital advancements.
Moderator: Thank you, sir. The next question is from the line of Sa ket Kapoor from Kapoor Company. Please go ahead.

Srikrishnan : Yes, Mr. Kapoor.
Saket Kapoor: Yes, sir. The point I was asking earlier on the ROA trajectory also, what the trajectory should be? And for the detection of NPA, how are we using technology, espe cially AI and the system processes, wherein we will have early detection of NPAs going ahead? And what portion of the loan book is attributed to a personal loan? And that too on the unsecured part.
Srikrishna

n : Sure, let me address your questions. Regardin g ROA, it currently stands at approximately 1.47, and this figure may vary as we continue to grow our business. While we aim to work towards achieving our targets, we also understand that ROA is subject to change due to business growth. However, we will st rive to maintain the ROA within a certain range without divulging specific figures.
As for the investment in technology, we have implemented an advanced system called VasoolSOFt for NPA monitoring and automation. This application ensures that all NPAs are automatically declared from the system. Vas ool SOFt monitors and delivers early warning signals (EWS) and even sends out automated notices in case of delays or potential issues. This automation is not only essential for our operations but also a requiremen t from the Reserve Bank to minimise manual errors and ensure accuracy. We continuously enhance this system to integrate various processes, including legal and recovery actions, making it a seamless interface across multiple systems.

I hope I have addressed all your queries. If you have any further questions, please feel free to ask.
Moderator: Thank you, sir. Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to MD sir, Mr. Srikrishnan H and ED sir, Mr. Sekhar Rao for closing comments. Over to you, sir.
Srikrishnan : So, thank you so much for your participation, from my side as a first time that I have met with the analyst. We have uploaded our investor presentation on our website. This is again, very clearly articulating all of whatever is required and as Sekhar is here and he's been in the bank even earlier than me by a couple of months. I'll hand over to Sekhar for him to do the concluding remarks of today's conference.
Sekhar Rao: Good evening, everyone. Thank you for the overwhelming response. We currently have around 285 participants, and I sincerely appreciate all of you for taking the time to be here. As Srikrishnan mentioned, this is an exciting time for the bank, with record pr ofits and a clear vision for the future. We are a bank with a rich legacy, enthusiastic about embracing the opportunities the future holds.
We have identified specific segments and businesses, namely MSME, Agri, and retail, which we will leverage for growt h. Additionally, our extensive presence in various geographies will support our growth in liabilities. Ensuring asset quality remains a top priority, we have established dedicated teams and structures, separating retail, wholesale, asset quality, and credi t underwriting functions, adopting best practices for optimal performance.
We are well -positioned for growth and remain committed to keeping you informed about our progress. Sri krishnan and I have taken it upon ourselves to maintain regular communication w ith all of you. We look forward to having ongoing conversations. Thank you once again, and a special thanks to the moderator for hosting this event.
Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Karnataka Bank, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.
Srikrishnan : Thank you, moderator, for handling this as well. Thank you so much for participa nts.
Moderator: Thank you very much, sir. Have a great day.

Call: Nov 2023

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Regd. & Head Office Phone : 0824 -2228222
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Madam /Dear Sir ,

Sub: Transcript of Q2FY24 Earnings Conference Call
Pursuant to Regulation 30 read with Schedule III, Part A, para A, 15(b) and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the analysts/institutional investors concall held on November 02, 2023 post declaration of unaud ited standalone & consolidate d financial r esults of the Bank for the quarter and half year ended September 30, 2023.
The same is also made available on the Bank's website under the following web link:
https://karnatakabank.com/investor -portal/investor -presentations
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Limited
Q2 FY 2024 Earnings Conference Call"
November 02, 2023

Karnataka Bank Limited
November 02 , 2023

MANAGEMENT :MR. SRIKRISHNAN H – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO – EXECUTIVE DIRECTOR – KARNATAKA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY 2024 Earnings Conference Call hosted by Karnataka Bank. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being

recorded.
I now handover the conference to Mr. Srikrishna n H, MD and CEO of the Karnataka Bank. Thank you, and over to you, sir.
Srikrishnan H.: Thank you, Rayo, and good evening, everyone. A warm welcome to our Q2 H1 FY '24 Earnings Call. It has been an excellent quarter from our perspective.
The following is a quick update. As all of you are aware, first and foremost, we have been able to raise capital, although it is not reflected in the September 30, 2023 quarterly results and half-yearly results , because the allotment process, has now been completed and the money has been received. This preferential allotment was made to 5 institutional investors.
So that is a good news overall, although those numbers have not been factored into our metrics in the results announced today as well as into our quarterly investo r presentation that has been uploaded on the website.
So with that as a background, I want to also report to all of you that we have had an all -time high FY '24 half-year profit, PAT, INR700.96 crores as against INR525.81 crores for the previous corresponding half year in September '22. And this is an increase of over 33.31%. As regard to this quarter, we have made a profit of INR330.26 crores , and there is a decrease compared to the previous quarter. That is basically due to our treasury de preciation. And all of you are aware about a lot of volatility that is going on as far as the treasury debt market is concerned. However , our positions are insulated, and we want to also ensure that it is completely protected as far as the bank is concerne d.
On the positive part, gross advances, which is a key metric for the bank has grown by 9.27% on an annualized basis . We closed September '23 with INR 66,935.98 crores. And this is a significant increase from the last quarter as well as the corresponding quarter of last year or even the March end-year quarter. So this is a very good sign in terms of growth in the advances book. And all of our balance sheet growth is in advances led growth.
On the deposit side, we have grown compared to the market, which is growing about 10% to 12%, we have grown about 10 % on an annualized basis. Our total deposit stands at INR89,532 crores. And this is again on average grown closer to 10%. We're also happy to report that the business turnover

of the bank is INR1,54, 954 crores , and this is a very important milestone for the Karnataka Bank.
Our CD ratio has been continuously improving. When we started this financial year, we were somewhere in the 69%. And as we closed out the September quarter, we have gone up t o 73%. That is really a very clear reflection of the stretch that we are having as far as advances led growth is concerned. As I informed earlier about the capital raise, with the capital raise and the consequent liquidity owing to one more churn, which is the Tier 2 capital call option , we believe that we are well positioned for further growth in gross advances.
Now , as far as the deposit growth is concerned, I think we are well positioned in terms of the overall progress made during the quarter, because we have converted ourselves into

a sales organization. Now, we have a liability sales team , which has been deployed all over the country, Karnataka as well as outside of Karnataka.
We have currently 250 sales officers who have been pulled out of the branches to be dedicated to sales and 400 -odd feet on street who have been recruited from our subsidiary company as well as some agencies who are DSA or DSTs .
So with this, an all -round growth in terms of both CASA as well as retail assets is something that we are preparing ourselves for. And this is the kind of capacity building that we will cater to when it comes to an increase in volumes on both sides.
Now on the health of the portfolio, as far as our stressed assets are concerned, there's a net reduction of over 7 basis points on the net NPA. And compared to the same time last quarter, it has come down drastically from 1.72% to 1.36%. On the gross, despite the increase in the gross advances figure, the gross NPA has decreased.
And that is, again, because the slippages have come down and it is about 0.5%

right now . The good news is about also Provision Coverage R atio (PCR) , which is maintained that as of the last quarter i.e., around 83% . But compared to last year, September '22 corresponding quarter, we have significantly improved that.

Core provisions remain at 62%. And here, again, it is pretty healthy when it is compared to the rest of the peer groups in the market. As far as our NII is concerned, we have grown our advances book and because of the interest rate relief which is happening, growth has not been much internally in the case of new advances, w hich in the range of about 2.45%.

But on the other side, I think we are well positioned to kind of grow our book, given the fact that the focus is more on retail, MSME and rural businesses. I will talk about the strategy of the bank in terms of what kin d of asset acquisitions and how the liability part will also be catered to as I complete the rest of the other metrics.

ROE stands at 16.47 % for the half year and ROA stands at 1.37% , well within the guidance that we have provided already. On the overall cost-to-income ratio, I had already mentioned in the last quarterly call that there would be a spurt because of certain investments that we are making.

For the quarter, it would show that we have crossed the 50% mark. But on an overall half-yearly basis, w e are still at about 49.18%. We believe that as we grow our revenue and as we make sure that our income is accruing from these investments, in the following couple of quarters, we will bring it back to our original guidance of 47% to 50%.

Now cost of f unds, the bank has got a very strong retail franchise. Now despite the pressure on the interest rates because there are a lot of other market players on the deposits, where there is a significant increase which is being provided. But having said that, we d o have some very, interesting offerings, which is bundled with salary, corporate payroll and also the flexible CASA, which is a sweep out product, all that put together, we believe that we are on the right track. The other 1 big opportunity that the bank is chasing is the government business. We are already empanelled for customs duty and GST collections, and we have gone live with it . We are in the last stages of going live with CBDT for direct an d indirect taxpayers .

As far as the Karnataka government collections are concerned, we believe that we will become one of the top collection banks in Karnataka and otherwise, because our technology integration with Khajane, which is state treasury that has also been completed. I mentioned about the cost, which will also have a very positive impact in this quarter. Because we have received RBI approval for the exercise of the call option o f INR400 crores f or Tier 2, which is available for redemption on Nov

e mber 16, 2023 .

So somewhere in this mid -course of this quarter, we are doing a churn whereby because of our comfortable CRAR position and the fact that the cost of this Tier 2 bond that we have raised is about 12% and its expenses. We believe that the INR4 00 crores retirement at 12% and augmenting that with further capital, which has been Tier 1 and also the strong liability franchise, we will be in a better position because we have no pressure on the CRAR part due to this. There's also a second tranche, w hich is due for call option in February. And this is also a 12%. The quantum of that would be INR320 crores. As you are aware, we have approval from the Board for I NR1,500 crores capital issue. And out of that I NR800 crores preferential allotment has been completed. And we do have a follow -up round, which will definitely have to be done for INR700 crores to make us comfortable on the overall basis so that the next 18 to 24 months we are on the right trajectory as far as the growth is concerned.

The other 2 parts which are also very relevant for our discussion today is, one, the credit cost decreased by about 0.44% in the half year ended September '23 from 0.67% in the half year ended September '22 .And there is also a reduction in the standard res tructured advances, which at some point of time for a bank of our size was higher, but it's come down to INR2,214 crores . It has decreased from the June figure of INR 2,534 crores.

So I believe that we have done a complete review of our position in the l ast one quarter. And this is the first quarter that I have completed in this bank in

full, along with our Executive Director, Sekhar Rao, who also joined in February. And we believe that the bank is positioned right for growth.
One that capital for growth is something that we have achieved, and we'll continue on that path. The second is that in terms of creating a sales

organization within the Karnataka Bank, which otherwise was non -existent.
We have created a team of over 400 plus the 250 sales office rs tha t I talked about. So we have feet on the street plus sales teams of about 650 deployed in the market for about a month already now.
So the productivity of this team will start kicking in by the end of this quarter.
So we believe that we are on the right t rack in terms of customer acquisition.
There is also a digital acquisition, which I talked about in the last call but that we have accelerated. One is a direct digital acquisition.
The second is a data-driven analytics based digital acquisition. Now what happens here is that self -onboarding and making sure that the customers are able to onboard into the bank with video or eKYC is something that has been enabled as far as the Karnataka Bank is concerned for most products on the loan side.
Likewise, even opening accounts on the liability side has also been enabled. In addition to that, we are working on the Analytics Centre of Excellence , which has been created in Bangalore, along with the technology and digital hubs that we have created. It 's a 40,000 square feet of space that we have and almost 300 plus employees are there right now covering technology, digital and analytics.
In the analytics space, we have created the data lake and the data lake essentially provides various cuts of data b ased on transactional history of customers within each branch and giving the data back to the customer base for branches to do cross -sell and upsell. Example, let's say, that there is a customer of ours who is paying EMI, but has not availed the loan, we would be pushing a loan into them.
So this is something which is a data and a lead generation mechanism for digital as well as for the sales team targeting to acquire such customers. This is existing customers of the bank, ETB and the digital part of it wi ll be new to bank customers (

NTB).
So we are embarking on a digital first journey related to the overall data analytics as well as the social media impact that is getting created. On partnering with fintech and technology companies, we have already gone l ive with two core lending partners. And we are going live with a couple of more partnerships on the digital distribution side.
We have also launched during the quarter Doorstep Gold Banking, which is basically with a company called SahiBandhu. This is, aga in, fully digital in terms of the process and the gold loan will be delivered at the door steps. And this is a complete partnership with the BC arrangement with SahiBandhu, which is part of Manipal Technologies.
Now as far as the bank is concerned in term s of the target segments, the target segments that we had originally been chasing continues to be focused right now with about 570 branches in Karnataka and outside of Karnataka more than about 330 branches are there. And we want to kind of make sure that this is not just a regional story, but also a national story. With this in mind, we have been focusing a lot on retail.
The growth in advances, we have carefully kept it in a way where almost clo se to 50% of our loan book still remains to be in retail. This is something which

is very granular, so that we do not have any chunky exposures and we do not have any associated risk related to that.
The balance of the growth, we have also deployed over 100 agricultural field officers into the market, who have been attached to agri focused or rural - focused branches. And this is not only to service the agri customers but also to acquire new customers based on the supply chain flows of each of those agri processing or farmer -based crop a nd non -crop based loans.

Now here, it is basically through the knowledge that has been acquired by this agricultural field officers, who are in a better position to serve the customer. And the Karnataka Bank is known for its exemplary and superior custome r service at branches. We continue to do that for not only the agri, but also for the rest of the customer segment that we are having.

MSME is a big area. During the quarter, which is currently running, where we will be launching our new corporate website and making sure that there's a lot of these partnerships with MSME based portals for engagement as well as for life cycle management of couple of the MSME, not just merely lending to them, but also looking at what other requirements they are looking for f rom a banking or from an overall digital perspective.

So with this, I want to close out the commentary from the management side. Based on this, we have had a good quarter. There is just one clarity that I wanted to bring. There are some questions that hav e been asked from the bank that we uploaded the stock exchange notification and now, where the quarter ended Q2 FY '23. And Q2, why is there a reduction? There was an abnormal one time increase in profit as far as the bank was concerned in the quarter ende d September '22, where we had one time recovery from a corporate client, MMT C in this case, where to the tune of almost like INR156 crores was the impact on the P&L.

So if you actually take out that abnormal part, we have grown from that correspo nding quarter to more than 30%. So that's just the clarity that I wanted to bring to the investors upfront before any questions are asked because there have been some parts of the investor community, which have already called between the time that we up loaded and now.

And last but not least, we have also uploaded the quarterly investor presentation on our website. The link is available readily for you. So those of you who are on the call, you will be able to access this and also understand our commentary, both in terms of strategy, in terms of the milestones achieved as well as th

e road map for the future.

So with this, Rayo, I would like to close out on the commentary from the management side and pass it back to you for any questions that any of the participants would like to have. Thank you so much for your time, ladies and gentlemen.

So, Rayo, I just wanted to add that from our side, Sekhar Rao, who is Executive Director as well as the management team, the CFO and a few others are part of thi s call right now. And in case of any queries that anyone of them need to answer, they'll participate in the call along with me.

Moderator: The first question is from the line of Sushil Choksey from Indus Security Advisors.

Sushil Choksey Congratulations to team Karnataka with stable number, and you've already explained why there was a provision this year, and there was a write -back last year with MMT C. And let's come to the fund raise, it was a successful fund raiser for that INR800 crores and you're pla nning the INR700 crores. Any visibility whether you will do it now or you will do it a quarter later or you will spill over to next year?

Srikrishnan H.: Sir, we are very clear that we want to complete it before the financial year end, which is March. But, the way that we had exercised and we have gone through this whole exercise for the first tranche, it took us almost close to 70 to 90 days from the time that we started doing the rounds in June and completed it in September. So the same process we need to begin now. So the closure will happen hopefully the same time frame or maybe a lesser time frame this time because of the experience that the bank has had.

Secondly , we also believe that it is the right time to raise the money because one we have proved our credentials and second is that we have consistently delivered on the results for 2 quarters in the stretch. And we believe that we are rightly poised as we go forward. So this is kind of a tradition that we have established, and we believe that the inv estor interest will lead us to do this as early as possible.

Sushil Choksey: See you've articulated a lot of initiatives since Sekhar started his journey in Karnataka Bank and yourself from June 9, so February and June. Now both of

you have spent almost ov er -- almost 5 months together. In the road map, which you have showcased over television or in the con call last time and even today, if I have to ask you what part of journey, have you been -- what percentage of journey would be considered as initiated a nd over, and what part would be left, percentage -wise? I'm just asking. I'm not asking a broader question.
Srikrishnan H.: Sure. There are 3 parts to our journey. One is building, operational and technology capacity. And that part, I would say that we are almost like 50% through because we know what to build for and what to build on top of what we have already. And for which w e are waiting for certain capital to be raised, so that the growth capital that we have would be coming in handy. So I would say that we are about 50%, and we would be able to build on top of all the digital integration as well as the products that will di rectly acquire clients. That's step number one.
Step number 2 was that the branches were not sales oriented, and we have created a sales organization of over 600 people as I reported earlier. And this is something which includes training that we have invested them into. We have completed that and unleashed them into the market.
Now for them to perform, it will take another about 50 to 60 days to start contributing in a big way. So we believe that, again the first round of our deployment has already hap pened, and that would be again 50% of the deployment that we want, because over the next 2 quarters, which is the balance of this quarter and the next quarter, that's like by March, we believe that our target is to have about 1,000 feet

on street on the gr ound. So that is the second part of the execution.

The third part is the strategic part, which is in terms of what lines of business we focus on, where we get the right kind of margins, and where do we make sure that we stay competitive. In this connectio n, how do we make sure that our product, process, people , and technology blend to deliver value to customers.
Here, we have recruited a Chief Product Officer for the bank. He is coming in, in less than a month's time right now. This is the first lateral hi ring, which will be followed by at least 2, or 3 that we've already mentioned during our various investor calls.
So by the end of this financial year, including the lead times that they take, I think all the lateral leadership positions will be filled up, which would enable the bank to be more aggressive and more market benchmarks as well as the products are concerned. As far as the processes are concerned, there are at least 3 or 4 agencies who are working with us.
One is doing a process review for the en tire credit policy, credit scoring, credit exposure management and also the branch to approval and back and forth. Now this is exactly to minimize how much of it can be digitized, how much of it can be turned around faster in order to get that. So this is one such example of a process improvisation and efficiency improvisation that we're working on.
Likewise, there is a lot of centralization projects, which we have taken up. We are centralizing trade processing. We are centralizing forex processing. We are centralizing clearing. We're removing a lot of the bandwidth from the branches to make them all sales oriented branches and creating the back offices in Mangalore.
And where we have a lot of space and the people. And we believe that with the use of our su bsidiary company i.e., KSL. We would be able to kind of make sure that deployment of staff for data entry or for front -end sales is something that we'll be able to do it through the deployment from the subsidiary company.
So this chart will be a definitio n, Sushil, as to what are the various measures and in terms of percentage completion.
Sushil Choksey: If I have to sum up your answer, you have raised equity. You are enabling full technology stack for deployment for growth and human resource churning or training should be over by the current quarter. So the Q4 should start showing some benefits and fruits where Karnataka's growth as per what you have planned should be visible? Am I to sum it up, right?
Srikrishnan H.: I think you have summarized it perfect ly.
Sushil Choksey: Now all these enablers, you may launch multiple products, whether it's

housing, education, or MSME. Do you see which area you would grow from the current branches or centralized process, whatever you do? Or are you going to change mix b ecause currently, I think Karnataka is almost 40% of our business, and there's pan India. Do you see any particular part from growth engine, which you would like to move towards?

Srikrishnan H.: The strength of the bank in terms of underwriting capabilitie s as well as our exposure management, etc, remains in retail, rural and MSME. And those 3

will continue. And we have actually got agri and also as part of the overall retail part, the reason being the size of the loans as defined by RBI.

So agri focused ge ographies would also include the agri. Now given this you are right about the fact that 40% of our business comes from Karnataka, but the fact is that we have less than 30% of our branches outside of Karnataka. So this is something that we believe will con tribute and will kick in.

We would definitely want to see that there is a very fine kind of a distribution across all locations. We have just opened during the quarter one corpo

rate
finance branch, this is the third corporate finance branch in Chennai and that is in addition to the ones that already are there in Mumbai and Delhi.

So all this is a reflection of our focus in terms of whether it is emerging corporate, mid -sized corporates or even some large corporates that we'll be looking at, including the p roducts that are associated alongside. So that kind of gives you a sense of the focus areas and how we will be able to grow.

Sushil Choksey: My last question is around, how do you see your tax on most, whether it's corporate or retail products in quarters to come by, 20% more efficient, 30% more efficient? And second thing on government business between Karnataka and the central government. How much do you see that as a contributing partner for the business?

Srikrishnan H.: So the idea is that we are actually implementing some technologies which are on the document workflow as well as making sure that all of this is directly related to efficiency measures. So we believe that there will be very quickly 20% to 30% jump in terms of the tax improvements an d so on.

The other is from Karnataka and non -Karnataka government collection, all of the 3 agency bank licenses that we have, which is for GST, custom duty as well as for CBDT that is being certified right now are all India basis. They have got nothing to do with Karnataka.

Rest of it, whatever that we are doing integration with the treasury department and also working with a lot of government departments in Karnataka that is going to be Karnataka based. But sooner than later, once we have the experience i n Karnataka, we will replicate the success in other states where we are.

Sushil Choksey: Sorry, I should have asked 1 last question that is, you are retiring 2 bond tranches in November and February. Would you replace with a cheaper bond or you will utiliz e your current profit plus equity.

Srikrishnan H.: Depending on the interest rate forecast at that point of time and also the fact that we will get re rate that soon for this quarterly results. We believe that if there is an opportunity to replace it with a cheaper Tier 2 bond s that is something the bank will consider.

Moderator: The next question is from Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Sir, the first question is on the other income, which seems to have not grown this quarter. So there is a Q-o-Q fall as well as even Y -o-Y. So can you explain that, sir?

Srikrishnan H.: So essentially what has happened is that from an overall product coverage perspective, the bank has not invested a lot into the product. So I must be upfront about this in t erms of what we have done. The second is that the fee income for the first quarter has a locker rental, which is also pretty high. And as an overall percentage of the first quarter and the second quarter because of the fact that the second quarter did not have a locker rental, you would see a little flat, although there is growth in some of the areas such as foreign

exchange and so on.
Last but not the least is on the treasury side, where if, let's say, that there are some kinds of reversals that have happened due to the depreciation, etc. That part also comes in on the overall non -interest and other income category. So that kind of gives you an explanation. But yes, we will make sure that the growth is all round and is reflected in the following few qu arters.
Sarvesh Gupta: Understood. And sir, this quarter, we have done a good sort of growth incomes of our advances. So what I mean but the impact is not visible on the NII line. Is it because of a change in the mix? Or you can throw some color on why it is not sort of leading us to improve our top line much faster?
Srikrishnan H.: Yes, you're right about the growth in advances from almost like INR59,872 crores to INR65,422 crores, so that's

a significant jump, which has happened.
But it is also that we ha ve not repriced our assets. Our overall assets return number is 9.9% of our total reserve which is not bad at all from the overall market perspective.
I think there are 2 elements which have impacted this from an impact which is like, let's say, not being visible as you rightly said. One is that our cost of deposits where we do have some pressure, but we believe that the deposit rates went high would get kind of flat out as we go forward.
And second is that as we are focusing a lot on the advances side, wh ich is more on the retail, agri and MSME, we believe that we will get the right kind of rates as we go forward for growth in the book. We believe that the growth in the book will be the same rate as we go into the following -- this quarter and the followin g quarter, which means that the growth part from where we were INR59,872 crores, we could close anywhere between INR72,000 crores or so in terms of the gross advances exit March '24.
So if we are able to maintain the growth and NII to a large extent, then the NIM also get managed, and we have managed the NIM so far. So 3.63% is our NIM right now. And our guidance has been 3.63% to 3.7%. So I think if we can maintain that, then in th e book, which is grown and the churn that we are doing on Tier 2 and the fact that we have the Tier 1 capital followed up with the second round hopefully, I think the bank will be in a much better shape compared to what it was in the overall competition.
Sarvesh Gupta: Understood. So basically, you are still guiding for our loan book growth of around 20 odd percent for the full year, right?
Moderator: The next question is from the line of Prabal from AMBIT.
Prabal: Sir, you mentioned about having sales cult ure in the banks, which was a missing piece earlier. So how have you changed your incentive structure of

branches and employees versus what used to be the practice earlier to drive this vision?
Srikrishnan H.: So what we have done is that we are rolling ou t a variable pay plan for the entire set of sales teams. This includes both the in -house sales offices as well as for the feet on street. And this is based on certain weightages that are given for different products that they acquire. And over a period of time, which is basically on a monthly basis and whatever retention that we need to do, because we also do not want any gaming to happen here where they bring the accounts and then we pay the commission and within 6 months, the customer closes and goes away . This game we are used to.
So we have all those control measures in place. And this variable pay plan is something that we will be rolling out to all the staff. We are just waiting for sales teams to be deployed and the training to be completed. So this quarter, we will be able to roll out that variable plan. If that gives you a sense of the fact that the sales team will work on a variable incentive based acquisition rather than just a fixed salary, which is not so exciting. So that is a way that we will approach this.
Prabal: And this would be over and above the IBA salary that they used to get. So even IT employees can if they do more sales, they can get incentive?
Srikrishnan H.: Yes, it will be over and above, and this will be performance -based .
Praba l: Okay. Sir, the second question would be the l ateral leadership hiring that you are doing for the bank. So are these on a CTC basis or these are on the IBA model?

Srikrishnan H.: All the new leadership hires who are coming in are all on the CTC b asis. And obviously, there are different scales within the bank, which you are aware. So all the executives who are there in the bank, in scale 4 and above are not part of the IBA mandate or the union mandates so -called. So this is something that we are very clear. We will

make sure that there is a lot of equalization that happens between all the lateral hires and the existing executives of the bank. So that no disparity is being continued.

Prabal: And these people will be based out of Karnataka, Bangalore, head office or they will be depending on the verticals that they are serving?

Srikrishnan H.: The head office of the bank continues to be in Mangalore and all the operating departments, which are essentially including support plus credit risk monitoring, etc, all of t hat happens and the centralized processing that I talked about earlier, also will be based out of Mangalore. And in Bangalore, technology, digital, as well as some of the leadership lateral hires would be based out of Bangalore for better business reasons. And we believe that the model will work whereby the business leaders as well as the technology product teams will be based out of Bangalore and everyone else between the branches and Mangalore.

Prabal: Are there any tweaks on the asset repricing that you have undertaken because maybe making it more dynamic over a period of time because now we are going digital, so our asset repricing could also see an improvement?

Srikrishnan H.: We are already on EBLR plus margins. And this is something for various produc ts which have already been defined. And also what happens is that this repricing, because EBLR based on market actually happens automatically. So we are probably one of those banks, who have done this on an ongoing basis in terms of the reset on the asset pricing.

As far as deposit pricing is concerned, it is purely an ALCO decision and purely based on accretion on the deposit side. We are not buying out deposits at a high cost at this juncture. We believe that the total overall cost of deposits which we have already seen is very much controllable. It is 5.25%.

And also the CASA mix, as you are aware, we are still in the 32 plus, or closer to 33 kind of percent of the overall deposit base. So which means that we are sitting pretty, we just to continue the s ame story rather than try anything maverick.

Prabal: All right. And sir, I just have one request. So two quarters back, the presentation that you used to upload, used to have a lot of data points across various sections, whether on business or whether it's on asset quality. I would just request that we can restore those data points because it does give us more clarity on how the trends are performing across various sections.

Srikrishnan H.: We heard you. In the last two quarters, the last quarter and this q uarter, we have changed the investor presentation format to reflect more of the strategy milestone as well as to make sure that the growth part of the bank is reflected more. But noted down your point related to the fact that some data points you wanted. W e'll be able to incorporate that from the next quarter. I'll note it down.

Moderator: The next question is from Darshan Deora from Indvest Group.

Darshan Deora: So I just wanted to understand that what are the changes we are making on the underwriting side given that the bank has in the past been plagued with bad asset quality? So what are the deficiencies that given your past experience at HDFC Bank, you're obser ving at Karnataka Bank, what changes are we making to improve upon that? And in the future, whenever the cycle turns, we are better positioned.

Srikrishnan H.: I want to just correct your statement a little bit in saying that we have had some problems on the quality of the assets. I do not think so, because it has been pretty healthy, I should say, in the past. But then there are there's always scope for improvement.

The second part is that, yes, as we kind of embark into new avenues for growth, which are particularly related to digital as well as client acquisition on the consumer side. So far, the bank has 95% o

f the loan book has been collateral -
based . So that will be a move that will happen as we go forward, which will be

cash flow -based and a little bi t of unsecured that will happen on the retail side.
Of course, taking into account a lot of credit scoring mechanisms, etc ., which is what we are trying to put in place. So we believe that the bank is appropriately place for taking the risk related to gro wth and asset book on various new asset classes, which otherwise the bank has not gone into in the past. And if that kind of gives you the sense.

Last, as I mentioned in the question to first caller that we are undertaking a huge process review exercise on the credit part, not only for credit TATs but also related to credit scoring mechanisms, also emanating from the co -lending and the digital kind of acquisition that we are doing.
So we believe that a combination of the credit scoring revenues for existin g physical branch -led underwriting as well as for the digital underwriting would be put in place as we go forward in terms of the book loan.
Darshan Deora: Okay. And just as a follow -up to that and pardon my ignorance. Is most of the underwriting happening today at the branch? Or has it moved to a more of a centralized location especially for...
Srikrishnan H.: There's a structure that we have , where we have 5 regional credit processing centers, which will go up to 8. And we also empowered 38 clusters acros s the 900-plus odd branches, where they're empowered. So it is not just the branch level. So above the branch, there is a cluster level, above the cluster, there is regional processing center depending on the nature of the loan as well as the quantum. And then there is also for large corporate relationships or midsized corporate relationships at a head office level, which is a credit sanction centralized group.
So it's in multiple forms in terms of the authority metrics and delegation metrics. Just to clar ify, no underwriting happens at the branch. So it is at central locations, either at the regional offices up to a certain value, 14 regional offices are there or at the regional credit hubs, which are at 5 locations. So it's a hub and spoke model. Credit p roposals are sent by the branches.
Moderator: The next question is from Chintan Shah from ICICI Securities.
Chintan Shah: So firstly, I would just like to understand in terms margins trajectory. So like we are just trend this down for this quarter and the cost of deposits has been I think I would say, benign as compared to the competitors what they have been reporting. But this also seems to be on the back of lower deposit growth.
I think we have guided for roughly one trillion of deposits by FY '24. So are we on track to achieve that? And if yes, then how would the margin behave from here on for the remaining second half? And also, sir, on the deposit repricing, so are we done with the deposit repricing or we are yet to see some more pressure on the existin g deposits?
Srikrishnan H.: So as far as the deposit acquisition is concerned, I'm making sure that all of whatever that we are growing is within a particular affordable annualized rate.
Now that is something which we are consciously looking at. And actual ly speaking, 75% of our FDs have already got repriced. And it's only the balance, 25%, which hopefully, this quarter itself, we have a larger quantum that will come in, one. Secondly, as far as maintaining that healthy NIM, the part related to pricing of assets is something that I had already told to the earlier caller.
And I believe that in terms of, let' s say, overall deposit acquisition and the rate, I'm making sure that the NIM is maintained. Sekhar has some point related to that. Sekhar, please.
Sekhar Rao: So just a couple of points. One is we haven't seen CASA migration to the extent that other banks hav

e seen from CASA to TD. That's an important point that

you will recognize. Second point is, if you see that we have, in fact, seeing 2 cycles of term deposit rates being brought down.
So, 90% of the term deposit book is less than I NR 2 crores . So we have a large retail deposit in CASA franchise. We have held on to it. We haven't lately priced it. We have introduced a lot of interesting products in this space. The bundled salary proposition the sweeping account, t he also pipeline for the

government business.
So this will help us over the coming quarters to kind of grow our deposit book.
And we are watching how the pricing is panning out closely.
Moderator: The next question is from Yogesh Bhatia from Sequent Inves tment.
Yogesh Bhatia: First of all, congratulations on the new initiatives and stable set of earnings. I just wanted to understand the other income, you said is lower for two reasons.
One is the treasury impact and the second is lower fees that, they are m uch higher in Q1. Can you just quantify this, how much is the treasury impact?
Sekhar Rao: So I'll take this. So first is we collect all our locker rental in quarter one. so that was a significantly large around INR 41.31 crores of locker rentals. So that was collected in quarter one. And the treasury income difference is around to the extent between both quarters of INR59 crores. This includes depreciation changes .
And I mean depreciation on investment between the two quarters, that difference and the trading profit. So the impact there is around INR59 crores.
So we made INR 61 crores in the quarter -- INR60 crores in the quarter one and around INR1 crores in Q2, which means the difference is INR59 crores.
So these two are the large contributing factor s. So if you nullify I mean, negate this then our other income actually will show a good trajectory.
Yogesh Bhatia: Correct. Correct. Yes. Okay. I think that is the reason why that has led to a lower profitability. But if you adjust for that, then I think the numbers are very healthy.
Moderator: The next question is from the line of Kirtan Desai, who is an individual investor.
Kirtan Desai: My first question is, sir, earlier, we used to provide the provisional figures after the quarter ending, which we have stopped now. Can you just let us know the reason for the same?
Srikrishnan H.: Sir, this is actually a market practice, some do, some don't do. We were wanting to kind of not get into provisional number and also in order to make sure that there's no specu lation on this. So this is exactly the reason that we do not want to do it. But from now, the predictability as far as our results are concerned, are something that we will guarantee you, because as we go forward, like any larger organization or bank, we w ill continue to do this directly on a quarter - on-quarter basis.
Kirtan Desai: Sir, my second question is now we have diluted our equity and raised the equity and bank is well capitalized now. So we always diluted equity by 15%. So are we able to grow our a dvances by more than 15% from now onwards, because

last quarter advances grew by only 6% and half-yearly , it has grown by only 9%? So in my view, if we are not able to raise our advances like 15%, 20%, then the shareholders will only benefit while this rai se in equity?
Srikrishnan H.: So on a YTD basis annualized, we are growing at 18%. So if that is an indication on how we will go forward. I have already given the guidance that we will continue to grow at the same rate as far as advances book is concerned.
And yes, we are pretty much cognizant of the fact that Tier 1 raise has an impact overall from a retail shareholder perspective, but it is all for long -term growth.
You need to understand that as a bank, we need to raise continuously

and make
sure that we can service as well as make sure that we get some cap table institutional investors, who also are very important from our overall bank perspective. And that is a complete change to the bank that we have brought about in the last 100, 120 days.
Moderator: The next question is from Yaswanth Thippeswamy, who is an individual investor.
Yaswanth Thippeswamy: So good to see that the low -hanging fruits have been addressed. So like raising the capital to retire definitely at 12%. So that's a good sign. And first question that I have is with respect to the large corporate exposure from the advances. So we have seen there is an increase on that front. However, that has not resulted much in terms of CASA ratio. So you have or any ideas behind raising the large corpora te advances?
Srikrishnan H.: No, large corporate advances, really speaking, we have not grown as much as what you are saying. The reason being that overall, our composition of the

book still remains even at this enhanced advance number of INR65,422 crores is at 49%, which is still retail. So I do not think that we have grown that substantially in any large corporate exposure. That is one.

Secondly, your question related to CASA ratio and large corporate advances, these are two independent things. And our C ASA ratio is essentially a percentage of the overall deposits, which are lying in the form of current and savings accounts. And we have always maintained it in range of 32% to 33% and which we believe is a very healthy number as we go forward. And which in an enhanced basis as we grow our liability book also. If we continue to be at the same, I think it is a very good sign from an overall profitability perspective.

Yaswa nth Thippeswamy: Okay. And the second question that I have is with respect to the sales team that you were talking about. So is that the sales team is very towards MSME or corporate or retail, which would be the area that the sales team is going to focus?

Srikrishnan H.: So it is definitely not corporate. So it is predominantly retail and agri. MSME also forms a portion of that, not much, because MSME sales is to be done more from a banking perspective, understanding the business and which can be done bette r by our own relationship and account management teams. So our branches are well equipped to handle the MSME s part and lead generation on MSME s is something that the sales teams will do as well as the promotional activities that we are undertaking across a ll the branches by participating in MSME related industries , trade associations and so on will continue.

So predominantly, the deployment of our sales teams has been in the areas of retail liabilities and retail assets.

Yaswanth Thippeswamy: And the last question from my side with respect to the employee expense. So I see that there is an increase of round about INR440 crores. There is a provision also which has been made. So is this going to be continuing first to cover for the next two quarters? Or are we done with provisions?

Srikrishnan H.: Sir, this provision primarily is for the IBA revision to bipartite settlements, which they announced in November last year. And ever since that time, we have been actually providing quarter on quarter, although it h as not come in into effect. So in order not to kind of have any major impact on our P&L as we go forward, if we have not provided for that. So as a very clear prudent measure, we've been providing for this quarter -on-quarter.

Now as and when the IBA manda tes come -- go live. This will move from provision into actual wages bill, the actual salary bill that we will incur. So essentially, this is going to stay and this is cost of running the business.

Sekhar Rao: Just one correction, you got the numbers of provision right -- wrong . In fact, our quarterly total expenses o

n salaries i s INR269.45 crores for the last quarter.

So this INR440 crores provision on the wages is incorrect. It is a much lower number.

Srikrishnan H.: So the salary bill for the quarter is INR269.45 crores.

Moderator: The next question is from the line of Ketan Athawale from RoboCapital.

Ketan Athawale: I wanted to know what will be the credit cost going ahead? And what will be a sustainable level of oth er income going ahead?

Srikrishnan H.: So credit costs from an overall projection, I think that will be hovering the same region of 0.5%. So that is not going to change much. And we believe that even on the ANN growth basis, it will not change. That was yo ur first question. Sorry, what was the second question?

Other income plan. See, what we have done is that as a bank, if you look at the opportunity in the market, every account where we lend money, we need to also have some product income associated with that. This could be anything which is related to cash flows or foreign exchange or non -funded commission for a couple of exposures, etc.

So all of this is basically what we call in our banking parlance as a cross -sell opportunity for corporates or SMEs al so. Now that part of the bank has not been activated fully. And we believe that we will introduce the right kind of products and also the right kind of sales mechanisms to promote this. So with foreign exchange centralization, which is a project that we've undertaken now. And with all of whatever that we are looking at for the overall product push,

we believe that the fee income would go up.
Just a small correction, 1 second hold on.
Sekhar Rao: On the credit cost, it will be more like in the range of 0.25%, last quarter was around 0.17%. So that will be...

Srikrishnan H.: Apologies on that, yes.
Moderator: The next question is from Nirvana Laha, who's an individual investor.
Nirvana Laha: Yes. So in your opening remarks, you mentioned about a couple of co-lending partnerships. So I wanted to explore that a little bit. So what areas of loans are you considering under these partnerships? What kind of vision that you have for co -lending in terms of AUM that you want to target? And who are the partners you' re working with?
Srikrishnan H.: So firstly, I'll answer the question on the vision. Clearly, we have stated in our last quarter strategy, I mean, investor presentation that one of the vectors for growth will be through partnerships. In this regard, we hav e consolidated our tech, and digital resources in Bangalore. We created a tech and digital hub. We are creating our API hub, which will be public facing and we'll launch it soon. So partnership, growth through partnership is an important vector. And we'll continue to invest in the same. However, it is a little premature to quantify the same.
The ones that we have gone to are the product categories that we are focusing on Agri, including dairy and micro SME. And we are also looking at apart from co-lending certain interesting opportunities in areas like credit on ECI. These are the 3 focus areas currently for us.
Nirvana Laha: Okay. And who are the partners you've gone with, is this a tenant and what kind of disbursals are you at least starting to think of, if you can tell us about that?
Srikrishnan H.: So the partners that we have gone live with are just to name a couple is SahiBandhu, and then Northern Arc, PaisaLo, but these are early days, and we have just about 15 days, a week or so in some of these rela tionships. So we wouldn't want to kind of give any number of projections as of now. But on the heavy lifting with respect to tech integration has happened. And so now reaping the benefits of the platform is the next phase.
Nirvana Laha: So 1 thing I wanted to understand is what kind of ROA, I'm sure you must have done your homework. So what kind of ROAs i

s the bank hoping to earn through co -lending? Is it going to be at par with the ROA on the book lending? Because what I understand is under co -lending a ba nk would actually take the loan on board at a lower interest rate and if the customer came directly to the bank. So in terms of ROA, how does it work out for the bank overall?
Srikrishnan H.: So in terms of pricing, it is very important that you don't oper ate differential pricing to the customers irrespective of whether they walks into the branch or through the co -lending partners. So we at least have gone with a uniform pricing policy and which is competitive, more competitive as against these gold loan NB FCs. And since there is relatively less infrastructure carry, we will have similar ROA and there won't be any negative impact on ROAs in this space.
Nirvana Laha: Okay. But aren't like operating costs is going to be lower for you because the origination is supposed to be done by the MSME partners towards that extent or operating costs are supposed to be lower, right? So if your lending rates are the same, shouldn't you...

Sekhar Rao: I commented on the specifically on gold loans. On micro SMEs , there will b e a different strategy. The pricing will be the product category itself will be unique. And the pricing will be different because the loss ratios could be a little different in those product categories. These are largely unsecured. So different strategies for micro SME product distributed to the branch and the micro SME product distributed through a partner are two different products for different product segments. And the entire, what we call, customer proposition will also vary accordingly.

So the way we are approaching it could be quite different. In the gold loans, where the same customer would walk into your branch essentially because what happens is gold loan partnership with SahiBandhu will be in geographies where our branches are present. While in t he MSME, it will be in geographies where we do not have branches. So in gold loan hence, you cannot have competing strategies. You will have to have complementing strategies. While as in MSME, you can have two different strategies for different markets.
Nirvana Laha: Okay. So thanks for explaining that. Coming to your presentation, there's 1 slide that says targeted performance improvement to boost returns. So various metrics are spelt out there. I can see that for the last 3 quarters, we have almost been h itting all those metrics. For example, NIM of 3.63% to 3.68%, ROA of 1.37% to 1.47% . Cost of fundings upper end being, 5.1%. Cost -to-income ratio of 51.29% . So therefore , is this still the ambition or from a 2 -3 year point of view is the ROA ambition, for example, going to go up?
Srikrishnan H.: So ROA ambition will be the same, 1.2% to 1.4% that would be the guidance or the range, I should say. And the reason that why we reiterate about the 4 or 5 very key metrics as far as the bank is concerned is bec ause when we are growing, we should lose sight of the basics. And this is actually the basic for banking.
And which is why we kind of reiterate that every investor presentation and every internal meeting that we have with our executives to make sure that w e do not slip away from each of those on the pricing related to new business or even some of the existing business in terms of the chart. So this is fundamentally the way that we conduct business here.
Nirvana Laha: Okay. Got it. And one last question on t he Corporate Banking segment and the segmental results. I think in your opening remarks, you said that there was a onetime provision or head, which was a Y -o-Y comparison. But if I look at your segmental corporate banking profit Q -o-Q also, there's a 40% d rop from about INR150 crores to about INR90 crores. So what's does that pertain to?
Srikrishnan H.: So

I just want to clarify that what I was qualifying was that there was a write - back, which was for a recovery of one of the large corporate loans in the sa me corresponding quarter last year. So if you look at the last year same corresponding quarter now, obviously because of this 1 abnormal positive impact the bank has, we would actually see that there's a reduction where there was an increase of 30% from th e last quarter's growth. So that is the clarity. So I just thought that I would tell you exactly what the position was.
Now that was almost to the tune of INR155 crores, INR156 crores.

Nirvana Laha: Yes. So if I look at Q -o-Q in the June quarter, your corporate banking profit segmental results was INR155 crores, which has now dropped to INR 94 crores. So this big hit has happened due to what reason?
Srikrishnan H.: So treasury profits, like I explained, are quantified under -- so that is -- that could b e one, but we will note this question down and write back to you on the specifics.
Nirvana Laha: Yes, because I think treasury is called out separately, that has dropped by around INR60 crores.
Srikrishnan H.: We will just look at where your specifics are from and we'll come back to you.
Nirvana Laha: It is from basically your results where you declare the segmental results there if I look at corporate banking. So against INR155 crores of profit last year -- last quarter, it has dropped to INR93.5 crores. So that was my question.
Srikrishnan H.: Okay. We'll get back to you on this specific.
Nirvana Laha: Okay. Should I write to you on Investor Relations or...
Srikrishnan H.: Yes, you can write to us.
Moderator: The next question is from Ram, who is an indiv idual investor.
Ram: Sir, you just explained regarding the CASA ratio, but last 3, 4 years, it is remaining stagnant around 32%. Will there be any initiative to improve this to 35% or 40%?
Srikrishnan H.: The CASA ratio a t 32% for a bank, which is growing, and whether the total deposit size of INR 60,000 crores become INR80,000 crores or now it has become INR 89,531.73 crores. That means that the ratio has been maintained, which is actually quite healthy. So that is one.
Secondly, there are a couple of initiatives that we have taken on the

government collection which you are very pretty aware that GST enablement
of transactions and very soon enabling CBDT transactions as well.
So now what happens here is that this will increase to the float, and it wil l
substantially improve as we go forward. And we believe that this is the right
kind of approach for a bank like us.
Ram: Okay. So one more question. In the advances, about 48.9% is of retail advance.
Is it fully secured? And what is the proportion of the secured and unsecured,
can you please enlighten on that, sir?
Srikrishnan H.: On the retail advances almost, as I said, 95% are secured whether this is
housing or asset -based financing like vehicles and so on. The unsecured
portion that we have is actually very, very insignificant.
Ram: One final question. As to the geographical thing, the top 5 states you've given,
Karnataka has 577 branches and followed by Maharashtra, Tamil Nadu,
Andhra Pradesh, Telangana. Is there any efforts in the coming period futur e to
is it a pan India this one? And what is this one, your plan for that?

Srikrishnan H.: Plan for what, sir?
Ram: Plan for growth all over India in the next 2, 3 years.
Srikrishnan H.: So just to give you a sense while 570 -plus branches are in Karnataka, between
the neighbouring states, Maharashtra, Telangana, Andhra Pradesh, and Tamil
Nadu, we have in each 1 of them over 50 branches. Then followed by other
locations. So we are present already in Gujarat. We present in Madhya Pradesh.
We are present in De lhi NCR, Punjab, we are

present in East. We are present
in Odisha, so that way we have a national presence already. And we are
actually 22 states and 2 Union Territories. That is the background to our
distribution.
Moderator: We'll take that as the last qu estion. I would now like to hand the conference
back to Mr. Srikrishnan H for closing comments.
Srikrishnan H.: So I would like to thank the investor community for reposing confidence as far
as the bank is concerned, the institutional investors as well as the retail
investors who have always been standing by our side.
And based on the last couple of months, that I've been here, we've been doing
the around meeting up with all kinds of investor types in various locations. So
we believe that we are a very stro ng story with credentials, which are
unparalleled, because this is the 100th year of the institution, and we are
celebrating our centenary.
Out of the 99 years that we have been existing, all the 99 years we have been
profitable. And almost like 96 out of 99 years, we have paid dividends to
investors also. Other than some years when the regulator did not allow us to do
so. So this is the track record. And here is an aspiring institution, which wants
to do a transformation in terms of change. We want to bec ome a national story
from being a regional story and also develop a lot on technology and digital
banking. So this is the way in terms of growth as far as the bank is concerned.
I want to only thank you.
This is going to be a very, very focused attempt fr om the new management
team as well as the existing management team, who have been wonderful in
terms of their contribution and cooperation to this transition and transformation
journey. And we believe that we will be a real force as we go forward.
On that note, thank you all, and wish you all the very best for the festive season
ahead. And the festival season that has already commenced from our last about
almost 15, 20 days since Navratri. Good luck to you all to your family and
many thanks again for all yo ur support.
Moderator: Thank you very much. On behalf of Karnataka Bank, that concludes this
conference. Thank you for joining us. Ladies and gentlemen, you may now
disconnect your lines.

Call: Jan 2024

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228222
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnataka bank.com
Mangal uru – 575 002 CIN : L85110KA1924PLC001128
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Madam /Dear Sir ,

Sub: Transcript of Q 3FY24 Earnings Conference Call
Pursuant to Regulation 30 read with Schedule III, clause 15(b) of Para A of Part A and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the analysts/institutional investors ' Concall held on January 23, 2024 post declaration of unaud ited standalone & consolidated financial r esults of the Bank for the quarter and nine months ended December 3 1, 2023.
The same is also made available on the Bank's website under the foll owing web link:
https://karnatakabank.com/investor -portal/investor -presentations
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Limited
Q3 FY24 Earnings Conference Call "
January 23, 202 4

MANAGEMENT : MR. SRIKRISHNAN H – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO – EXECUTIVE DIRECTOR – KARNATAKA

BANK LIMITED
MR. SHAM KANATHILA – COMPANY SECRETARY –
KARNATAKA BANK LIMITED
MR. BALACHANDRA Y V – CHIEF OPERATING OFFICER –
KARNATAKA BANK LIMITED
MR. ABHISHEK SANKAR BAGCHI – CHIEF FINANCIAL
OFFICER – KARNATAKA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY 2024 Earnings Conference Call hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode an d there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Srikrishnan H., MD and CEO from Karnataka Bank . Thank you, and over to you, sir.

Srikrishnan H.: Thank you operator . Good evening, all, and welcome to the Q3 FY24 Post-Result Conference Call of Karnataka Bank. We have with us our Executive Director, our Company Secretary, our Chief Operating Officer, and our CFO. I will be leading the discussions, and in case there are any additional questions for any of my senior colleagues, we will ensure they ha ve the opportunity to address them as well.

Today, we have uploaded three items. First, we have shared the stock exchange notification regarding the results following the completion of today's board meeting. Second, the Q3 FY '24 investor presentation has been uploaded to our website. I believe many of you have already accessed it, as this was done over half an hour ago. Third, we have issued a concise press release, summarizing the notable achievements for this quarter. Allow me to begin by expressing that this quarter has been exceptionally interesting for us, marked by significant achievements in alignment with the transformation agenda we embarked upon. I took charge in June and my Executive Director and senior colleague, Sekhar Rao took charge in Febru ary. Together, we define ourselves as the new management of Karnataka Bank, complemented by the presence of seasoned KBL veterans among our senior colleagues. We have a fantastic team of leaders who m we believe possess the capabilities required to navigate and drive this transformative journey.

The transformation agenda we initiated encompasses three to four key components . Firstly, we are focusing on various aspects of process improvement. Secondly, we are delving into numerous areas on the product side. A dditionally, there's a significant emphasis on people, technology, and the overall business strategy . So, we have introduced new lines of businesses, enriched the existing products, launched new offerings , facilitated lateral hiring for leadership teams , and made substantial progress in terms of the process improvements.

But this is an ongoing journey , and naturally , we are required to run our business effectively every quarter . As we progress, we will consistently implement changes. Two key significant achievements this quarter include the appointment of our new CIO and Head of Technology, Mr. Venkat Krishnan. Formerly the CTO of IndusInd Bank, he has extensive experience working with multiple banks, such as Ujjivan Small Finance Bank, Yes Bank, Dhanlaxmi Bank , where he served as CIO.

Now , we’ve also welcomed Mr. Ramaswamy Subramanian as our Chief Product Officer. He previously served as the Chief Product Officer at Dvara Capital and he ld the position of Head of Prod ucts at Suryoday Small Finance Bank, as well as with HDFC Bank in the past. These are two key additions to the management team, and we are in the process of finalizing a couple more , which we will announce in due course as they come on board.

As far as quarterly results are concerned, we achieved an all -time high 9 -month FY ‘24 profit after tax of INR 1,032.04 Crore as against INR826.49 Crore for the corresponding 9 months ending FY ‘23, representing a 2 5% increase. For the quarter, the figures are INR 331.08 Crore for Q3 FY '2

4, as
opposed to INR 300.68 Crore in Q3 FY '23, indicating a 10% increase.

Now , this has been instrumental because of three things that happened. One is that our gross advances grew to INR69,74 1 Crore as of 31st December 2 023, compared to INR63,673 Crore as of December '22. The very conscious decision made by the bank before we all boarded, was to reduce the number of loans that were highly ineffective in terms of both price and quality. It was a deliberate move to trim down the balance sheet si ze. Therefore, the balance sheet gross advances, as of 31st March 2023, were actually only close to INR 60,000 Crore . So technically, we have grown by around INR10,000 Crore in the last 9 months , and the same run rate continues. I think we are in good run here. The deposit side, we have grown substantially this quarter. Our total deposits as of December '23 stands at INR92,195 Crore . This is perhaps the highest and as against the INR 84,597 Crore as of 31st December '22, the increase year -on-year is 9%. And I'll also talk about both advances and deposits in terms of the market and how we are faring in the market.

On a cumulative average basis, our CASA grew up 8% year -on-year, and our monthly average of CASA also grew by 7%. So, it is not just end of term number that I'm reading out, it is also the overall average, which means that our customers keep the average broadly consistent even during the month. Now , our CASA percentage is retained at about 31 % to 32% despite the movement.

As all of you know, this last quarter, all banks have faced a lot of issues related to deposits, and it is not only tough to acquire low-cost deposits. But the last quarter, we have had a very different kind of interest rate scenario , whereby the deposit rates and the overall market w ere different compared to the previous quarter.

Now , overall business turnover for the bank has crossed the landmark number of INR1,60,000 Crore . This currently is a very si gnificant achievement for the bank. As of now, while I speak to you, we are over INR1,62,000 Crore . This is a 9% on a year -on-year basis and a 12% increase from the overall YTD basis from March '23.

Now there are two other very clear metrics that I want to call out. One is related to net interest income. The NII has increased marginally from INR822 Crore for the last quarter to INR828 Crore . However, the NIM, which is a very important parameter, we're still in the guidance range of 3.4% to 3.7%, which has b een given to the investors and as provided to investors in our presentations, stands at 3. 57%. The loans have been maintained at the same level. It is the cost of deposits that has been marginally higher than the previous quarter.

So, as a result, we are in a better position overall on the NIM , currently the NIM for the 9 months stands at 3.57%. Our ROA, is at 1.21%, and our guidance was always between 1.2% to 1.4%. We continue to maintain that, and our target range has been met here .

Return on equity, for this quarter was 14.26%, but for the entire 9 -month period, it has been 15.18%. This is again very clearly within the guidance of 14% to 16%. This is what we have been telling the market, and we are well within the track related to th at.

As far as the ROA , which I have already discussed , and cost to income are concerned, this is another metric that is very important. So, cost to income because of the expenses that we are incurring, includes the impact of the IBA settlement, which I have mentioned in the last investor call, where we are providing a 15% increas e from November of '22 onwards.

But on December 7th, the IBA reached the settlement with the banks and the actual number was increased to 17%. So, we had to provide for 2% on a retrospective effect. The extra 2% that we have accounted for amounts to almost an extra onetime pro

vision of about INR25 Crore .

Now , the total provision that we have made for the 17% from November '22, which will be paid out as and when the settlement is completed, will be to the tune of INR62 Crore . So, this is over and above the normal because this was not the case last year.

So, despite the increase in the cost that we are incurring on new technology , lateral leadership hiring, etc., the cost -to-income ratio is about 53%, and we are very confident that in the next couple of quarters with the growth in revenues and with the growth in our overall income, we will be in a position to control this and bring it back to sub -50. This has been our target, and we believe that we will achieve it.

Yes, Cost to income on the 9 -month basis is 51%. The other part is about the quality of the assets. The net NPAs have improved it is at 1.55% from the 1.7%, which was March '23 results and 1. 66% in Q3 in corresponding last year. So overall, there's been a reduction in the net NPA. The gross NPA has also improved in quarter to 3.64% from 3.74% as of March. And of course, compared to the last year, which is Q2 FY '24, it was about 3.47% .

So, the slippages are an area of a little bit of a concern. It's not that bad, but the slippages are at about 0.8%, only because of the fact that there were bunch of assets which were classified as restructured assets. The restructured assets have come down drast ically. And I can also tell you all that the total restructured asset for the bank is less than INR2,000 Crore . On the other side, some of th ese are stressed up, and they are contributing to the NPA. We believe that in the next 1 to 2 quarters , with great monitoring and very close attention , we should be able to control this.

Our capital adequacy stands at 15.88%, and as all of you are aware , we raised money in October , where

we secured INR 800 Crore from five marquee and social investors . The institutional shareholding in the bank has increased to close to 40% , and the Tier 1 capital currently stands at 13.66%, and Tier 2 is 2.22%.
The reason for the reduction in Tier 2 is because in November, we have repaid INR400 Crore of Tier 2 capital , which was quite expensive at 12%. We have completed the call option. We are also planning to do another call redemption in February when another batch, which is a tranche of INR 320 Crore would be available for us for making the call options. We will be exercising the op tion. We have already sent our approval request to the regulators for the same. This would definitely result in a better net interest cost for us because the overall cost was very high.

One other thing that I wanted to also talk about is the cost of funds improvement that we are achieving . The bank has been approved, and we have gone live for collection of CBDT, which i ncludes direct and indirect taxes. We already were live for customs duty payment and also for GST collection.
So, for the key markets for all our borrowing accounts and all our savings and current accounts, all of these customers we are promoting this both digitally as well as through our branches.
And we believe that the collections part , due to the government business and also the fact that we are an agency bank and we are approved to open government accounts, both for the state government as well as for the central government, we believe that there is a good possibility . We anticipate that exercising these options which include calls on Tier 2 bonds plus the current account, the CASA push to the government business and the flow that we get from the GST taxes and customs duty collection would definitely have a positive impact as far as our cost for funds is concerned.
The credit cost for the quarter was at 0.25% and it's more or less at the same level as the previous quarter. Standard restructured advances, as I mentioned e

arlier, are less than INR2,000 Crore . This is a
significant improvem ent compared to the previous quarter, where in the last year corresponding quarter the number was pretty high. So, there are a lot of conversions that have happened from the restructured advances into standard assets.
Now , the last part that we wanted to t alk to you all is the fact that going forward, you are all aware that we have an approval from the Board for raising INR1,500 Crore of capital which includes options, which is in the form of instruments as preferential allotment or QIP or bonus or whatever instrument that is applicable. So, we have exercised that and raised INR800 Crore . So, we have to raise the remaining INR700 Crore to make sure that we are comfortable.
Our capital adequacy is comfortable, but we need growth capital. Additionally , the fact that we are going to repay another INR320 Crore of Tier 2 bonds in February, that is also an option we will need to exercise to augment the capital. We are working towards making that happen. We have also released to the stock exchanges today tha t the Board is meeting on 27th this month, again, which is 4 days from now to discuss the issue of capital raise for the second tranche, which is a total of INR700 Crore .
On that note, I will transfer it back to the Moderator for questions. My senior colleagues and I are ready to address any queries. Over to you, operator.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Narendra from RoboCapital. Please go ahead.
Narendra : Congratulations on a good set of numbers. Sorry, I missed earlier part of your statement. So needed a bit of guidance on your loan growth going ahead and your credit costs, if you could provide something on that?
Srikrishnan H.: Okay. Thanks, Narendra. Good evening. So, our gro ss advances on a YTD basis have grown at 18%. It stands at INR 69,74 1 Crore as of 31st December '23. The run rate that we are expecting as we go forward is more or less the same. We stand committed to what we had mentioned. I had gone live saying that by 2026, we would cross INR100,000 Crore . I think we are well on target to achieve the same if that gives you an answer on the gross advan ces part.

Narendra : Yes. And regarding your credit cost, sir?
Srikrishnan H.: It's 0.25% right now, and we believe that we would very much be in the same level. It was the same level as of the last quarter also. Our total co st, which i ncludes total lending, etc, more or less has been also the same.
Narendra : Okay. That's very clear. And regarding your cost of funds, sir. So, I see that cost of deposits are going up. So, at what level should it stabilize? Is there further chan ces of a hike in cost of deposits? And also.

Srikrishnan H.: The whole market has been looking at this interest rate scenario. A lot of pundits have been saying that by middle of this calendar year, that's like June, the rates are assumed to be coming down . We also believe that from our treasury perspective, the same thing will happen. And right now, the cost of the, let's say, the low -cost deposit has been a challenge in the market for all banks.

So, all the banks this quarter have had this issue, which is why the total cost of funds has gone up a little bit. But having said that, our NIM is intact, we are not much concerned on that, partly because of the loan growth and at a very reasonable rate. So, we have not really gone lower as far as the loan rates are concerned. So, the interest rate on advances has been kept steady or it has been improving and low cost of deposit has been a challenge.

So, we have not been in the market to, let's say, do the bu lk deposits at a very high rate. We have never been in that market. Our entire depo

sit franchise has been granular. Our entire deposit franchise has been more from the current and savings account holders who have been with the bank for generations. As you are aware, this is a centenary year of the bank. We recently met up with a lot of customers at multiple locations as part of our centenary event, where customers who have been banking with us for 2 to 3 generations, they were present. So, it is a very over whelming situation when we met them. Very pleasing.

Narendra : Yes. You have done indeed a commendable job on that plan. So, your NIMs going ahead should be in the range of 3.4% to 3.7%, right?

Srikrishna H. : Yes, sir. We are not moving that guidance at all . We're staying clear...

Narendra : Okay. Good to know. And regarding your other income, so how should that pan out for the next couple of years?

Srikrishnan H.: Good question, Narendra. So, this bank, we have not had much of a cross -sell or, let's say, other products in the forex or FX side or in the trade finance or in the third -party products. So, what we are doing is focusing a lot on the cross -selling and penetration. We are also having an analytics center, which is doing a lot of data -driven acquisition strategies by providing lead generation to customers based on transactional behavior.

So, our Analytical Center of Excellence, which is in Bangalore actually provides data to all branches for their set of customers who, for instance, if, let's say, they are paying an EMI loan and not necessarily have availed of a loan, then that's a good case for a home loan or a top -up loan or a home improvement loan or something like that.

Likewise, if it is a policy premium that is being paid out of the account, and we have the ability to track that for our own set of customers to go ahead at a branch level or at the field sales level and make sure that we are able to sell a policy. We've a lso tied up with new partners for li fe as well as the non -life. So, we have already appointed two large new insurance life partners, HDFC Life and Bajaj Alliance Life, and we will be doing the same in the non -life, that's the general insurance side also.

Narendra : Okay. Yes. You have been doing a commendable job on the tech side. So that brings me to my next question is regarding your opex . So has the going ahead, would the investment slow down? Or are we still going ahead full steam on the tech side invest ment?

Srikrishnan H.: So as far as the baseline applications are concerned, we are good on core banking, we are good on the data lake, we are good on the digital journeys, we are good on the front -end applications, we are good on the back -end infrastructur e, including our DR which we shifted recently from Mangalore to Mumbai to be in a different geo -location. So, all of those have been achieved.

So, the incremental spend that we'll be doing is to make sure that the integrations with collaborative businesses , which are essentially for fintech, co -lending, wealth management products, all of the third - party products that we are doing, etc., is something that we are going to do.

All of the tech expenses that we'll be doing are mainly going to be capex from that perspective, and which is why we are also making sure that our capital raise will make sure that we are quite comfortable on that front. So, we have done reasonably well, and we believe that the transformation which is from a technology product a nd process perspective, involves a lot of investments, which will continue, but those will be, again, very clearly product and opportunity to us.

Narendra : Okay. But so, FY '25, you should be cost to income, you should be below the 50% mark, right?

Srikris hnan H.: We are aiming to become lesser than sub -50%. Over to you , operator .

Narendra : Okay . Thank you so much and all the best. I'll join back if I have any questions.

Moderator: Thank you. Our next question is from the line of Prabal from Ambit . Please go ahead.

Prabal: So, the first question was on asset quality. If you can indicate the movement in GNPA during the quarter, that the slippages, recoveries and upgrades and technical write -off?

Srikrishnan H.: Hi, Prabal. So, as I had earlier, the GNPA has improved in Q3 to 3.64% from 3.74% as of March and

this is the 10 bps that has come down as far as the GNPA is concerned. As far as our gross NPA and slippages ratio, our gross NPA overall, from an opening of INR2,324 Crore have gone up to INR2,537 Crore . I had mentioned in the earlier part of the call that we are seeing some movement from the restructured asset into the NPA. But it is very much in control.
The reason being that our branches are engaged with personal visits to each one of them. So, the additions during the quarter has been INR 516 Crore , and the reduction in terms of write -offs, etc, is INR 303 Crore . The overall position remains at INR 2,500 Crore .

Now slippages ratio, we are at 0.8%, which has gone up compared to before for the same reason that I mentioned because the previous quarter, we were at 0.52%. And quarter -on-quarter basis, this is an increase, but I believe that in the next 1 to 2 quarters, this will stay, and then we should get into a comfortable position.
Prabal: Okay . So, slippage is INR 516 Crore for the quarter and recoveries and upgrades were INR173 Crore and write -offs 0?
Sekhar Rao.: Write -offs were sir, INR130 Crore .
Prabal: INR129 Crore . So basically, recoveries were just INR50 Crore ?
Sekhar Rao. : No both put together INR 303 Crore . Write -off plus reduction excluding write -off was INR 174 Crore , write -off INR 129.62 Crore , both put together INR 303 Crore . And the write -offs are fully provided for. So, it is just moving to technical write -offs from f ully provided account.
Prabal: And these messages because you are mentioning that this has come from restructured accounts. But within the restructuring, around 55% of the book is just mortgages. So, if you can give some color on the slippages as well, how much will be corporate and what will be the retail and so on and so forth?
Srikrishnan H.: So that we understand this, up to close to 95% is collateral based. So, we do not have any unsecured from that perspective. Second is the breakup between retail and corporate is about close to 50/50. So, there isn't a change as far as that is concerned. And the last part is on the total what was the third question, sir?
Prabal: So, my question was breakup of slippages. So, this INR516 Crore , how is that distributed across segments?
Srikrishnan H.: So, across the segments, it is actually more of the SMEs and the MSMEs that have happened. I would say that close to 70% to 75% of the slippages have happened only from the MSME and SME books, which we have lent earlier. So, in many banks, these are treated either as midsized corporate or SME depending on the definition, but our definition has been SME and MSME for this.
Prabal: Okay. And any assessment of what is this kind of vulnerable pool within the restructuring which i s sitting in the bank currently?
Srikrishnan H.: So, we've made some accelerated provisions in the last couple of quarters, including this quarter. So, we believe that, let's say, close to 35% to 40% of the current book, which is a restructured book of clo se to INR2,000 Crore , would be in some kind of a stress . But having said that, there is a lot of engagement, happening at the branch level. So, if I need to quantify that, it would not perhaps exceed about INR 600 Crore to INR 700 Crore or maximum INR 800 Crore .
Prabal: Sir isn't that surprising? I mean, a big portion of the restructured book is mortgages and SME and MSME and around 35% even in an environment like this is stil

l under stress?
Srikrishnan H.: This is all the historical book, Prabal. So, what has also happened is that this has been something which we have flagged off earlier on the total number. From the total number of restructured assets post

COVID, the bank had close to INR4,500 Crore . From there, we have brought this down to sub INR2,000 Crore right now.
So, there is a significant progress that has happened in terms of making them all standard or making them into NPA and writing them off, we' ve fully provid ed for in the previous quarters. As I said, we are managing it through accelerat ed provisions and also making sure that this number does not really have any impact as far as our overall growth in our numbers is concerned going forward.
Prabal: And how much is the coverage on the restructured pool currently?
Srikrishnan H.: Standard, 1 3%.
Prabal: So where is exactly accelerated provision sitting on the balance sheet?
Srikrishnan H.: In the overall general provisioning, NPA provisioning it is sitting.
Prabal: Okay. And any targets of where do we plan to take provision coverage ratio?

Srikrishnan H.: The overall PCR with technical write -off, we are above 80%. So, we are hovering around 81%, 82%. And it continues to be the case. We have not dropped from there. And as far as our excluding technical write -offs, we are at about 58 -odd percent. And our attempt, obviously, is to take it to 70% in due course. But that is definitely not going to happen within a year. So, it will take probably about 15 to 18 months to reach that mark.

Prabal: Okay. Got it. And next question will be on growth. So, we had a credit to deposit ratio of 73% and additional liquidity on the balance sheet, which was a drag to our margins, and we h ad planned to ramp up the credit book quite significantly. But I don't see that traction happening in the third quarter. Only corporate has grown, MSME has not grown. Agriculture, retail, none of them are growing. So, anything that has changed?

Srikrishnan H.: So, we have grown the overall asset book by 18. 3% in this quarter also. So, there is no change to the overall number. As far as retail and MSME is concerned, we have deployed during the quarter, 250 sales officers from the bank and 400 -plus feet on st reet in the ground to look at both CASA as well as the retail assets. Now we also employed 2 other agencies who are there, who are for the retail asset sourcing. So, this is something that we have invested into, and the results of that will start coming in , one.

Secondly, all the branches have been equipped with lot more empowerment from a process perspective on approvals to be given either in principle or the processes related to credit approvals for the retail asset in a much faster pace instead of the ea rlier process. And we have set up 5 regional processing centers and we'll go up to 8 where it is empowered, and they are able to actually get the approvals done. So, the real ramp -up is going to happen on the retail side.

The other part is that the overall growth is not necessarily in the other area. Out of the total gross advances, INR 69,74 1 Crore , this is about close to INR3,500 Crore of total assets that has grown. And out of the INR 3,500 Crore , at least close to INR 1,000 Crore have come from retail and agri.

Moderator: Our next question is from the line of Hatim Broachwala from JM Mutual Fund.

Hatim Broachwala : Sir, my question is on the loan growth. So, it has been observed that this quarter, the bulk of the growth is there from the corporate and it is from the large enterprise segment, which typically is low yielding. And also, that impact is seen on the NIMs. So NIMs of 3.46% is now closer to at the lo wer end of our guidance. I want to understand your perspective whether this is lik

e a temporary park -in which we have done or how the growth and NIM you will be planning ahead?

Srikrishnan H.: So, the question that you had is about the growth in advances. The growth in advances has been at 18.3%. So, I don't think that there is any slowdown as far as our overall gross advances is concerned. It is also important for you to note that we have been lending at the reasonable rates. So, our total cost of lending, the interest rate has not come down. The real pressure due to the NIM compression has happened by a couple of this here or there is only because of this deposit side.

On the deposit side, the whole market has faced in this quarter, it is not only pertaini ng to Karnataka Bank. It is important for you to know that each of the banks ha s had pressure on the NIM. This is basically because low -cost deposits were not available in the market that easily. Secondly, there are also very high cost as far as the FDs ar e concerned. We did not go for buying those FDs. So, we have managed it.

There was a question earlier also, which I did answer about the CD ratio of the bank. The CD ratio of the bank was earlier at 69% and 72%. But this quarter, we have gone up to 7 6%. So whatever headroom was available, we have already gone up to that .

So, I believe that the growth has been very encouraging and very healthy as far as the overall margins are also concerned. So, we will maintain the NIM margins between the 3.4% to 3.7% guidance. I do not see any change to that in the quarters that are coming up.

Hatim Broachwala : Okay, sir. My other question is on this wage hike provision, which you have mentioned that you have provided INR25 Crore extra during the quarter. So, is this like a one -off? Will it repeat in next quarter? Or this INR25 Crore won't be there next quarter?

Srikrishnan H.: No I'll just explain that to you. As of November, '22, IBA settlement, they had annou nced saying that they're negotiating with the banks. And the number that could be perhaps coming up was a 15% increase from November '22 onwards. So since then, we've been providing at the same 15% on a quarter -on-quarter basis.

On December 7, IBA reached an agreement with the banks where the total number was given to us as 17% as an indicator on the final rate. Because we have not provided 17%, we have provided only 15%, we had to do a retrospective effect from November '22 onwards, and the total onetime p rovision for this quarter was INR25 Crore . This will not recur again.

Hatim Broachwala : Okay. And sir, lastly, what is your outlook on gross NPA going ahead?

Srikrishnan H.: So, we are at about 3.64%. We want to first come to the level of 3%. So that is ou r immediate target.

So, we should take it to 3% in about 6 months from now. And we believe that there will be a

corresponding reduction in the NNPA as well. And provisioning as well as the accelerated provisioning and slippages should be better controlled compared to before.
So, we believe that we are well past that stage when there is any risk as far as the bank is concerned on the book. Yes, this was a traditional legacy bank. The new management has taken charge, and we have cleaned it up as much as possi ble on the asset side ad overall in terms of the transformation revenue that we want to make.
Hatim Broachwala : Sir, reaching 3%, considering that you also have some more stress in the restructured book. You mentioned INR700 Crore around stress is still le ft in the restructured book. If that slips, then reaching 3% would be would it be possible? I mean...
Srikrishnan H.: Yes. There are actually 3 things. One is that we've been providing for it as an accelerated provisioning for this book. Secondly, there ar e recoveries that are happening. And the third is that there are conversions to stand up on this book also.
All the 3 will contribute, and we believe

that we should be very comfortable because the book size is
also not that much compared to our overall INR7,000 -odd Crore gross advances book. So as a percentage of the overall book and as a percentage of the risk that we are facing, we believe that it is getting minimized because as I told you, the book was post -COVID close to INR4,500 -odd Crore .
Hatim Broach wala : Sir, what is the provision we are holding against these standard restructured loans ?
Srikrishnan H.: No, it's part of the overall NPA provisioning that we have done. So, whatever that on the standard side, that is 13%.
Hatim Broachwala : And do we hol d any contingency provision?
Srikrishnan H.: No.
Moderator: Thank you. Our next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey Congratulations to Karnataka Bank team for a stable result. First quest ion, what kind of interest savings are we seeing from the bonds which we are likely to redeem?
Srikrishnan H.: So, the bonds are at 12%, and we believe that obviously, if we must look at liquidity, the market is at about 6% to 6.5% right now. So, there is a significant savings. So definitely, on a overall basis, there could be a significant savings. But having said that, as we raise money, both on the Tier 1 and Tier 2 there will be consolidated, let's say, a blended kind of provision. So overall, I think on the book about 8 to 10 bps is what we can expect in terms of the NIM improvement because of this.
Sushil Choksey Any further bonds of the high cost left or this is fine?
Srikrishnan H.: No, this is the final right now on the next tranche so 300 is still left at 10.7 which is not bad.
Sushil Choksey Okay. My next question, 100 -year celebration, centenary celebration and migration to the next 100 is what Karnataka Bank's story is all about for last 6 to 12 months with new induction of yourself, ED

Sekhar and few other management executives, which are joining and including the announcement happened. How much of transformation journey the journey has begun, but what is the period you estimate on a stage 1 level basis, whether we'll take the transform ation journey within the next 6 months, 1 year or it will be a longer period?
Srikrishnan H.: So, the transformation journey from that perspective is ongoing . Obviously, there's a question of what is the milestone that you are defining for your 1 -year peri od, etc. But if you really have to say that let's say, Karnataka Bank, we have to be a retail asset business full way competing in the market or let's say that we have to be in the SME on a digital basis and acquisitions and so on.
The alternate channels w ere offering third -party products through the digital bank. All of that kind of I just give you some example in favour of in what we are working on, all those things should get completed within a 1 year.
And the other part is that we are also growing the b ook. We are also growing the book healthy. Secondly, we are also maintaining the NIM margins, etc., impact and controlling on cost. So, which means that overall, the book will grow in a controlled basis, but new products and also new market, new opportunit ies we will be chasing.
For the centenary year, we have been in the celebratory mode. So, we have done some customer events in Bangalore, Mumbai, Delhi, Hyderabad. And now finally, we will do one big event in February in Mangalore in the headquarters.

And what we are trying to do is to make sure that we're getting the customer connect and getting the cross -sell from our existing customers. Perception of the bank, which is from a brand repositioning side, there are some efforts that you will see in the next 10 to 15 days, where we will be projecting ourselves as national story rather than being a regional story. So, this is how the transformation is happening

on
multiple fronts.

Sushil Choksey Do you think the integration of human resource technology, the new initiatives, new management team, including the ones which you are going to hire and recruit in the next few days or a few quarters, all this would be panned out in '24 or up to '25 March or it will take longer?

Srikrishnan H.: It will be up to '25 March in terms of the overall balance. But going by the current trend, at least a strategic leadership position and the mix between our Karnataka Bank veteran management and our new lateral senior leadership management who's coming in, by that time, would be mor e or less like a 50-50.

Sushil Choksey Do you expect positive results from current quarter, next quarter or by second half?

Srikrishnan H.: We are on the right trajectory as far as the growth is concerned, and we believe that we will be growing at the same pace and improving the pace as we go forward.

Sushil Choksey No, I'm not worried about the pace. The business is available. What I mean is more from a point of view, cross -selling, many other product launches. There would be a cost involved at first spend , but you will have earning capacity and capability to market, maybe a customer is doing home loans but maybe

taking 3 more products from you. So that would eventually have an impact on your bottom line. That should be visible in the next 1 or 2 quarters o r longer periods .

Srikrishnan H.: In 2 quarters, we have already created a product and a sales organization in the bank. We believe that the kicker from that will start yielding from the next quarter onwards. So, we believe that a total of 2 quarters which is like for June this year, we will be in a much better shape where all the new investments and new initiatives that we are taking up will start yielding results.

Sushil Choksey Best wishes for the centenary year celebration and years to come.

Srikrishnan H.: Thank you so much, sir. Thank you for all your support.

Moderator: Thank you. Our next question is from the line of Sudhir Mahajan from Mahajan Family Office. Please go ahead.

Sudhir Mahajan : Congratulations. And my question is you had mentioned that you are having an issue of capital in the next few days. That is going to be, again, the balance of the INR700 Crore , which is left? Or is it going to be less?

Srikrishnan H.: Mr. Mahajan, good evening. Yes, it will be part of the INR700 Crore what we are seeking an approval from the Board. The Board has already approved INR1,500 Crore . So, we just need to kind of initiate action related to that and for which the Board is meetin g on 27th, but then it is not going to happen. The issue is not going to get done within the few days, as you said. So, it will take perhaps some time. But then at least the Board will give us directions in terms of raising money and type of instrument tha t we need to do, etc. So, more clarity will emerge post 27th in terms of that part. But to answer your question specifically, it will be up to a total of INR700- Crore .

Sudhir Mahajan : The next question is, I think you mentioned something like a bonus. Are you thinking for bonus or a split or something?

Srikrishnan H.: No, I said that the Board had approved 3 or 4 other instruments, which are permitted. One is the preferential allotment, the second is a QIP, the third is a bon ds, which is what the AGM appro val also had happened in September and October, I was referring to that. So, I do not think that there is any plan related to bonus.

Sudhir Mahajan : Okay. And my suggestion, why don't you think about the split?

Srikrishnan H.: At an appropriate time, we wi ll do that, sir.

Sudhir Mahajan : I think it will be very beneficial for the shareholders?

Srikrishnan H.: Thank you, sir. We will note

Moderator: Thank you. Our next question is from the line of Kunal Sukhwani from Indvest Gro

up. Please go ahead.

Kunal Sukhwani : There's one question from my end. Sir, as per the RBI circular, did we provide anything for our AIF investments , if we had any?

Srikrishnan H.: Kunal, we do not have any exposure on AIF, so we have not provided any additional amount in this regar d.
Moderator: Our next question is from the line of Jagdish Sharma, who is an investor.
Jagdish Sharma: Sir, what is the other section on the GNPA breakup, which went from 1.1% to 5.7% quarter -on-quarter? What is that actually? On page number 32, what is t he others section in the GNPA breakup? There is something called others in the GNPA breakup section in page number 32.
Srikrishnan H.: Page number 32, GNPA.
Jagdish Sharma: Yes. It went from 1.1% to 5.7% quarter -on-quarter. So, what is that actually?
Srikrishnan H.: On the sector perspective.
Jagdish Sharma: Yes, sector wise?
Srikrishnan H.: Can we get back this is about the sectoral part, right?
Jagdish Sharma: Yes, sectoral part. In the asset quality, in the sector world, we have given 5.7% as others . Others is 5.7% it constitutes. So, what is that? Because...
Srikrishnan H.: Basically, whatever we can't classify into the defined sector, we classify under others, sir, nothing else.
Jagdish Sharma: Okay. Because it went from 1.1% to 5.7% because others have come down. Only others and this MSME went up. Other than that, agri, housing and all these things have come down. So, what is that actually? That is like a because it went up by 400 bps, that's why I asked you that question, sir.
Srikrishnan H.: I do not think that the amount is very significant in absolute terms. But having said that, allow us to come back on this, please.
Jagdish Sharma: Okay. Fine, sir. My next question is like my second and last question is like though the GNPA, like NPA come down from 9 months or year March '23 perspective. But these have started to go up quarter -on-quarter. If you see the last quarter and previous quarter, it has gone up. So, what is the main reason for that?
Srikrishnan H.: The main reason is what I have stated earlier in for another similar question.
Jagdish Sharma: Restructured advances.
Srikrishnan H.: The restructured book that we had it was about INR4,500 Crore . From there, we have gone down to INR2,000 Crore . So, as we go now, there is a standard asset conversion, there is also an NPA conversion, which is provided for, and there could be a write -off in terms of in all the slippages. So that is the reason for this. But we believe that we are in total control. And t he overall percentage of this residual amount in the book on the overall gross advances, it is not a very significant amount for us.
Jagdish Sharma: Okay. Please reply me the first one, sir.

Srikrishnan H.: Yes, we'll get back to you, sir. If you can even write to us on the maybe ID which is there on the website, we will reply to you so that we get to know who you are.
Jagdish Sharma: Definitely, sir.
Moderator: Thank you. Our next question is from the line of Yashwanth Kumar Thippeswamy who is an investor. Please go ahead.
Yashwanth Thippeswamy : So, my question is on CASA ratio front. So, I've been following up, and then there are quite I mean,
therefore, few details which has been shared with the exchange with respect to government businesses are open, and we are also opening the platform in order to do a GST and other forms of government business.
So, having said this, there is a decline with respect to CASA ratio. So where do you see this to stabilize? Or can we expect some kind of improvement considering the kind of advances that we are planning to?
Srikrishnan H.: So overall, I think you are aware that all the banks have been facing a drop in the CASA balances. So, the real cost of d

eposits for the bank have been higher in this quarter. And this is typically whatever results that we win, this is a seasonal cycle where Q3 essentially it happens.
The second part to counter this is that we have been growing the assets at more or less a good range so that we do not have any impact as far as our NIM is concerned. So, our net interest margin continued despite this challenge on the cost of deposits, which has gone up, but still at about 3.4% to 3.7% and I think we will remain there only. The last part is that our CASA ratio has been about 31% to 32%.
And even in this tough quarter, we have continued to maintain that. That is also a good thing. The reason is that we also have the float business, which is coming in by way of this government collections and also a significant increase in our current account and the agri portfolio that we have, which is coming back as deposits to us because post the harvest season, there is always in flow to the bank and we at Karnataka Bank have been seeing this for several years in the past. So, this is part of our regular, let's say, routine, that happens as a seasonal trend.
Yashwanth Thippeswamy : Okay. And coming to the gross NPA, just like you have given the rea son also, but I'm very much particular with respect to the sector although it is the industry. Is it standard across industry that you are seeing? Or is it the only legacy issue that Karnataka Bank advances that you had to deal with?

Srikrishnan H.: I think partly legacy, I think mainly it is COVID related. So, it has nothing to do with Karnataka Bank alone. It's also part of the overall industry. I mean, any bank of this size has gone through this. But we at Karnataka Bank have been taking preemptive steps in the past post COVID and then ever since we as new management came in; we've been focusing on the growth through transformation and also making sure that we are providing for the growth through additional capital. And last but not the least, we ar e controlling the growth of the book with good health. So, we are doing a combination of all this to ensure that we grow with quality and not necessarily just grow in quantity. And we believe that we should be better off as we go forward in the forthcoming quarters.

Yashwanth Thippeswamy : Okay. And my last question is with respect to the capital. So, the capital that we are planning to is to
help boost our book, I mean, advances as well. For how long do you think with the current capital increase, can we go I mean, what mileage would it give us to raise this INR700 Crore capital?

Srikrishnan H.: Capital adequacy is comfortable, we are at 15.88%, and this is not including the 9 months of profit, which we have not accounted for because as per regulations, we a re allowed to do this only during the audited result. That will happen only post the year end.

Now with that, I'm just telling you that we are far more comfortable. But the real reason that we are raising capital is 2 parts. One is that we have this high -cost Tier 2, which is to the tune of INR320 Crore maturing or available for call option in February.

And the second is that we are investing a lot into technology and where we need some capex and the growth i n the sales on the front -end sales teams, which we need to invest for getting better returns as far as our retail business both on liabilities and assets are concerned.

So that is the reason that we are raising. So, with our capital adequacy, we believe tha t additional capital that we are planning to raise will be very good for at least the next 15 to 18 months for the growth because just to give you the sense on that, every INR10,000 Crore of increase in the gross advances, we have to allocate INR1,000 Crore of capital to ensure that we stay at the same level of capital adequacy.

So, we want to stay the same way, which is w

hy we believe that the plough back that happened from the profit and the churn that happened because of Tier 2 and additional capital we raised, we should be good for at least 18 months plus. Moderator: any other calls?

Moderator: No sir that was the last question of our question -and-answer session. I would now like to hand the conference over to Mr. Srikrishnan for closing comments.

Srikrishnan H.: So, thank you very much to the investor community, capital market community, institutional investors who have taken and trusted us, the faith has increased our institutional holdings from the 7%, 9% onwards to almost like close to 40%, and that's a very healthy sign as far as the bank is concerned. We are quite receptive to any changes that are required as far as the bank's trajectory is concerned.

And we believe that with the right kind of management, lateral leadership changes, the right i nvestment in the technology, right market positioning, brand positioning and more importantly, good health in terms of the quality of the book, the existing as well as the new, we believe that we are on the right track and we believe that we will be able t o make the same amount of progress in terms of the growth percentages across various methods as we go forward. Thank you very much for your participation today.

Moderator: Thank you. On behalf of Karnataka Bank, that concludes this conference. Thank you fo r joining us and you may now disconnect your lines.

Srikrishnan H.: Thank you so much.

Call: May 2024

SECRETARIAL DEPARTMENT
May 2 7, 202 4
HO: SEC: 48:2024-25

1. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra -Kurla Complex, Bandra (E)
MUMBAI -400 051
Scrip Code: KTKBANK 2. The General Manager
BSE Limited
Corporate Relationship Dept
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI -400 001
Scrip Code: 532652

Madam / Dear Sir,

Sub: Transcript of Q 4FY24 Earnings Conference Call

We refer to our letter no.: HO:SEC:46 :2024 -25 dated May 26, 2024 on the subject matter.

Pursuant to Regulation 30 read with Clause 15 (b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the p ost result s Analyst / Investor conference call held on May 24 , 2024 on the audited financial results of the Bank for the Quarter and Financial Year ended on March 31, 2024.

Certain gram matical correction s were identified and carried out for the sake of good order in this submission .

The same is also being made available on the Bank’s website under the following web link: https://karnat akabank.com/investor -portal/investor -presentations

This is for your kind information and dissemination .

Yours faithfully,

Sham K
Company Secretary
& Compliance Officer

Edited Transcript of
“Karnataka Bank Limited
Q4 FY '24 Earnings Conference Call ”
May 24, 202 4

MANAGEMENT : MR. SRIKRISHNAN H – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO – EXECUTIVE DIRECTOR –

KARNATAKA BANK LIMITED
MR. BALACHANDRA Y V – CHIEF OPERATING OFFICER – KARNATAKA BANK LIMITED
MR. ABHISHEK SANKAR BAGCHI – CHIEF FINANCIAL OFFICER – KARNATAKA BANK LIMITED
MR. GOKULDAS PAI – CHIEF BUSINESS OFFICER – KARNATAKA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY 2024 Earnings Conference Call, hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srikrishnan H, Ma naging Director and CEO from Karnataka Bank. Thank you, and over to you, sir.

Srikrishnan H: Thank you so much, Zico, and good evening, ladies and gentlemen. This is Srikrishnan, MD and CEO of Karnataka Bank. I'm joined here by Sekhar Rao, who is our Execu tive Director; Abhishek Bagchi , CFO ; Y V Balachandra , COO ; and Gokuldas Pai , Chief Business Officer ..

Welcome to this Karnataka Bank Q4 FY '24 Annual Results and Q4 call. We have had an excellent financial year with growth registered across all the key m etrics. As I've mentioned in the last couple of quarters, the key metrics that are critical to us , and that will define the bank's performance for the entire financial year , include growth in advances, aggregate deposits, improvement s in quality of our advances book; and favourable ROE and ROA for the stakeholders . We are glad to present that we are on the right growth path as we mov e forward.

I'm also pleased to announce that we completed our capital raising program, an ambitious program of INR 1,500 crores in a record 6 months' time . This was concluded prior to the financial year ending March 31 2024 by way of preferential allotment of INR 900 crores and INR 600 crores QIP, which was very overwhelmingly subscribed, and we have had so me very good quality institutional investors in the bank.

We also had the opportunity to exercise call option on Tier 2 bonds , and we did so during the financial year between November and February, totalling INR 720 crores at a coupon of 12%. This was very beneficial as we move forward with this benefit into the new year.

So some brief comments on the numbers, which have already been uploaded to the website and the stock exchange as well as our own website in the investor pre sentation. We have had the highest business turnover in the history of the bank , crossing INR 171,000 crores, w hich is up by 15% on year -on-year basis from March '23. Our Profit After Tax (PAT) has been an all-time high at INR 1,306.2 8 crores compared to INR 1,180.24 crores last year, an increase of 1 0.68%.

It is also noteworthy that during the last quarter, we had a onetime provision, which is the actuarial provision for long -term retirement benefits due to the revision in the 12 th Bipartite Wage Revision agreement , amounting to INR 152 crores. This is a one -time event and not a recurring issue.

And the other thing is that we celebrated our centenary year in February, a couple of months ago. During the centenary year , there were a lot of celebration at our branches and regions. This was again a one -time expense of about INR 11 crores during the quarter . So, in total, our onetime expense, which is not going to recur, amounts to INR 163 crores. After accounting for this one - time expense of INR 163 crores, the bank recorded a profit of INR 274 crores. Without this one -

time expense, our profit would have been INR 274 crores plus INR ~ 125 crores (net of taxes) , which is what we need to really count in terms of the running rate as far as the bank is concerned. This is, by far, very encouraging as far as our entire growth path is concerned. The positive aspect is about the key metrics that I'm going to call out right now. One is gross advances. Our advances book grew by

nearly 20%, specifically 19% and above . Our gross advances as of March 31, 2024, stood at INR 73,001.66 crores compared to INR 61,302.78 crores last year , recording, as I sai d, a 19 -plus percent growth. This outpaces the market, which is believably growing at about 15% to 16%. So this is good news in terms of making sure that we are growing our overall book.

Our aggregate deposit to support the growth in the advances also grew very well. We closed the year with INR 98,058 crores as on March 2024 , compared to INR 87,368 crores last year , a jump of nearly 12%. This growth is supported by a very good CASA ratio, which stood at about 31.97% of aggregate deposits. Between the retail term deposits , the retail CASA , and the overal l corporate deposits which are actually very minimal . We've been growing this book very well.

All the branches are contributing, and it has been an all -around growth in terms of our deposits as well as advances. I will also talk about the constitution of each of th ese.

Because of this healthy growth, our CD ratio has been enhanced to 74.45 %. It's a continuously improving ratio. Quarter -on-quarter over the last financial year, we have been growing in this area. The good news also pertains to stressed assets. The net NPA has improved to 1.58% from 1.70% in March , and gross NPA has improved to 3.53% fro m 3.74%, but that's not all. The gross slippages ha ve come down to 2.8%, which marks a major improvement from the last financial year, where it stood at 3.31%.

The overall standard restructured advances and also the GNPA, if we total it up, excluding related accounts , our gross advances number compared to March '22 was 9.51% as a percentage of GNPA plus restructured. As of March '23, it was 7.14%. And as of March '24, we have come down to 5.31%. So this is a very healthy trend as far as the bank is concerned because all the concerns that we had about the historical book are more or less brought under control, but there is still some way to go, and we are working very hard to ensure that we stay on right trajectory with regards to this ratio.

We have had a good recovery h ere. We recovered almost INR 276.98 crores , which is more or less in line with what happened last year a s well. So this is, again, a reflection of the fact that the collateral -based lending that the bank has done has yielded results even when it c omes to recoveries. Our PCR, the Provision Coverage Ratio , is standing at 79% at a similar level compared to the last year. So we maintained the same. And the core provisions without technical write -offs stands about 56%. It has improved b y 75 bps compared to March FY '23.

Our NII stood at INR 834 crores for the last quarter, it's marginally increased. And our NIM, which is a more important metric, stand at about 3.51% annually , which is in line with the guidance that we have given of 3.5% to 3.7%. Now , despite the increase in cost of deposits across the banking industry for the last 2 quarters, obviously, that had put a pressure on NIM. We are happy to report that our loan yields have continued to be at the same level at 9. 89%. So

the NIM, whi ch has seen couple of bps changes, has really not been impacted because it has been more due to the cost of funds, which has increased from 4.74 to about 5. 40 in March '24. Now we have launched a lot of initiatives to gain the benefit of CASA. So we are a bank that can collect direct taxes, can collect GST and also customs duty. And we also have inducted a whole lot of over 518 sales offices with feet on street for covering key markets and target segments. So the strong retail franchise of over 9 25 branches in Karnataka and across the country has definitely provided the access to low -cost deposits. We are not in the bulk deposit market. And that, again, is a reflection that all

our term deposits, 90% plus are lesser than INR2 crores,
which is again a good metric to have. And we are by far comfortable with this.

Our credit cost has improved to 0.84% compared to 1.48% last year. An d again, here, this is a reflection of the fact that our overall efficiencies have increased and our cost of delivery has also had a positive impact . Our cost -to-income ratio, which I have reported in a couple of quarters ever since we took charge saying that there will be a temporary increase, which has been reflected. So it has increased to 53 .15%.

But our guidance for this financial year , by the end of the financial year, 4 quarters from now, we should see sub -50 or closer to 50, which again, would be due to a lot of rationalization, a lot of digitized processes and ensuring that our cost is under control. But this is a temporary blip, whic h is primarily due to recruitment of people, investment in the technology platforms , and infrastructure.

Our ROE is very healthy despite an increase of INR 1,500 crores of base, we are at about 13.71%, obviously lesser than the last year 's 15.42%. But aga in, this will improve as this is a onetime impact due to the capital raise that has happened in the last quarter of the financial year. The ROA has been maintained about 1.22%. Our guidance has been 1.2% to 1.4%, we are sticking to that guidance. So this i s, again, good news for investors and stakeholders.

The capital adequacy ratio stands at 18% with a breakup of 16.17% in Tier 1 and 1.83% in Tier

2. And this is, again, very clearly reflected due to our capital raise. It's a substantial improvement, giving us good headroom as far as the growth is concerned. So the capital that we have raised will be used for funding growth in the book via advances because of the fact that we need to be maintaining a very healthy capital adequacy ratio. The rest of it is g oing to be primarily for investments into digital, technology and all of the infrastructure along with the people that are required for repositioning this bank.

And as you are aware, we launched the campaign in the last quarter, coinciding with our centen ary year to reposition our bank as "A ap Ka Karnataka Bank, Bharat Ka Karnataka Bank." So, this is something where, despite the fact that we have 2/3rd of our branches in Karnataka and the interior locations in Karnataka, we are very well covered nationally with 22 states and two union territories being represented. And these are all mainly urban branches. We believe that in the next couple of quarters an d years, we would actually have a 50 -50 mix between Karnataka and non -Karnataka business.

So on this note, I would like to conclude the initial commentary and introduction from the bank related to the results and would request our coordinator to pass on a ny questions, calls that would already have got queued.

Thank you once again for joining, and over to you, Zico.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Sandeep, who is an Investor . Please go ahead.

Sandeep: Thanks for the excellent result and thanks for your leadership. I really appreciate the way you are taking the bank forward. Sir, my question is with regard to the celebrations of 100 years, why did you not give investors the chance to celebrate with the bonus, sir?

Srikrishnan H: Sandeep, we have considered this, and we are also happy to announce that the Board has recommended a dividend of 55% today, and this will be recommended to the shareholders for approval, and this is much more than the 50%, which was declared last year. And this is on the higher capital base that we have actually enhanced now. So this is indeed a way to celebrate with our retail shareholders and along with the other new shareholders, the institutions who have come in.

So this is the first gesture from our side related to 55% dividend today.

Sandeep: Just one more question in terms of the net NPA. You did mention that it has come down to 1.53%. Is that correct?

Srikrishnan H: Yes, please.

Sandeep: And sir, in terms of recovery, are there any large recoveries expected in the next 2 quarters?

Srikrishnan H: So what we have done, just to correct you, it is 1.58% on the net NPA. Yes, as you are aware, about 75% of our entire book is covered with collateral. So as a result, the recoverability is very high when it comes to this. In terms of some other larger recoveries , last year, we had sold to a couple of AR Cs, and we have also done many onetime settlements, which was in excess of INR50 crores and INR70 crores and so on. But our average ticket size in terms of either OTS or recoveries or whatever as the sweet spot has always been up to INR50 crores and granul ar. So the data related to this is being uploaded in our website, along with our investor presentation.

Moderator: Thank you. I think the participant has dropped out, sir. Maybe go to the next question?

Srikrishnan H: Yes, please.

Moderator: The next quest ion is from the line of Darshan Deora , Individual Investor. Please go ahead.

Darshan Deora: Just wanted to get some more color on the NIM. So I see that our NIM has changed a little bit downwards between Q3 and Q4. Just wonder also to get your guidance for FY '25 on the NIM.

Srikrishnan H: Just to reiterate, there are two parts : Our overall loan yield and our cost of funds. The cost of funds, as you are aware, has been influenced by the lack of liquidity rather than the market conditions. There has been a f light of deposits into other investment opportunities due to the

interest rate scenario, resulting in pressure not only on our bank but across the banking system. Consequently, our cost of funds has moved up, but it is under control at 5.33% to 5.40% . That's the first point.

Secondly, the good news is that our loan yield has not come down. We were always at the 9% to 9.99% in the last couple of quarters. So even in this scenario, we believe that we have done well as far as the loan yield is concerned. Going forward, the constitution of our gross advances, there's going to be a lot more focus on retail, and which is obviously high yielding compared to what otherwise was done.

Additionally, our focus on RAM, which is Retail, Agri and MSME, again, all the three will continue to have the same ratio along with SME, this constitutes almost 2/3rd of our book. And we have been definitely firing all our engines, which is the region, the clusters and the branches. So we believe that we'll continue to grow and the NIM would continue to be at the same 3.5% to 3.7% range, Darshan.

Darshan Deora: Got it. And congratulations on the loan growth, I mean, 19% is a very tangible number, and it is completely in line with what you had said at the start of the year. Most of this growth has come from which sector though? Is it more from retail? Is it from big corporate or large corporate?

Srikrishnan H: So we have maintained the ratio more or less at the same level, Darshan. So about 46% of our book is basically retail and agr i and another about closer to 20% has been this SME and midsized corporates, and about 1/3 of our book is large corporates. Again, this large corporates we have institutions as well as corporates who are banking with us.

But going forward, the growth will continue to be more or less at the same kind of mix. But having said that, the retail growth and the MSME growth is something which is looking more promising. And we also believe that there will be some substitution in the large corporate advances where i t has been more opportunistic lending because of the fact that our CD ratio had some headroom. And we would probably replace that wi

th midsized corporate lending and we'll also have the opportunity to throw multiple products, and that would have a positive impact on the ROA.

So the churn will be there more at the large corporate end and the rest of the 3 major focus sectors, RAM sectors, would continue to grow. So our growth path, if we continue the same way at about 18% to 20%, which has been the stated o bjective. So , we believe that somewhere between the 18% growth, we would be anywhere closer to about INR 90,000 crores as of the year-end FY '25 - exit FY '25.

Darshan Deora: That's great to hear, sir. And one last question on the CD ratio. So we have slow ly inched our way towards 75% rising every quarter. Have you sort of reached the optimal level? Or can we also aim for like maybe something along the lines of 80%, especially given that we have ambitious targets for advanced growth and the deposit environm ent still seems to be a little bit challenging.

Srikrishnan H: So our deposit engine has started firing well. In fact, we are monitoring this across all our 14 regions on a daily basis and accretion has been very healthy. So given that, we believe that the 75% is good, but we do have headroom. Technically, we can go up to about 80% also. And that 80%, it is not a stretch at all. It will be very comfortable. And there is also the deposit engine, which is funding the growth on advances. So , it's a very calibrated growth on both sides.

Darshan Deora: Great, sir. One last su ggestion. Point taken about the onetime expenses. It would be great if in the future, you could incorporate a slide where you sort of give us the proforma financials and the ROA and ROE numbers excluding the onetime expenses. So just that as analysts becom es a lot easier for us to have that data.

Srikrishnan H: Point taken. And in fact, this time, even in our investor presentation, we have clearly highlighted it on the slides . But yes, we have not included a scenario with and without it technically, but we will check it out. But yes, point taken. And with analysts, we are explaining this, and this is a one-off nonrecurring expense, as I mentioned earlier. This is due to the wage settlement and actuarial provisioning that has been made. We could have done it in multiple quarters like many other banks, but we thought that it is prudent to have this done because we have done well in terms of our strong financials. So we thought that it would be prudent to do it in this quarter itself.

Moderator: Thank you. The n ext question is from the line of Prakriti Banka from HSBC Mutual Funds. Please go ahead.

Prakriti Banka: Sir I would just request you to publish your results and give us enough time in the future to sort of go before we come for the call, so that it is mor e fruitful for you and for us as well.

Srikrishnan H: Point taken, ma'am, surely. Prakriti you can always reach out to us.

Prakriti Banka: No, sure it's just that , I mean, right now, I'm on the road sir, even the questions just probably going to be somethi ng that I could have gotten and will be getting out of the presentation as well. So it's just a better use of all our time.

Srikrishnan H: We understand.

Prakriti Banka: Yes. Just quickly, within retail, what are the segments that are driving your growth?

Srikrishnan H: So within retail, on the asset side, primarily speaking gold loan s and housing loans, these are 2 flagship products, which has resulted in a good growth rate. The Middle Market, which is comprising of MSME also has been kicking in well. So t he ratios, if you really look through, these are the three main sectors which have contributed to the growth on the asset side.
On the deposit side, 90% of our deposits are INR 2 crores and lesser. So this is something which we believe that is very health y. And one more product that the bank is looking at, and since we do n

ot have a credit card product from the retail assets. And as you are aware that 90% of our book has been collateral based on the advances side. So for the first time, the Board has appro ved a policy for unsecured, and this will be primarily driven by the credit line on UPI as a product.

And we are engaged with one of the leaders in this space, large fintech NBFC. And we believe that with that will be the beginning of our launching of reta il asset program, including unsecured.
Prakriti Banka: Got it. MSME how much did you say that word because you were also in the process of revamping your risk assessment etc. of MSME, right? So maybe what I thought that was going to be coming a little later. Are we ready with that right now?
Srikrishnan H: No. that is still WIP. But the growth in terms of the overall MSME business has been about 18% to 20% so far. And our Investor presentation has the sector -wise growth in terms of both advances and asset quality, which is, again, for the first time we have divided that by sector in both the cases. So that will give you an idea. But just to call out now, MSME is about 24.7%; retail is about 24.4%; and Agri is about 13%. So if you total these 3, we are closer to 63%, as I said. And if you add the SMEs, it's a little more. And then that leaves only the larger corporates and the others, such as NBFC.
Prakriti Banka: Got it. Also just this mix, the main drivers that you mentioned in retail, are these going to be the main drivers? Because I mean, housing , from what I understand, what is the competitive scenario like? And would that be a bit, say, really dilutive from where you are right now?
Srikrishnan H: We are approaching this in a slightly different way, this entire season. So what we are trying to do, we have a lot of builder relationships in the key cities. So particularly in Bangalore, Mangalore, Chennai and a couple of other places, we have this huge builder tie -ups. Now construction level financing, which leads retail into housing loans and construction financing in the commercial side, which will lead us into an LRD product that is being promoted at the branch level.
So, between Sekhar and I, we have been going to all the regions and doing reviews with the branch heads to that level of granularit y. We are promoting the relationships as well as the business, which will be like package so that we have a continuous relationshi p not just ending with a construction loan, but which will gradually become a longer -term relationship with multiple counterparties associated with them.
And just to give you the sector -wise on this credit portfolio also, as I was saying, even on the quan tum, retail up to INR 7.5 crores is almost like 67% of our portfolio within retail. And INR 7.5 crores up to INR 100 crores is the balance, which is the 33%, which is comprising of the mid -corporate and the SME level, yes.
Moderator: Thank you. Lad ies and gentlemen, the next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Again, as a suggestion, it would be great if you can follow the best practices of some other peer bank like federal etc. for presenting this because, (a) there is no time which has been given for the analysts to understand what has come in the presentation. There's hardly any time between the disbursal of the result and the analyst call , (b), they're barring one slide, sir, all the oth er slides are pertaining to financial year. So it is not that we are not able to make out what has happened in the quarter. It is more like a financial year presentation.

Srikrishnan H: Sarvesh, point noted, and apologies on this. This is a day which was v ery important from a Board perspective because we handle many more other progressive, few of and ver

y developmental
kind of agenda items. Yes, we will give you more time and we'll ensure that this is not repeated again. And we are available for any calls l ater on. If you do want to ask questions, after looking

at our investor PPT, which has been uploaded to our website, we are happy to answer calls later. You can reach out to us.

Sarvesh Gupta: Yes. Okay, sir. And sir, on the questions part, so last financi al year, in 4Q, we had shown a degrowth because we had gone on a strategy to increase our retail mix. This year, overall, if I see the mix has actually gone again in the favour of large corporates and we have also seen a steep decline in the NIM. So , this is something which is slightly contra to our understanding of the bank's strategy?

Srikrishnan H: I think that if you look to our growth in the advances ' portfolio, it is not what you are seeing because our growth in retail on enhanced book of closer to IN R 13,000 crores. If we have maintained the same mix of business at 2/3rd coming from retail and MSME and agri. So , we believe that we have done well because we have not gone into the corporate side. That is one. The second is the large corporates. Out of that, there is a portion which is large corporate, which is very, let's say, high -end PSU, opportunistic treasury k ind of lending. And there is a portion which is the longer -term corporate lending, but without products.

So, this is where we are going to do a churn as a strategy this year to develop a midsized corporate business and we have recruited midsized corporate wholesale banking head from DBS and Standard Chartered Bank. He was running this business in those banks. And we believe that the relationships that come along with him and as the bank we'll be able to focus and grow that.

So, between the growth that we h ave already demonstrated this year, last year, just to kind of call it out, there was a very clear decision to get out of very high -cost deposits and in the process to kind of get some of those loans repaid, but this has not happened this year.

So, deposi ts are growing in excess of the liquidity we have deployed, and these are all short -term loans that are more market rate -based . So, the last point, which you asked about was NIM. For a growing bank and for a bank which is embarked on a transformation journ ey like us, we believe that anywhere 3.4% to 3.7% is a very good kind of a range. We have actually exceeded that range to be about 3.51%. The last year was different because it was a limited size book. But in the enhanced book and despite the huge pressure on NIMs across all banks on deposits because this is actually deposits, which is impacted us and not the loan yield, as I said earlier. So, we believe that we should be able to take this even better because even if deposit and the interest rates are not very favourable, we believe that the growth in retail would give us a kicker in the yield and would improve this current loan yield from our 9. 89% to probably a little more. So, we believe that maintaining NIM and growing this within the range that we have guided, which is 3.5% to 3.7% is possible and this is good for us from our perspective.

Sarvesh Gupta: Sir, what sort of growth guidance will you be factoring in? Because this time, we have got 19%, but that is on the back of 4Q '23, which was a degrowth quarter. So now going forward, what sort of advances growth rate are you pencilling in?

Srikrishnan H: So, we are targeting technically anywhere between 20% to 21% as far as the growth and advances is concerned. And this is on the book, which is at INR 73,001 crores. And we believe that anywhere between INR 15,000 to INR 16,000 crores more if we add we are growing much ahead of the market. And this was my stated objective when I took charge, saying that 3 years, which was way back in June '23, before we eve n settled down in the bank, I said that we should be looking at INR 100,000 crores advances book, exit March '26. And I think we are sticking to that, and we are very well on track as far as the run rate is concerned.

Sarvesh Gupta: Sir, on cost to income, now if I adjust this INR 153 crores plus INR 11 crores, then we are already at the 50% cost to income. So , now last year, we had also sort of put in a lot more resources to increase the retail mix and all. So , going forward, are you expecting any sort of benefits flowing in from the cost to income going down from this 50% that is there in FY '24?

Srikrishnan H: So, there are 2 parts to this. One is that we have to limit our costs; and the second is to increase our income. Now both are the strategies that w e are adopting. So , the cost part of it, over the last 8 to 10 months, we have brought in lateral leadership teams. We have a new CIO. We have a new Chief Product Officer. We have a new wholesale and a midsized corporate business head. We have an IR and a partnership head. We have all such very specialist kind of recruitments already done.

The second is that our baseline technology we have added. So , we have embarked on a project, which is to make sure that our entire digitized platforms, our analytics -driven platforms are all fully in swing. So basic and baseline investments related to that and the architectural part to scale up in terms of volumes, reliability and scalability has also been done from a technology perspective.

Last one is that we were focu sing a lot on process. So , there are a lot of process improvement

that have been done, including centralization. We're setting up our national back office in Mangalore and we believe that, that would result in a lot of cost efficiencies as well as operatio nal efficiencies by releasing bandwidth at the branches for doing more sales.
Last part is about investment into people, sales teams. As you are aware, we are a bank where the feet on street and the sales team have low fixed costs and higher variable cost s. So , we have rolled out a variable pay program, which is based on performance, basically increasing in business even at a branch level. So over and above the pay scales that are currently there, whether they're IBA -based or whatever, we still have this v ariable pay program which we have launched, which are linked to targets and which are linked to performances. And this includes group targets, which is a branch target also.
So, we want to make sure that all of the distribution outlets that we have are al l meeting targets and actually becoming more and more productive. The last one year, we have made sure that the contribution, which is the business contribution volume by employee, has improved significantly and we want to increase that even further.
Sarve sh Gupta: So, sir, are you expecting this 50% to go down materially this financial year?

Srikrishnan H: Earlier I had committed saying that we will bring this cost to income closer to sub -50 by the end of this financial year FY '25.
Sarvesh Gupta: Okay, si r. And sir, finally, now our credit cost has come at 0.8% odd. So how do you see that playing out in the coming year? What would be the gross credit cost? And have you seen a lot of recoveries this year, which has helped this partially? Or how do you see i t coming ?
Srikrishnan H: So, banking industry works around 1%. So obviously, we have done well this year, but we believe that even anywhere within up to 1% is good. But we do have a good recovery rate even now as I speak to you because this is working very well because the overall GN PA numbers, the slippages have come down and recoveries have been very, very healthy. And we believe that this quarter and the following quarters this year also, we would have some healthy recoveries, which would have an impact. So , I gue

ss we would be hov ering around between 0.85 to 100 bps.
Moderator: The next question is from the line of Sushil Choksey from Individual Investor.
Sushil Choksey: Congratulations to team Karnataka for having an excellent year in terms of fund raise and various aspirations. The first question you answered to the first questioner about the aspirational growth to INR 90,000 crores to INR 1 lakh crores between '25 and '26. To sustain that kind of credit growth, how are we working towards human resource and trade dep osit mobilization?
Srikrishnan H: Thank you, sir, for the compliments. And yes, this is the next phase of growth. So basically, what we have done is that we have set us the baseline in terms of setting ourselves up for growth in the advances as well as for the deposit side. So , there are 3 parts as far as the deposit is concerned. One is that there is a franchise which is through the branches. The second is through the sales teams because we've created a sales organization. The third is that for our existin g to bank ETBs, we have a data -driven analytics platform, which gives a lead generation on the basis of transactional behaviour of each of our clients. And this has kicked in very well.
So, on a regular basis from the back end from the Analytical C entre of Excellence, we are pumping in data to say that who are our target for FDs, who are our target for third -party products like insurance? Who are our targets for converting dormant account into an active account and so on. So basically , this has been on the deposit side. As far as the loan engine is concerned, we have very clearly done some verticals. We also got it in the investor presentation. So , we have already made an offer to a retail asset and the MSME business head. He's joining us shortly. And we already have our midsized corporate business head who has been in the system for about last 45 days.
And we already have started a lot of process transformation specifically on the credit processes by deploying one of our world -class S ingapore -based agency who have got a lot of banking experience in India. They are professional risk and credit managers who have worked in larger banks. This is a 12 -month project . So, between the new people coming in, the coverage team between strengtheni ng credit sanctions and credit processes through this transformational study and also the technology, which I called out for on the deposit side. We believe that we have the capital. We have strengthened the key management and creation of the sales and custome r-centric organization.

We have increased our product range. We have launched 18 new products in this financial year. And these are all CASA and some more are coming in, as I was telling the earlier caller about something on the retail asset side also. So this is going to be a continuous process for both the retail and the MSME advances and on the deposit engine, sir.

Sushil Choksey: Okay. What is the sustainable employee cost? Because this year, I suppose IBA would have impacted in the annual payout. So , what is our sustainable employee cost on a year -on-year basis?

Srikrishnan H: So last year, if you look through, we have accounted for it, ever since November '22, we have been providing for this, and it is something that which has already been boxed there. The second thing was that because of the pay scales, which were announced just now, we had to do actuarial provisioning for increase in leave, increase in the pension, increase in a couple of other retiral benefits and so on, which is the onetime th at we have incurred.

Sushil Choksey: What is the number on onetime?

Srikrishnan H: The number on onetime is INR 152 crores on just this actuarial provisioning in this quarter. The running rate as of March '24, our overall staff, which is including salary p lus superannuation benefit

s is closer to INR 1,372 crores. So , if you want to know the number, yes, it will be anywhere between INR 1,300 crores to INR 1,400 crores on the overall number.

Sushil Choksey: And to the previous questioner you spoke about finan cing home loans and construction loans and LRD. Are we targeting more of an affordable segment for a higher yield? Or are we going to do normal home loan products like any other bank?

Srikrishnan H: We'll do both, sir and we want to consolidate in markets where we are present. So as I was mentioning earlier, Bangalore, we have over 100 branches. Obviously, we want to take advantage of that, and we are trying to set up a retail digital factory there, which will basically be the unified kind of retail hub. If we succeed here, then we would want to kind of replicate it in major T2, T3 locations also because this is the way that the retail business is going and that's where the process transformation part happens. Affordable housing, we have been funding directl y to a couple of NBFCs. And if we believe that we could get into some kind of strategic arrangement based on our experience, we will definitely be considering that also.

Sushil Choksey: What kind of TAT are we targeting in this segment?

Srikrishnan H: Sorry, repeat your question?

Sushil Choksey: What kind of TAT are we targeting on the segment of housing loans, gold loans. Gold are less than few hours, but then a housing loan or a consumer loan?

Srikrishnan H: So, what we are trying to do is that if we have this builder tie -ups, which is what we are aiming, then the whole project gets approved. And then other than your Aadhar and your income verification with the individuals, we do not have to repeat anything related to that documentation and approvals. So, we believe that we would want to get into a T plus one TAT as far as the housing loan is concerned on this kind of pre -approved projects.

Sushil Choksey: Sir, the entire banking industry is benefited by RBI dividend and inclusion in the bond index, JPMorga n, Bloomberg. What is comforting Karnataka Bank Treasury on an outlook for the current year? And will we monetize our treasury for gains and look for more credit growth by booking profit if you get 675, 685 range?

Srikrishnan H: So Sekhar is here, our Exec utive Director. He will take on this question because he is actively involved in managing treasury. But more from an overall perspective, let me tell you that we are managing about close to INR 26,000 crores to INR 30,000 crores treasury book, and that's n ot small. Secondly, we do have positions, which are very favourable if the interest rate movement also become favourable. So, at any point of time, opportunity wise, we will definitely encash. But Sekhar, would you be able to take on this?

Sekhar Sridhar R ao: So, regarding the RBI, yes, there could be some near -term impact, and we will navigate through that. As is the case with most banks, there could be some positive outcomes, and we won't miss the opportunity there.

On the slightly mid -term to long term, there are a couple of events, of course, the big one being the elections results, then the U.S. elections as well. And the guidance on what we call reference rate. So, we are watching it closely, but we see that over the year, all other things considered, there could be some favourable rate movements. Accordingly, we will calibrate our treasury of strategy as well.

Sushil Choksey: And my last question to Sri. Your strategy in the last 12 months has worked towards equity raise. Now your aspirational goal of INR 1 lakh crores advances by FY '26. Based on your calculation between retained profit and the current equity other than Tier 1 and Tier 2 bonds, would you

raise equity in the next 24 months or there's no equity required?
Srikrishnan H: I think we are goo d up to, our INR 90,000 crores

to INR 1 lakh crores target because, as you
know, we have repaid INR 720 crores of Tier 2. And at any point of time, if our capital adequacy is under challenged, if interest rates are favourable and our bank growth reflects i n better credit rating for us, we'd be able to get some funds at reasonable cost.
And we believe that cost of funding because of the equity we have done already, and we believe that the next round could be a Tier 2. And with that, we'll be able to manage very clearly up to this INR 1 lakh crore.
Moderator: The next question is from the line of Prabal from Ambit Capital.
Prabal: The first question is on the movement of NPA, if you could highlight slippages, recoveries and write -offs for the quarter?
Srikrishnan H: Okay. Here you go. So as far as on our entire stressed asset is concerned, net NPA has come down. I'll call out some numbers so that you would be more comfortable. Our total NPA as of March '24 was INR 2,578 crores and without relat ed accounts, our restructured assets ha ve come down to INR 1,295 crores.

So, if you look through this as a percentage of gross advances, this is about 5.31%, which is comfortable because for NPA, we would have provided for at least up to 65% or sometimes more depending on the weightages. And on the restructured book, we would have a provision of about 15%. So that is why the coverage, the PCR is also intact.
Second is that there is a technical write -off book, and there is also a recovery. Recovery from existing NPAs, even if it is half and half, we believe that this would contribute to the overall metrics as we go forward because on an average, we have been collecting , recovering at least about INR 300 crores or so.
The third is that in terms of, let's say, the historical assets and the new assets. The new assets we have put in place a lot of credit monitoring mechanisms, and we believe that the new book that we have is pretty healthy. And we have also got the earlier book under control because at some point of time, we see if you are aware. The bank, we were standing at about INR 4,500 crores of restructured book, which has come down to less than 1/3 rd. So, we have done well as far as the overall quality is concerned.
Now the second part to your question is related to how would you look going forward? I guess that we want to get the GNPA to about 3% and NNPA to closer to 1% to 1.2%. So, this is how it will play out as we go forward.
Prabal: Okay. And what was the slippage during the quarter?
Srikrishnan H: I think it was 2.88%.
Prabal: In absolute amount sir?
Srikrishnan H: In absolute amounts, just hold down. Let me ask my CFO. You go on with your next question, he'll be pulling out the data. Slippages actual amount.
Prabal: Last quarter, we had some issues w ith the restructured book, which through slippages of INR 210 crores. How is the trend this quarter? And how do you see that going ahead?
Srikrishnan H: So, as I was telling you that with related accounts, our total restructured book has come down to INR 1,536 crores and without related accounts, it's come down to INR 1,295 crores. Now I think the better part of the restructured book management has happened already. And whatever is left, we are having adequate collateral. So that is something w hich is not an issue.
Now in terms of the slippages, just to kind of give you the overall number, INR 527.58 crores is the position as of March '24 - for the quarter And INR 1,650.20 crores is for the full year, as against INR 1,836 crores for the previou s year and as against INR 587 crores to INR 527 crores for the quarter.
Prabal: So, INR 525 crores for the quarter, slippages?
Srikrishnan H: Yes, approx. INR 525 crores versus the earlier corresponding quarter of INR 587 crores.

Prabal: So, but we were ha ving a run rate of INR 300 crores so last quarter this INR 500 crores also included INR 200 crores slippages from the previous year have you seen similar slippages this quarter as well?

Srikrishnan H: Yes, this is a combined book because what has happened is that this - I'm talking to you, including the restructured book which would have resulted in some. But overall, as I told you that despite this, the reductions, there are some reductions of closer to INR 300 crores as far as that is, I'm only t alking about additions and reductions. The addition was INR 527 crores, the reduction was INR 305 crores. So, the net impact is something that you do have.
Write -offs are lesser and the closing balance is not as much as what it used to be earlier. And likewise, on the annual basis also, gross slippage has dropped from INR 1,836 crores to INR 1,650 crores. So, which means that close to about INR 50 crores plus per quarter.
Prabal: Okay. Out of this INR 305 crores, how much would be write -offs and how much would be recoveries?
Srikrishnan H: INR 305 crores is excluding write -offs.
Prabal: Okay. And the write -offs would be how much?
Srikrishnan H: I think INR 180 crores for the quarter.
Sekhar Sridhar Rao: Total of recovery / reduction and write -off is close to INR 500 crores for the quarter .
Prabal: Sir, second question would be if you can provide the exit loan yield and cost of funds for the quarter like what a rate did, we exit the 4Q?
Srikrishnan H: Loan yield is 9. 89% for the entire year, and cost of funds is 5.40%.
Prabal: And for the quarter, this would be?
Srikrishnan H: Quarter will be around 5. 55% for the quarter on cost of funds and loan yields around 9.75%.
Prabal: Loans yields Q -on-Q has come down, is it?
Srikrishnan H: This is only the last quarter because of the mix of the business a little bit. But the overall for the year, we have maintained it at 9.9%.
Prabal: But in your opening remarks, you mentioned that the growth came from retail and MSME. So Ideally Q -on-Q rat e should have improved.
Srikrishnan H: So there's something which you need to understand that the last year, 2/3 of our book comprises, as I said, within the 2/3, 45% is retail and agri. And about 20% is MSME and SME. Now this three are different in nature . Out of that the retail flagship products are housing loan and gold loan. These are the two. Gold is better yield, but gold loan doesn't grow that much. So obviously, we've been calibrating that.

But housing loan is almost like 1/4 of our overall retail assets. So , the rates in home loans right now, as you are aware, the market has been very competitive. So , we also have been doing at 8.6% as a product. But given that, obviously, it is not like the earlier home loans, which have been running at a higher r ate. But on a blended basis, we are still good.
Prabal: Okay. So , if this is to continue, then the yield would be either stable or it could further come down under pressure given the competitive project?
Sekhar Rao: On the cost of deposits, we are projecting that we have nearly reached parity . Additionally, we will obse rve a tapering effect. Previously, we had initiated some high 555 -day deposit programs, which are transitioning from headline interest rates to lower rates. Consequently, we anticipate a clear downward trend in interest rates. Moreover, the guidance on the broader market side also indicates this.
Srikrishnan H: Interest rates coming down.
Sekhar Rao: Interest rates coming down. So , we will see improvements in NIM and primarily led by, what we call, moderating cost of deposit.
Srikrishnan H: And also the inc rease in the loan yields because of a mix that we have been looking at. And as I said to our earlier caller, we are launching a couple of retail asset products

, which are for the first time in this bank are going to be unsecured and this would perhaps have a better yield also. Which is not that we won't berserk on the numbers, but at least this is like a good start that we want to do in this area.
Prabal: So, in second question, how will you have other income? If you can break this up into, say, fee income and recoveries , then it would be good.
Srikrishnan H: Other income. Okay. Can we send that to you?
Prabal: Yes, sure you can send that to me. And if the percentage is available but I could not find that in PPT?
Srikrishnan H: One second hold on in f act you say he's calling out here it is there.
Sekhar Rao: INR 1,318.91 crore as against INR 992.58 crore last year.
Srikrishnan H: You got it, Prabal?
Prabal: No, sir.
Sekhar Rao: So, it is at INR 1,318.91 crore as against INR 992.58 crore last year.
Srikrishnan H: Out of that, the breakup you wanted? So the breakup is...

Prabal: Sir, I wanted break up of other income during the quarter 4...

Srikrishnan H: We'll send that to you. Basically, there are 4 headline items there. One is commission and exchan ges, other is recovery from write -off accounts. Income from ATM and other channels the miscellaneous etc. And depreciation on investment, which is essentially and trading profits. So we will give you the breakup. We'll send it to you.
Prabal: And then just last question. So , we have been building such a superb team and we're also getting retail heads and wholesale banking heads, how are you attracting these people? And what is their compensation in terms of whether they have been given a swap on how is it l ike?
Srikrishnan H: So this entire management team that has joined us at least about 6, 7 of them have all come in on a CTC basis. That's one. The CTC comprises of, obviously, fixed and variable. And within the variable about 50% of their variable based on performance would be through grant of shares, which is as part of the existing scheme that we have.
So, it is not that we are attracting people with ESOP. They are all coming in with a very clear opportunity as a target, working with the new management t o transform the bank and really pair the path as far as the growth journey is concerned. So , we have done well in terms of attracting the right talent and who are culturally fitting into the bank and working and integrating with our existing team of vetera ns from Karnataka Bank.
So, if you go to our investor presentation now, you will see that we are almost like a 50 -50 from an overall general management perspective in terms of the number of people. We had 2 of our very senior COO and CBO, who's contract is getting over now as of May 31 , 2024 . We have done some restructuring, and that is how we have presented this experience management where between the existing and the new.
We have been kind of balancing it out. Going forward, as I said, we have already given an offer for head of retail and MSME advances and also head of Retail Collections. So those are all one or two positions that are key and strategic. We've also recruited recently head of Digital under our Chief Digital Officer, who has also come from ex Citi, HDFC and so on. So that way, we have been able to attract talent. And as I said, on the basis of CTC and a mix of variable, which includes the stock but then within the variable.
Prabal: Thank you, sir, and all the best.
Moderator: Thank you. The next question is from the line of Sanjay Shah from Ksa Securities Private Limited. Please go ahead.
Sanjay Shah: Past year has been a really exciting year which we understand from the hardship what you have taken after taking over as a new management. So my question was very broad -based. What changes you have seen in the bank after you coming in. And what you see with this digital support, technology support,

bringing in some FinTech partnership? How do you see that our bank is doing from current year onwards?
Srikrishnan H: Thank yo u, Sanjay, for the compliments. And yes, it has been exciting for all of us because we are not only joined by new management, but the existing management and the entire workforce

at Karnataka Bank are quite thrilled and participating actively in this trans formation journey. So there are 3 things that we did. One is that we created the headroom as far as capital is concerned. The second thing that we did was we strengthened the management team. The third thing that we are doing is simplifying and organizing our processes and centralization and all that, which basically includes creating a national back office in Mangalore, which is very good because we've got our infrastructure and people here.
And in terms of expanding our business, obviously, there is a c ultural shift, so which is where we are making our entire organization outbound outward looking with the sales orientation and making sure that the sales organization on the sales culture settles in well. Along with that, we also have benchmarked and digit ized a lot of products both from a customer benefit as well as internal process on TATs and so on.
So this has been the next progressive thing that we have done. Last but not the least, in addition to increasing awareness and repositioning our brand, we h ave also attracted numerous partnerships . So especially on the digital and client acquisitions through partners, which are in 3 or 4 different specific areas, specifically on distribution products through insurance and

investments and so on, we have four new partnerships.
We have actually done partnerships on insurance, both life as well as non -life and also integrating with them on the digital side. And last but not the least, is the co -lending where we have been very carefully selecting sourcing partners for us with our credit standards related to MSME and impact -based lending.
It is also some on the personal loan side. So we've been calibrating this and testing waters our overall acquisition side of the advances also. So it's a combination of all of the se initiatives that we have taken. And we believe that with all this the whole Indian runs this year. And for the following years, we will be able to generate much more in terms of overall volume.
Sanjay Shah: So carry forward our traditional business, we are focusing on some asset origination tie -ups from which we can grow from here like co -lending with Yubi and Northern Arc and all. So we wish you good luck for that, and we also see that exciting time coming for us in quarters to come. So my second questi on was i.e., can you give us what is the average loan book size for our housing loan average loan book?
Srikrishnan H: So just summarize the earlier conversation, and you wanted to know. We are doing this co - lending selectively. It's not that we are going all out on that. It's just one more avenue for us as well as that business acquisition is concerned, so that we test the waters. Overall, our loan average, I would say that if you take our overall wholesale plus retail and housing, etc. INR 40 lakhs to INR 50 lakhs could be an average per loan ticket size.
But actually, that is to be looked at by segment because by segment averages are very different. Housing loan segment is different. Gold loan is different. Then your big -size corporate loan MSME is di fferent. So we do have the breakup, which we have given in our sectoral asset advances slide in the investor presentation uploaded already.

Sanjay Shah: Yes, I will go through that. So , I can take it for this housing loan, it could be around INR 40 lakhs, INR 50 lakhs?
Srikrishnan H: It will be lesser actually. It will be more like a

bout INR 30 lakhs, INR 35 lakhs because actually in metros, it is higher. But wherever we are operating in mini metros, as you're aware. And that is that where it comes down a l ittle bit.
Sanjay Shah: Thank you sir. Thanks for being here.
Srikrishnan H: Thank you , Sanjay . Bye.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Srikrishnan H, sir, for closing comments.
Srikrishnan H: I wish to thank the faith that the investment community, capital market community and the institutional investors have reflected on the bank, specifically on the management and the path and the plans that we have been t alking about in the market. This is exciting time for us because, one, is the articulation of our strategy but the more important part is execution of our strategy. So we are on the execution mode right now. Whatever that we needed to do in terms of creat ing the headroom and putting the right resources and empowering them is something that we have done, we are actually beefing up the technology side to make sure that the architecture and the whole scaling up is something which is possible and all the inves tments related to that are being made and have been already.
And given this, we are rightly positioned for growth as reflected in the guidance so far in the call. And happy to take on any questions later on, on a one -on-one basis as and when any of the investors would like to. Thank you for your time, all of you, and thank you for taking the trouble to dial -in. Good evening to all of you.
Moderator: Thank you. On behalf of Karnataka Bank, that concludes this conference. Thank you for joining us, and you ma y now disconnect your lines.

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Call: May 2024

SECRETARIAL DEPARTMENT
May 2 6, 202 4
HO: SEC: 46:2024-25

1. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra -Kurla Complex, Bandra (E)
MUMBAI -400 051
Scrip Code: KTKBANK 2. The General Manager
BSE Limited
Corporate Relationship Dept
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI -400 001
Scrip Code: 532652

Madam / Dear Sir,

Sub: Transcript of Q 4FY24 Earnings Conference Call

Pursuant to Regulation 30 read with Clause 15 (b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post result s Analyst / Investor conference call held on May 24th, 2024 on the audited financial results of the Bank for the Quarter and Financial Year ended on March 31, 2024.

The same is also being made available on the Bank’s website under the following web link:
https://karnatakab ank.com/investor -portal/investor -presentations

This is for your kind information and dissemination .

Yours faithfully,

Sham K
Company Secretary
& Compliance Officer

Edited Transcript of
“Karnataka Bank Limited
Q4 FY '24 Earnings Conference Call ”
May 24, 202 4

MANAGEMENT : MR. SRIKRISHNAN H – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO – EXECUTIVE DIRECTOR – KARNATAKA BANK LIMITED
MR. BALACHANDRA Y V – CHIEF OPERATING OFFICER – KARNATAKA BANK LIMITED
MR. ABHISHEK SANKAR BAGCHI – CHIEF FINANCIAL OFFICER – KARNATAKA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY 2024 Earnings Conference Call, hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srikrishnan H, Ma naging Director and CEO from Karnataka Bank. Thank you, and over to you, sir.

Srikrishnan H: Thank you so much, Zico, and good evening, ladies and gentlemen. This is Srikrishnan, MD and CEO of Karnataka Bank. I'm joined here by Sekhar Rao, who is our Execu tive Director; Abhishek Bagchi , CFO ; Y V Balachandra , COO ; and Gokuldas Pai , Chief Business Officer ..

Welcome to this Karnataka Bank Q4 FY '24 Annual Results and Q4 call. We have had an excellent financial year with growth registered across all the key m etrics. As I've mentioned in the last couple of quarters, the key metrics that are critical to us , and that will define the bank's performance for the entire financial year , include growth in advances, aggregate deposits, improvement s in quality of our advances book; and favourable ROE and ROA for the stakeholders . We are glad to present that we are on the right growth path as we mov e forward.

I'm also pleased to announce that we completed our capital raising program, an ambitious program of INR 1,500 crores in a record 6 months' time . This was concluded prior to the financial year ending March 31 2024 by way of preferential allotment of INR 900 crores and INR 600 crores QIP, which was very overwhelmingly subscribed, and we have had so me very good quality institutional investors in the bank.

We also had the opportunity to exercise call option on Tier 2 bonds , and we did so during the financial year between November and February, totalling INR 720 crores at a coupon of 12%. This was very beneficial as we move forward with this benefit into the new year.

So some brief comments on the numbers, which have already been uploaded to the website and the stock exchange as well as our own website in the investor pre sentation. We have had the highest business turnover in the history of the bank , crossing INR 171,000 crores, w hich is up by 15% on year -on-year basis from March '23. Our Profit After Tax (PAT) has been an all-time high at INR 1,306.2 8 crores compared to INR 1,180.24 crores last year, an increase of 1 0.68%.

It is also noteworthy that during the last quarter, we had a onetime provision, which is the actuarial provision for long -term retirement benefits due to the revision in the 12 th Bipartite Wage Revision agreement , amounting to INR 152 crores. This is a one -time event and not a recurring issue.

And the other thing is that we celebrated our centenary year in February, a couple of months ago. During the centenary year , there were a lot of celebration at our branches and regions. This was again a one -time expense of about INR 11 crores during the quarter . So, in total, our onetime expense, which is not going to recur, amounts to INR 163 crores. After accounting for this one - time expense of INR 163 crores, the bank recorded a profit of INR 274 crores. Without this one -

time expense, our profit would have been INR 274 crores plus INR ~ 125 crores (net of taxes) , which is what we need to really count in terms of the running rate as far as the bank is concerned. This is, by far, very encouraging as far as our entire growth path is concerned. The positive aspect is about the key metrics that I'm going to call out right now. One is gross advances. Our advances book grew by

nearly 20%, specifically 19% and above . Our gross advances as of March 31, 2024, stood at INR 73,001.66 crores compared to INR 61,302.78 crores last year , recording, as I sai d, a 19 -plus percent growth. This outpaces the market, which is believably growing at about 15% to 16%. So this is good news in terms of making sure that we are growing our overall book.

Our aggregate deposit to support the growth in the advances also grew very well. We closed the year with INR 98,058 crores as on March 2024 , compared to INR 87,368 crores last year , a jump of nearly 12%. This growth is supported by a very good CASA ratio, which stood at about 31.97% of aggregate deposits. Between the retail term deposits , the retail CASA , and the overal l corporate deposits which are actually very minimal . We've been growing this book very well. All the branches are contributing, and it has been an all -around growth in terms of our deposits as well as advances. I will also talk about the constitution of each of th ese.

Because of this healthy growth, our CD ratio has been enhanced to 74.45 %. It's a continuously improving ratio. Quarter -on-quarter over the last financial year, we have been growing in this area. The good news also pertains to stressed assets. The net NPA has improved to 1.58% from 1.70% in March , and gross NPA has improved to 3.53% fro m 3.74%, but that's not all. The gross slippages ha ve come down to 2.8%, which marks a major improvement from the last financial year, where i t stood at 3.31%.

The overall standard restructured advances and also the GNPA, if we total it up, excluding related accounts , our gross advances number compared to March '22 was 9.51% as a percentage of GNPA plus restructured. As of March '23, it was 7.14%. And as of March '24, we have come down to 5.31%. So this is a very healthy trend as far as the bank is concerned because all the concerns that we had about the historical book are more or less brought under control, but there is still some way to go, and we are working very hard to ensure that we stay on right trajectory with regards to this ratio.

We have had a good recovery h ere. We recovered almost INR 276.98 crores , which is more or less in line with what happened last year a s well. So this is, again, a reflection of the fact that the collateral -based lending that the bank has done has yielded results even when it c omes to recoveries. Our PCR, the Provision Coverage Ratio , is standing at 79% at a similar level compared to the last year. So we maintained the same. And the core provisions without technical write -offs stands about 56%. It has improved b y 75 bps compared to March FY '23.

Our NII stood at INR 834 crores for the last quarter, it's marginally increased. And our NIM, which is a more important metric, stand at about 3.51% annually , which is in line with the guidance that we have given of 3.5% to 3.7%. Now , despite the increase in cost of deposits across the banking industry for the last 2 quarters, obviously, that had put a pressure on NIM. We are happy to report that our loan yields have continued to be at the same level at 9. 89%. So

the NIM, whi ch has seen couple of bps changes, has really not been impacted because it has been more due to the cost of funds, which has increased from 4.74 to about 5. 40 in March '24. Now we have launched a lot of initiatives to gain the benefit of CASA. So we are a bank that can collect direct taxes, can collect GST and also customs duty. And we also have inducted a whole lot of over 518 sales offices with feet on street for covering key markets and target segments. So the strong retail franchise of over 9 25 branches in Karnataka and across the country has definitely provided the access to low -cost deposits. We are not in the bulk deposit market. And that, again, is a reflection that all

our term deposits, 90% plus are lesser than INR2 crores,
which is again a good metric to have. And we are by far comfortable with this.

Our credit cost has improved to 0.84% compared to 1.48% last year. An d again, here, this is a reflection of the fact that our overall efficiencies have increased and our cost of delivery has also had a positive impact . Our cost -to-income ratio, which I have reported in a couple of quarters ever since we took charge saying that there will be a temporary increase, which has been reflected. So it has increased to 53 .15%.

But our guidance for this financial year , by the end of the financial year, 4 quarters from now, we should see sub -50 or closer to 50, which again, would be due to a lot of rationalization, a lot of digitized processes and ensuring that our cost is under control. But this is a temporary blip, whic h is primarily due to recruitment of people, investment in the technology platforms , and infrastructure.

Our ROE is very healthy despite an increase of INR 1,500 crores of base, we are at about 13.71%, obviously lesser than the last year 's 15.42%. But aga in, this will improve as this is a onetime impact due to the capital raise that has happened in the last quarter of the financial year. The ROA has been maintained about 1.22%. Our guidance has been 1.2% to 1.4%, we are sticking to that guidance. So this i s, again, good news for investors and stakeholders.

The capital adequacy ratio stands at 18% with a breakup of 16.17% in Tier 1 and 1.83% in Tier 2. And this is, again, very clearly reflected due to our capital raise. It's a substantial improvement, giving us good headroom as far as the growth is concerned. So the capital that we have raised will be used for funding growth in the book via advances because of the fact that we need to be maintaining a very healthy capital adequacy ratio. The rest of it is g oing to be primarily for investments into digital, technology and all of the infrastructure along with the people that are

required for repositioning this bank.
And as you are aware, we launched the campaign in the last quarter, coinciding with our centen ary year to reposition our bank as "A ap Ka Karnataka Bank, Bharat Ka Karnataka Bank."
So, this is something where, despite the fact that we have 2/3rd of our branches in Karnataka and the interior locations in Karnataka, we are very well covered nationally with 22 states and two union territories being represented. And these are all mainly urban branches. We believe that in the next couple of quarters an d years, we would actually have a 50 -50 mix between Karnataka and non -Karnataka business.

So on this note, I would like to conclude the initial commentary and introduction from the bank related to the results and would request our coordinator to pass on a ny questions, calls that would already have got queued.
Thank you once again for joining, and over to you, Zico.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Sandeep, who is an Investor . Please go ahead.
Sandeep: Thanks for the excellent result and thanks for your leadership. I really appreciate the way you are taking the bank forward. Sir, my question is with regard to the celebrations of 100 years, why did you not give investors the chance to celebrate with the bonus, sir?
Srikrishnan H: Sandeep, we have considered this, and we are also happy to announce that the Board has recommended a dividend of 55% today, and this will be recommended to the shareholders for approval, and this is much more than the 50%, which was declared last year. And this is on the higher capital base that we have actually enhanced now. So this is indeed a way to celebrate with our retail shareholders and along with the other new shareholders, the institutions who have come in.

So this is the first gesture from our side related to 55% dividend today.
Sandeep: Just one more question in terms of the net NPA. You did mention that it has come down to 1.53%. Is that correct?
Srikrishnan H: Yes, please.
Sandeep: And sir, in terms of recovery, are there any large recoveries expected in the next 2 quarters?
Srikrishnan H: So what we have done, just to correct you, it is 1.58% on the net NPA. Yes, as you are aware, about 75% of our entire book is covered with collateral. So as a result, the recoverability is very high when it comes to this. In terms of some other larger recoveries , last year, we had sold to a couple of AR Cs, and we have also done many onetime settlements, which was in excess of INR50 crores and INR70 crores and so on. But our average ticket size in terms of either OTS or recoveries or whatever as the sweet spot has always been up to INR50 crores and granul ar. So the data related to this is being uploaded in our website, along with our investor presentation.
Moderator: Thank you. I think the participant has dropped out, sir. Maybe go to the next question?
Srikrishnan H: Yes, please.
Moderator: The next quest ion is from the line of Darshan Deora , Individual Investor. Please go ahead.
Darshan Deora: Just wanted to get some more color on the NIM. So I see that our NIM has changed a little bit downwards between Q3 and Q4. Just wonder also to get your guidance for FY '25 on the NIM.
Srikrishnan H: Just to reiterate, there are two parts : Our overall loan yield and our cost of funds. The cost of funds, as you are aware, has been influenced by the lack of liquidity rather than the market conditions. There has been a f light of deposits into other investment opportunities due to the

interest rate scenario, resulting in pressure not only on our bank but across the banking system.
Consequently, our cost of funds has moved up, but it is under control at 5.33% to 5.40% . That's the first point.
Secondly, the good news is that our loan yield has not come down. We were always at the 9% to 9.99% in the last couple of quarters. So even in this scenario, we believe that we have done well as far as the loan yield is concerned. Going forward, the constitution of our gross advances, there's going to be a lot more focus on retail, and which is obviously high yielding compared to what otherwise was done.
Additionally, our focus on RAM, which is Retail, Agri and MSME, again, all the three will continue to have the same ratio along with SME, this constitutes almost 2/3rd of our book. And we have been definitely firing all our engines, which is the region, the clusters and the branches.

So we believe that we'll continue to grow and the NIM would continue to be at the same 3.5% to 3.7% range, Darshan.
Darshan Deora: Got it. And congratulations on the loan growth, I mean, 19% is a very tangible number, and it is completely in line with what you had said at the start of the year. Most of this growth has come from which sector though? Is it more from retail? Is it from big corporate or large corporate?
Srikrishnan H: So we have maintained the ratio more or less at the same level, Darshan. So about 46% of our book is basically retail and agr i and another about closer to 20% has been this SME and midsized corporates, and about 1/3 of our book is large corporates. Again, this large corporates we have institutions as well as corporates who are banking with us.
But going forward, the growth will continue to be more or less at the same kind of mix. But having said that, the retail growth and the MSME growth is something which is looking more promising. And we also believe that there will be some substitution in the large corporate advances where i t has been more opportunistic lending because of the fact that our CD ratio had some headroom. And we would probably replace that wi

th midsized corporate lending and we'll
also have the opportunity to throw multiple products, and that would have a positive impact on the ROA.
So the churn will be there more at the large corporate end and the rest of the 3 major focus sectors, RAM sectors, would continue to grow. So our growth path, if we continue the same way at about 18% to 20%, which has been the stated o bjective. So , we believe that somewhere between the 18% growth, we would be anywhere closer to about INR 90,000 crores as of the year-end FY '25 - exit FY '25.
Darshan Deora: That's great to hear, sir. And one last question on the CD ratio. So we have slow ly inched our way towards 75% rising every quarter. Have you sort of reached the optimal level? Or can we also aim for like maybe something along the lines of 80%, especially given that we have ambitious targets for advanced growth and the deposit envir onment still seems to be a little bit challenging.

Srikrishnan H: So our deposit engine has started firing well. In fact, we are monitoring this across all our 14 regions on a daily basis and accretion has been very healthy. So given that, we believe that the 75% is good, but we do have headroom. Technically, we can go up to about 80% also. And that 80%, it is not a stretch at all. It will be very comfortable. And there is also the deposit engine, which is funding the growth on advances. So , it's a very calibrated growth on both sides.
Darshan Deora: Great, sir. One last su ggestion. Point taken about the onetime expenses. It would be great if in the future, you could incorporate a slide where you sort of give us the proforma financials and the ROA and ROE numbers excluding the onetime expenses. So just that as analysts becom es a lot easier for us to have that data.
Srikrishnan H: Point taken. And in fact, this time, even in our investor presentation, we have clearly highlighted it on the slides . But yes, we have not included a scenario with and without it technically, but we will check it out. But yes, point taken. And with analysts, we are explaining this, and this is a one-off nonrecurring expense, as I mentioned earlier. This is due to the wage settlement and actuarial provisioning that has been made. We could have done it in multiple quarters like many other banks, but we thought that it is prudent to have this done because we have done well in terms of our strong financials. So we thought that it would be prudent to do it in this quarter itself.
Moderator: Thank you. The next question is from the line of Prakriti Banka from HSBC Mutual Funds. Please go ahead.
Prakriti Banka: Sir I would just request you to publish your results and give us enough time in the future to sort of go before we come for the call, so that it is mo re fruitful for you and for us as well.
Srikrishnan H: Point taken, ma'am, surely. Prakriti you can always reach out to us.
Prakriti Banka: No, sure it's just that , I mean, right now, I'm on the road sir, even the questions just probably going to be some thing that I could have gotten and will be getting out of the presentation as well. So it's just a better use of all our time.
Srikrishnan H: We understand.
Prakriti Banka: Yes. Just quickly, within retail, what are the segments that are driving your growth ?
Srikrishnan H: So within retail, on the asset side, primarily speaking gold loan s and housing loans, these are 2 flagship products, which has resulted in a good growth rate. The Middle Market, which is comprising of MSME also has been kicking in well. So the ratios, if you really look through, these are the three main sectors which have contributed to the growth on the asset side.
On the deposit side, 90% of our deposits are INR 2 crores and lesser. So this is something which

we believe that is very heal thy. And one more product that the bank is looking at, and since we do

not have a credit card product from the retail assets. And as you are aware that 90% of our book has been collateral based on the advances side. So for the first time, the Board has app roved a policy for unsecured, and this will be primarily driven by the credit line on UPI as a product.

And we are engaged with one of the leaders in this space, large fintech NBFC. And we believe that with that will be the beginning of our launching of re tail asset program, including unsecured.

Prakriti Banka: Got it. MSME how much did you say that word because you were also in the process of revamping your risk assessment, et cetera, of MSME, right? So maybe what I thought that was going to be coming a little later. Are we ready with that right now?

Srikrishnan H: No. that is still WIP. But the growth in terms of the overall MSME business has been about 18% to 20% so far. And our Investor presentation has the sector -wise growth in terms of both advances and asset quality, which is, again, for the first time we have divided that by sector in both the cases. So that will give you an idea. But just to call out now, MSME is about 24.7%; retail is about 24.4%; and Agri is about 13%. So if you total th ese 3, we are closer to 63%, as I said. And if you add the SMEs, it's a little more. And then that leaves only the larger corporates and the others, such as NBFC.

Prakriti Banka: Got it. Also just this mix, the main drivers that you mentioned in retail, are these going to be the main drivers? Because I mean, housing , from what I understand, what is the competitive scenario like? And would that be a bit, say, really dilutive from where you ar e right now?

Srikrishnan H: We are approaching this in a slightly different way, this entire season. So what we are trying to do, we have a lot of builder relationships in the key cities. So particularly in Bangalore, Mangalore, Chennai and a couple of oth er places, we have this huge builder tie -ups. Now construction level financing, which leads retail into housing loans and construction financing in the commercial side, which will lead us into an LRD product that is being promoted at the branch level.

So, between Sekhar and I, we have been going to all the regions and doing reviews with the branch heads to that level of granularit y. We are promoting the relationships as well as the business, which will be like package so that we have a continuous relations hip not just ending with a construction loan, but which will gradually become a longer -term relationship with multiple counterparties associated with them.

And just to give you the sector -wise on this credit portfolio also, as I was saying, even on the quantum, retail up to INR 7.5 crores is almost like 67% of our portfolio within retail. And INR 7.5 crores up to INR 100 crores is the balance, which is the 33%, which is comprising of the mid -corporate and the SME level, yes.

Moderator: Thank you. L adies and gentlemen, the next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Again, as a suggestion, it would be great if you can follow the best practices of some other peer bank like federal, et cetera, f or presenting this because, a, there is no time which has given for the analysts to understand what has come in the presentation. There's hardly any time between the disbursal of the result and the analyst call. B, they're barring one slide, sir, all the o ther slides are pertaining to financial year. So it is not that we are not able to make out what has happened in the quarter. It is more like a financial year presentation.

Srikrishnan H: Sarvesh, point noted, and apologies on this. This is a day which was v ery important from a Board perspective because we handle many more other progressive, few of an

d very developmental kind of agenda items. Yes, we will give you more time and we'll ensure that this is not repeated again. And we are available for any calls l ater on. If you do want to ask questions, after looking at our investor PPT, which has been uploaded to our website, we are happy to answer calls later. You can reach out to us.

Sarvesh Gupta: Yes. Okay, sir. And sir, on the questions part, so last financi al year, in 4Q, we had shown a degrowth because we had gone on a strategy to increase our retail mix. This year, overall, if I see the mix has actually gone again in the favour of large corporates and we have also seen a steep decline in the NIM. So , this is something which is slightly contra to our understanding of the bank's strategy?

Srikrishnan H: I think that if you look to our growth in the advances ' portfolio, it is not what you are seeing because our growth in retail on enhanced book of closer to IN R 13,000 crores. If we have maintained the same mix of business at 2/3rd coming from retail and MSME and agri. So , we believe that we have done well because we have not gone into the corporate side. That is one. The second is the large corporates. Out of that, there is a portion which is large corporate, which is very, let's say, high -end PSU, opportunistic treasury k ind of lending. And there is a portion which is the longer -term corporate lending, but without products.

So, this is where we are going to do a churn as a strategy this year to develop a midsized corporate business and we have recruited midsized corporate wholesale banking head from DBS and Standard Chartered Bank. He was running this business in those banks. And we believe that the relationships that come along with him and as the bank we'll be able to focus and grow that. So, between the growth that we h ave already demonstrated this year, last year, just to kind of call it out, there was a very clear decision to get out of very high -cost deposits and in the process to kind of get some of those loans repaid, but this has not happened this year.

So, deposi ts are growing in excess of the liquidity we have deployed, and these are all short - term loans that are more market rate -based . So, the last point, which you asked about was NIM. For a growing bank and for a bank which is embarked on a transformation journ ey like us, we believe that anywhere 3.4% to 3.7% is a very good kind of a range. We have actually exceeded that range to be about 3.51%. The last year was different because it was a limited size book. But in the enhanced book and despite the huge pressure on NIMs across all banks on deposits because this is actually deposits, which is impacted us and not the loan yield, as I said earlier. So, we believe that we should be able to take this even better because even if deposit and the interest rates are not very favourable, we believe that the growth in retail would give us a kicker in the yield and would improve this current loan yield from our 9. 89% to probably a little more. So, we believe that maintaining NIM and growing this within the range that we have guided, which is 3.5% to 3.7% is possible and this is good for us from our perspective.

Sarvesh Gupta: Sir, what sort of growth guidance will you be factoring in? Because this time, we have got 19%, but that is on the back of 4Q '23, which was a degrowth quarter. So now going forward, what sort of advances growth rate are you pencilling in?

Srikrishnan H: So, we are targeting technically anywhere between 20% to 21% as far as the growth and advances is concerned. And this is on the book, which is at INR 73,001 crores. And we believe that anywhere between INR 15,000 to INR 16,000 crores more if we add we are growing much ahead of the market. And this was my stated objective when I took charge, saying that 3 years, which was way back in June '23, before we eve n settled down in the bank, I said that we should be looking at INR 100,000 crores advances book, exit March '26. And I think we are sticking to that, and we are very well on track as far as the run rate is concerned.

Sarvesh Gupta: Sir, on cost to income, now if I adjust this INR 153 crores plus INR 11 crores, then we are already at the 50% cost to income. So , now last year, we had also sort of put in a lot more resources to increase the retail mix and all. So , going forward, are you expecting any s ort of benefits flowing in from the cost to income going down from this 50% that is there in FY '24?

Srikrishnan H: So, there are 2 parts to this. One is that we have to limit our costs; and the second is to increase our income. Now both are the strategies that we are adopting. So , the cost part of it, over the last 8 to 10 months, we have brought in lateral leadership teams. We have a new CIO. We have a new Chief Product Officer. We have a new wholesale and a midsized corporate business head. We have an IR and a partnership head. We have all such very specialist kind of recruitments already done.

The second is that our baseline technology we have added. So , we have embarked on a project, which is to make sure that our entire digitized platforms, our analyt ics-driven platforms are all fully in swing. So basic and baseline investments related to that and the architectural part to scale up in terms of volumes, reliability and scalability has also been done from a technology perspective.

Last one is that we we re focusing a lot on process. So , there are a lot of process improvement that have been done, including centralization. We're setting up our national back office in Mangalore and we believe that, that would result in a lot of cost efficiencies as well as operational efficiencies by releasing bandwidth at the branches for doing more sales.

Last part is about investment into people, sales teams. As you are aware, we are a bank where the feet on street and the sales team have low fixed costs and higher variab le costs. So , we have rolled out a variable pay program, which is based on performance, basically increasing in business even at a branch level. So over and above the pay scales that are currently there, whether they're IBA -based or whatever, we still have this variable pay program which we have launched, which are linked to targets and which are linked to performances. And this includes group targets, which is a branch target also.

So, we want to make sure that all of the distribution outlets that we have are all meeting targets and actually becoming more and more productive. The last one year, we have made sure that the contribution, which is the business contribution volume by employee, has improved significantly and we want to increase that even further .

Sarvesh Gupta: So, sir, are you expecting this 50% to go down materially this financial year?

Srikrishnan H: Earlier I had committed saying that we will bring this cost to income closer to sub -50 by the end of this financial year FY '25.

Sarvesh Gupta: Okay, sir. And sir, finally, now our credit cost has come at 0.8% odd. So how do you see that playing out in the coming year? What would be the gross credit cost? And have you seen a lot of recoveries this year, which has helped this partially? Or how do yo u see it coming ?

Srikrishnan H: So, banking industry works around 1%. So obviously, we have done well this year, but we believe that even anywhere within up to 1% is good. But we do have a good recovery rate even now as I speak to you because this is worki ng very well because the overall GNPA numbers, the slippages have come down and recoveries have been very, very healthy. And we believe that this quarter and the following quarters this year also, we would have some healthy recoveries, which would have an impact. So , I

guess we would be hovering around between 0.85 to 100 bps.

Moderator: The next question is from the line of Sushil Choksey from Individual Investor.

Sushil Choksey: Congratulations to team Karnataka for having an excellent year in terms of fund raise and various aspirations. The first question you answered to the first questioner about the aspirational growth to INR 90,000 crores to INR 1 lakh crores between '25 and '26. To sustain that kind of credit growth, how are we working towards human resource and trade deposit mobilization?

Srikrishnan H: Thank you, sir, for the compliments. And yes, this is the next phase of growth. So basically, what we have done is that we have set us the baseline in terms of setting ourselves up for growth in the advances as well as for the deposit side. So , there are 3 parts as far as the deposit is concerned. One is that there is a franchise which is through the branches. The second is through the sales teams because we've created a sales organization. The third is that for our existing to bank ETBs, we have a data -driven analytics platform, which gives a lead generation on the basis of transactional behaviour of each of our clients. And this has kicked in very well.

So, on a regular basis from the back end from the Analytical C entre of Excellence, we are pumping in data to say that who are our target for FDs, who are our target for third -party products like insurance? Who are our products? Who are our targets for converting dormant account into an active account and so on. So basically, this has been on the deposit side. As far as the loan engine is concerned, we have very clearly done some verticals. We also got it in the investor presentation. So , we have already made an offer to a retail asset and the MSME busi ness head. He's joining us shortly. And we already have our midsized corporate business head who has been in the system for about last 45 days.

And we already have started a lot of process transformation specifically on the credit processes by deploying o ne of our world -class Singapore -based agency who have got a lot of banking experience in India. They are professional risk and credit managers who have worked in larger banks. This is a 12 -month project . So, between the new people coming in, the coverage t eam between strengthening credit sanctions and credit processes through this transformational study and also the technology, which I called out for on the deposit side. We believe that we have the capital. We have strengthened the key management and creati on of the sales customer -centric organization.

We have increased our product range. We have launched 18 new products in this financial year. And these are all CASA and some more are coming in, as I was telling the earlier caller about something on the ret ail asset side also. So this is going to be a continuous process for both the retail and the MSME advances and on the deposit engine, sir.

Sushil Choksey: Okay. What is the sustainable employee cost? Because this year, I suppose IBA would have impacted in the annual payout. So , what is our sustainable employee cost on a year -on-year basis?
Srikrishnan H: So last year, if you look through, we have accounted for it, ever since November '22, we have been providing for this, and it is something that which ha s already been boxed there. The second thing was that because of the pay scales, which were announced just now, we had to do actuarial provisioning for increase in leave, increase in the pension, increase in a couple of other retiral benefits and so on, wh ich is the onetime that we have incurred.
Sushil Choksey: What is the number on onetime?
Srikrishnan H: The number on onetime is INR 152 crores on just this actuarial provisioning in this quarter. The running rate as of March '24, our overall staff, which is including salary plus super

annuation
benefits is closer to INR 1,372 crores. So , if you want to know the number, yes, it will be anywhere between INR 1,300 crores to INR 1,400 crores on the overall number.
Sushil Choksey: And to the previous quest ioner you spoke about financing home loans and construction loans and LRD. Are we targeting more of an affordable segment for a higher yield? Or are we going to do normal home loan products like any other bank?
Srikrishnan H: We'll do both, sir and we want to consolidate in markets where we are present. So as I was mentioning earlier, Bangalore, we have over 100 branches. Obviously, we want to take advantage of that, and we are trying to set up a retail digital factory there, which will basically be the uni fied kind of retail hub. If we succeed here, then we would want to kind of replicate it in major T2, T3 locations also because this is the way that the retail business is going and that's where the process transformation part happens. Affordable housing, w e have been funding directly to a couple of NBFCs. And if we believe that we could get into some kind of strategic arrangement based on our experience, we will definitely be considering that also.
Sushil Choksey: What kind of TAT are we targeting in this s egment?
Srikrishnan H: Sorry, repeat your question?
Sushil Choksey: What kind of TAT are we targeting on the segment of housing loans, gold loans. Gold are less than few hours, but then a housing loan or a consumer loan?
Srikrishnan H: So, what we are tryi ng to do is that if we have this builder tie -ups, which is what we are aiming, then the whole project gets approved. And then other than your Aadhar and your income verification with the individuals, we do not have to repeat anything related to that docume ntation and approvals. So, we believe that we would want to get into a T plus one TAT as far as the housing loan is concerned on this kind of pre -approved projects.

Sushil Choksey: Sir, the entire banking industry is benefited by RBI dividend and inclusion in the bond index, JPMorgan, Bloomberg. What is comforting Karnataka Bank Treasury on an outlook for the current year? And will we monetize our treasury for gains and look for more credit growth by booking profit if you get 675, 685 range?
Srikrishnan H: So Sekhar is here, our Executive Director. He will take on this question because he is actively involved in managing treasury. But more from an overall perspective, let me tell you that we are managing about close to INR 26,000 crores to INR 30,000 crores treasury book, and that's not small. Secondly, we do have positions, which are very favourable if the interest rate movement also become favourable. So, at any point of time, opportunity wise, we will definitely encash.
But Sekhar, would you be able to tak e on this?
Sekhar Sridhar Rao: So, regarding the RBI, yes, there could be some near -term impact, and we will navigate through that. As is the case with most banks, there could be some positive outcomes, and we won't miss the opportunity there.
On the sligh tly mid -term to long term, there are a couple of events, of course, the big one being the elections results, then the U.S. elections as well. And the guidance on what we call reference rate. So, we are watching it closely, but we see that over the year, al l other things considered, there could be some favourable rate movements. Accordingly, we will calibrate our treasury of strategy as well.
Sushil Choksey: And my last question to Sri. Your strategy in the last 12 months has worked towards equity raise. Now your aspirational goal of INR 1 lakh crores advances by FY '26. Based on your calculation between retained profit and the current equity other than Tier 1 and Tier 2 bonds, would you raise equity in the next 24 months or there's no equity required?
Srikri shnan H: I think we are good up to,

our INR 90,000 crores to INR 1 lakh crores target because, as you know, we have repaid INR 720 crores of Tier 2. And at any point of time, if our capital adequacy

is under challenged, if interest rates are favourable and our bank growth reflects in better credit rating for us, we'd be able to get some funds at reasonable cost.
And we believe that cost of funding because of the equity we have done already, and we believe that the next round could be a Tier 2. And with that , we'll be able to manage very clearly up to this INR 1 lakh crore.
Moderator: The next question is from the line of Prabal from Ambit Capital.
Prabal: The first question is on the movement of NPA, if you could highlight slippages, recoveries and write -offs for the quarter?
Srikrishnan H: Okay. Here you go. So as far as on our entire stressed asset is concerned, net NPA has come down. I'll call out some numbers so that you would be more comfortable. Our total NPA as of March '24 was INR 2,578 crore s and without related accounts, our restructured assets ha ve come down to INR 1,295 crores.

So, if you look through this as a percentage of gross advances, this is about 5.31%, which is comfortable because for NPA, we would have provided for at least up to 65% or sometimes more depending on the weightages. And on the restructured book, we would have a provision of about 15%. So that is why the coverage, the PCR is also intact.
Second is that there is a technical write -off book, and there is also a recovery . Recovery from existing NPAs, even if it is half and half, we believe that this would contribute to the overall metrics as we go forward because on an average, we have been collecting , recovering at least about INR 300 crores or so.
The third is that in terms of, let's say, the historical assets and the new assets. The new assets we have put in place a lot of credit monitoring mechanisms, and we believe that the new book that we have is pretty healthy. And we have also got the earlier book under control because at some point of time, we see if you are aware. The bank, we were standing at about INR 4,500 crores of restructured book, which has come down to less than 1/3 rd. So, we have done well as far as the overall quality is concerned.
Now the seco nd part to your question is related to how would you look going forward? I guess that we want to get the GNPA to about 3% and NNPA to closer to 1% to 1.2%. So, this is how it will play out as we go forward.
Prabal: Okay. And what was the slippage during th e quarter?
Srikrishnan H: I think it was 2.88%.
Prabal: In absolute amount sir?
Srikrishnan H: In absolute amounts, just hold down. Let me ask my CFO. You go on with your next question, he'll be pulling out the data. Slippages actual amount.
Prabal: Last q uarter, we had some issues with the restructured book, which through slippages of INR 210 crores. How is the trend this quarter? And how do you see that going ahead?
Srikrishnan H: So, as I was telling you that with related accounts, our total re structured book has come down to INR 1,536 crores and without related accounts, it's come down to INR 1,295 crores. Now I think the better part of the restructured book management has happened already. And whatever is left, we are having adequate collateral. So that is something which is not an issue.
Now in terms of the slippages, just to kind of give you the overall number, INR 527.58 crores is the position as of March '24 - for the quarter And INR 1,650.20 crores is for the full year , as against INR 1,836 crores for the previous year and as against INR 587 crores to INR 527 crores for the quarter.
Prabal: So, INR 525 crores for the quarter, slippages?
Srikrishnan H: Yes, approx. INR 525 crores versus the earlier corresponding quar ter of INR 587 crores.

Prabal: So, but we were having a run rate of INR 300 crores so last quarter this INR 500 crores also included INR 200 crores slippages from the previous year have you seen similar slippages this quarter as well?
Srikrishnan H: Yes, this is a combined book because what has happened is that this - I'm talking to you, including the restructured book which would have resulted in some. But overall, as I told you that despite this, the reductions, there are some reducti ons of closer to INR 300 crores as far as that is, I'm only talking about additions and reductions. The addition was INR 527 crores, the

reduction was INR 305 crores. So, the net impact is something that you do have.
Write -offs are lesser and the closing balance is not as much as what it used to be earlier. And likewise, on the annual basis also, gross slippage has dropped from INR 1,836 crores to INR 1,650 crores. So, which means that close to about INR 50 crores plus per quarter.
Prabal: Okay. Out o f this INR 305 crores, how much would be write -offs and how much would be recoveries?
Srikrishnan H: INR 305 crores is excluding write -offs.
Prabal: Okay. And the write -offs would be how much?
Srikrishnan H: I think INR 180 crores for the quarter.
Sekhar S ridhar Rao: Total of recovery / reduction and write -off is close to INR 500 crores for the quarter .
Prabal: Sir, second question would be if you can provide the exit loan yield and cost of funds for the quarter like what a rate did, we exit the 4Q?
Srikrishnan H: Loan yield is 9. 89% for the entire year, and cost of funds is 5.40%.
Prabal: And for the quarter, this would be?
Srikrishnan H: Quarter will be around 5. 55% for the quarter on cost of funds and loan yields around 9.75%.
Prabal: Loans yields Q-on-Q has come down, is it?
Srikrishnan H: This is only the last quarter because of the mix of the business a little bit. But the overall for the year, we have maintained it at 9.9%.
Prabal: But in your opening remarks, you mentioned that the growth came from retail and MSME. So Ideally Q -on-Q rate should have improved.
Srikrishnan H: So there's something which you need to understand that the last year, 2/3 of our book comprises, as I said, within the 2/3, 45% is retail and agri. And about 20% is MSME and SME. Now this three are different in nature. Out of that the retail flagship products are housing loan and gold loan. These are the two. Gold is better yield, but gold loan doesn't grow that much. So obviously, we've been calibrating that.

But housing loa n is almost like 1/4 of our overall retail assets. So , the rates in home loans right now, as you are aware, the market has been very competitive. So , we also have been doing at 8.6% as a product. But given that, obviously, it is not like the earlier home l oans, which have been running at a higher rate. But on a blended basis, we are still good.
Prabal: Okay. So , if this is to continue, then the yield would be either stable or it could further come down under pressure given the competitive project?
Sekhar Rao: On the cost of deposits, we are projecting that we have nearly reached parity . Additionally, we will obse rve a tapering effect. Previously, we had initiated some high 555 -day deposit programs, which are transitioning from headline interest rates to lower rates. Consequently, we anticipate a clear downward trend in interest rates. Moreover, the guidance on the broader market side also indicates this.
Srikrishnan H: Interest rates coming down.
Sekhar Rao: Interest rates coming down. So , we will see improvements in NIM and primarily led by, what we call, moderating cost of deposit.
Srikrishnan H: And also the inc rease in the loan yields because of a mix that we have been looking at. And as I said to our earlier caller, we are launching a co

uple of retail asset products, which are for the first time in this bank are going to be unsecured and this would perhaps have a better yield also. Which is not that we won't berserk on the numbers, but at least this is like a good start that we want to do in this area.
Prabal: So, in second question, how will you have other income? If you can break this up into, say, fee income and KG recoveries that We have done the code.
Srikrishnan H: Other income. Okay. Can we send that to you?
Prabal: Yes, sure you can send that to me. And if the percentage is available but I could not find that in PPT?
Srikrishnan H: One second hold on in f act you say he's calling out here it is there.
Sekhar Rao: INR 1,318.91 crore as against INR 992.58 crore last year.
Srikrishnan H: You got it, Prabal?
Prabal: No, sir.
Sekhar Rao: So, it is at INR 1,318.91 crore as against INR 992.58 crore last year.
Srikrishnan H: Out of that, the breakup you wanted? So the breakup is...
Prabal: Sir, I wanted break up of other income during the quarter 4...

Srikrishnan H: We'll send that to you. Basically, there are 4 headline items there. One is commission and exchan ges, other is recovery from write -off accounts. Income from ATM and other channels the miscellaneous etc. And depreciation on investment, which is essentially and trading profits. So we will give you the breakup. We'll send it to you.

Prabal: And then just last question. So , we have been building such a superb team and we're also getting retail heads and wholesale banking heads, how are you attracting these people? And what is their compensation in terms of whether they have been given a swap on how is it l ike?

Srikrishnan H: So this entire management team that has joined us at least about 6, 7 of them have all come in on a CTC basis. That's one. The CTC comprises of, obviously, fixed and variable. And within the variable about 50% of their variable based on performance would be through grant of shares, which is as part of the existing scheme that we have.

So, it is not that we are attracting people with ESOP. They are all coming in with a very clear opportunity as a target, working with the new management t o transform the bank and really pair the path as far as the growth journey is concerned. So , we have done well in terms of attracting the right talent and who are culturally fitting into the bank and working and integrating with our existi ng team of veterans from Karnataka Bank.

So, if you go to our investor presentation now, you will see that we are almost like a 50 -50 from an overall general management perspective in terms of the number of people. We had 2 of our very senior COO and CBO, who's contract is getting over now as of May 31 , 2024 . We have done some restructuring, and that is how we have presented this experience management where between the existing and the new.

We have been kind of balancing it out. Going forward, as I said, we have already given an offer for hea d of retail and MSME advances and also head of Retail Collections. So those are all one or two positions that are key and strategic. We've also recruited recently head of Digital under our Chief Digital Officer, who has also come from ex Citi, HDFC and so on. So that way, we have been able to attract talent. And as I said, on the basis of CTC and a mix of variable, which includes the stock but then within the variable.

Prabal: Thank you, sir, and all the best.

Moderator: Thank you. The next question is from the line of Sanjay Shah from Ksa Securities Private Limited. Please go ahead.

Sanjay Shah: And pass through a really exciting year which we understand from the hardship what you have taken after taking over as a new management. So my question was very bro ad-based. What changes you have seen in the bank after you coming in. And what you see with this digi

tal
support, technology support, bringing in some FinTech partnership? How do you see that our bank is doing from current year onwards?

Srikrishnan H: Than k you, Sanjay, for the compliments. And yes, it has been exciting for all of us because we are not only joined by new management, but the existing management and the entire workforce

at Karnataka Bank are quite thrilled and participating actively in this t ransformation journey. So there are 3 things that we did. One is that we created the headroom as far as capital is concerned. The second thing that we did was we strengthened the management team. The third thing that we are doing is simplifying and organi zing our processes and centralization and all that, which basically includes creating a national back office in Bangalore, which is very good because we've got our infrastructure and people here.

And in terms of expanding our business, obviously, there is a cultural shift, so which is where we are making our entire organization outbound outward looking with the sales orientation and making sure that the sales organization on the sales culture settles in well. Along with that, we also have benchmarked and d igitized a lot of products both from a customer benefit as well as internal process on TATs and so on.

So this has been the next progressive thing that we have done. Last but not the least, in addition to increasing awareness and repositioning our brand, we have also attracted numerous partnerships . So especially on the digital and client acquisitions through partners, which are in 3 or 4 different specific areas, specifically on distribution products through insurance and investments and so on, we have four new partnerships.

We have actually done partnerships on insurance, both life as well as non -life and also integrating with them on the digital side. And last but not the least, is the co -lending where we have been very carefully selecting sourcing part ners for us with our credit standards related to

MSME and impact -based lending.
It is also some on the personal loan side. So we've been calibrating this and testing waters our overall acquisition side of the advances also. So it's a combination of all of these initiatives that we have taken. And we believe that with all this the whole Indian runs this year. And for the following years, we will be able to generate much more in terms of overall volume.
Sanjay Shah: So carry forward our traditional business, we are focusing on some asset origination tie -ups from which we can grow from here like co -lending with Yubi and Northern Arc and all. So we wish you good luck for that, and we also see that exciting time coming for us in quarters to come. So my second qu estion was i.e., can you give us what is the average loan book size for our housing loan average loan book?
Srikrishnan H: So just summarize the earlier conversation, and you wanted to know. We are doing this co - lending selectively. It's not that we are going all out on that. It's just one more avenue for us as well as that business acquisition is concerned, so that we test the waters. Overall, our loan average, I would say that if you take our overall wholesale plus retail and housing, etc. I NR 40 lakhs to INR 50 lakhs could be an average per loan ticket size.
But actually, that is to be looked at by segment because by segment averages are very different. Housing loan segment is different. Gold loan is different. Then your big -size corporate loan MSME is different. So we do have the breakup, which we have given in our sectoral asset advances slide in the investor presentation uploaded already.

Sanjay Shah: Yes, I will go through that. So , I can take it for this housing loan, it could be around INR 40 lakhs , INR 50 lakhs?
Srikrishnan H: It will be lesse

r actually. It will be more like about INR 30 lakhs, INR 35 lakhs because actually in metros, it is higher. But wherever we are operating in mini metros, as you're aware. And that is that where it comes down a little bit.
Sanjay Shah: Thank you sir. Thanks for being here.
Srikrishnan H: Thank you. Sanjay, Bhai.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conf erence over to Mr. Srikrishnan H, sir, for closing comments.
Srikrishnan H: I wish to thank the faith that the investment community, capital market community and the institutional investors have reflected on the bank, specifically on the management and the path and the plans that we have been talking about in the market. This is exciting time for us because, one, is the articulation of our strategy but the more important part is execution of our strategy. So we are on the execution mode right now. Whatever that we needed to do in terms of creating the headroom and putting the right resources and empowering them is something that we have done, we are actually beefing up the technology side to make sure that the architecture and the whole scaling up is someth ing which is possible and all the investments related to that are being made and have been already.
And given this, we are rightly positioned for growth as reflected in the guidance so far in the call. And happy to take on any questions later on, on a one -on-one basis as and when any of the investors would like to. Thank you for your time, all of you, and thank you for taking the trouble to dial -in. Good evening to all of you.
Moderator: Thank you. On behalf of Karnataka Bank, that concludes this conferenc e. Thank you for joining us, and you may now disconnect your lines.

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Call: Jul 2024

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228 182
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.com
Mangal uru – 575 002 CIN : L85110KA1924PLC001128
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Madam /Dear Sir,

Sub: Transcript of Q 1FY25 Earnings Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts/institutional investors con ference call held on July 24, 202 4, on the unaudited Standalone & Consolidated financial r esults of the Bank for the quarter ended June 30, 2024.
The same is also made available on the Bank's website under the following web link:
https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Q1 FY2025
Earnings Conference Call"

July 24, 2024

MANAGEMENT : MR. SRIKRISHNAN H - MD AND CEO
MR. SEKHAR RAO- EXECUTIVE DIRECTOR
MR. RAVICHANDRAN S – GENERAL MANAGER
(CREDIT SANCTIONS)
MR. JAYANAGARAJA RAO S- GENERAL MANAGER

(BRANCH BANKING AND RETAIL)
MR. VINAYA BHAT P J- CHIEF COMPLIANCE OFFICER
MR. ABHISHEK SANKAR BAGCHI – CFO
MR. SHAM K. - COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2025 Earnings Conference Call hosted by Karnataka Bank.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Srikrishnan H – MD and CEO from Karnataka Bank. Thank you and over to you, sir.
Srikrishnan H: Thank you, Siddharth. Good evening to all ladies and gentlemen. This is Srikrishnan – MD & CEO of Karnataka Bank. I am speaking to you from our headquarters in Mangalore.
I am joined by Executive Director – Sekhar Rao, Senior Management Team members, GMs, Ravichandran – Head of Credit; Jayanagaraja Rao, who is GM in charge of Branch Banking and Retail; the Chief Compliance Officer – Vinaya Bhat; CFO – Abhishek Bagchi and Company Secretary – Sham K. So, we are happy to talk to all of you and introduce the Q1 FY25 Results of Karnataka Bank.
Post completion of the successful centenary year in FY23-24 wherein we had major celebrations in February '24, the financial achievements that included the highest record pre- and post-tax profit, and a record capital raising program, we are very pleased to inform you that we had a very good Q1 for FY24-25 with growth that has been registered across most of the key metrics.
We continue to focus on the critical metrics that will define our Bank's performance in advances, deposits, improvement in quality of the advances book, profitability and NIM and very favorable ROE and ROA for our stakeholders. We are on an accelerated path in all of these.
Some very brief comments about the numbers:
We have recorded the highest business turnover in the history of the Bank at Rs.1,75,619 crores. This is up by 17.1% on a Y-o-Y basis from June '23, which was the corresponding quarter Q1 of FY24 and by about 2.7% on a Q-o-Q basis from the quarter ended March 2024.
On profit after tax, we recorded the highest ever quarterly profit in the history of the Bank of Rs. 400.33 crores for Q1 FY25, as against the last corresponding quarter Rs. 370.70 crores for Q1 of 2023-24. That is an increase of about 8%.
On a Q-o-Q basis we saw a significant rise in PAT which was Rs. 400 crores for Q1 FY25. Of course we had a one-timer there, but on the basis of actual which is Rs. 274.24 crores recorded in March of '24, the increase has been 45.98%. Due to a change in the accounting policy, which is again dictated by the Reserve Bank of India, guidelines pertaining to investments, transitional adjustments on account of available for sale, which is the AFS book, and other securities has been credited to the AFS reserve, contrary to how we were taking it into P&L earlier. So, the

transitional adjustments on account of 'Available For Sale' ('AFS') portfolio and other securities has been credited to "AFS Reserve" and opening "Revenue Reserve" to the extent of Rs. 106.88 crore and Rs. 24.68 crore respectively. If we had continued the earlier policy, the income on investments would have been lower by Rs. 7.67 crores, but other income would have been higher by Rs. 40.41 crores, whereby profit after tax would have been higher by Rs. 32.74 crores. Now this has not been taken into our profits as I said earlier, and this has been transferred to the AFS Reserve Book.
On the other parameters, starting with gross advances, we clocked the highest is the Bank's history of Rs. 75,455 crores as on June 30th, 2024, as against Rs. 73,002 crores as of March 31, 2024, reflecting a growth of 3.36% on a Q-on-Q basis. On a YoY basis, we witnessed a growth of 19.75% when compared to the Q1 of 2023-24.
Now this agai

n is a good number because on an annualized basis we are still continuing the trend. The good part about this growth is that out of the Rs. 2,454 crores that we have grown, closer to 1,290 which is about 50% has come from retail advances. This is a significant change compared to the past; now we have been growing the retail book and it continues to grow so. And of course our focus on mid-corporate advances and the RAM segment, and also some of the large corporate advances that we've been taking advantage of an opportunistic interest rate scenario compared to our treasury investments are continuing, but direct to customer advances, and also making sure that we are establishing new relationships is continuing because of the new setup that we have and the addition to our leadership team in the form of a Head of Corporate business that we have done in the previous quarter.

On aggregate deposits, we have clocked a record magic number of Rs. 1,00,163.92 crores. And this is again, ladies and gentlemen, the highest in the history of the Bank, as against Rs. 98,057.83 crores as of 31st March 2024, reflecting a Q-o-Q growth of a 2.15%. And on a YoY basis we have clocked a growth of 15.18%, which is very much comparable with the market overall across all banks, where we were Rs. 86,959.86 crores as of 30th June, 23. The CASA deposit stands at about 30.54% - this has decreased and this is an area where we need improvement. This is a market-wide phenomenon though - not that we are taking cover under that. But having said that, we are proposing a very, very clear strategy on covering this CASA through direct collection of taxes, GST, customs duty. Also we are happy to announce that we have integrated with Khajane-II, which is the government of Karnataka treasury systems where we will soon be a Bank to collect Challan receipts for various government payments. So, this will again have a focus as far as our overall liability accretion is concerned. In addition to that, in the last quarter, we have launched a senior citizen product called KBL WISE, which has top-up insurance and a lot of other very good features which has actually got a wide publicity and good traction. We believe that we will be able to extend such new features to segment wise retail on the liability side which will cover self-employed, students, etc. along with a couple of other bundled products like we have done with salary savings, and a current account purple product that we have launched in a couple of quarters before. So, based on all of this we believe that we will be in a better position as far as our CASA is concerned.

I go to the next point which is related to NII or the Net Interest Income:

We clocked in an NII of Rs. 903.36 crores in Q1 FY25 which has increased from Rs. 834.03 crores as of March 24, and this is significant. There are a couple of one-off interest related to income tax refund that we have, etc. which is included in that. But having said that, there is a very good traction as far as our NII is concerned.

On the NIM, we have increased it by almost 22 bps from the previous quarter, where we are at 3.54% for Q1FY25 compared to 3.32%. So, this is a healthy NIM increase which has come in. Of course, during the same quarter of last year we were even higher. But this is again the compression on account of market wide phenomenon which is continuing. In any case, our guidance to the market, which we have always said, is that we would be between 3.5% to 3.7% and we stay within the guidance as far as this is concerned.

On the CD ratio, we've been continuously increasing and we stand currently at 75.33% up from 74.45% as of March and 72.46% as of June 23.

Coming to the health of our assets, which is the quality of our asset book:

The stressed assets, our GNPA is more or less at the same steady level. There is no real increase or decrease. It remains stable at 3.54% and

3.53% between this quarter and the previous quarter,
but significantly improved compared to the last year, the corresponding quarter where it was 3.68%. So, there is a contraction which is almost like 14 bps on a larger base which I am sure all of you will appreciate that this is directionally going the right way.

On the net NPA:

There has been a slight increase from 1.58% last quarter to 1.66% and this is primarily on account of some recoveries which were slated for Q1 that has got shifted to Q2. And in fact, in the last about two weeks in July, we have collected a significant amount which were otherwise pertaining to the previous quarter. So, on the overall, we are happy with the net NPA collections, and we are seeing a push as far as recovery is concerned in July ‘24 and thereafter.

Quick breakup in terms of the GNPA and the NNPA numbers, this is something that was requested post the last conference call, and we thought that it is appropriate to also call out a few numbers here. Our opening gross NPA was Rs. 2,578.42 crores. All of the numbers that I am saying are uploaded in our investor PPT, both to the exchanges as well as on our website already. So, just to repeat, our opening gross NPA was Rs. 2,578.42 crores. The additions were Rs. 416 crores and the restructured assets portfolio has performed well, and some slippages have happened from that which are included in this Rs. 416.49 crores. And the reductions which include primarily upgradation, recoveries and the technical write-offs - all of that put together has been about Rs. 326.46 crores. Thereby about 90 crores is the net addition to the overall gross NPA. And the technical write-off position as of June ‘24, which is provisional of course, is about Rs. 2,900 crores. So, we have been recovering both from our regular book as well as the technical write-off book. And this has resulted in our gross slippages, which has really dropped down to 0.59% in June '24, compared to the previous quarter of 0.79% and about 0.5% as of the last year corresponding quarter. Recoveries during the quarter, excluding upgraded accounts, has been at Rs. 133.12 crores for Q1 '25, while it was about Rs. 197.3 crores for the Q4 FY24 and Q1 FY 24 was Rs. 167.88 crores. So, here again, as I said, while the collection was Rs. 133 crores, there has been a substantial recovery which was otherwise slated for Q1 which has happened in the first two weeks of July which will get reflected in this quarter

On the standard restructured advances without related accounts:

The Bank has done well, where the number has come down to Rs. 1,160.94 crores compared to the previous Rs. 1,338.78 crores as of 31st March, 24th of the previous quarter and Rs. 2,060 crores as of the last year corresponding quarter. Now this is a very healthy sign where we have brought it down substantially from our original position as of last year. When I say original position, which was during COVID and post-COVID, the total restructured book was over Rs. 4,500 crores, which has come down to Rs. 1,160 crores right now. So, this has also been recorded in our investor presentation, because one of the key metrics that we measured at the Bank is a gross NPA plus restructured advances as a percentage of our gross advances. From last June 23, which was at 7.7%, again, I repeat, GNPA plus restructured as a percentage of the gross advances at that point of time was 7.7% as of last quarter (March 24) it had come down to 5.7% and now as of June '24, the current quarter, it has come down to 5.4% So, directionally we are doing well, both on our GNPA recoveries and our restructured book, and I believe that we will continue the same kind of trend as we go forward. The PCR, which is the Provision Coverage Ratio, stands at about 77.97% for Q1FY25 when compared to 79.22% of the previous quarter. And this again reflects the fact that we are adequately covered an

d both the technical

write off book and the overall book from a health perspective, we believe that we are quite safe and all right.

There are two other very clear metrics which are affecting NIM, which is cost of funds and cost of deposits. The cost of funds for the Bank was at 5.57% for Q1 FY25 and when compared to the previous quarter it was 5.55%. The primary reason here is that the market was very tight on liquidity, and obviously all the banks were facing this liquidity and also sourcing of deposits issue. Our granular deposits which continue to be our focus is definitely on for the 940 branches that we have. While as of 30th June, we had declared only 927, but we have opened 13 new branches in the last couple of weeks. So, the overall number of branches is 940 as of today. Almost all of them are really kicking off in terms of our retail term deposit and the CASA growth - the liability growth. So, we have a very strong retail branch franchise. We have a strong MSME franchise both in Karnataka and across the country, giving us access to low-cost deposits. CASA bundle offering, which I talked about, which is going to be done through some new product launches in this and a couple of following quarters, will possibly make the Karnataka Bank account that our customers hold with us as a primary account relationship through our digital access, and this would help us in capturing larger flows as far as our liability franchise, including the CASA growth.

I would like to talk about credit costs:

The credit costs has come down relatively and quite a bit to 0.11% for Q1 FY25 compared to overall 0.84% for the four quarters in FY24. On a quarter-on-quarter basis comparison the previous quarter was 0.20% and 0.28% for the corresponding quarter last year. This reduction in credit cost is primarily due to the result of lower slippages in the 1st Quarter, in addition to a 20% Y-on-Y growth as far as our net advances is concerned.

Now, coming to two or three other primary ratios:

One is cost to income:

The Bank clocked a cost to income ratio of 52.76%. This has been a commitment from the management in the past where we said that there will be a spurt and we would come back to sub 50 in about four quarters. We believe that the reduction which has been achieved from the last quarter which was very high at ~60% is due to a one timer that quarter, but otherwise we were hovering around 53% and 53.5% which has come down to 52.76%. And this would come down further in the following quarters because there is substantial rationalization of cost structures and a lot of operational efficiency that we are deriving through centralization. We are setting up a national back office in Mangalore and also cutting down a lot of cost as far as the branches and the franchises are concerned. And this will basically continue as part of the exercise and cost rationalization process by the end of this financial year.

As far as the two metrics for stakeholders is concerned, the ROE, that is Return on Equity, stands

at 14.45% for the 1st Quarter, and this is compared to previous quarter number of 13.71%. That quarter we had raised Rs. 1,500 crores capital, which has been the reason for that lower ROE, and over a period of time this is normalizing, and we believe that this with the above increase in reserves and share capital, the ROE would touch 15% approximately very soon. The ROA, which is return on asset stands at 1.38% compared to the previous quarter of 1.19%, so this is a significant jump. Also, if you look through the previous quarters of the previous year also, we were definitely doing well. We are within our target range there, where we have given the guidance of 1.2% to 1.4%, and we believe that we will be able to continue in this range.
Last one is more from a regulatory perspective, which is on the capital adequacy, CRAR ratio, where we stand at 17.64% as of Q1F

Y25 with tier 1 at 15.94% and tier 2 at 1.70%. Just a quick
reminder here that the quarterly profits are not added. So, obviously there is a Rs. 400 crore lying there which will get added only after auditing of account towards the end of the year. And this is very healthy from a overall banking perspective. We were at 18% as of last quarter, and this again is a reflection through our asset growth and the fact that we have been growing the book.
So, ladies and gentlemen, this is the introduction from the management side in terms of the overall numbers. And at this juncture, I would like to hand it over to our host, Siddharth for any questions that our investors may have. Thank you all for the time. Thank you for the participation and we will be happy to take on the questions. Siddharth, over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Darshan Deora from Indvest Group. Please go ahead.
Darshan Deora: My first question was regarding slide number #11 of the investor presentation. If I look at the yield on advances from Q1 FY24 which is 9.95% it has come down in Q4 of last year to 9.74% and then 9.52%. So, as we are focusing more and more on our RAM strategy increasing retail, why is it that the yields on advances is coming down especially given that the interest rate environment has also been more trending upwards rather than downwards.
Srikrishnan H: So, Darshan, the actual reason for this is two things. One is it's not the new advances that we are booking in the Bank. This is more the historical book where repricing has happened because of a lot of competitive bids and quotes that our customers are getting from others including in retail housing loans and so on. Contrary to what we all think in the market, there are players who are definitely offering at much lower levels. And we have historically had a couple of good kind of portfolios at higher levels, but on a very selective basis based on relationship, we have been giving rate of interest concessions also. It is not that all of this is due to rate of interest concessions, but the blended rate based on the new advances plus couple of these ROI concessions that we've been giving, is what has resulted in this. But having said that, we are very conscious about the NIM and we are very conscious about the fact that we want to retain our margins. So, we believe that this is a trend which will continue until the time there is a reversal in the interest rate cycle that is also expected to happen in due course. Original estimates were much earlier this financial year. But at this juncture, because of certain overall macro environmental reasons, it could happen a little later which is a prediction. And we believe that repricing our advances would not happen immediately while repricing of deposit would happen earlier. So, which is when we will be able to take advantage of that in due course.
Darshan Deora: Second question is regarding NIM, our NIM has actually gone up from 3.32 to 3.54 and this is obviously despite the yield on advances coming down. So, what explains this? Is it the capital that we raised last quarter?
Srikrishnan H: So, partly it is that, partly it is also because of certain tax refund, the interest on that which has also happened.
Darshan Deora: Can you quantify that? What was the interest on the tax refund?
Srikrishnan H: About Rs. 80 crores. But it's not significant in the sense that, over the larger piece, larger scenario, there's not something which is very, very significant. But yes, that has also contributed to that.
Darshan Deora: So, I am assuming most of the contribution is actually from the capital gains that’s way?
Srikrishnan H: Mostly, yes. But that's a substantial amount, Rs. 1500 crores, plus also the fact that we retired Rs. 720 crores of our tier 2 which was at 12%.

Darshan Deora: And the last question I had was regarding the credit cost guidance for the year. So, in Q1 we had 0.11%. What do you think will end the year at?

Srikrishnan H: We are still targeting at closer to about overall 1%. This has been our annualized target. But we will be happy if it is a little lesser. But I think we are prepared to digest up to 0.9% to 1%.
Darshan Deora: And just out of curiosity, in terms of ROE, what is our target for ROE or a guidance for ROE for FY25?
Srikrishnan H: We always said that we would be in the 15% to 17% range, but for this aberration that happened due to this capital raise. So I think we are slowly inching back into the 15% and I think we will stay at 15 plus at least for the next one or two quarters.
Moderator: Thank you. The next question is from the line of Piyush Chheda from Serendip . Please go ahead.
Piyush Chheda: Just looking at your slippages, almost one-third of the slippages seem to be coming from the restructured books. Close to I think Rs. 140 crores of slippages were from the restructured book. Can you just help us understand when the restructured books slippages would sort of taper off? Is that something that's likely to happen in the next couple of quarters or this is a pain that will continue?
Srikrishnan H: Just to kind of make sure that you know the slippages number is correct, out of the overall additions of Rs. 416.49 crores only about Rs. 81 crores has come from this restructured book. So, that is the first data point. The second is to answer your question, the retail part of it which is the restructured assets in multiple forms, the bulk ones have got addressed mostly barring at least about let's say about 10 to 20 odd larger accounts which are still there across various regions. But the real granular part which is including housing, etc. are being restructured and they are coming out of restructured into standard portfolio and so on. There's a special team that we have deployed which is why this entire overall recovery and all of it is happening. Last point related to the restructured is that as you are aware that 91% of our book is collateral-based. So, even in these restructured assets, I can confirm that all of them are security backed. But you are aware about enforcing the security value and so on. So, this is something that as a separate team, as I said, led by our credit monitoring team from the headquarters and with SPOCS at every region, they are doing this. And we believe that we would continue with the same trend in terms of a downward trend to a reasonable level in the next 2-3 quarters.
Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.
Prabal: Sir, my first question was on the provision coverage ratio that has come down by 200 basis points sequential. How to read that and what's our outlook on that? How quickly we want to take it to 70%?
Srikrishnan H: So, Prabal, first there is a change which we have implemented which is account level provisioning which has been practiced for the last couple of quarters. So, obviously we have

been doing this at a granular basis. The second part is that over a period of time we believe that the acquisition in terms of extra provisioning will happen when we get more comfortable on the profitability side. So, this is a clear balance between PAT and PCR that we are trying to balance and we are making sure that whatever is as the prudential norm, we are doing this which are certified by the statutory auditors. And also fact is that we want to also reflect the growth of the Bank. So, we want to grow profitably, we want to also be healthy, and this is the balance that we will strike as we go forward. We believe that our next target to reach as far as PCR is concerned would be the 80% in the next 2 to 3 quarters.
Prabal: In next 2 to 3 qu

arters, meaning a 26%, is that the right understanding?
Srikrishnan H: No, I am talking about 77.97% as of this quarter would grow to about let's say two quarters from now, we should hit 80%.
Prabal: The second question was on the GNPA, the gross NPA in the retail ones that has gone up from 2% to 4% on a sequential basis. So, why is that and which specific segments are showing pain for us on the retail side?
Srikrishnan H: You are aware that there is a historical book, Prabal, which is pre-COVID, before 2020, and then thereafter whatever that we have been doing during and after COVID. Then the restructuring happened. And over a period of time when the growth was really not there and the last about a year we've been growing the advances book at closer to 19% or so. So, the historical book is something that we are working on, and obviously most of this, at least 50% or more from the overall NPA, is coming from the historical book and this will continue. And this of course does not include the restructured part. As you know, on restructured we are provided for at least up to about 14%-15% on the overall restructured book. So, what we are trying to do is to make sure that we want to completely clean it up as far as the historical book is concerned and make sure that we are more or less on a clean slate as we go forward. On the retail book, just to answer your question as to what is the total in terms of the breakup between retail, etc., one of the key segments that we do lend to be the contractor segment, which you are aware. And in the last year or so, the last quarter of the previous year, we did have a lot of collections and a lot of SMA-2 went back to SMA-1 and 0 and so on. But because of the fact that there was a kind of period

which is due to the code of conduct partly, I mean mainly due to the elections etc., the payments were not coming through from the government department, which will happen in this quarter and the next quarter and we believe that we would come back to regular normalcy on that segment. The retail book per se has been doing well. We can't see much as far as the GNPA is concerned there. It is more from the mid-market and the agri and which are predominantly from the historical book.

Prabal: And sir when you say that this is the pre-COVID book that is showing pain for us. So, how long should we expect the pain to continue?

Srikrishnan H: The restructured book has as I told you, has come down to about Rs. 1,160 odd crores. Which means that we are in the fag end of that particular cycle. We believe that up to March 25, this is

going to continue and every quarter we will see some substantial reductions but there will be a final number which we will arrive at. Whatever that number would be Prabal, we will wait and see. And whereby at some point of time as a Bank we need to make sure that this is completely regularized. So, this is a trend but it's a very significant movement that we have achieved. Overall, many other banks did not go through this route of declaring a high amount. Karnataka Bank took a conservative stand in ‘22-23 when this was done where a Rs. 4500 crore was restructured and classified. From there, we have come down to a very healthy number. At this stage as a percentage of our gross advances, this number is actually not very significant. And in any case, as I said, 15% has been provided for. And the slippages from this restructured portfolio is on a downward trend.

Prabal: Sir, during the quarter, the retail loan book saw a decline on a Q-on-Q basis. So, by when should we expect this book to start in the long run the MSME segment?

Srikrishnan H: We have actually, on the contrary, added. Just to give you an idea, we have added a total of Rs. 2,453 crores that we had grown on the advances book. Almost 50% came from the retail side, approximately Rs. 1,290 crores.

Prabal: But within this if I exclude a

griculture, then the core retail book has come down.

Srikrishnan H: Let me give you the breakup on that separately between retail agri because right now the classification that we have done is basically on retail large cap and mid cap. So, that is how we have done, but we will be able to publish that.

Prabal: And any out as to when can the retail and MSME business where we are still in the phase of developing their infrastructure, when can they start contributing to growth?

Srikrishnan H: On agri, we have already done that, which is by deploying closer to about 100 plus agricultural field officers (AFOs) into the market. We recruited some and we had to pull out many who were in regular banking in multiple regions. So, we have focused on, got them all to the agri-focused regions already. So, the agri part of it, which is to create a structure and outreach programs etc. have already started and it is yielding results also. MSME, as you're aware, I think it's already there in the public domain as part of the presentation, that we have recruited our Head of retail and MSME business, and he is due to join in about 1 to 2 weeks from now. Right now it is being managed internally by our existing leaders. We made some structural changes where the erstwhile GM Credit Marketing has taken up the position as a Chief Compliance Officer. And so this is basically an interim arrangement and we will have the leadership change happening by end of this month. And as soon as he comes, I am sure that you know, he will devise many programs and outreach programs. Mid Corporate Head has already come in and he's more or less completing one quarter. And here again, there will be a churn in the overall book compared to the earlier where the large corporate opportunistic will degrow and it will be replaced by direct to customer lending on which will have a kicker as far as yield is concerned.

Prabal: And sir two data keeping questions, what were the net advances during quarter and outstanding assets?

Srikrishnan H: Net advances during the quarter increase you are talking about?

Prabal: No, the absolute number on the balance sheet sir.

Srikrishnan H: What is your second question, net advances and then the second was?

Prabal: Asset number.

Srikrishnan H: Rs.1,15,770 crores is the total assets. Rs. 73,977 crores is the net advances.

Prabal: Sir, and from the previous quarters, since we have improved the quantum of our disclosures, I would just request if we can also add balance sheet into it, which sort of gives more perspective as to how ratios are.

Srikrishnan H: Surely, we will include that. Actually, we have taken a lot of feedback from all of you, and we

have included everything, whatever that we've heard so far. We will take this on record.
Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: First of all thank you for presenting a much improved version of the presentation. So, really heartening to see these positive changes. Sir when it comes to your growth rate, now you have also given this vision of reaching Rs. 1 lakh crore by FY26. So, I mean now what we are witnessing slightly is that the retail engine is still slightly probably not growing as fast as we had envisaged and at the same time there are pressures on the NIM. So, how do we make sure that we reach to our target and what are some of the constraints that you see for us to reach there?
Srikrishnan H: So, fundamentally Sarvesh, yes, we had this aspiration. And when we started the journey, couple of us who came into the Bank, including our Executive Director, Sekhar Rao, we sat together and said that we should first of all outline our aspirations. So, the aspiration still remains to be that Rs. 1 lakh crore gross advances by March 26, and we stay committed to that. Second is that the composition of this, we always said tha

t we would have 50% from the RAM and then the balance would be from corporate advances, which would also be a churn because the larger corporate advances which are more opportunistic also would be replaced by direct to customer corporate advances. So, both these efforts are currently on. Structurally what we have done is that we have divided this into outreach programs. Basically, on the retail asset side, we have appointed corporate DSAs. We have also deployed a DST community across the country. And this is a pretty large number which is there, and they are sourcing business.
We have also embarked on a credit transformation program which is basically to rationalize the processes, the turnaround times, and also any policy changes related to benchmarking. The 1st

Quarter of that credit transformation program in terms of study, collation of data related to all of these other products offered by banks etc. has been done. So, we are tweaking a lot both on the products as well as on the process side.
The third is that we are in the process of setting up retail asset center in a couple of locations whereby this will be one kind of umbrella shop where right from sales, which is the DST sourcing, application, lodging, and review scrutiny would be done in record time, so that it works more like a factory, and this is what we are trying to set up from a retail asset perspective. On the MSME and the mid-corporate, we are having a kind of a relationship and a coverage team which will be deployed in multiple areas. The teams are working with our newly joined HR Head for making sure that this structure is there as far as the locational coverage is concerned to manage these businesses. This is a significant change from the past where we had one branch manager who was managing all types of assets and where now the branch Head will continue to do what he was doing, but we got the sales team and the coverage team, which will be superimposed on a branch structure. And as you are aware, in the last quarter, we have enhanced the cluster head concept. Instead of breaking the branches into regions, we have introduced the cluster head concept. Now all the branches work under 51 clusters, as far as the country is concerned. So, overall, what we are doing is that we are making this entire organization more effective, more focused on this. And based on this, we believe that our goal of this Rs. 1 lakh crore through the segments that we are talking about would be very clearly achieved.
Sarvesh Gupta: Understood sir. And sir, on the credit cost side, if my understanding is right, you are saying that the standard restructured book will more or less run down by the end of this year. And so your slippages from that particular book will further reduce, I mean because 20%-25% is anyways coming from that book even now. So, that bucket would also go away in a year's time. Is that the right understanding sir?
Srikrishnan H: Sarvesh I want to correct that understanding a little bit. I did not say that our restructured book will be completely eliminated or zeroed by end of the year. All that I said is that we will reach a far more comfortable position from the Rs. 1,160 crores to a lesser number. So, the restructured book is here to stay but it will be very controlled and reduced. Because of that, obviously the slippages will be much lesser and lesser as we go forward because the constitution of the restructured book is something that we have already published in our investor presentation, where segment-wise it is there. And plus, as I mentioned earlier in the call, this is all fully covered with collateral. So, we will be definitely making some very hard calls as far as the recovery or upgradation and standardization is concerned. So, just to kind of conclude on that point, I hope that communication is very clear on the restructured book. It will come down. Yes you are

right about lesser and lesser contribution to the NPA because of that, and that is a very valid point that you raised, and I guess that explains your query also.
Moderator: Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors.

Please go ahead.

Sushil Choksey: Congratulations to team Karnataka for excellent result. Sir, my first question is referring to the previous question which was asked on an aspirational goal, your retained profit and the equity raise substantially supports the credit growth. And I am sure in today's market, credit is not an issue. Coming to the deposits and CASA, where are we? And based on aspiration, have we reached 50%, 70% or we still lacking?

Srikrishnan H: Sushilji, good evening. Thank you for your compliments and also your commentary on our asset book and capital raise. Yes, it is contributing definitely and giving us a lot of headroom as far as our gross advances growth is concerned. On the deposit side, I would say that one, in addition to the branch-led liability acquisition, we have embarked on a sales team-led acquisition as far as our liability franchise is concerned. Today we have deployed over 300 CASA sales officers across various regions, plus feet on street for sourcing and bringing them. As you are aware, unlike an asset where the closure can happen with the retail DSA, DSC, in this case the Bank staff have to go and so they only kind of source, but the closure happens with the Bank staff. So, that is why the 300 odd CASA sales officers who are all of the roles of the Bank are deployed for this specific purpose. The second is that we will double this number as we go forward as we are seeing some good traction in terms of number of account that are being opened. Plus the third thing is that most of our new product development which has been done in the last 2 quarters are all liability based in the sense that if you look at our KBL WISE which is our senior citizen product, Current Account Purple, which is our traders and small businesses product, corporate salary savings product, and what we are planning to do for students with an educational loan combined with liability account, and self-employed professional plus family account concept that we are bringing in etc. If you look through these, all of our efforts are going to be focused on liability acquisition. The second part is that our branches are kicking in, in terms of the existing customer base. So, ETB increase in terms of the wallet share has happened. And in fact, there is a very healthy mix which is happening, which is essentially from our ETB account acquisition in terms of retail term deposit etc. And compared to the market where the overall market and other banks have lost CASA, we are not really losing that much. We are really kind of maintaining, and we believe that the products and the tax and other liability franchise improvements will result in our overall CASA growth as we go forward. Last point Mr. Sushil is that government business, we have been increasing this as I mentioned in the call earlier, and we believe that will also result in a lot of float both the government tax, custom duty, GST collections plus the government business to the integration with Karnataka government and a few other states that we are in.

Sushil Choksey: Well, my next question pertains to treasury outlook and how are we balancing on monetizing treasury because the GSEC yields are likely to trade between 7.05 or 7.00 to 6.75 by the later part of the year. How will we balance between treasury and credit both by utilizing the surplus profits and the pool available out of it?

Srikrishnan H: So, Sushil ji, there are two parts to this treasury. As you are aware, the Reserve Bank of India’s circular on investments which is like transferring all of our holdings into AFS reserve. So, this investment what is being done b

y treasury, as you are aware, even if they make money until the security is sold, we cannot take them into profit. So, we have actually created this AFS reserve,

which is the opening for the revenue reserve. So, obviously, while Treasury will make profit on the AFS due to MTM, but that doesn't enter P&L. That's one part.

The second part is that you're right about Treasury yields more or less tapering at the range that you had mentioned. But the fact of the matter is that we are good on liquidity, because as a Bank we are still surplus on liquidity, which is why our CD ratio is still at 75.33%. Plus our treasury also has some surplus liquidity, which they are lending to the market. So, we believe that there is adequate headroom, both on account of this CD ratio, which we can clearly go up to 80%, plus a good substantial number from our treasury, which can be deployed into corporate assets, which will yield at least a kicker of minimum if not 100 bps, at least 70 to 90 bps will be the increase as far as earnings are concerned. So, we believe that we are on a right track in terms of churning our entire portfolio on the advances side and making very clear efficient moves as far as our treasury funding and liquidity management is concerned.

Sushil Choksey: What is your target on technically written-off accounts, loan which are written off on recovery sides?

Srikrishnan H: Currently out of our total book, the book which is 2,668.45 crores are our gross NPA and technical write-off book is about Rs. 2,900 crores. Now, normally we recover about Rs. 300 crores in a year and we believe that we are on the right track as far as that number is concerned. And actually we can stretch it also to a higher number as we go forward. So, we believe that if you look through this year, last year we had Income from Written off Account – approx. Rs. 280 crores or so, and we believe that we can close out the year hopefully on the technical write off recovery itself by about Rs. 400 crores. So, these are various kind of measures that we are doing primarily with the existing book, existing opportunity, and also the new opportunity that we are embarking on as far as our new to Bank customers of Karnataka Bank is concerned because the signups for new accounts by the day is increasing.

Sushil Choksey: And in your aspiration, cross sell was a big target. Where are we currently?

Srikrishnan H: So, currently, the products are just coming in. As you're aware, the product team got set up only about 2 quarters ago. There are lots of changes that are being done on the technology infrastructure and the functional side of the technology. So, between our digital product and technology teams, they are really collaborating well, and the agile method that they are using for rollout of products etc., we believe that we will be able to add more features very quickly in short time, and make sure that our entire product offering the bouquet is very attractive to the customers to attract this and then we will see the cross-sell happening. Currently we are still doing the traditional way of third party products through insurance. We are picking up steam as well as we have seen enough increase as far as our third party income is concerned on distribution of life and non-life products and third party products from the broking and Demat and 3-in-1 product. So, all of those are happening. But we will soon launch a wealth management platform which will basically provide for a one stop shop including advisory by location, whereby we will have wealth advisory both platform and practicing professionals to increase the product as well as the cross-sell opportunities for our existing customers.

Sushil Choksey: To be future ready, do we expect that we increase our provision coverage ratio when the profits supporting the Bank on a very good

trajectory?

Srikrishnan H: Yes, we will be doing that. That's what I think one of the earlier callers had asked the same question. And we believe that by the end of the year, we should go back to the 80s.

Sushil Choksey: Do you estimate that your co-lending portfolio would result with many partnerships, a better yield towards in advances?

Srikrishnan H: It is already happening, but the amounts are right now very small. We have four partnerships which are currently functional and one more which will be launching this quarter itself. These five are in various, let's say verticals. Some are covering SME, some are covering personal loans, and some are covering developmental kind of loans which are more SHG and JLG and so on. So, what we are trying to do is testing both the system as well as the processes and behavior of the loan until the seasoning happens. Currently the overall exposure is couple of hundred crores. I don't think that we would be in a position to say that whether they are yielding more. Yes, of course rates are better but it doesn't have a great impact on the overall number because couple of hundred crores on the overall portfolio is very insignificant right now. But yes, on a very calibrated basis, we will increase the co-lending portfolio in due course.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Firstly, congratulations on such a great performance. A lot of my questions have already been answered. So, just wanted to ask a bit on the deposit side. Are we facing some issues in the market? Is the competition heating up? Will it impact our cost of funds for a longer duration than what we expect?

Srikrishnan H: Thank you so much for asking this question. So, this is a market-wide phenomenon. I think every Bank from the quarter starting October last year, March quarter, and now also has been facing this. So, this is not unusual for any Bank. Every Bank is facing this because as you're aware. Even the RBI Governor talked about it to say that there's a flight of deposits from the banking system into the mutual fund systems. Which is the fact of the matter. But what we do have is that our branch and the relationship that we have are very unique, considering the fact that many of our customers are actually banking with us for generations. So, two generations, three generations. So, there are a lot of loyalty factor as far as this Bank is concerned on the overall relationship value. Second is that in the past, we did not have all the products to gain a primary position with our customer base and which we are slowly inching to do because now we are not just staying competitive on the product side, we are actually exceeding in terms of the features and benchmarking with others in the competition. Third is that we are not in the high cost deposit or that kind of competition because there are players in the market who are quoting rates which are unviable and we are not in that market. Also, we are being extra careful as far as our overall number is concerned as far as our rates of interest is concerned on short or medium term deposit.

So, given that fact, it's a balancing act between liquidity, pricing, as well as long-term stability,

stickiness. So, we are focusing more on long-term stability and stickiness compared to a short-term cost of deposits game that some banks are playing. I don't want to name who. So, essentially, we are taking a very prudent approach. We believe that in due course, this would be a winner compared to most of the other opportunities which the market will present. So, the basics here is what we are practicing. We really believe that basics will give us a better play.

Darshil Jhaveri: So, just wanted to ask, wh

at kind of growth in deposits and advances can we expect for FY25?

Srikrishnan H: So, we are growing our advances book about 19%, which will continue for this year. And deposits we have grown between 13% to 15% and we believe that we will stay in the same trajectory.

Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.

Ketan Athavale: I wanted credit cost guidance for FY26 and FY27 and your outlook on other income.

Srikrishnan H: So, thank you for your questions. Two things. The outlook for FY25 on credit costs would be about 0.9 to 100 bps. And that will continue. It is a little premature for us to talk about FY26-27 because the dimension of this entire book, complexion of this book is changing, and which is something that we are making changes. And the impact of this will be felt in the following couple of quarters. And I believe that if we control our slippages and if we believe that our overall accretion growth in deposit happens, then we would be in a better position as far as our credit cost is concerned because credit cost is clearly a function of what I just said related to both the reduction in slippages and the growth in net advances. This is where we are focusing. So, if you believe that we are really working towards the Rs. 1 lakh crore book by FY26, then with reduction in the overall slippages which is showing the right trend right now, we believe that we would come to a little healthy level. The second point that you wanted to know was about assets. I think I answered that already, that our overall book is going to be about lakh growth and deposit growth would have to be supplementing that because if we have to give advances, then liquidity has to come from deposit because we are not in the market to borrow from the market and lend to customers. So, obviously we have maintained a very stable book for the last hundred years. We will continue to do so for the next century also.

Ketan Athavale: Just if you can give you an outlook on other income as well?

Srikrishnan H: Other income - that was your other question. So, other income constitutes commission, credit processing fee, income from services like ATM, debit card, locker, and so on and so forth. Recovery from technical write-off is also part of the overall other income. Our other income currently is about Rs. 275 crores for this quarter. We believe that there is a good potential to grow because there are 2-3 areas which are more liquidity based and also a couple of products which will be more on the Forex side, because a couple of our MSME or SME customers do not avail of foreign exchange or any other trade transactions with that. So, we are going to increase traction related to offering more products for our corporate, midmarket, and SME customers and

MSME customers. And the usage on digital transactions, usage on ATM and debit card transactions, usage on lockers, rental recoveries etc. are going up. We believe that over a period of time, this other income, which is currently around Rs. 300 odd crores would grow. Having said that, there was a very significant part of this other income, which was from treasury which as I mentioned in the earlier part of this call, Reserve Bank of India has come out with a guideline where we have to keep it as part of AFS and a revenue reserve and that would not come into the other income. This would be the case with every Bank. It's not only that Karnataka Bank is only affected or impacted due to this. This is a prudent accounting policy change recommended by Reserve Bank, which we have implemented. So, I have already mentioned that as part of the overall call that if we had included that our other income would have been higher by Rs. 40 crore and Profit Before Tax (PBT) would have been higher by Rs. 33 crores. But that is not the case. So, even without treasury, we believe tha

t the other avenues I told you which is trade, Forex, debit card, locker, and digital products, third party products, which will be distribution products, all of that will contribute. So, we believe that we are on a healthy trend as far as that is concerned.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Srikrishnan H sir, for closing comments.

Srikrishnan H: Siddharth, thank you for hosting this on behalf of Karnataka Bank and on behalf of the Bank management who is sitting with me and those who are on the call outside, we would like to thank the investors for their support, the customers for their loyalty and patience with Karnataka Bank. And more importantly in terms of guidance, whatever that we are committing, we will continue to deliver. We are on the right track. Trajectory is looking good. Overall, I think the fact that we raised capital last year and making sure that all of the execution of the mission and the strategies that we have developed for ourselves are coming into fruition. And we believe that we will be able to contribute significantly to our stakeholders as we go forward. Once again, thank you all for participating today.

Moderator: On behalf of Karnataka Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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1. The Manager
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Dalal Street
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Scrip Code: 532652

Madam /Dear Sir,

Sub: Transcript of Q 1FY25 Earnings Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts/institutional investors con ference call held on July 24, 202 4, on the unaudited Standalone & Consolidated financial r esults of the Bank for the quarter ended June 30, 2024.
The same is also made available on the Bank's website under the following web link: https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Q1 FY2025
Earnings Conference Call"

July 24, 2024

MANAGEMENT : MR. SRIKRISHNAN H - MD AND CEO
MR. SEKHAR RAO- EXECUTIVE DIRECTOR
MR. RAVICHANDRAN S – GENERAL MANAGER
(CREDIT SANCTIONS)
MR. JAYANAGARAJA RAO S- GENERAL MANAGER

(BRANCH BANKING AND RETAIL)
MR. VINAYA BHAT P J- CHIEF COMPLIANCE OFFICER
MR. ABHISHEK SANKAR BAGCHI – CFO
MR. SHAM K. - COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2025 Earnings Conference Call hosted by Karnataka Bank.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Srikrishnan H – MD and CEO from Karnataka Bank. Thank you and over to you, sir.
Srikrishnan H: Thank you, Siddharth. Good evening to all ladies and gentlemen. This is Srikrishnan – MD & CEO of Karnataka Bank. I am speaking to you from our headquarters in Mangalore.
I am joined by Executive Director – Sekhar Rao, Senior Management Team members, GMs, Ravichandran – Head of Credit; Jayanagaraja Rao, who is GM in charge of Branch Banking and Retail; the Chief Compliance Officer – Vinaya Bhat; CFO – Abhishek Bagchi and Company Secretary – Sham K. So, we are happy to talk to all of you and introduce the Q1 FY25 Results of Karnataka Bank.
Post completion of the successful centenary year in FY23-24 wherein we had major celebrations in February '24, the financial achievements that included the highest record pre- and post-tax profit, and a record capital raising program, we are very pleased to inform you that we had a very good Q1 for FY24-25 with growth that has been registered across most of the key metrics.
We continue to focus on the critical metrics that will define our Bank's performance in advances, deposits, improvement in quality of the advances book, profitability and NIM and very favorable ROE and ROA for our stakeholders. We are on an accelerated path in all of these.
Some very brief comments about the numbers:
We have recorded the highest business turnover in the history of the Bank at Rs.1,75,619 crores. This is up by 17.1% on a Y-o-Y basis from June '23, which was the corresponding quarter Q1 of FY24 and by about 2.7% on a Q-o-Q basis from the quarter ended March 2024.
On profit after tax, we recorded the highest ever quarterly profit in the history of the Bank of Rs. 400.33 crores for Q1 FY25, as against the last corresponding quarter Rs. 370.70 crores for Q1 of 2023-24. That is an increase of about 8%.
On a Q-o-Q basis we saw a significant rise in PAT which was Rs. 400 crores for Q1 FY25. Of course we had a one-timer there, but on the basis of actual which is Rs. 274.24 crores recorded in March of '24, the increase has been 45.98%. Due to a change in the accounting policy, which is again dictated by the Reserve Bank of India, guidelines pertaining to investments, transitional adjustments on account of available for sale, which is the AFS book, and other securities has been credited to the AFS reserve, contrary to how we were taking it into P&L earlier. So, the

transitional adjustments on account of 'Available For Sale' ('AFS') portfolio and other securities has been credited to "AFS Reserve" and opening "Revenue Reserve" to the extent of Rs. 106.88 crore and Rs. 24.68 crore respectively. If we had continued the earlier policy, the income on investments would have been lower by Rs. 7.67 crores, but other income would have been higher by Rs. 40.41 crores, whereby profit after tax would have been higher by Rs. 32.74 crores. Now this has not been taken into our profits as I said earlier, and this has been transferred to the AFS Reserve Book.
On the other parameters, starting with gross advances, we clocked the highest is the Bank's history of Rs. 75,455 crores as on June 30th, 2024, as against Rs. 73,002 crores as of March 31, 2024, reflecting a growth of 3.36% on a Q-on-Q basis. On a YoY basis, we witnessed a growth of 19.75% when compared to the Q1 of 2023-24.
Now this agai

n is a good number because on an annualized basis we are still continuing the trend. The good part about this growth is that out of the Rs. 2,454 crores that we have grown, closer to 1,290 which is about 50% has come from retail advances. This is a significant change compared to the past; now we have been growing the retail book and it continues to grow so. And of course our focus on mid-corporate advances and the RAM segment, and also some of the large corporate advances that we've been taking advantage of an opportunistic interest rate scenario compared to our treasury investments are continuing, but direct to customer advances, and also making sure that we are establishing new relationships is continuing because of the new setup that we have and the addition to our leadership team in the form of a Head of Corporate business that we have done in the previous quarter.

On aggregate deposits, we have clocked a record magic number of Rs. 1,00,163.92 crores. And this is again, ladies and gentlemen, the highest in the history of the Bank, as against Rs. 98,057.83 crores as of 31st March 2024, reflecting a Q-o-Q growth of a 2.15%. And on a YoY basis we have clocked a growth of 15.18%, which is very much comparable with the market overall across all banks, where we were Rs. 86,959.86 crores as of 30th June, 23. The CASA deposit stands at about 30.54% - this has decreased and this is an area where we need improvement. This is a market-wide phenomenon though - not that we are taking cover under that. But having said that, we are proposing a very, very clear strategy on covering this CASA through direct collection of taxes, GST, customs duty. Also we are happy to announce that we have integrated with Khajane-II, which is the government of Karnataka treasury systems where we will soon be a Bank to collect Challan receipts for various government payments. So, this will again have a focus as far as our overall liability accretion is concerned. In addition to that, in the last quarter, we have launched a senior citizen product called KBL WISE, which has top-up insurance and a lot of other very good features which has actually got a wide publicity and good traction. We believe that we will be able to extend such new features to segment wise retail on the liability side which will cover self-employed, students, etc. along with a couple of other bundled products like we have done with salary savings, and a current account purple product that we have launched in a couple of quarters before. So, based on all of this we believe that we will be in a better position as far as our CASA is concerned.

I go to the next point which is related to NII or the Net Interest Income:

We clocked in an NII of Rs. 903.36 crores in Q1 FY25 which has increased from Rs. 834.03 crores as of March 24, and this is significant. There are a couple of one-off interest related to income tax refund that we have, etc. which is included in that. But having said that, there is a very good traction as far as our NII is concerned.

On the NIM, we have increased it by almost 22 bps from the previous quarter, where we are at 3.54% for Q1FY25 compared to 3.32%. So, this is a healthy NIM increase which has come in. Of course, during the same quarter of last year we were even higher. But this is again the compression on account of market wide phenomenon which is continuing. In any case, our guidance to the market, which we have always said, is that we would be between 3.5% to 3.7% and we stay within the guidance as far as this is concerned.

On the CD ratio, we've been continuously increasing and we stand currently at 75.33% up from 74.45% as of March and 72.46% as of June 23.

Coming to the health of our assets, which is the quality of our asset book:

The stressed assets, our GNPA is more or less at the same steady level. There is no real increase or decrease. It remains stable at 3.54% and

3.53% between this quarter and the previous quarter,
but significantly improved compared to the last year, the corresponding quarter where it was 3.68%. So, there is a contraction which is almost like 14 bps on a larger base which I am sure all of you will appreciate that this is directionally going the right way.

On the net NPA:

There has been a slight increase from 1.58% last quarter to 1.66% and this is primarily on account of some recoveries which were slated for Q1 that has got shifted to Q2. And in fact, in the last about two weeks in July, we have collected a significant amount which were otherwise pertaining to the previous quarter. So, on the overall, we are happy with the net NPA collections, and we are seeing a push as far as recovery is concerned in July '24 and thereafter.

Quick breakup in terms of the GNPA and the NNPA numbers, this is something that was requested post the last conference call, and we thought that it is appropriate to also call out a few numbers here. Our opening gross NPA was Rs. 2,578.42 crores. All of the numbers that I am saying are uploaded in our investor PPT, both to the exchanges as well as on our website already. So, just to repeat, our opening gross NPA was Rs. 2,578.42 crores. The additions were Rs. 416 crores and the restructured assets portfolio has performed well, and some slippages have happened from that which are included in this Rs. 416.49 crores. And the reductions which include primarily upgradation, recoveries and the technical write-offs - all of that put together has been about Rs. 326.46 crores. Thereby about 90 crores is the net addition to the overall gross NPA. And the technical write-off position as of June '24, which is provisional of course, is about Rs. 2,900 crores. So, we have been recovering both from our regular book as well as the technical write-off book. And this has resulted in our gross slippages, which has really dropped down to 0.59% in June ‘24, compared to the previous quarter of 0.79% and about 0.5% as of the last year corresponding quarter. Recoveries during the quarter, excluding upgraded accounts, has been at Rs. 133.12 crores for Q1 ‘25, while it was about Rs. 197.3 crores for the Q4 FY24 and Q1 FY 24 was Rs. 167.88 crores. So, here again, as I said, while the collection was Rs. 133 crores, there has been a substantial recovery which was otherwise slated for Q1 which has happened in the first two weeks of July which will get reflected in this quarter

On the standard restructured advances without related accounts:

The Bank has done well, where the number has come down to Rs. 1,160.94 crores compared to the previous Rs. 1,338.78 crores as of 31st March, 24th of the previous quarter and Rs. 2,060 crores as of the last year corresponding quarter. Now this is a very healthy sign where we have brought it down substantially from our original position as of last year. When I say original position, which was during COVID and post-COVID, the total restructured book was over Rs. 4,500 crores, which has come down to Rs. 1,160 crores right now. So, this has also been recorded in our investor presentation, because one of the key metrics that we measured at the Bank is a gross NPA plus restructured advances as a percentage of our gross advances. From last June 23, which was at 7.7%, again, I repeat, GNPA plus restructured as a percentage of the gross advances at that point of time was 7.7% as of last quarter (March 24) it had come down to 5.7% and now as of June ‘24, the current quarter, it has come down to 5.4% So, directionally we are doing well, both on our GNPA recoveries and our restructured book, and I believe that we will continue the same kind of trend as we go forward. The PCR, which is the Provision Coverage Ratio, stands at about 77.97% for Q1FY25 when compared to 79.22% of the previous quarter. And this again reflects the fact that we are adequately covered an

d both the technical
write off book and the overall book from a health perspective, we believe that we are quite safe and all right.

There are two other very clear metrics which are affecting NIM, which is cost of funds and cost of deposits. The cost of funds for the Bank was at 5.57% for Q1 FY25 and when compared to the previous quarter it was 5.55%. The primary reason here is that the market was very tight on liquidity, and obviously all the banks were facing this liquidity and also sourcing of deposits issue. Our granular deposits which continue to be our focus is definitely on for the 940 branches that we have. While as of 30th June, we had declared only 927, but we have opened 13 new branches in the last couple of weeks. So, the overall number of branches is 940 as of today. Almost all of them are really kicking off in terms of our retail term deposit and the CASA growth - the liability growth. So, we have a very strong retail branch franchise. We have a strong MSME franchise both in Karnataka and across the country, giving us access to low-cost deposits. CASA bundle offering, which I talked about, which is going to be done through some new product launches in this and a couple of following quarters, will possibly make the Karnataka Bank account that our customers hold with us as a primary account relationship through our digital access, and this would help us in capturing larger flows as far as our liability franchise, including the CASA growth.

I would like to talk about credit costs:

The credit costs has come down relatively and quite a bit to 0.11% for Q1 FY25 compared to overall 0.84% for the four quarters in FY24. On a quarter-on-quarter basis comparison the previous quarter was 0.20% and 0.28% for the corresponding quarter last year. This reduction in credit cost is primarily due to the result of lower slippages in the 1st Quarter, in addition to a 20% Y-on-Y growth as far as our net advances is concerned.

Now, coming to two or three other primary ratios:

One is cost to income:

The Bank clocked a cost to income ratio of 52.76%. This has been a commitment from the management in the past where we said that there will be a spurt and we would come back to sub 50 in about four quarters. We believe that the reduction which has been achieved from the last quarter which was very high at ~60% is due to a one timer that quarter, but otherwise we were hovering around 53% and 53.5% which has come down to 52.76%. And this would come down further in the following quarters because there is substantial rationalization of cost structures and a lot of operational efficiency that we are deriving through centralization. We are setting up a national back office in Mangalore and also cutting down a lot of cost as far as the branches and the franchises are concerned. And this will basically continue as part of the exercise and cost rationalization process by the end of this financial year.

As far as the two metrics for stakeholders is concerned, the ROE, that is Return on Equity, stands

at 14.45% for the 1st Quarter, and this is compared to previous quarter number of 13.71%. That quarter we had raised Rs. 1,500 crores capital, which has been the reason for that lower ROE, and over a period of time this is normalizing, and we believe that this with the above increase in reserves and share capital, the ROE would touch 15% approximately very soon. The ROA, which is return on asset stands at 1.38% compared to the previous quarter of 1.19%, so this is a significant jump. Also, if you look through the previous quarters of the previous year also, we were definitely doing well. We are within our target range there, where we have given the guidance of 1.2% to 1.4%, and we believe that we will be able to continue in this range.
Last one is more from a regulatory perspective, which is on the capital adequacy, CRAR ratio, where we stand at 17.64% as of Q1F

Y25 with tier 1 at 15.94% and tier 2 at 1.70%. Just a quick reminder here that the quarterly profits are not added. So, obviously there is a Rs. 400 crore lying there which will get added only after auditing of account towards the end of the year. And this is very healthy from a overall banking perspective. We were at 18% as of last quarter, and this again is a reflection through our asset growth and the fact that we have been growing the book.
So, ladies and gentlemen, this is the introduction from the management side in terms of the overall numbers. And at this juncture, I would like to hand it over to our host, Siddharth for any questions that our investors may have. Thank you all for the time. Thank you for the participation and we will be happy to take on the questions. Siddharth, over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Darshan Deora from Indvest Group. Please go ahead.
Darshan Deora: My first question was regarding slide number #11 of the investor presentation. If I look at the yield on advances from Q1 FY24 which is 9.95% it has come down in Q4 of last year to 9.74% and then 9.52%. So, as we are focusing more and more on our RAM strategy increasing retail, why is it that the yields on advances is coming down especially given that the interest rate environment has also been more trending upwards rather than downwards.
Srikrishnan H: So, Darshan, the actual reason for this is two things. One is it's not the new advances that we are booking in the Bank. This is more the historical book where repricing has happened because of a lot of competitive bids and quotes that our customers are getting from others including in retail housing loans and so on. Contrary to what we all think in the market, there are players who are definitely offering at much lower levels. And we have historically had a couple of good kind of portfolios at higher levels, but on a very selective basis based on relationship, we have been giving rate of interest concessions also. It is not that all of this is due to rate of interest concessions, but the blended rate based on the new advances plus couple of these ROI concessions that we've been giving, is what has resulted in this. But having said that, we are very conscious about the NIM and we are very conscious about the fact that we want to retain our margins. So, we believe that this is a trend which will continue until the time there is a reversal in the interest rate cycle that is also expected to happen in due course. Original estimates were much earlier this financial year. But at this juncture, because of certain overall macro environmental reasons, it could happen a little later which is a prediction. And we believe that repricing our advances would not happen immediately while repricing of deposit would happen earlier. So, which is when we will be able to take advantage of that in due course.
Darshan Deora: Second question is regarding NIM, our NIM has actually gone up from 3.32 to 3.54 and this is obviously despite the yield on advances coming down. So, what explains this? Is it the capital that we raised last quarter?
Srikrishnan H: So, partly it is that, partly it is also because of certain tax refund, the interest on that which has also happened.
Darshan Deora: Can you quantify that? What was the interest on the tax refund?
Srikrishnan H: About Rs. 80 crores. But it's not significant in the sense that, over the larger piece, larger scenario, there's not something which is very, very significant. But yes, that has also contributed to that.
Darshan Deora: So, I am assuming most of the contribution is actually from the capital gains that's way?
Srikrishnan H: Mostly, yes. But that's a substantial amount, Rs. 1500 crores, plus also the fact that we retired Rs. 720 crores of our tier 2 which was at 12%.

Darshan Deora: And the last question I had was regarding the credit cost guidance for the year. So, in Q1 we had 0.11%. What do you think will end the year at?

Srikrishnan H: We are still targeting at closer to about overall 1%. This has been our annualized target. But we will be happy if it is a little lesser. But I think we are prepared to digest up to 0.9% to 1%.

Darshan Deora: And just out of curiosity, in terms of ROE, what is our target for ROE or a guidance for ROE for FY25?

Srikrishnan H: We always said that we would be in the 15% to 17% range, but for this aberration that happened due to this capital raise. So I think we are slowly inching back into the 15% and I think we will stay at 15 plus at least for the next one or two quarters.

Moderator: Thank you. The next question is from the line of Piyush Chheda from Serendip . Please go ahead.

Piyush Chheda: Just looking at your slippages, almost one-third of the slippages seem to be coming from the restructured books. Close to I think Rs. 140 crores of slippages were from the restructured book. Can you just help us understand when the restructured books slippages would sort of taper off? Is that something that's likely to happen in the next couple of quarters or this is a pain that will continue?

Srikrishnan H: Just to kind of make sure that you know the slippages number is correct, out of the overall additions of Rs. 416.49 crores only about Rs. 81 crores has come from this restructured book. So, that is the first data point. The second is to answer your question, the retail part of it which is the restructured assets in multiple forms, the bulk ones have got addressed mostly barring at least about let's say about 10 to 20 odd larger accounts which are still there across various regions. But the real granular part which is including housing, etc. are being restructured and they are coming out of restructured into standard portfolio and so on. There's a special team that we have deployed which is why this entire overall recovery and all of it is happening. Last point related to the restructured is that as you are aware that 91% of our book is collateral-based. So, even in these restructured assets, I can confirm that all of them are security backed. But you are aware about enforcing the security value and so on. So, this is something that as a separate team, as I said, led by our credit monitoring team from the headquarters and with SPOCS at every region, they are doing this. And we believe that we would continue with the same trend in terms of a downward trend to a reasonable level in the next 2-3 quarters.

Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: Sir, my first question was on the provision coverage ratio that has come down by 200 basis points sequential. How to read that and what's our outlook on that? How quickly we want to take it to 70%?

Srikrishnan H: So, Prabal, first there is a change which we have implemented which is account level provisioning which has been practiced for the last couple of quarters. So, obviously we have

been doing this at a granular basis. The second part is that over a period of time we believe that the acquisition in terms of extra provisioning will happen when we get more comfortable on the profitability side. So, this is a clear balance between PAT and PCR that we are trying to balance and we are making sure that whatever is as the prudential norm, we are doing this which are certified by the statutory auditors. And also fact is that we want to also reflect the growth of the Bank. So, we want to grow profitably, we want to also be healthy, and this is the balance that we will strike as we go forward. We believe that our next target to reach as far as PCR is concerned would be the 80% in the next 2 to 3 quarters.

Prabal: In next 2 to 3 qu

arters, meaning a 26%, is that the right understanding?

Srikrishnan H: No, I am talking about 77.97% as of this quarter would grow to about let's say two quarters from now, we should hit 80%.

Prabal: The second question was on the GNPA, the gross NPA in the retail ones that has gone up from 2% to 4% on a sequential basis. So, why is that and which specific segments are showing pain for us on the retail side?

Srikrishnan H: You are aware that there is a historical book, Prabal, which is pre-COVID, before 2020, and then thereafter whatever that we have been doing during and after COVID. Then the restructuring happened. And over a period of time when the growth was really not there and the last about a year we've been growing the advances book at closer to 19% or so. So, the historical book is something that we are working on, and obviously most of this, at least 50% or more from the overall NPA, is coming from the historical book and this will continue. And this of course does not include the restructured part. As you know, on restructured we are provided for at least up to about 14%-15% on the overall restructured book. So, what we are trying to do is to make sure that we want to completely clean it up as far as the historical book is concerned and make sure that we are more or less on a clean slate as we go forward. On the retail book, just to answer your question as to what is the total in terms of the breakup between retail, etc., one of the key segments that we do lend to be the contractor segment, which you are aware. And in the last year or so, the last quarter of the previous year, we did have a lot of collections and a lot of SMA-2 went back to SMA-1 and 0 and so on. But because of the fact that there was a kind of period which is due to the code of conduct partly, I mean mainly due to the elections etc., the payments were not coming through from the government department, which will happen in this quarter and the next quarter and we believe that we would come back to regular normalcy on that segment. The retail book per se has been doing well. We can't see much as far as the GNPA is concerned there. It is more from the mid-market and the agri and which are predominantly from the historical book.

Prabal: And sir when you say that this is the pre-COVID book that is showing pain for us. So, how long should we expect the pain to continue?

Srikrishnan H: The restructured book has as I told you, has come down to about Rs. 1,160 odd crores. Which means that we are in the fag end of that particular cycle. We believe that up to March 25, this is

going to continue and every quarter we will see some substantial reductions but there will be a final number which we will arrive at. Whatever that number would be Prabal, we will wait and see. And whereby at some point of time as a Bank we need to make sure that this is completely regularized. So, this is a trend but it's a very significant movement that we have achieved. Overall, many other banks did not go through this route of declaring a high amount. Karnataka Bank took a conservative stand in '22-23 when this was done where a Rs. 4500 crore was restructured and classified. From there, we have come down to a very healthy number. At this stage as a percentage of our gross advances, this number is actually not very significant. And in any case, as I said, 15% has been provided for. And the slippages from this restructured portfolio is on a downward trend.

Prabal: Sir, during the quarter, the retail loan book saw a decline on a Q-on-Q basis. So, by when should we expect this book to start in the long run the MSME segment?

Srikrishnan H: We have actually, on the contrary, added. Just to give you an idea, we have added a total of Rs. 2,453 crores that we had grown on the advances book. Almost 50% came from the retail side, approximately Rs. 1,290 crores.

Prabal: But within this if I exclude a

griculture, then the core retail book has come down.

Srikrishnan H: Let me give you the breakup on that separately between retail agri because right now the classification that we have done is basically on retail large cap and mid cap. So, that is how we have done, but we will be able to publish that.

Prabal: And any out as to when can the retail and MSME business where we are still in the phase of developing their infrastructure, when can they start contributing to growth?

Srikrishnan H: On agri, we have already done that, which is by deploying closer to about 100 plus agricultural field officers (AFOs) into the market. We recruited some and we had to pull out many who were in regular banking in multiple regions. So, we have focused on, got them all to the agri-focused regions already. So, the agri part of it, which is to create a structure and outreach programs etc. have already started and it is yielding results also. MSME, as you're aware, I think it's already there in the public domain as part of the presentation, that we have recruited our Head of retail and MSME business, and he is due to join in about 1 to 2 weeks from now. Right now it is being managed internally by our existing leaders. We made some structural changes where the erstwhile GM Credit Marketing has taken up the position as a Chief Compliance Officer. And so this is basically an interim arrangement and we will have the leadership change happening by end of this month. And as soon as he comes, I am sure that you know, he will devise many programs and outreach programs. Mid Corporate Head has already come in and he's more or less completing one quarter. And here again, there will be a churn in the overall book compared to the earlier where the large corporate opportunistic will degrow and it will be replaced by direct to customer lending on which will have a kicker as far as yield is concerned.

Prabal: And sir two data keeping questions, what were the net advances during quarter and outstanding assets?

Srikrishnan H: Net advances during the quarter increase you are talking about?

Prabal: No, the absolute number on the balance sheet sir.

Srikrishnan H: What is your second question, net advances and then the second was?

Prabal: Asset number.

Srikrishnan H: Rs.1,15,770 crores is the total assets. Rs. 73,977 crores is the net advances.

Prabal: Sir, and from the previous quarters, since we have improved the quantum of our disclosures, I would just request if we can also add balance sheet into it, which sort of gives more perspective as to how ratios are.

Srikrishnan H: Surely, we will include that. Actually, we have taken a lot of feedback from all of you, and we

have included everything, whatever that we've heard so far. We will take this on record.
Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: First of all thank you for presenting a much improved version of the presentation. So, really heartening to see these positive changes. Sir when it comes to your growth rate, now you have also given this vision of reaching Rs. 1 lakh crore by FY26. So, I mean now what we are witnessing slightly is that the retail engine is still slightly probably not growing as fast as we had envisaged and at the same time there are pressures on the NIM. So, how do we make sure that we reach to our target and what are some of the constraints that you see for us to reach there?
Srikrishnan H: So, fundamentally Sarvesh, yes, we had this aspiration. And when we started the journey, couple of us who came into the Bank, including our Executive Director, Sekhar Rao, we sat together and said that we should first of all outline our aspirations. So, the aspiration still remains to be that Rs. 1 lakh crore gross advances by March 26, and we stay committed to that. Second is that the composition of this, we always said tha

t we would have 50% from the RAM and then the balance would be from corporate advances, which would also be a churn because the larger corporate advances which are more opportunistic also would be replaced by direct to customer corporate advances. So, both these efforts are currently on. Structurally what we have done is that we have divided this into outreach programs. Basically, on the retail asset side, we have appointed corporate DSAs. We have also deployed a DST community across the country. And this is a pretty large number which is there, and they are sourcing business.
We have also embarked on a credit transformation program which is basically to rationalize the processes, the turnaround times, and also any policy changes related to benchmarking. The 1st

Quarter of that credit transformation program in terms of study, collation of data related to all of these other products offered by banks etc. has been done. So, we are tweaking a lot both on the products as well as on the process side.
The third is that we are in the process of setting up retail asset center in a couple of locations whereby this will be one kind of umbrella shop where right from sales, which is the DST sourcing, application, lodging, and review scrutiny would be done in record time, so that it works more like a factory, and this is what we are trying to set up from a retail asset perspective. On the MSME and the mid-corporate, we are having a kind of a relationship and a coverage team which will be deployed in multiple areas. The teams are working with our newly joined HR Head for making sure that this structure is there as far as the locational coverage is concerned to manage these businesses. This is a significant change from the past where we had one branch manager who was managing all types of assets and where now the branch Head will continue to do what he was doing, but we got the sales team and the coverage team, which will be superimposed on a branch structure. And as you are aware, in the last quarter, we have enhanced the cluster head concept. Instead of breaking the branches into regions, we have introduced the cluster head concept. Now all the branches work under 51 clusters, as far as the country is concerned. So, overall, what we are doing is that we are making this entire organization more effective, more focused on this. And based on this, we believe that our goal of this Rs. 1 lakh crore through the segments that we are talking about would be very clearly achieved.
Sarvesh Gupta: Understood sir. And sir, on the credit cost side, if my understanding is right, you are saying that the standard restructured book will more or less run down by the end of this year. And so your slippages from that particular book will further reduce, I mean because 20%-25% is anyways coming from that book even now. So, that bucket would also go away in a year's time. Is that the right understanding sir?
Srikrishnan H: Sarvesh I want to correct that understanding a little bit. I did not say that our restructured book will be completely eliminated or zeroed by end of the year. All that I said is that we will reach a far more comfortable position from the Rs. 1,160 crores to a lesser number. So, the restructured book is here to stay but it will be very controlled and reduced. Because of that, obviously the slippages will be much lesser and lesser as we go forward because the constitution of the restructured book is something that we have already published in our investor presentation, where segment-wise it is there. And plus, as I mentioned earlier in the call, this is all fully covered with collateral. So, we will be definitely making some very hard calls as far as the recovery or upgradation and standardization is concerned. So, just to kind of conclude on that point, I hope that communication is very clear on the restructured book. It will come down. Yes you are

right about lesser and lesser contribution to the NPA because of that, and that is a very valid point that you raised, and I guess that explains your query also.
Moderator: Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors.

Please go ahead.

Sushil Choksey: Congratulations to team Karnataka for excellent result. Sir, my first question is referring to the previous question which was asked on an aspirational goal, your retained profit and the equity raise substantially supports the credit growth. And I am sure in today's market, credit is not an issue. Coming to the deposits and CASA, where are we? And based on aspiration, have we reached 50%, 70% or we still lacking?
Srikrishnan H: Sushilji, good evening. Thank you for your compliments and also your commentary on our asset book and capital raise. Yes, it is contributing definitely and giving us a lot of headroom as far as our gross advances growth is concerned. On the deposit side, I would say that one, in addition to the branch-led liability acquisition, we have embarked on a sales team-led acquisition as far as our liability franchise is concerned. Today we have deployed over 300 CASA sales officers across various regions, plus feet on street for sourcing and bringing them. As you are aware, unlike an asset where the closure can happen with the retail DSA, DSC, in this case the Bank staff have to go and so they only kind of source, but the closure happens with the Bank staff. So, that is why the 300 odd CASA sales officers who are all of the roles of the Bank are deployed for this specific purpose. The second is that we will double this number as we go forward as we are seeing some good traction in terms of number of account that are being opened. Plus the third thing is that most of our new product development which has been done in the last 2 quarters are all liability based in the sense that if you look at our KBL WISE which is our senior citizen product, Current Account Purple, which is our traders and small businesses product, corporate salary savings product, and what we are planning to do for students with an educational loan combined with liability account, and self-employed professional plus family account concept that we are bringing in etc. If you look through these, all of our efforts are going to be focused on liability acquisition. The second part is that our branches are kicking in, in terms of the existing customer base. So, ETB increase in terms of the wallet share has happened. And in fact, there is a very healthy mix which is happening, which is essentially from our ETB account acquisition in terms of retail term deposit etc. And compared to the market where the overall market and other banks have lost CASA, we are not really losing that much. We are really kind of maintaining, and we believe that the products and the tax and other liability franchise improvements will result in our overall CASA growth as we go forward. Last point Mr. Sushil is that government business, we have been increasing this as I mentioned in the call earlier, and we believe that will also result in a lot of float both the government tax, custom duty, GST collections plus the government business to the integration with Karnataka government and a few other states that we are in.
Sushil Choksey: Well, my next question pertains to treasury outlook and how are we balancing on monetizing treasury because the GSEC yields are likely to trade between 7.05 or 7.00 to 6.75 by the later part of the year. How will we balance between treasury and credit both by utilizing the surplus profits and the pool available out of it?
Srikrishnan H: So, Sushil ji, there are two parts to this treasury. As you are aware, the Reserve Bank of India's circular on investments which is like transferring all of our holdings into AFS reserve. So, this investment what is being done b

y treasury, as you are aware, even if they make money until the security is sold, we cannot take them into profit. So, we have actually created this AFS reserve,

which is the opening for the revenue reserve. So, obviously, while Treasury will make profit on the AFS due to MTM, but that doesn't enter P&L. That's one part.
The second part is that you're right about Treasury yields more or less tapering at the range that you had mentioned. But the fact of the matter is that we are good on liquidity, because as a Bank we are still surplus on liquidity, which is why our CD ratio is still at 75.33%. Plus our treasury also has some surplus liquidity, which they are lending to the market. So, we believe that there is adequate headroom, both on account of this CD ratio, which we can clearly go up to 80%, plus a good substantial number from our treasury, which can be deployed into corporate assets, which will yield at least a kicker of minimum if not 100 bps, at least 70 to 90 bps will be the increase as far as earnings are concerned. So, we believe that we are on a right track in terms of churning our entire portfolio on the advances side and making very clear efficient moves as far as our treasury funding and liquidity management is concerned.
Sushil Choksey: What is your target on technically written-off accounts, loan which are written off on recovery sides?
Srikrishnan H: Currently out of our total book, the book which is 2,668.45 crores are our gross NPA and

technical write-off book is about Rs. 2,900 crores. Now, normally we recover about Rs. 300 crores in a year and we believe that we are on the right track as far as that number is concerned. And actually we can stretch it also to a higher number as we go forward. So, we believe that if you look through this year, last year we had Income from Written off Account – approx. Rs. 280 crores or so, and we believe that we can close out the year hopefully on the technical write off recovery itself by about Rs. 400 crores. So, these are various kind of measures that we are doing primarily with the existing book, existing opportunity, and also the new opportunity that we are embarking on as far as our new to Bank customers of Karnataka Bank is concerned because the signups for new accounts by the day is increasing.
Sushil Choksey: And in your aspiration, cross sell was a big target. Where are we currently?
Srikrishnan H: So, currently, the products are just coming in. As you're aware, the product team got set up only about 2 quarters ago. There are lots of changes that are being done on the technology infrastructure and the functional side of the technology. So, between our digital product and technology teams, they are really collaborating well, and the agile method that they are using for rollout of products etc., we believe that we will be able to add more features very quickly in short time, and make sure that our entire product offering the bouquet is very attractive to the customers to attract this and then we will see the cross-sell happening. Currently we are still doing the traditional way of third party products through insurance. We are picking up steam as well as we have seen enough increase as far as our third party income is concerned on distribution of life and non-life products and third party products from the broking and Demat and 3-in-1 product. So, all of those are happening. But we will soon launch a wealth management platform which will basically provide for a one stop shop including advisory by location, whereby we will have wealth advisory both platform and practicing professionals to increase the product as well as the cross-sell opportunities for our existing customers.

Sushil Choksey: To be future ready, do we expect that we increase our provision coverage ratio when the profits supporting the Bank on a very good trajectory?
Srikrishnan H: Yes, we will be doing that. That's what I think one of the earlier callers had asked the same question. And we believe that by the end of the year, we should go back to the 80s.
Sushil Choksey: Do you estimate that your co-lending portfolio would result with many partnerships, a better yield towards in advances?
Srikrishnan H: It is already happening, but the amounts are right now very small. We have four partnerships which are currently functional and one more which will be launching this quarter itself. These five are in various, let's say verticals. Some are covering SME, some are covering personal loans, and some are covering developmental kind of loans which are more SHG and JLG and so on. So, what we are trying to do is testing both the system as well as the processes and behavior of the loan until the seasoning happens. Currently the overall exposure is couple of hundred crores. I don't think that we would be in a position to say that whether they are yielding more. Yes, of course rates are better but it doesn't have a great impact on the overall number because couple of hundred crores on the overall portfolio is very insignificant right now. But yes, on a very calibrated basis, we will increase the co-lending portfolio in due course.
Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri: Firstly, congratulations on such a great performance. A lot of my questions have already been answered. So, just wanted to ask a bit on the deposit side. Are we facing some issues in the market? Is the competition heating up? Will it impact our cost of funds for a longer duration than what we expect?
Srikrishnan H: Thank you so much for asking this question. So, this is a market-wide phenomenon. I think every Bank from the quarter starting October last year, March quarter, and now also has been facing this. So, this is not unusual for any Bank. Every Bank is facing this because as you're aware. Even the RBI Governor talked about it to say that there's a flight of deposits from the banking system into the mutual fund systems. Which is the fact of the matter. But what we do have is that our branch and the relationship that we have are very unique, considering the fact that many of our customers are actually banking with us for generations. So, two generations, three generations. So, there are a lot of loyalty factor as far as this Bank is concerned on the overall relationship value. Second is that in the past, we did not have all the products to gain a primary position with our customer base and which we are slowly inching to do because now we are not just staying competitive on the product side, we are actually exceeding in terms of the features and benchmarking with others in the competition. Third is that we are not in the high cost deposit or that kind of competition because there are players in the market who are quoting rates which are unviable and we are not in that market. Also, we are being extra careful as far as our overall number is concerned as far as our rates of interest is concerned on short or medium term deposit.

So, given that fact, it's a balancing act between liquidity, pricing, as well as long-term stability,

stickiness. So, we are focusing more on long-term stability and stickiness compared to a short-term cost of deposits game that some banks are playing. I don't want to name who. So, essentially, we are taking a very prudent approach. We believe that in due course, this would be a winner compared to most of the other opportunities which the market will present. So, the basics here is what we are practicing. We really believe that basics will give us a better play.
Darshil Jhaveri: So, just wanted to ask, wh

at kind of growth in deposits and advances can we expect for FY25?
Srikrishnan H: So, we are growing our advances book about 19%, which will continue for this year. And deposits we have grown between 13% to 15% and we believe that we will stay in the same trajectory.
Moderator: Thank you. The next question is from the line of Ketan Athavale from Robo Capital. Please go ahead.
Ketan Athavale: I wanted credit cost guidance for FY26 and FY27 and your outlook on other income.
Srikrishnan H: So, thank you for your questions. Two things. The outlook for FY25 on credit costs would be about 0.9 to 100 bps. And that will continue. It is a little premature for us to talk about FY26-27 because the dimension of this entire book, complexion of this book is changing, and which is something that we are making changes. And the impact of this will be felt in the following couple of quarters. And I believe that if we control our slippages and if we believe that our overall accretion growth in deposit happens, then we would be in a better position as far as our credit cost is concerned because credit cost is clearly a function of what I just said related to both the reduction in slippages and the growth in net advances. This is where we are focusing. So, if you believe that we are really working towards the Rs. 1 lakh crore book by FY26, then with reduction in the overall slippages which is showing the right trend right now, we believe that we would come to a little healthy level. The second point that you wanted to know was about assets. I think I answered that already, that our overall book is going to be about lakh growth and deposit growth would have to be supplementing that because if we have to give advances, then liquidity has to come from deposit because we are not in the market to borrow from the market and lend to customers. So, obviously we have maintained a very stable book for the last hundred years. We will continue to do so for the next century also.
Ketan Athavale: Just if you can give you an outlook on other income as well?
Srikrishnan H: Other income - that was your other question. So, other income constitutes commission, credit processing fee, income from services like ATM, debit card, locker, and so on and so forth. Recovery from technical write-off is also part of the overall other income. Our other income currently is about Rs. 275 crores for this quarter. We believe that there is a good potential to grow because there are 2-3 areas which are more liquidity based and also a couple of products which will be more on the Forex side, because a couple of our MSME or SME customers do not avail of foreign exchange or any other trade transactions with that. So, we are going to increase traction related to offering more products for our corporate, midmarket, and SME customers and

MSME customers. And the usage on digital transactions, usage on ATM and debit card transactions, usage on lockers, rental recoveries etc. are going up. We believe that over a period of time, this other income, which is currently around Rs. 300 odd crores would grow. Having said that, there was a very significant part of this other income, which was from treasury which as I mentioned in the earlier part of this call, Reserve Bank of India has come out with a guideline where we have to keep it as part of AFS and a revenue reserve and that would not come into the other income. This would be the case with every Bank. It's not only that Karnataka Bank is only affected or impacted due to this. This is a prudent accounting policy change recommended by Reserve Bank, which we have implemented. So, I have already mentioned that as part of the overall call that if we had included that our other income would have been higher by Rs. 40 crore and Profit Before Tax (PBT) would have been higher by Rs. 33 crores. But that is not the case. So, even without treasury, we believe tha

t the other avenues I told you which is trade, Forex,
debit card, locker, and digital products, third party products, which will be distribution products, all of that will contribute. So, we believe that we are on a healthy trend as far as that is concerned.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Srikrishnan H sir, for closing comments.
Srikrishnan H: Siddharth, thank you for hosting this on behalf of Karnataka Bank and on behalf of the Bank

management who is sitting with me and those who are on the call outside, we would like to thank the investors for their support, the customers for their loyalty and patience with Karnataka Bank. And more importantly in terms of guidance, whatever that we are committing, we will continue to deliver. We are on the right track. Trajectory is looking good. Overall, I think the fact that we raised capital last year and making sure that all of the execution of the mission and the strategies that we have developed for ourselves are coming into fruition. And we believe that we will be able to contribute significantly to our stakeholders as we go forward. Once again, thank you all for participating today.

Moderator: On behalf of Karnataka Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Oct 2024

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228 184
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.com
Mangal uru – 575 002 CIN : L85110KA1924PLC001128
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30.10.2024
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Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001
Scrip Code: 532652

Madam /Dear Sir,

Sub: Transcript of Q 2/H1FY25 Earnings Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts/institutional investors con ference call held on October 23, 202 4, on the unaudited Standalone & Consolidated financial r esults of the Bank for the quarter and half year ended September 30, 202 4.
The same is also made available on the Bank's website under the following web link:
https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Edited Transcript of
"Karnataka Bank Limited
Q2 FY '25 Earnings Conference Call"
held on October 23, 2024

MANAGEMENT : MR. SRIKRISHNAN H – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
M R. SEKHAR RAO – EXECUTIVE DIRECTOR – KARNATAKA BANK LIMITED
M R. ABHISHEK SANKAR BAGCHI – CHIEF FINANCIAL OFFICER – KARNATAKA BANK LIMITED
M R. VINAYA BHAT – CHIEF COMPLIANCE OFFICER – KARNATAKA BANK LIMITED
M R. RAGHURAM H S – CHIEF RISK OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to Q2 H1 FY '25 Earnings Conference Call hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Srikrishnan H, MD and CEO from Karnataka Bank. Thank you, and over to you, sir.
Srikrishnan H: Thank you, Adell, and good evening, everyone. Warm welcome to our Q2 FY '25 Earnings Call. On behalf of Karnataka Bank, I'm Srikrishnan, MD and CEO. I have with me here Mr. Sekhar Rao, Executive Director; Mr. Abhishek Sankar Bagchi, who is our CFO; Mr. Vinaya Bhat P J, who is our Chief Compliance Officer; and Mr. Raghuram H S, who is our Chief Risk Officer. So in addition to that, we have a couple of other executives who are from the Investor Relationship team. Greetings for the festive season and wish you all and your families a very happy Diwali in advance. The bank has ensured that we are fully prepared for to capitalize on the opportunities that are coming up due to the festive season during the second half of this year.
As I mentioned during the previous earnings call, the bank has been undergoing major restructuring and transformation process. So during the quarter, a couple of updates. We have brought in a new leadership for Head of Retail, MSME, SME, Agri assets, that is Mr. Sreenivas Mylavarapu, a Head of Liabilities plus Third-Party Sales to focus on the business growth, that is Mr. Venkateswarlu Mallineni. Both of them come with very rich experience in banking as well as sales experience. And besides this, we also brought in a new Head of Retail Collection, Mr. Ramasubramanian B, to ensure that maintenance of our portfolio health on the retail side. With these additions, I wish to also confirm that all the senior restructuring and the leadership is now in place.

We have the Karnataka Bank veteran leaders who are also participating very actively and whole-hearted in our transformation journey. The major transformation processes that are underway are credit transformation, a national back-office, where we have made substantial progress by centralizing clearing, and we will also centralize treasury operations in a couple of weeks.
And we have created the sales and the product organization, both for retail assets, mid-corporate and corporate business and also the retail deposits and CASA accretion, and we do have them attached to various locations. We are, as you are aware, in 22 states and 2 union territories, and more of the regions are covered.
So all these sections are rapidly progressing, and we really hope to see some benefits in the same during the upcoming quarters. To support this growth, we also have enhanced our tech infra and operational capability. All the enhancements are in place, and we have done some major enhancements both in terms of our storage, processing, and also a lot of other functional features in our overall tech stack.
We have seen some improvements and a significant improvement in the book quality, which will improve even further as we go into the future quarters. During this Q2, we have taken a conscious decision to focus on portfolio quality over growth. And during Q2 FY25, we will continue to maintain that focus on critical parameters.

Basically, we define our Bank's performance on growth in advances, deposits, improvement in quality of advances book, profitability and NIM, and favourable ROE and ROA. These are the critical metrics that we will be working towards. In the past few quarters, we have been focusing on

growth, but we took a pause during this quarter to focus on quality as well as profitable growth.
And we believe that the numbers are speaking for itself based on this strategy, which is a short term, but we will accelerate the rest of the other

defined parameters and metrics as we go forward because all the engines, which is related to the retail business, the corporate business and so on, have all started kicking in. I'll be talking about it as part of the commentary.
Overall, aggregate business, the business turnover of the bank stood at INR175,284 crores, up 12% on a year-on-year basis against INR156,468 crores in September '23, the corresponding quarter last year. On the profit after tax, for Q2 FY '25, the current quarter, it was INR336.07 crores as against INR330.26 crores in the corresponding quarter previous year. The PAT for the half year stood at INR736.4 crores versus INR700.96 crores as part of H1 of the last year, an increase of about 5%. The same was INR400.33 crores –for the previous quarter that had a onetime IT refund and interest refund of INR81 crores, so which effectively means that from INR320-odd crores, we have moved to about INR336 crores this quarter on a quarter-on-quarter basis.
Due to the accounting policy changes, I think, we called it out the last time also, on investments Available for Sale, the AFS portfolio, we have classified effective April 1st, there is a credit line in our AFS reserve and the opening revenue reserve to the extent of about INR106 crores and also about INR24 crores, respectively. Had the Bank continued the earlier accounting policy, the income on investment and the other income, which would have been higher, the profit before tax would have been higher by about approximately INR71 crores.
But that is something that is possible to really recognize only if there is a sale in the securities that we are holding in AFS book, and this is something, which is common across all the banks due to the revised RBI regulation. But this, on a comparative basis, previous year and corresponding quarter, there is a difference, and which is why I'm also stating this number.
As far as the gross advances book, the total of the advances remained at INR75,316 crores as of September '24, and this reflects a year-on-year

growth of about 12.5%. The industry growth for the same corresponding year-on-year was about 13%, so we are very much in the same trajectory as far as the industry is concerned on the gross advances.
Our overall strategy was to grow retail, agri and mid-market RAM, and where the growth has been led by retail housing and gold loan for us, with a net book accretion of about INR3,691 crores on a year-on-year basis in this segment.
The bank has also committed earlier that we will reduce our exposure to large mid-corporates that were opportunistic to deploy for short-term better yields than our treasury deployment. The bank also took a conscious vision in this quarter, not to go for this low-yield bulk PSU advances, which would have locked us up for a couple of years at a very low rate. And because of the interest rate and outlook, which has been there in the next few quarters, we didn't want to get committed, which is

also one of the reasons that the advances book has not grown.
But in terms of quality and the churn, this is something that we have ensured during this quarter also. With our new heads of businesses for Retail and Corporate that I had mentioned earlier and their respective regional structures are also in place now. The focus on acquisitions from these segments will increase going forward. On a year-on-year basis, retail advances have grown by 12.2%, and this is something which is very good from our perspective because the yield is also something going forward will be beneficial for

us.
So let me move to the aggregate deposits. The deposit number stands at INR99,967.99 crores, reflecting a year-on-year growth of 11.66% over September '23. And the industry growth, again here, among scheduled commercial banks is about 12%. So we are very much in line with industry growth. Our CASA deposits stood at about 30.82%, up 28 bps from the 30.54% in June '24, but lower than the last year. And I don't have to really elaborate much on the industry phenomenon, which is happening on CASA or liabilities. The CASA, as an overall deposit of

scheduled commercial bank, has declined about 43.66% in March '22 to 39% in March '24.
So even during the Q4 of the last year, as per published numbers, the CASA dipped by about 271 bps, that's 2.71%, and this trend has also continued in September. Liquidity reasons and other banks offering high lucrative rates for 1-year short term, the deposits that were reflecting a lower number as, again, confirmed by the Reserve Bank of India statistics and various news that have been coming out on this subject. There is a flight that is moving away from CASA into term deposits and into other instruments outside of banking system as well. But we believe that our bank is well positioned for Q3 because of the agricultural harvest season and the expectation of RBI easing up on rates, and we expect that the CASA will continue as far as our growth is concerned.
During the quarter, we shifted the growth to the CASA book and retail deposits to replace lower-yielding bulk deposits. As a policy, we do not bid for much of this higher bulk deposits at very, very low rates, and the market was not really rational at some point of time we felt because it just did not suit our book. So which is why probably you're not seeing growth in the book, but in terms of quality, we have improved because there is a substantial reduction in the overall bulk deposit as a percentage.
So I wish to confirm to you that 92% of our liability book comprises of retail liabilities, and only about 8% is in the form of bulk deposits and these are also our card rates or favourable rates. We have not been really chasing deposits based on very high rates as far as the market is concerned.
Going forward, we have a set of new products that are being launched in this quarter and the next quarter. I'll be calling out because most of these are focused on liabilities and increase in deposits and also in retail loans. A couple of examples. We are launching KBL Genius, which is a

student savings account, KBL Peak, which is an education loan, a premium savings account, a merchant payment app, which will be QR code-based, and also enhancing our Mobile Plus and Mobile One applications for preapproved personal loans and also launching for specific medical equipment loans and a wealth management advisory platform, which will be integrated with our app in terms of the access

and functional features.
In the last quarter of this year, we would be launching a supply chain financing program; exclusive women savings account; flexi recurring deposit, RD scheme; and also a family banking program, whereby all of the family members will be part of one group account, and we will be offering basically benefits across the family members as one unit. And last but not the least, we are also working towards developing a MSME super app, which will basically capture the life cycle of our MSME customers right from the Udyam registration and renewals and GST and their entire working capital cycle as well as the payment of taxes and so on.
So basically, what we are trying to do is to provide digital access to this community, which is huge for our Bank and will definitely act as a center of growth for the Bank in terms of the overall asset and also the promoters business from thei

r personal relationships.
The NII for H1 FY '25 was INR1,736.92 crores. It was up 6.1% on a year-on-year in comparison. The NIM, we have clocked at 3.38% for the half year. There has been a dip in Q2. But overall, we still have done better and we are still within the guidance for 3.4% to 3.6%, and we are about 3.38%. There was a minor reduction, but we will definitely make it up as we increase our retail advances acquisition and also direct-to-customer acquisition on the corporate book. The loan yield with the strategies being under control, NPA is coming under control. The Bank is definitely increasing the focus on loan yields and improve overall profitability.

Bulk opportunistic advances will be replaced by direct-to-corporate advances and retail advances and we will still show a growth in the book, but also a churn in the book, which will be more swinging towards the higher yielding advances. This is something, which we believe that the necessary infrastructure, the people, the technology, products and benchmarking in terms of turnaround times have all been done and we are ready to go on this. Likewise, a combination of these various products between Q2 and Q3 into high-yielding segments, such as mortgage, vehicle loans and education loans, etc. We definitely expect that the overall yield will improve progressively over the next quarters. Our CD ratio is still at 75.34%, continuously improving every quarter, but we still have a headroom there and we believe that our ambition to grow the overall advances book with our capital and our CD ratio and our deposit acquisition engine, which will definitely show much better results as we go forward, we believe that we still have a lot of headroom here. On the standard assets, this is one area where we'll be very proud this quarter because the gross NPA significantly improved from 3.54% to 3.21%.
And this is something that we had committed in the last few quarters to say that we will come closer to 3%. And I think we are well on track as far as this is concerned. Just for reference, the same was 3.47% in September 23. So this again reflects that over the last 1 year, we've been moving very well.
On the net NPA similarly, there is a significant improvement to 1.46%, down 20 bps from 1.66% as of the last quarter and about 1.36% as of last year, September '23. So this again reflects and well on target for our commitment that we will move this closer to the 1% range in the following quarters. And I believe that with our significant recovery and reduction, not much of additions into our overall NPA book, we believe that we are on the right track.

This has been achieved because the gross slippages has come down drastically, and we are at 0.33% in Q2 as against 0.59% in Q1 and as against 0.52% in Q2 of last year. For the 6 months ended September '24, the half year H1, the capex ratio stands at 0.94% as against 1.03% in 6 months. Here again, this has been fully through recoveries for the quarter.

Excluding the upgraded accounts, we have had a recovery of about INR148.01 crores versus INR133.12 crores in Q1 and as against INR117.82 crores in Q2. There is also some more good news on the standard restructured advances. Without related accounts, the restructured book has come down to INR1,051.86 crores compared to INR1,160.94 crores as of 30th June and as against INR1,338.78 crores as of 31st March, '24.

So, the significant metric that we actually measure is a combination and this is published in our investor PPT also, where we normally combine the gross NPA plus restructured book as a percentage of our gross advances. And I'm actually happy to report that as of September '24, our percentage has come down to 4.89% as against 5.39% in the previous quarter and as against 6.78% in the previous year the sam

e quarter.

So as a result of this, our PCR, which is including technical write-off, has crossed 80%, and as against 78% in June, and it was a little higher last year, but, of course, post that we have had a lot of events that happened, including the expiry of the COVID moratorium period, etc.

So, the entire restructured book has now completed its term as far as the COVID 1 and COVID 2 regulations are concerned.

Our LCR, as all of you are aware, Reserve Bank of India, based on a study that they had done across all banks, and because of certain, I would say, inconsistencies that they had observed among many banks, they have come out with a revised draft guideline, which actually is to be implemented only from April of next year.

But as a conservative mechanism, we, at Karnataka Bank, have tested the LCR based on the revised guidelines. So even after the revised guidelines as of September 30th, we stand at 143.93% on the LCR, which is very comfortable and as against the statutory target of 100%.

As far as the cost of funds is concerned, despite the market volatility, we have remained stable at 5.58%, and it was the same number almost for the Q1. And cost of funds for the entire half year was about 5.58%. And comparing to the half year last year, it was 5.29%. So overall, because of our strategy not to chase high-cost deposits, we have been extremely guarded on that, and we believe that it remained stable.

There is one other good part, which we need to report, which is credit cost. Our credit cost for the Q2 was at 0.09%, which is actually the lowest that we have had so far compared to 0.11% in the previous quarter and as against 0.17% in the quarter 2 of last year. The total credit cost for the half year stood at 0.2%. That's like 0.11% plus the 0.09% that I talked about. This continued reduction was a result of significant lower slippages, and we believe that the same trend will continue as we go forward.

One of the areas of concern for us is the cost to income. We have incurred extra as far as elevated onetime costs in technology, some lateral recruitments and also increased provision for superannuation benefits because of the fact that the rates have moved -- the rates have decreased as far as the superannuation benefits of our staff, the actuarial calculations.

Based on all this, there is an increase. But we believe that we will be able to control this through rationalization of costs, through also increase in income and making sure that we are back to the mid-50s and then, of course, reducing it to closer to 50 in the following quarters. Our commitment earlier also was that we will commit to bring it down to about closer to 50% by the end of this year. I think we might take a little 1 or 2 more quarters more.

But all the cost rationalization exercises initiated across the bank to negotiate with all the vendors and rentals, and IT, non-IT expenses and also not consciously going in for some expenses going forward. We believe that we are on the right track as far as our overall earnings is concerned. Because of this, the ROA has come to about 1.13% for Q2 as against 1.19% in March FY 24. Our guidance has been 1.2%. I think that we will get back to the 1.2% to 1.25% in the following quarters, and we have reasons to support this.

The ROE has dipped to 11.63% compared to the earlier quarters. And this, again, is because of the additional equity that we had raised, which all of you are aware. Our CRAR, without the half yearly profit being folded into the results, stands at 17.58%. If we add that it would be more than 18.5%. So we are very comfortable both on Tier 1 and Tier 2 and in comparison to the last quarter, we were at 17.64%, so which is not much of a change at all. And as of last year, of course, it was much lower. And because of

the capital raise that we completed between September 2023 to March 2024 we have been quite all right on this front.

So on this note, I would like to end our commentary from our side, and I would request Adell to go ahead and for calls. I would like to also mention that we try to answer all the questions. And incase that there are some questions that we might need some time, we will respond by mail. And I have my Investor Relations team, comprising of Mr. Soham and the E&Y team to get back to you.

So over to you, Adell, for the Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Agastya Dave from CAO Capital.

Agastya Dave: I must congratulate you for your work on the NPA side. It seems pretty promising. Sir, I have two questions, both of them related to this third slide that you have added in your presentation today. You have mentioned certain corrections in the low-yield bulk deposits, PSU

advances, and also on the high-cost deposit side. So the first question is, can you quantify what was the impact of this entire exercise? Is it over completely? Or will we see impact in the coming quarter as well?

And the second question, again, related to the same statement in the same slide. You've mentioned that we are going through a transitory period, which I understand, sir. Can you put a particular timeline on when do we see improvements incremental improvements happening in the NIMs on the growth side? And when do you see the retail engine firing restfully for you?

Srikrishnan Sarma: Thank you, Mr. Dave. Both are relevant questions. So one is that in the last three to four quarters, we have been growing the book on account of the opportunity that we had because we did have very low CD ratios in the past. And we had excess liquidity that we were deploying into treasury. So as a first step, as a strategy, and this is very tactical, we had moved to clearly line of credits and also some kind of a short-term credit loans to PSUs. And a couple of other large corporates, which were yielding and more or less on EBLR range, EBLR plus something. And this was not long term also.

So this was short-term deployed because our earnings, we had to take care. And that is a process that is getting replaced by one retail growth. So the last quarter, our retail net accretion was about INR1,250 crores. And this quarter also, we have clocked more than INR1,300 crores. Now with our DSA structure in place, corporate DSA structure in place, we would be in a better way where we will be able to increase this run rate. And in the following two quarters, we believe that we will be much higher than the current run rate, so that is one.

The second part is that we have recruited in the last quarter itself, a new Head of Corporate and Wholesale Banking business, where we were not really pitching for relationship-based banking for corporates. And this is something where we have now got a zonal structure, where we are covering all the four regions. And through this national leadership, we

are able to pitch not just for loans, but also some products, which are essentially some liability-based products like payroll processing or something related to non-funded business or Forex and trade finance business.

So this cross-sell penetration, plus the lending side, would have much better yield as far as the bank is concerned because not only the rates are favourable, but also the fact that we get other business to increase our other income. So this is a process whereby we do have a pipeline, which is healthy. And as much as we grow the retail, a similar number would come from the midsized corporate and the large corporate business, which is direct to corporate business. So what we are doing is basically the large

corporate business, which was at an EBLR plus very minimal higher premium that we used to add for this large PSU advances, etc, we are replacing. And this will be a gradual process, which will take at least the next three to four quarters, but it will start reflecting in from Q3 onwards. That is one.

The second question is that the NIM, would it have an impact? Yes, it will have an impact because if, for a moment, I say that between the retail book and our mid-corporate and large corporate book, direct-to-corporate lending, if you are able to grow the business by about INR4,000 crores to INR5,000 crores every quarter, then that amount would actually fetch on a book size of INR75,000 crores, and you can do the math there, where there will be a yield kicker of at least about 70 to 90 bps. And if that happens, then our overall NIM will have a positive impact.

And this is a strategy that we had articulated in the last quarter and the previous quarter, but it has taken time for us, and we will ensure that we are executing this without any loss in focus. And we believe that in the next about three to four quarters, this will start yielding better results for us with our focus on RAM, our NII will go. But again, I don't have to tell you that this is all a journey, and this journey has something that we have now started in the last about 1.5 years.

We have now got all the senior management, the new and the old, everyone into one unit, and we got them in place. We now have the operations and technology capacity. We now have the processes on turnaround times as well as credit process, evaluations, etc., are done on a very, very rigorous basis with very stricter turnaround, TATs. And last but not the least, there are very clear products and new technologies that we have been putting into place, including CRMs, etc. So all of this will start yielding results, both in the retail as well as in the corporate side of the business.

So I hope I've answered your question, Mr. Dave.
Moderator: Next question is from the line of Yash Dantewadia from Dante Equity.
Yash Dantewadia: Yes, I just have a couple of questions, especially regarding why is the employee cost up INR30 crores quarter-on-quarter; and other expenses, INR20 crores quarter-on-quarter. The employee cost is up quite significantly. Could you explain, is it a one-off?
Srikrishnan Sarma: So there are -- between the last quarter and this quarter, let me explain, and including in March. So in March, again, this is a residual effect, but it will taper off as we go forward. In March, as you are aware, the IBA settlement that happened, where almost like, I would say, 85% of our staff are covered by IBA scales. And whereby the IBA revised the old pay scales to about 17%. And we had arrears, and we had a provision earlier made for 15%, and this was made to 17% in the final settlement. And we had made that also between the December and March quarters, and we have completed the payment in April.
However, in March of this year, which is the year-end, we had to do an actuarial calculation because there will leave encashment, pension. And a couple of other benefits where the changes happened as far as the overall process in terms of the structure due to the IBA settlement. Also, salary increase and also the pension fund. So as a result of all this, we had to make INR162 crores provision on our total employee expenses

as of March. Now thereafter, the superannuation benefits, we need to do a quarter-on-quarter actuarial valuation. And as of June, the actuarial valuation was INR34 crores. But as of September, it is INR57 crores. So the difference is about INR23 crores.
In addition to that, we have also, as you are aware, done some lateral recruitments and which is also the other reason. So there is about INR10

crores or so increase as far as our overall salary wages is concerned. So overall, on the establishment, I would say, that there is an increase of approximately give-or-take about INR30 crores. INR319 crores has become INR349 crores. And we believe that it will stabilize at this level. And if interest rates are favourable as we go forward and not much of volatility, the actuarial valuation, any reversals, etc., will not happen. So that gives you a fair sense of what we are doing as far as our employee costs are concerned.
Yash Dantewadia: And also the other expenses, are we putting in new branches?
Srikrishnan Sarma: Yes, we are doing that. It's not as if we are expanding by the dozen. But yes, over the last 2 quarters, we have added about 10-odd branches including some shifting of branches. And also, we have set up a national back-office in Mangalore. We have also centenary building, which is in Mangalore. So the depreciation and the maintenance, etc., have gone up. But all this will yield results because we've just shifted our national clearing into Mangalore.
We are shifting our treasury back office as the next step, and our treasury BCP from Mumbai into Mangalore. So Mangalore will become the national back-office for other areas also as we go forward. So as of now, also, centralized account opening, what we are doing is that we are decluttering our branches and moving a lot of operational processes from branches into the centralized site, so that the branches can focus on sales and service.

Yash Dantewadia: Right. Also, one more -- last question. Based on the loan book, would you be able to share the unsecured and secured mix? And are you able to -- are you making a change to your guidance? You've, I think, guided

for advances growth of close to 18%. So could you revise that? And also
the unsecured, secured mix?
Srikrishnan Sarma: The unsecured and secured mix has always been 90% fully collateralized book for us, and that continues. There is no change to that. The balance 10% also has been more to large corporate PSU, etc. So technically, we do not have any unsecured retail exposure per se, other than some co-lending and a couple of other arrangements that we have. But there, the total book has not even crossed about INR200 crores to INR250 crores. So I don't think that anything significant is there as far as our unsecured is concerned.
Yash Dantewadia: So agri is gold-backed? Most of it is what you're saying?
Srikrishnan Sarma: Agri is gold and land-backed, both. We do have both.
Yash Dantewadia: So 90% of your book is secured, right?
Srikrishnan Sarma: Yes. 90% includes the agri book, which is also secured because we either have commodity as an asset collateral or whether it is land from the agriculturists or it is gold, one of the three.
Yash Dantewadia: Right. And the advances, please?
Srikrishnan Sarma: On the advances, what was your question, Yash?
Yash Dantewadia: I'm saying you've guided for 18% gross advances growth. Are you going to revise that downward?
Srikrishnan Sarma: So I think we will grow probably about, in the next 2 quarters, at about 15%, and then grow to the 18% because this is the transitional phase where we were growing with some bulk advances in the past, but the bulk has come down drastically. And obviously, we are now doing this midsize corporate, where the ticket size is about INR30 crores to INR40

crores, and then large corporate, which is about INR200 crores to INR250 crores, etc., but all supported by other products, and the retail book. So there will be a 50-50 mix, which will continue.
So overall, what it would mean is that we will be, let's say, if the market is growing at about 12%, 13%, we will definitely be ahead of the market by the year-end, despite this more or less flat position as of this qua

rter.
But the earlier quarters and the earlier year, we grew at about 18% to 19%, so we will definitely be ahead of the market, but may not be 18%, 19%, but anywhere, let's say, between 15% to 18%.
Yash Dantewadia: 15% to 18%. And also I just want to understand one last thing from you. On the gross advances front, you said 90% of the book is secured. Just confirming that MSME, that includes your entire book, right? Your total book? You're telling me that 90% of the book is secured assets?
Srikrishnan Sarma: Yes, sir. Other than the ones, which are NBFC lending, which is about 18% of our overall book. So the NBFC book is through corporate guarantees and collaterals from the company's receivables.
Yash Dantewadia: So what rating are these NBFCs? Like what is the rating?
Srikrishnan Sarma: All, AAA, top-notch. And also a couple of them who are AA.
Yash Dantewadia: None of these new fintech companies -- sort of companies, right? Just want to confirm that.
Srikrishnan Sarma: No. We do not have them.
Yash Dantewadia: Perfect. I just come in line. I just want the ROE guidance, but I come in line.
Srikrishnan Sarma: Thank you. Yash.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Firstly, sir, on the cost-to-income part, we are at 58% for this quarter.
So taking into account this transition period, which you have articulated,

where are we going to settle in terms of the H2? And what's our longer-term outlook on the same?
Srikrishnan Sarma: See, fundamentally, Mr. Kapoor, we have made some investments in technology, and these are elevated costs, which have been done because of the investment. So basically, we have increased our processing capacity. We have increased our storage capacity and so on to cater to growth. So this is an upfront investment that we have done. That is one. The second is actuarial costs. As I was mentioning to the previous caller, you might have heard that, is an amount of almost like INR21 crores. So based on this, our overall cost structure has increased right now. And of course, the third part, which I also alluded to earlier, about a couple of senior recruitment that we have done. And I wish to confirm that all investment in technology have been done completely. Everything related to lateral leadership hiring is completed.
And also, we believe that we will flatten this curve and we will not grow from here. Our cost to income will come down, moderate itself in the next 2 quarters. And it is not by only the denominator, but also on account of rationalization of costs, which will happen and also making sure that there are vendor renegotiations on rentals or IT, non-IT, all kinds of costs. So all services costs, etc.
And also, we believe that there are a lot of operational efficiencies that we'll be bringing in because of this centralization efforts. And all this is like work in progress so which is where there is a temporary transitionary period where there would be a reversal to the curve, but we'll get back to the curve that we want, both on cost and the revenues in due course.
Saket Kapoor: So sir, this bracket of 52 to 55 would be there for the H2 or we will hover around 58% as for cost-to-income?

Srikrishnan Sarma: For H2, we would come back to about 55 odd.
Saket Kapoor: Okay. Sir, when we compare our numbers, the September quarter last year with the current, we need to take into account this INR71 crores AFS part. So that should be deducted from the operating profit. That is what you articulated in the Slide 6 about?
Srikrishnan Sarma: Yes. Compared to the last year, the profit for the quarter would be higher by INR71 crores, but you are aware that in our mark-to-market it is a comparative number in the previous month where the previous m

onth,
MTM gets reversed and then the new MTM comes. So it's a function of the rate. So as we speak to you for this quarter and for our current book that we have, which is the AFS book, if the old policy which was allowed to RBI prior to April where we could show this in P&L was allowed, our profit would have been higher by INR71 crores.
Saket Kapoor: A small point, sir. When you were speaking about this gross advances growing by now lower teens rather than 18%, if you could give us some color on how the economic activities are currently shaping up, since our focus is more towards seeing RAM part, so are we seeing spreads or lower demand from the vertical where we are focusing?
And also on the mid and the large corporate, what is our thought process of increasing the loan book going ahead? I think so now a lot of stress from the corporate part is already out of the system. And every bank is pursuing RAM as their incremental portfolio. So what's the thought process on these two understanding, sir?
Srikrishnan Sarma: So I'll just tell you that we are 100 year old bank and we have relationships that transcends across generations. So, obviously, we have had some relationships with this sector, which is the RAM sector, MSME or even SME sector who have been with us right from the time we started business and now the second and third-generation are banking with us and with the increase in business. So there is a lot of loyalty as far as the bank is concerned. That's one.

The second is that our overall focus, while which is on RAM, it is for selected markets that we are strong in. So take Karnataka. Karnataka itself we have over 575 branches among out of our 931. But actually, we are in every economic center in 22 states. So which means that we have not been able to capture the cash flows and the vendor flows, etc for all these SMEs and MSMEs and corporations, etc which is there we believe that our supply chain program, which we are launching will come in handy.

So we would definitely use the strength, one on technology and our physical network of branches in order to make sure that we actually do this from an overall value chain perspective rather than doing it on a standalone lending or a deposit relationship. The last part is that our overall growth trajectory, I've mentioned to you that we'll be growing our advances book by about 15% to 18%.

But the good part is that a major portion of this will come from retail and from direct-to-corporate advances where the yield will be higher. So as far as the overall economy is concerned, I do not think that there are any major shocks. I think the country is recalibrating itself. The RBI guidance is also quite positive. Unsecured and NBFCs you know the story and we are not in that space. And we believe that we will not have any shocks as far as that is concerned.

So our focus is on retail and direct to corporate and moving away from the large PSU corporates which were not so yielding, but better than treasury deployment which was a short-term strategy. Now we are shifting the gears as far as that is concerned. And it takes time for this churn to be completed, but we are actually in the middle of that churn right now.

Saket Kapoor: Thank you for the reply. What do you mean by direct to corporate lending? If you could explain, you have also mentioned the slide that 8% to 10% of the overall advances would be replaced by direct to

corporate lending and at a higher yield. So if you could explain the terminology, sir.

Srikrishnan Sarma: So just as an example, I'll tell you we had surplus liquidity in the last year. We have deployed it in the interbank participation certification and we have a total of about INR4,000 crores that was deployed last year. Now that is like where we have bought some paper, bu

t having said that,
today, we will be able to grow the same INR4,000 crores by directly lending to the underlying corporate who is part of that paper, rather than having to go to another banks. So do we have stalled that entire INR4,000 crores book and we are not going to grow that book anymore. But we will now start the growth with lending directly to our own new relationship which has the new labels, new to bank customers on the corporate side and the mid-corporate side. That is what we were talking when we said that. We'll be doing direct to corporate relationships.

Saket Kapoor: Right sir. Thank you and all the best to the team sir and my festive greetings for shubh Deepavali.

Moderator: Thank you. The next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: Am I audible?

Management: Yes, Prabal. Good evening.

Prabal: Good evening sir and thank you for the opportunity and also thank you for giving detailed disclosures in the presentation. So my first question was in the GNPL breakup that is there in the presentation, the other component seems to be increasing quarter-after-quarter. What exactly is

this other? And what explains the rise?
Srikrishnan Sarma: Prabal. Just a minute please.
Prabal: Meanwhile, should I ask my next question?
Srikrishnan Sarma: Please do that, we'll meanwhile pull the number related to that go on.

Prabal: So we have seen a pretty sharp drop in slippages that was somewhere INR420 crores to INR240 crores. What has driven this? Any particular segment or is it more about our efforts?
Srikrishnan Sarma: Very, very focused effort. We have recovery team which has been deployed into action, a collection team. And also making sure that there is senior management focus. At my level, we meet with the restructure team. We have got SPOC at every region, and we've got other people at every cluster. So as a result, we get on calls on a fortnightly basis as a cadence. So both the restructured book as well as our overall NPA has come down due to this higher recoveries.
And also, the last part is the monitoring, the credit monitoring mechanism that we have stepped up now due to our credit transformation process. So that is something which we believe that is yielding immediate results. Which will probably reflect in the numbers going forward also. So as I said, we focus a lot on quality this quarter because of the market conditions. And we believe that we have really done well there.
Sekar Rao: There is primarily one account. Other is just something that does not fit into any of the standard nomenclature. So, it is one or two accounts that have slipped in this particular category. So, it is not a consistent kind of reflection of how others is performing. So it's one LRD account and one on the pharma kind of sector, so which has contributed to this increase.
Srikrishnan Sarma: Why don't we give you the breakdown on this later, Prabal?
Prabal Gandhi: Sure, sir. Sir, a follow-up question to the second part was, how do you see the slippages going ahead? This quarter, it was INR240 crores. How should we think about that with all these efforts in place?
Srikrishnan Sarma: So, there are two parts to our recovery, which you are aware. One is the recovery from technical write-off. So, the technical write-off recovery this quarter was INR32 crores. Our target was higher. So, there are some

recoveries which are under progress, which basically got shifted from Q2 to Q3.
So, we believe that the technical write-off amount, which is recovery from two accounts, will be much higher than what we have today. And currently it's about INR32 crores for this quarter. And the regular NPA recoveries, we have recovered a total of about INR148 crores this quarter, as I mentioned to you, and which we believe that will con

tinue
the same way.
And the reason is that on the restructure, where the slippages are coming down, most of this have actually come back to, I would say, normal standard. And the reason being that the moratorium period, which was allowed expired as you are aware, in July and August. So as a result, most of the engagement that we have had with our customer sets, the standard accounts conversion is happening, which is reflecting in the overall number because there was more than INR110 crores reduction on the restructuring book from INR1,161 to INR1,052-odd. So that is also the other phenomena which is so net slippages (or credit cost) target will be about 0.5% for the entire year.
Prabal Gandhi: 0.5%?
Srikrishnan Sarma: 0.5% is the annualized for the entire year.

Prabal Gandhi: Sir, my third question was on the balance sheet. The other assets seems to be quite large. Is that limiting your ability to increase CD ratio? That others could be the RIDF deposits that you would have kept with NABARD? But is that limiting your ability to increase CD ratio?
Srikrishnan Sarma: We had the RIDF calls, which were all on account of the previous years really because the previous year, we had this subsector somewhere it was not met. The numbers are reducing. The second part is that we have some old RIDF also maturing this next half year to the tune of almost about INR2,000-plus crores. And we believe that with 74% CD ratio, even now we are at 75.34%, but we believe that there is a lot of

headroom. So there is no limiting factor as far as our overall ability to let them grow the book is concerned.
Just to add to what Sekhar is prompting is that as of September 30, we had lent to the market despite this about INR4,000 crores from treasury, including our non-SLR securities. The reason being that, we did not choose to deploy into corporate assets that were low yielding. So we did not want to get committed there. So it's a very conscious call the bank took.
Prabal Gandhi: Got it. And this RIDF of INR2,000 crores, they mature in, by March of 2025, would that be accretive to your margins because your loans will be better than your RIDFs?
Srikrishnan Sarma: So there will be a yield opportunity there also because what we earn on RIDF is much lower as you are aware.
Prabal Gandhi: Thank you so much and all the best.
Moderator: The next question is from the line of Sushil Choksey from Indus Equity Advisors.
Sushil Choksey: Congratulations to Bharat Ka Karnataka Bank on a stable result. I may be sounding a little critical, but can you explain that growth has not happened between Q1 and Q2 in advances maybe because we have withdrawn our facilities to PSU and low-yielding corporate advances? But at the same time, you have deployed in IBPC, Interbank and various things. So those rates are reasonable. So why has the NII dropped by INR70 crores first is that. And secondly, how much of CD we have raised in this quarter? What we have on our books right now?
Srikrishnan Sarma: So Sushil, just to kind of clarify there, the IBPC exposures, the bank had taken not in the previous quarter, it was much ahead like as much as last year. And because last year, we had surplus liquidity in the bank, which we could not find assets and which was deployed. And from then on, as you're aware, IBPCs are for 6 months tenure. So, we have been renewing

that. We are not increasing the overall IBPC for this quarter, which we took up to INR 4,000 crore, and then we are staying at the same level. That is one.
The second part is that the churn that I talked about is that, this quarter, we have not grown, but then there is obviously, you're aware that in the retail book of 36 months tenure, there is a one third which gets repaid every year. So as a result, on a month-on-month basis, there are repayme

nts.
The second is that for gold loan, the tenure is one year. So which means that it gets repaid over 12 months in terms of EMIs or whatever ways. So despite that, the net accretion of our retail book has been about INR1,300 crores for this quarter. So we chosen not to do this because we deployed our excess liquidity into the market through treasury rather than having to get into a corporate asset, which is this PSU, etc. which

was all at interest rate of ranging between 6.9 and 6.95, etc. and where we could have got stuck in a market where it is widely expected that the rates will come down.

So, despite the reset option that we have, there will always be a lag. So, which is why we took a conscious call that is one. The second part is that you talked about the CD ratio. The CD ratio part is comfortable for us and even going up to 80 is something that is a possibility because liquidity is not an issue. But it is just that we wanted to be very sure on the assets that we deploy and the positioning that we wanted to take for the next, let's say, foreseeable quarters and half years. So which is why the bank took a conscious call not to kind of grow over profitability or quality. So that is, I think, a quick summary of what we did.

Sushil Choksey: My question is more pertaining to our operating revenue was INR4,178 crores in '23, INR4,618 crores in '24. The current year run rate is visible that we should be getting somewhere in the vicinity of INR4,600 crores at max. And the second question is, you would have received all payments from large corporates on day one, and the deployment in retail

and others takes time. So the strategy change would have costed the bank a little bit for the quarter, that is the general assumption I should take?

Srikrishnan Sarma: So what happened, is that as you are aware that when there's some uncertainty in the market as far as the interest rate is concerned, then the bank takes a conservative step, and this is exactly what we have done. So yes, you're right that our interest income has come more or less at the same level or probably INR30 crores here or there. And that is because we have remained stable. And our loan yield also we have maintained at the same level. So it is, again, compared to the previous quarter at 9.52, 9.55, so that is something which is the same. And our cost of funds also remains the same.

All that we are saying is that there is a conscious strategy basis this, and our overall income on our expenditure now is stabilizing and we want to make sure that the same thing remains with the growth, that opportunity that we are sitting on in the next two quarters and foreseeably future quarters thereafter, whereby we will be able to increase profitably and also making sure that our deployment is to higher yielding assets, which has been our focus.

So Mr. Giridhar Rajaram, who's our Corporate Business Head, and between Mr. Srinivas who is our Retail Business Head-Assets, they have a pipeline, which definitely is very healthy. And we believe that our numbers will get achieved, but more profitably rather than the 6.9% and 7% loans, that we were deploying in the past.

Sushil Choksey: My next question is the transformation and aspiration with Karnataka Bank has showcased the world in the last 12 to 24 months. It's a very wonderful experience in terms of what we have rolled out. I'm sure initial cost is borne. When do we see the result of this in this next second half? Or we'll see it from next year in terms of 75% to 80% of the target what we are seeing. I'm not saying 100% would be achieved in 6 months or not?

Srikrishnan Sarma: So this transformation is a journey. It is not something which is like start and stop, start and end. So basically, what we have done is the following: one, the bank did not deploy t

heir liquidity to its fullest extent. So from our mid-60s CD ratio, we have moved towards 75. And then the 75 can go up to 80. Secondly, the liabilities are not growing. Earlier, it was growing at about single digits. And now we have doubled it, and we're

growing at double digits and more than the market or equivalent to the market on the liability front. Third CASA, we are maintaining and will continue to grow.
As a result, our deployment opportunities are also high. The second is that within the bank, the deployment, as you know, immediately, we had done this, which is like to deploy in the short term immediately yielding assets better than treasury. But I would say the rate differential was hardly some about 50 to 70 bps, but still it was good, but from that level, now we are increasing it to the next level which is basically where our yield will be more like closer to 9% on those kind of corporate assets, etc, but with same security or not kind of reflecting on anything related to quality and also there is other income through them.
So basically, this is a very conscious strategy. To play this out, it will take the next two quarters to stabilize. And then the growth engine whereby quarter-on-quarter, we will see this. But the current running rate that we have is about between these two segments about let's say, closer to INR3,000-odd crores.
How do we make that INR3,000 crore to INR4,000 crore? How do you make that INR4,000 crore to INR6,000 crore is the next kind of stage of, I would say, developmental activity which we need to do because as we increase coverage feeds as we increase our capacity which is credit processing capacity, technology capacity, operational capacity, etc, we will be able to do. That is that precise transformation journey that we are undertaking. And we believe that the results will start showing up in the following quarters this year itself, but actually to mature and fully blown higher run rate bank would happen in the next financial year onwards.

Sushil Choksey: Second thing is we have technically written off book of about INR3,000 crores including total asset write-off. What kind of recovery are we seeing in current 6 months? And what percentage are we hopeful in the next 18 months?
Srikrishnan Sarma: In the last two quarters, we made INR46 crores and INR32 crores. So approximately, we are at INR78 crores. And we believe that we would be about, let's say, another 100-odd crores, which will come in for this year also -- this rest of the year. So that means that we would see -- we would recover about INR170 crores to INR175 crores in all for the year.
Sushil Choksey: What is the pool left as on today in the balance sheet?
Srikrishnan Sarma: INR3,000-odd crores I think, but less than so INR3,000-plus crores – fully provided for or almost 80% to 90% provided for. I am being corrected here so they are saying 100% provided.
Sushil Choksey: Yes. So we have INR3,000 crores and you're hopeful of recovery at 40%, 50%?
Srikrishnan Sarma: We'll step it up now, but the current outlook is that we would recover at least closer to INR175 crores from that book for the year.
Sushil Choksey: Second thing is global yield might have been...
Moderator: Sorry to interrupt sir. Please rejoin the queue for further questions. Thank you. The next question from the line of Harshvardhan Agrawal from Bandhan AMC. Please go ahead.
Harshvardhan Agrawal: Sir, just on the guidance of slippages you mentioned 50 basis points. So I wanted to check if you are talking about gross slippage or net slippage?
Srikrishnan Sarma: Gross slippage.
Harshvardhan Agrawal: So sir just doing the math our first half slippage is already INR660 crores which is anyways even if our book remain where it is

more than 50 basis points. So how is that on a gross basi

s we do have 50
basis points for the full year?

Srikrishnan Sarma: So what has happened is that one, that there is this restructured assets which we started with INR4,500-odd crores which has come down to about INR1,051 crores without related accounts as of now. So, obviously, the last residual on that which is something where these are very granular kind of loans. So we believe that as we kind of engage with them, post this moratorium period ending, we believe that there will be some kind of slippages there. So that is why we have provided for this 0.5 compared to the 0.09 and 11.11% for the first two quarters. So we believe that this 0.5 is conservative, but still I think very doable. So that is the first point.

The second point is that we have deployed very clearly some teams to focus on this net NPA because of this new collection head coming in for again loans lesser than INR50 lakhs, etc because that requires a lot of collection mechanism to be put in place. So we believe that portion will also start kicking in now because currently the larger tickets are what is being chased by the bank for this recovery and which is where the recovery is happening both in terms of the technical write-off book as well as regular book NPA.

So we believe that within that NPA book, through deployment of this external collection agencies, etc which will be more applicable to the retail side, we believe that we could see some kind of healthy recoveries there. So that, I think, is a quick commentary on the overall slippages.

Harshvardhan Agrawal: Sir, what I basically understand is when we talk about gross slippages and when you talk about 50 basis points for the full year guidance we are taking into account the recoveries or upgrades that we may have during the year, is that correct?

Srikrishnan Sarma: Yes, correct. Absolutely. Even this quarter also, there have been some upgrades, but very minimal. So just to let you know I will tell you the

upgrades that have happened for the how much is upgrade for this year? Additions were around like INR242 crores that have happened, but then we have also done the reduction through this INR329 crores. So the total was INR163 crores plus and technical write-off all put together during the quarter. So we have a breakup which we can share it with you.

Harshvardhan Agrawal: Yes. Got it. My question is answered.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Yes, hi sir. Congratulations for the steady quarter. Just again, clarifying on the quarter-on-quarter 30 bps decline in the NIMs is what you mentioned is a INR4,000 crores of a book which was excess liquidity which you deployed in the treasury. And because it was an AFS book and you couldn't report that INR70 crores of income, otherwise it would have been higher by INR70 crores. Is that understanding right?

Srikrishnan Sarma: So let me just clarify that. One is that we had a onetime refund of IT and the interest on that, which was INR81 crores for the first quarter which I had already mentioned during last earning call. So that is an opportunity which was onetime and which will not happen again. The second part is that the INR4,000 crores that I was telling you is that between a surplus liquidity and non-SLR liquidity that we had, we have deployed that into treasury yield rather than having to deploy them into corporate assets.

And that is a conscious call that the bank took where even if the treasury yield was a little lesser, but still we would have actually made more as far as the longer-term is concerned. The last part is that if we had taken the treasury income for this year which is the H1, both quarters put together because MTMs on treasury as you know is the latest position. It is not by quarter. So I'm saying it for the H1.

Last year, we could recognize that into P&L, but had we considered the same accounting policy, which is not allowed by RBI anymore, that would have been INR71 crores. So that is an addition that we have.

Priyank Chheda: Perfect. That got answered. My question is on sir outlook on the fee income part knowing that you have been building up a team. How should we look over a longer period of time, the fee income part which is I think we are almost half to what industry would be in terms of the percentage of the assets income which is if you can provide outlook on the fee income and as well as on the retail loans when we say that we would like to grow the book. Any particular segment of the retail that you think is the key focus area that we should think over next 6 months to 12 months where you will grow your book substantially?

Srikrishnan Sarma: So I'll answer that last question first. I think I've already mentioned that before. But on the retail side, there is obviously a focus on mortgage vehicle and education loan and also gold which is shining product for us, where the yield is also good and the growth is also good. We believe that both agri and non-agri loan will also be part of the whole journey on the retail asset side.

Now coming to your first question which is related to fee to assets. Yes, I agree with you that fee to income as a percentage in comparison with many banks we are very low. We acknowledge that and which is why we are now putting in place all these products. So the cross-sell penetration which is very essential both on the retail side as well as on the corporate side is something that we want to look at. So for this, we had to put our technology in place. So currently we do have the third-party income coming from insurance and investment distribution products.

But again, with the wealth advisory platform coming in, already we are seeing this going up compared to the last year. In fact, compared to the last year, the number was almost like doubled of last year, and we are on that track.

The second is that, there is a cross-sell opportunity, which is basically on trade and foreign exchange. And this is something that will materialize in the next following quarters only. So we do not have the infrastructure product or related to the knowledge know-how to be delivered at the branch level. So we have now just kind of restructured our corporate finance branches in five locations and also the overseas branches and the nodal branches who can handle foreign exchange businesses.

The last is that our regular other income, fee-based products, like Locker, debit card and broking, etc., are all more or less on track. We are making, whatever we were making the last year. But all that will increase because of these three areas, which is distribution products of third-party insurance investment broking and also the trade in forex. So we will definitely see that happening, but that is currently in the build and execution phase.

Priyank Chheda: Perfect. Just last question, the loan book composition, how much would be EBLR linked? How much would be fixed? A broader bifurcation if you can provide. And in case, what happens to the yields on the loans if, say, there is a rate cut coming up in the next 6 months by RBI? So how would our loan book yields move?

Srikrishnan Sarma: So a great question. About 50% of our book is EBLR linked. There could be some on the retail side also. But overall, I'm saying I'm calling out to say that about 50% would be EBLR plus. Now as and when there is a rate change, obviously, the asset side will be repricing first and followed by the liability side. But having said that, because our retail liability,

which is forming almost 92% of our overall term deposit and whatever
that we have, because we do not have bulk. So as a r

esult, while there
will be a residual, but we can change rates at short notice, and we will
be able to match the ALM between the two.
So, it is not like other banks where there is always a lag between asset
repricing and a liability repricing. So that is something that we are

confident about this. But having said that, we have anticipated in terms
of the interest rate changes scenarios, etc. And with our treasury and our
advisers on the treasury, we are making the right calls at least so far, and
we believe we will be on the right side on those interest rate changes as
we go forward.
Priyank Chheda: Thank you and all the best for the future.
Moderator: The next question is from the line of Anand Dama from Emkay Global.
Anand Dama: Sir, my question is on LCR. You said that you have affected the recent
draft guidance, which actually came from RBI. There since RBI asked
to increase the runoff rate, have you increased the runoff rate in your
LCR calculation? Or is it more to do with the recent RBI supervision
where they had asked banks or select banks to basically reverse their
LCR?
Srikrishnan Sarma: So I'm handing over the call to Raghuram, who is our Chief Risk Officer.
While there is a high-quality loan book, etc., which is there is the change,
but he will exactly explain how the changes have happened compared to
the earlier part of the year when we had done the LCR calculation. But
now on a conservative basis, we are sticking to the draft guidelines
although we are not compelled to do that, so that's something which
Raghuram will explain.
Raghuram H S: Currently, the changes were for the top line, i.e. HQLA were there was
a change from the way the level 1 assets were being taken, basic from
the book value to the market value. Second point was the runoff factor
changes based on the type of digitalization availability that was a point.
We agree there are certain grey areas still in the RBI draft circular, which
is being addressed. Definitely, there is a jump in the runoff factors for
certain kind of classes. So that is why there is a downward trend in the
LCR across the Bank.
Srikrishnan Sarma: So I guess, we are awaiting clarity because we've asked these questions
to RBI also. But having said that, this is being represented at multiple

levels, including IBA because this is not a Karnataka Bank phenomenon.
This is across the banking industry where the changes are underway. But
we believed that if we test the waters on this and report, how would we
be and we are still 142%, which is a very comfortable stage and which
is what we wanted to report this quarter.
Anand Dama: Sure. So for the investors or the analysts basically you're reporting this
kind of LCR is fine, but the RBI, when the reporting goes is relatively
high relatively high LCR because then you will not affect this data.
Srikrishnan Sarma: Yes. correct.
Anand Dama: The second last question is on your loan book where you have reduced
down your growth guidance from about 18%- 20% to 15%. What will
be the share of retail loans for your new classification that you have in
the presentation?
Srikrishnan Sarma: Our mix will remain the same, 50% from retail, and the balance 50%
will come from direct to corporate, as I explained earlier, to other callers.
A combination of various segments within that. But again, this is the
conscious transitional strategy. It is not something where the bank had

slowed down the engine or anything. Because of the market conditions
and the fact that we did not get stuck on the wrong side, we believe that
it is better to kind of deploy them back into treasury, which is how we
have not grown our asset book. But we will come back. The engines that
we are building up now, which is retail and the direct to corporate
strategies will start kicking in and we believe

that our asset acquisition
will be at a higher yield compared to before. For just to confirm, retail,
plus mid-market, MSME, etc., is about 60% right now on the run rate,
and the balance 40% is coming from large corporates and other mid-
sized corporates.
Anand Dama: And so your ROE guidance is about 1.2 to 1.4, whether there is a
download revision in that as well or like that?

Srikrishnan Sarma: No, we would stick to that guidance. This is a temporary blip because of
this quarter strategy. We would come back to our 1.2 range very soon.
Anand Dama: So you said that you have a guidance of about 0.5% slippages. And then
Harsh asked you that, basically means that gross slippages minus
recovery minus upgrade. So you said that also you need to reduce the
write-off from them?
Srikrishnan Sarma: Correct.
Anand Dama: I believe is typically would be gross slipplages minus the recovery rate
and not the write off. So what will be that guidance?
Srikrishnan Sarma : Yes, correct. We confirm that.
Anand Dama: So this 0.5% is gross slippages minus recoveries and upgrades, right?
Abhishek Sankar Bagchi : Currently, it is the actual additions to NPA and the reduction and the
recoveries also.
Anand Dama: I think you can take this offline. I think particularly the nomenclature
that we use and I think what we are using is slightly different.
Srikrishnan Sarma: I think we can give you additional information.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have
reached the end of our Q&A session. I would now like to hand the
conference over to Mr. Srikrishnan, sir, for the closing comments.
Srikrishnan Sarma: So on behalf of Karnataka Bank, our management team, and the Board,
I wish to thank you, our investors, for your support, all the analysts for
your questions and guidance. There has been a significant contribution
and suggestions that we have received in the past on the disclosures and
the changes to the presentations, etc. We have taken all that into
consideration in the last couple of quarters. So, every quarter, we are
only improving on the overall delivery.

Thank you very much for the support, and we see that the future is good
as far as the upcoming quarters are concerned. Once again, thank you,
all, and best wishes for the festive season.
Moderator: Thank you. On behalf of Karnataka Bank, that concludes this
conference. Thank you for joining us. You may now disconnect your
lines.

Call: Feb 2025

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Regd. & Head Office Phone : 0824 -2228 184
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.com
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Madam /Dear Sir ,

Sub: Transcript of Q 3FY25 Earnings Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts/institutional investors con ference call held on Friday , January 31, 202 5, on the unaudited Standalone & Consolidated financial r esults of the Bank for the quarter and nine months ended December 31, 202 4.
The same is also made available on the Bank's website under the following web link: https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

Transcript of

"Karnataka Bank Limited
Q3 FY2025 Earnings Conference Call "
held on January 31 , 202 5

MANAGEMENT : MR. SRIKRISHNAN H– MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARNATAKA BANK LIMITED
MR. SEKHAR RAO – EXECUTIVE DIRECTOR – KARNATAKA BANK LIMITED
MR.ABHISHEK SANKAR BAGCHI – CHIEF FINANCIAL OFFICER – KARNATAKA BANK LIMITED
MR. VINAYA BHAT P.J – CHIEF COMPLIANCE OFFICER – KARNATAKA BANK LIMITED

MR. RAVICHANDRAN S – HEAD OF CREDIT SANCTION S
–– KARNATAKA BANK LIMITED
MR. JAYANAGARAJA RAO S – HEAD OF BRANCH
BANKING – KARNATAKA BANK LIMITED
MR. RAGHURAM H S – CHIEF RISK OFFICER –
KARNATAKA BANK LIMITED
MR. SHAM K – COMPANY SECRETARY –
KARNATAKA BANK LIMITED
MR. SOHAM ROY – HEAD INVESTOR RELATIONS –
KARNATAKA BANK LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Q3 FY' 2025 Earnings Conference Call hosted by Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Srikrishnan H , MD and CEO from Karnataka Bank. Thank you and over to you, sir.
Srikrishnan H: Thank you, Yashashri. Good evening to all, and a very warm welcome to o ur Q3 FY '25 Earnings Call. I have with me in the conference, our Executive Director, Sekhar Rao; our CFO, Abhishek S Bagchi; our Chief Compliance Officer, Vinaya Bhat P.J, o ur Head of Credit, Ravichandran S ; our Head of Branch Banking, Jayanagaraja Rao S ; our Chief Risk Officer, Raghuram H S and we also have our Company Secretary , Sham K . We also have our Investor Relationship Head, Soham Roy with me.
Welcome to all once again. We also want to take this opportunity to wish you all a very, very happy 2025 and a great year ahead. As all of you know, at the bank we've been working with renewed energy on the overall restructuring and transformation processes, really end -to-end, looking to end this financial year '25 on a real high note.
The bank has continued to see progress in top line growth with a lot of focus on retail and direct -to-corporate advances. This is a strategy that we had mentioned in the last two quarters and it has started playing out now, along with a lot of mobilization on retail deposits. There are a lot of th ese process transformation projects underway, covering credit processes, National Back Office which has been set up in Mangalore.
We ha ve created the sales and the product organization which are fun ctioning well. We have opened two retail asset centers, one in Bangalore and the other one i n Mangalore yesterday and there are three other locations which are currently under progres s. There's significant progress which has been achieved in these project s, and we hope to see the benefits in the upcoming quarters.
To support this growth, we have really enhanced our tech, infra, operational capacity and all the other changes that we had to do a re in place. So the commitment to digital and the tech focus has actually been reflected by the fact that our bank has won in this quarter a couple of awards. I am just going to call out a few. The ET -BFSI Exceller award for outstanding work in leveraging data for growth. The ASSOCHAM 19th Summit & award s for Best Innovation and Partnership Initiative s; SAMVAAD 2024 Account Aggregator ecosystem award for financial inclusion. The bank actually created history by winning 6 categories of IBA, the Indian Bank Association Banking Technology and Citation Awards held earlier this month. The 6 categories are Best tech talent organization, best IT risk management, best technology bank, best Fintech and DPI adoption, best digital sales, payment and engagement and best AI and ML adoption.

So these are all very good credentials to grow with and this is a good reflection of the effort that the bank has put in, in terms of the investment to upgrade our technology stack, digital and the analytics par t. The bank has been upgraded by ICRA 2 notches, from A positive to A plus positive. And that actually will facilitate competitive rates and for our bidding in the future as we go forward whether it is Tier 2 or even certain forms of deposits.
The bank is seeing a substantial improvement in book quality on the back of good collection and

recovery efforts. I will talk about the actual numbers as we go fo

rward. This will continue to
improve further with our transformation and our credit sanction and collection mechanisms. The bank has opened 6 new branches this quarter, taking the overall branch count to 937 and we plan to open about 10 to 15 new branches in this Q4.
Now during quarter 2, I had ment ioned very clearly that the bank had taken a step back to focus on book quality over quantity and over revenue growth. Now we are back on track as far as the growth trajectory is concerned, but in selected areas that will result in improvement to various metrics as we go forward. The bank will definitely try to strike a balance between book quality growth and also hope to see the advances book grow by about 12% during FY '25 on a consolidated overall basis.
On the backdrop of lower GDP projections and the banking industry witnessing pressure impacting credit growth, slower CASA, etcetera, the bank continues to focus on our critical parameters. One is growth in advances for the segment that we serve, deposits, improvement in quality of our advances book, pro fitability and, of course, favorable returns to our shareholders.
I will now start presenting the business highlights. Aggregate business turnover, which is advances plus deposits stood at a record all -time high of INR 1,77,978 crores . It is up by 10% on a year -on-year basis as against INR 1,61,936 crores as of December '23 corresponding period.
The PAT has decreased from INR 331 crores in the corresponding quarter of last year to INR 283 crores and the decrease is explained by the fact that there are certain changes in the accounting policies and also the bank has been making, as you're all aware and I did mention earlier, accelerated provisioning that impacts PAT and which we have continued in this quarter also.
So on a 9 -month basis, the bank made a bout INR 1,020 crores of PAT compared to INR 1,032 crores for the corresponding period last year. The accounting change on treasury which is essentially for the securities which are there in the AFS book alone. If we had taken into account as per the earli er policy, we would have actually gained about INR 100-plus crores on that itself. So this means that the bank technically would have made INR 1,020 crores plus INR 100 crores, that's INR 1,120 crores for this quarter . But this is, of course, applicable to all banks. So this is something that I needed to call out to make sure that on an overall basis the bank is in a good kind of place.
On the gross advances side, the bank has started the engine again after the Q2 pause that we had taken. The gross advance s stands at INR 77,859.75 crores as of December '24. On a Y -on-Y

basis, this growth is 11.6% over December '23 and that was INR 69,740.97 crores. This is very much in line with the overall industry growth on year -on-year.
Our overall strategy on gross adv ances continues which is growing the retail, agri and the mid -market, the RAM segment where the growth was really led by retail, housing and, gold loan portfolio for the bank. The net book accretion was INR 4,209.97 crores on a year -on-year basis in the RA M segment alone.
In the past, we had committed that we will reduce our exposure to low yield, large and mid corporate loan that were opportunistic because as you're all aware, sometime like April of last year, our CD ratio was in the mid -60s and we had pu shed it up to the mid -70s. We took an opportunistic tactical strategy there , where it was deployed into low yield corporate loans, which were far more easier before our setup of our full fledged wholesale and corporate, mid -corporate banking group, which h as been done right now.
We had to deploy it into low -yielding corporate loan, which is better than treasury , from an earnings perspective and also the book growth. But right now, we are doing a churn where very clearly the ch

urn is reflect ed in our overal l story. We now have the regional sales and the credit structure that we have put in place for direct to corporate acquisitions from our mid -corporate segments.
And this book will also increase, and I'll also let you know the progress that we have made. So overall, on a quarter -on-quarter basis, retail advances as per the RBI definition in Q3 had grown by 4% and mid -corporate had grown by 1% and we'll continue this momentum. So during the last 9 months compared to, let's say, March '24, the retail advance s alone has grown by INR 4,165.32 crores.
That's like in three quarters, actually the retail book has grown by INR 4,165.32 crores. And the bank also has approximately replaced INR 750 crores of the low -yielding advances, larger corporate or NBFC advances with the higher yielding direct -to corporate advances. So

technically, the book, while it's not grown, but there is a churn in the book, which is already seen. And then as we go forward when the actual acquisitions from mid -corporate advances begin and wh en all this are weeded out, we will actually see the book accretion.

On the aggregate deposits, the bank position stands at INR 1,00,118.52 crores as on December '24. And this is the year -on-year growth of about 8.59%. And this, from a December '23 numb er of INR 92,195 crores, it is a good increase. CASA deposit stands at about 30.32% as against 30.82% in September, but it is also notable that in terms of absolute growth in CASA compared to the last year, December '23, we have grown by 4.68%.

So this has to be looked at in the context of the industry where the larger banking industry, there is an overall CASA deposit, which has been declining. And from March '22 position of 43.66%, it has declined to 39%. And in Q4 FY '24 alone, the share of the indust ry-wide CASA dipped by about almost 2.71%, that's like 271 bps.

The trend is continuing. But having said that, we do have a strategy, and that strategy is also playing out where we are actually replacing a larger part of our bulk, so called higher -value deposits by retail granular deposits. And this is a strategy that where by the rates for the granular are card rates. And as a result, the bank has been able to kind of really shift the focus , and focus on granular deposits of less than INR 3 crores.

So bu lk deposit as a percentage of total deposit in the bank has come down from 8.51% as of September '24, that's the last quarter , to 7.6 7% and this will continue to go down as we play out that strategy. Similarly, bulk deposit as a percentage of term deposits has come down from 12.31% as of last quarter to 10.18%.

So just to summarize, while the market conditions remain as it is, our aggregate deposit growth, while it is flat, but we have seen the movement from bulk deposits to granular deposits. Retail term deposits, that's like which is less than INR 3 crores has seen a visible jump from INR 60,614 crores to INR 62,674 crores. And this has been over the last quarter, which is a net Q -on-Q accretion of about over INR 2,060 crores.

So this is a good sign. And the retail engine, which is both the asset engine as well as the liability is all being driven by the sales team, the branch team as well as the digital acquisition. So all the three engines are currently going on, and that is reflecting in a good churn w hile it might not have a book growth on the deposits, but I think it is heading towards a very good mix as far as our overall liability strategy is concerned.

The liability strategy is also being supplemented with new product development and launches. So we are on track to launch a few more products in the last quarter of this year, the Q4. We have, on the corporate side, the supply chain finance program, which is about to be launched. We will also launch in this month, the KBL women's savin

gs account, Fl exi recurring deposit
program, a family banking program and we are also working on MSME app which will also serve our MSME segment. So those are all liability -oriented mostly, except some of this which is also asset oriented like the supply chain program.

The net interest income for the bank which currently for this quarter was INR 792.78 crores, while there is a decrease, but there's also an explanation. The decrease was about 4.21% compared to the year -on-year figure of INR 827.6 crores. But having said that, if you really look through this, the fundamental reason, while it can be that our cost of funds and cost of deposits has increased, which is a market phenomenon.

But there is also from September because of the RBI regulation, we are not charging int erest and we are charging the penal charges. So the interest element of all of our various charges that are levying to the borrowing customers used to be part of NII, but that has come into the other income.

So just to kind of give the perspective with t he numbers. The NII reduction due to this change in the accounting and the charging mechanism from interest to penal charges for Q3 FY '25 alone, which i n this quarter alone was INR 24 crores and INR 38 crores for the 9 -month period

because of the Septembe r and October event that we started with. So if you exclude this, the NII would have remained more or less stable on a year -on-year basis.

NIM, that's the next one, the net interest margin. So the net interest margin stands at 3.26% for the 9 -month period versus 3.59% for the 9 -month previous year . This has decreased, but fundamentally due to the increase in cost of funds and cost of deposits but also it is a fact that there is another part which is the reclassification of the penal charges that I had talk ed about. So had we actually included this under the NII and then the NIM calculation on a 9 -month period, actually, our NIM would have become 3.31%.

So technically, we are maintaining the NIM more or less at the same level despite the pressure on the cost of funds. But with our improved focus on higher -yielding retail and direct to corporate deposits, on a combined basis, we expect that this will get e ased out a little bit as we move into the next few quarters.

And we expect that the NIM would improve by at least about 10 to 20 bps, depending on the kind of churn that we are doing in the corporate low -yielding loans as well as the retail loans that we are booking. Coming to the loan yields , our strategy continues, as I said earlier, about replacing the bulk opportunistic, larger advances to PSUs and larger companies to direct to corporate and retail advances.

There are two RACs that we have set up alre ady, the retail asset centers, where we have started deploying corporate DSAs as our business partners and we do have dealer and builder tie -ups on the retail engines are running at full steam at least in this location, which is Bangalore and Mangalore.

We will do it in three other locations in the following quarters. And with a lot of these product launches that we have planned in Q4 and thereafter, on the high -yielding segments like mortgage vehicle loans, educational loans and so on, we will see further traction as we go on. So our strategy of replacing low -yielding NBFC advances, with direct to corporate advances will also continue. That will also result in better yields.

So considering the potential churn, we expect that there will be an overall portf olio loan yield increase of at least about 20 to 30 bps as we go forward. So this is, I guess, the strategy that we had already outlined in the last couple of quarters, along with some investor conferences and one-on-one meetings that we have had, and we c ontinue to play this up.

Our CD ratio has gone up to 77.77%, which is a welcome sign, the fact that w

e are actually

stretching the balance sheet as much as possible. There is still scope. We still can go up to 80% to 85%, and we do have the liquidity comi ng from the deposit side also because the retail deposit portfolio is growing while the overall liquidity and even as we speak today on a daily basis, we are surplus and treasury lending into the market.

And just for records, the CD ratio for the previous quarter was 75.34%. And for the last year, it was 75.64%. So that is the increase that has happened. This part of the conversation that I'm

doing in the commentary is the most important piece from the bank side, which is to improve the quality of our book .

So as far as the stressed assets is concerned, we have made some significant strides to improve the book quality, the gross NPA has actually improved to 3.11% in December '24 quarter from 3.21%. That's like 10 bps lower. The same was 3.64% as of the las t year, December '23 corresponding quarter.

Similarly, the net NPA has also continued to improve. It has come to 1.39% as of December 2024, down from 1.46%, and it was 1.55 % as of December '23. So we have committed to the investors in the past, and we co ntinue to stay with that commitment that we would become closer to 3% and closer to 1% , as far as these two, which is the GNPA and the NNPA is concerned, by the end of this financial year and in the following quarter. So this is something which will result due to a significant improvement in the overall NPA numbers. The details about the NPA movement are there available in our investor presentation with the details of the opening balance and the reduction and so on and so forth.

Calling out the next import ant parameter on the stressed assets is the gross slippages. So the slippages have come down to 0.4%. That's 40 bps in quarter 3 FY '25 as against 0.8% in the quarter 3 of last year. So for the 9 -month period ending December '24, the slippages ratio stands at about 1.35% as against 1.9 0% for the 9 -month period that ended as of December '23.

So the target for FY '25 would be that slippages will remain well below the 2% mark. And actually speaking, we could even do better as the quarterly slippages are comin g down to about 0.4% to 0.5%. So that's something that we look forward to. And that's a very tight control because of our renewed recovery as well as our collection mechanism.

Talking about recoveries. The recoveries for the quarter has been INR 101 crores versus INR 99 crores as of the previous quarter and has again INR 148 crores in the corresponding quarter of last year. For the 9 -month period, the total recoveries, excluding upgraded accounts, has been

INR 382 crores.
There is also another el ement, which is the stressed asset book, which we have discussed in the past and presented, which is on our standard restructured advances. So the bank, as you're all aware, post -COVID called out or during COVID called out of INR 4,500 crores of restructur ed assets.
And that number has come down on a stand alone basis without related accounts to INR 939 crores a s of this quarter December '24 and as compared to INR 1,051.86 crores as of the previous quarter and as compared to INR 1,521.56 crores as of the De cember '23 quarter, including related accounts, which are actually performing. But on the other side, due to the regulatory requirement, we need to classify as restructured.
The standard restructured advances, including related accounts stands at INR 1,113.65 crores as of December 2024 compared to INR 1,268.15crores. So there is a reduction in this also. And as against, December of '23 when it was at INR 1,837crores. One of the ratios that we would like

to really tell all of you is that if you combine the GNPA plus the restructured asset as a total overall p ercentage

of our gross advances , it is currently at 4.54% compared to the previous
quarter of 4.89% and compared to 6.27% of the previous quarter corresponding last year. So this is a significant imp rovement. And as all of you are aware, the restructured as well as GNPA we have provided for as per the prudential requirements that are there as per the regulatory requirement.
The bank's PCR, which is the provision coverage ratio, including technical wr ite-off, stands at INR 80.64 crores in December compared to INR 80.14 crores in September, and this is excluding technical write -off. And the PCR, excluding technical write -off, stands at 56.03% as compared to the 55.15% in September '24. As far as LCR is concerned, the liquidity coverage ratio, as of 31st December, we stand at 152%, up from 143.93%, which is actually good news and also as against statutory target of 100%.
The bank's cost of funds stands at 5.69% for the quarter compared to 5.58% for the p revious quarter and 5.49% for the corresponding quarter of the previous year. But for the 9 -month period, it stands at 5.61% compared to 5.36%. Definitely, there is a 25 bps difference, and that is where the NIM is also under pressure, and that will get ea sed out by the growth in CASA as well as the retail term deposits as we go forward.
So with our reduction in the dependence on the bulk deposit and replaced with retail deposit at card rate and the CASA buildup, we should definitely see improvement as far as the overall number is concerned. One of the other significant metrics that we need to let you know is the credit cost. The credit cost stands at 0.12% for this quarter FY '25, which is Q3. And as against 0.09% for the previous quarter and 0.25% for the previous year corresponding quarter.
So the total credit cost for the 9 -month period has come down, and it stands at 0.32% as against 0.67% for the 9 -month period corresponding in the last year. So with our continued control on slippages, the credit cost is targeted to remain lower. And we believe that we would be closing out lesser than 0.5% for the entire financial year 2025.
Cost to income, this is the next metric. For the 9 -month period ended, the cost -to-income ratio stands at 56.93%, while we have had a lot of elevated costs onetime related to investment in technology or whether it is a couple of other lateral recruitments and so on. I think we are stabilizing here. While the operating expenses have remained stable on a quarter -on-quarter basis, the increase in interest expenses is also one of the reasons that the cost of fund, the cost of deposit, again, combined with the decrease in the market yield has impacted the cost -to-income ratio.
The bank has taken multiple cost rationalization efforts to continue renegotiating on various commercials and keeping the operating expenses under check. So with the strategies to increase NIM and NII, as we talked earlier, I think the bank projects to have a cost -to income ratio come down to about 55% in the upcom ing quarters. And this would actually stabilize there and then start coming down as we grow our income level as well.

So there are two other metrics as far as the bank is concerned. One is the ROE, which is the 9 - month ROE which stands at 11.9 4% versus 15 .18 %, here, again, one primarily due to our capital

raise as well as the fact that we have the actual financials, which we have performed for the 9 months. But we see that improving as we go forward.
On the ROA part, the 9 -month ROA stands at 1.14%. We w ere higher, but this is, again a dip that is coming only from the overall performances. And this was about 1.29% in the 9 -month period for the last year. But this is fundamentally because of the book growth that we are seeing, and we expect to close this f inancial year anywhere between 1.1% to 1.2% and 1.2% has been the guidance. And

I think we are well on target to kind of get there.
We will see this improvement both in ROA and ROE in FY '26, supported by continued accretion as far as the higher -yielding RAM segment, movement of bulk to retail deposits and also leading to improvement in NII and NIM and also increase in other income. Last metric from today's commentary is on capital adequacy, CRAR.
We stand at 17. 64% as of this quarter. Tier 1 is 16.01 % wi thin the breakup and Tier 2 is 1. 63% in comparison to 17.58% as of the previous quarter. And here again, if you plo ugh back the profits, for the last 3 quarters, our capital adequacy would be anywhere upwards of 19.06% actually, but that's, of course, to be counted only after the audited balance sheets are done.
So as we speak today, I just want to conclude by saying tha t the bank has had a strategy on growth. The bank has had a strategy on transformation. The bank has had a strategy in terms of improvement in process, product, technology, capital, operational capacity, the people, leadership and so on.
All the investmen ts have been done. And all of those transformative steps are playing out in their own tracks but combined, put it together, we are actually getting there, and we are seeing the trajectory change as we say that in a hockey stick, we are actually seeing the trend where we are actually growing.
So it's like the kind of reverse hockey stick and we are just kind of climbing from here. So we believe that in the following quarters, we will be able to improve on multiple methods, and that will result in positive a nd better financial outcomes. So on that note, I wish to thank you all for your patient hearing and we would request Yashashri to throw the forum open for questions that any of the investors and any of the participants may have. Over to you, Yashashri.
Mod erator: Thank you very much. We will now begin the question and answer session. We will take our first question from the line of Priyank from Vallum Capital. Please go ahead.
Priyank: My question is actually on the strategy on the loans as well as on the d eposits. Now on quarter -on-quarter, if we have to actually judge because it's very difficult to judge on a 9 months or even compare it Y -o-Y because all the efforts that we are putting out should be seen incrementally every quarter.
So incrementally, this quarter, we have disbursed or we have a lending book of more than , say the book has increased by INR 2,500 crores. The incremental loans has been into retail and large

corporates, both equally. Now if we are on the strategy to focus more on RAM, why the y ields on loans have fallen by 18 bps quarter -on-quarter. I believe we are looking forward for a better yielding retail loans. So that's question number one.
And the same side, deposits, the cost of deposits has actually gone up by 10 bps and we are incrementally focusing on retail granular deposits. So just help me with these two very contrasting thought process that I have come across?
Srikrishnan H: Priyank, I think there are two parts to this question. One is on the advances s ide. So as you’re right, that we have grown the quarter and we've grown the quarter with a whole lot of improvement as well as the overall retail book is concerned. But it is also a fact that there were NBFC and the rest of it, which got paid out during th e same quarter.
As a result, while the number that we have put up, it has happened over the quarter for it to play out for the full quarter would happen only in the following quarters. It doesn't happen immediately in the same quarter. So the real increas e in the NII would happen as we kind of get into the full 3 months as far as these loans are concerned because this is a continuous process.
So that is one explanation.
The second explanation is that this entire increase, which has happened, which is b

etw een the
previous quarter, Q2 and Q3, while it has happened, now there is also a housing element within that. So there is a breakup of the overall retail book, which comprises of housing, mortgage, which is LAP and the rest of the other products and as well as the vehicle and your gold loan.
There are different yields as far as each of these are concerned. So the mix within that also, we need to kind of really perfect it as we go forward because if you do much of housing, then the

yield will be not as much. But then we look at a blended yield as far as the retail accretion, the RAM is concerned.

Now with the setting up of the RACs, the whole process is getting streamlined location by location, and we would actually start focusing on high -yielding and making sure that our turnaround times and staying competitive on the rates, both are balanced out, and that is how we will kind of progress. So, this is a strategy, which has just started and which will start playing out in full steam as we go forward.

As far a s deposit is concerned, the deposit number, while it is like we are running faster but staying at the same place because the fact that we are relatively flat on the overall number. But the fact is that today, you will have to look at that even a retail dep osit in the market is also high in terms of the expectation because we do have retail deposit at 7.5% and a senior citizen product, which is at 8%, which is the 50 bps that we have to pay extra for the senior citizen.

So it is not as if that the bulk depo sits are expensive and the retail deposits are relatively inexpensive. That is not the way. Now it is a fact that the retail term deposit brings in more stickiness because along with that comes CASA, along with it comes other benefits for other income, for instance, the third -party income that we have.

So we do have in fact, the third -party insurance business, which is both life and non -life, on the other income, which is affected. Actually, while it is not a significant number, but from a comparison betwe en last year and this year, the entire target for this year has actually been met in November and December itself. So which means that we are running much in excess of the overall budget. So we are doubling as far as that is concerned.

So there is a revenue that gets accrued for this relationship that we are building for other products also, which is a cross -sell. The other last part is that as far as the mix is concerned, as long as the dependency on the bulk deposit is coming down, which is in terms of the percentages, then what happens is that the granular stickiness and the funding part is assured as far as the bank is concerned.

So we have actually had two flat quarters while many banks in the country have actually declined in terms of the deposi t growth. And many banks even this quarter have reported about 1.2% to 1.3% per quarter in terms of the increase in the overall deposit number. And that is not the case with us. So we are moving ahead, and we are actually churning and the real benefit of t hat, again, will start playing out in the following quarters.

So all that I'm saying is that we do have a very conscious strategy, both in terms of the quantity and the quality part, which I actually alluded to earlier. So this is something which we have taken stock of . We have taken charge. We have now got all the engines firing, which is the branch, sales, product as well as the digital. And we believe that we are on the right track to growth.

Priyank: Perfect . Thank you for elaborate answer . My other qu estion is actually, as per your note, if we had to exclude the impact of accounting policy, our cost to income still would have been at 58.7% for Q3. While we had guided for, say, for H2, we are looking for less than around 55% cost to income. So where are we and what has

been the extra cost that we should take into consideration when it comes to Q3?

Plus, would it be possible to kind of call out the onetime extra expense that bank would have done in this last 9 months, which would not get carry forward go ing ahead so that we know that kind of absolute cost that would come down, of course, then the other costs related to the operating opex should, of course, get offset, but then kind of a onetime extra expense on 9 months as well as why the cost to income f or Q3 is not headed towards where we would have thought of?

Srikrishnan H: So Priyank, great question. Just to kind of ensure that there is clarity on this. W hile our total, let's say, cost -to-income for the 9 -month period is 56.93%. If you a djust it for a couple of items. One is that we had the recovery from written off accounts which is lesser than if we take into account one times wh ich are there which is super annuat ion that we kind of created, et c.

If I take that all out, actually speaking the adjusted cost to income for the 9 -month period is actually 54.48%. So this is something which we cannot say because these are all one times, which we have incurred already. So to answer your question, there is a c lear 245 bps as far as the cost -to-income, which is reflected in the books which is due to this onetime efforts that have

happened. We will also get Soham and CFO t o give you the breakup of this, b ut to answer your question that the adjusted cost -to-income would be 54.48%.
Priyank: Got it. And just a last question on the recovery side as well as on the upgrades that are other than the normal upgrades. We have seen that trend decelerating at least on the upgrade side and even on the technical write -off book, I don't know if you have disclosed somewhere on th is what is the outstanding book right now as on December end.
And even on this as a strategy we had laid down certain we had doubled down on this to recover this book with a dedicated team. Somehow, over the last 9 months we have just recovered INR100 crores versus our thought of earlier recovering around INR 200 crores. So on the recovery as well as on the upgrades?
Srikrishnan H: No. I think there are two parts to this, recovery from technical write -off account and the general recoveries. The gene ral recoveries we have actually done very well because the total recovery quarter -on-quarter has been much in excess of the number that you're talking about. So the total recoveries for the quarter itself was INR 101 crores and for the entire 9 -month perio d was INR382 crores.
Now as far as technical write -off book is concerned, the total book is about INR 3,250 crores. And yes, the recovery from technical write -off has been lower than the previous quarters. And there were some accounts which bank was targe ting, which could not fructify within the same quarter, and that will come in this following quarter. That is one.
The second is that, actually speaking, there are some efforts the bank is taking on the 100% provided for technical write -off book, where we are working with some asset recovery agencies and trying to look at some pools, which can be given away. The second is that the bank is also looking at and we have already appointed some collection agent s, to bring in from the technical write -off book and from the regular NPA book of lesser than INR 1 crore s, etc.
The bank did not have the administrative machinery to do so. So we have actually appointed collection agencies for doing this as well. While all of this have collaterals in the sense that we do have the security backing up even if it is a smaller loan, but the administrative process to do that is something that the bank did not do. So the focus earlier was only for the larger ticket sizes.
And now we have started doing this for the entir e pool through this two, t

hree measures which is working with asset recovery companies, taking this with collection agents and creating a collection mechanism for the granular less than INR 1 crore s exposure as well.
Priyank: So anything any number tha t you would like to call. Just a clarification on this. Now any number that you would like to call out that for FY '25 l ast quarter or maybe for FY '26?
Srikrishnan H: We'll get back to you separately on this, Priyank.
Priyank: Thank you.

Moderator: Thank you. Next question is from the line of Manik Bansa l from Master Capital Services. Please go ahead.
Manik Bansal: So my question is as the bank has improved a lot on the quality aspect as we can see from the improvement in slippages and credit costs? So now what are the things the bank is going to focus so as to improve the NIMs and profitability further?
Srikrishnan H: So Manik, I think we already said this earlier very clearly that the bank's growth in advances will come from the retail and the agri and the mid -mark et segment and also the retail MSME segment as well. So as a result, between the mid -corporate book and the retail RAM segment, there will be a growth and there will be better yield s. So that is strategy number 1.
The second is that we are building the CA SA book. So there is a sales team, over 100 people who are focusing only on CASA outbound sales teams and they're all staff. And the second part is that we do have the retail term deposit where the cross -sell and account opening, etc. So there is a full -fledged drive as far as new accounts being opened and also to get the up sell and the cross sell once the accounts are with the branch.
So irrespective of where the sourcing happens, whether it is through the branch or whether it is through the sales teams, the branch takes charge of the relationship and then starts doing it. So what we are trying to do is that we are essentially looking at playing out these two strategies as far as the growth numbers is concerned. And there is also something which we are tr ying to do is to release some bandwidth as far as our branches are concerned.
So there's a de -cluttering that we are trying to do to release bandwidth. The other is the national back office which is a centralization that we have done. And whereby we have removed a lot of activities. We have already centralized clearing, treasury operations, account opening, ATM and

direct channels, etc. So all of this is in our national back office, which we have set up in an exclusive building in Mangalore.

Manik Bansal: Okay. So one more question is on deposit side. So as we can see, there is a sequential growth of only 15 basis points. But if you see some big banks like HDFC Bank, ICICI Bank, they are able to garner some deposits. So what could be the possible reason tha t they are able to grow their deposit book as a mid -sized bank like ours is struggling to attract?

Srikrishnan H: I do not want to say that we are struggling, Manik. All that we are saying is that we have a very conscious strategy as far as deposit is conc erned because the bank has had a mix in the deposit which had almost like 12% to 12% plus on bulk which was at a higher rate. Over a period of time in the last two to three quarters, we have reduced that. We have actually been growing granular as far as ou r retail deposits are concerned.

While we are accruing - the accretion is higher on retail, but because of the bulk deposits going out of the bank, the overall number remains the same, but the mix is changing and that is reflected very clearly in the metr ic that I just mentioned in the earlier commentary. We would start to see this number grow as we go forward to remain very much in target with the market currently this

year the total projection as far as the ban

king system is concerned on deposit is about 9% to 10%.

I think we will very well be in target to do that 8% to 10% of growth as far as the overall deposit is concerned from the INR 92,000 crores to the number that we are talking about.

Manik Bansal: Okay. Just last question. What is the percentage of book fixed and floating?

Srikrishnan H: So our EBLR -based book is about 50% of our overall portfolio. The MCLR will be about 15 % to 16% and the balance would be more or less in the corporate deposit which will be at the fixed rate.

Manik Bansal: Okay. Thank you.

Moderator: Next question from the line of Yash Dedhia from Maximal Capital.

Yash Dedhia: Sir, if I look at your performance in the last 1 year, we have been tracking all the peer banks also. So , we understand the industry -wide issue. But I thin k your performance amongst all peers in terms of the yield o n advances drop ped or cost of deposit increase d, which is probably the worst. And this is despite around 1,000 basis points additional cost to income that we have taken. And sir, that was suppose d to help us on these parameters, bring better advances at better yields and lower down our quarter deposit by getting us lower cost of deposit CASA etc. So it seems that the execution on the ground is just not working, sir. So what is the problem right no w. And I'm not talking about your bank performance. If I just compare it across all the mid -sized private sector banks, why is your performance so bad compared to all the other banks?

Srikrishnan H: So Yash, just to kind of put things in perspective, you should not have this isolated view as far as Karnataka Bank is concerned for the past 1 year because you need to look at the historical past. Prior to 2023, the bank overall deposit growth as well as ad vances growth was all at single digit.

Now that is something because of the transformative steps that the bank has taken including management leadership changes at multiple levels and also making sure that the existing management integrated with the bank and the investments that the bank has made into technology for the transformative steps.

Now it could be a particular situation where multiple other banks that you are looking at, could have taken these steps many, many years ago. So that is not something which we can go back into history. Now we have started this journey, which is the revived journey from 2023 onwards. And as a result, the 2023 -24, our gross advances grew at closer to 19%, and then the deposit grew almost closer to 13%. That is, of course, higher than the market.

And this year, we are stabilizing, and we are actually growing the gross advances by about close to 10%. And then we are also looking at growing the deposit book closer to 10%. Now this is the way that this bank is playing it out. For the results, on all the metrics to go through, including

the quality because the bank has inherited quality issue also related to restructure book and a lot related to the GNPA, which was as high as 3.8% in the past.

So all of those things, if you really look through, the improved parameters will happen gradually, and the trajectory has started happening. The numbers are really showing up. And it is also a fact that it takes time to do this. So this transformative journey, if it has taken for m ultiple other banks, 7 to 10 years, probably we will take lesser than 50% of the time. So that is the way that we should look at from a positive aspect as far as Karnataka Bank is concerned.

Yash Dedhia: Sir, but on quarter -to-quarter basis, all these thin gs are worsening rather than improving. That is my main concern. I agree that you might have inherited something which is very bad. But on every quarter your yields on advances are decrea sing, your cost of deposits , and it is decreasing more than the peers . That is my major co

ncern.

Srikrishnan H: So again, Yash , I'm just reiterating this that you will have to look at it not on a quarter -on-quarter basis or something which is specific parameter to parameter basis. You will have to look at this on a longer term basis and also the strategies that we are adopting in order to kind of get there. And this has to be on a longer -term basis and you'll have to kind of look at it in a term, whereby these strategies have to start playing out because this is a 100 -year-old bank. And we are going to celebrate our 101st year in the next about 15 to 18 days.

And so this is something where a lot of relationships which are there for three to four generations, the customers are banking with us. But then the technology investm ents that we have made is in the last about 18 months to 24 months. And also the fact that our digital footprint, our branch sales network, we did not have an outbound sales team as many banks that you are talking about may have had in the past. All of thi s have got set up in the last about 12 to 18 months.

So for all of this to start playing out, we need to incur some immediate cost, which is what we have done. Second is, we needed some capital also, which also we have done. So the headroom for making thi s happen in terms of the growth is something as a prerequisite, which we have done, which is the capital, the headroom on operational and technology capacity, everything related to the people and also the process product transformation, which we are going through. And all of this will start yielding results in the following quarters, upcoming quarters.

Yash Dedhia: And on the NIM, sir?

Srikrishnan H: I think I've already answered the NIM during the earlier conversation.

Yash Dedhia: Sir, the earlier guidanc e was 3.4% to 3.6%, sir and now we have fallen to 3%. So what is the guidance going forward?

Srikrishnan H: So 3.3% is what we are ...

Yash Dedhia: Quarter i s 3.02%. So what is the guidance going forward?

Srikrishnan H: Quarter is okay. 9month quarter we have had pressures which I have already mentioned to you. So you will have to look at it as a 9 month NIM. 9 -month NIM is at 3.31% and also the fact that

there is an adjustment because of the penal charges which also I ha ve explained to you. And last but not the least, we have already given that in the investor presentation in terms of the overall NIM target which would be 3.2% to 3.4%. That is the target for the guidance.

Moderator: Thank you. W e'll take our next question from the line of Subhanshi Rathi from Anand Rathi. Please go ahead.

Subhanshi Rathi: My first question would be what is the proportion of gold loans in the overall loan portfolio? And what is the percentage of agriculture loan book comprising gold loans?

Srikrishnan H: So we would be about 10% of the overall book, approximately I'm giving you that on a book size of about INR 77,500 crores, we will be closer to about –INR 7,000 crores to INR 8,000 crores. So that will be about 10% approximately. That is on the gold book. The breakup of agri and non -agri within the gold book, let me just pull it out and we'll send it to you.

Subhanshi Rathi: Okay. And the next question would be with respect to the RBI regulations. Any discussions that have been held with the regulators regarding gold loan, particularly the LTV norms and the loan rollovers, etc?

Srikrishnan H: Okay. One second, I'll read out the agri and non -agri part also. The gold loan agri is INR 6,450 crores and the non -agri is INR 1,260 crores. So that is the number. And you are talking about the regulatory part related to LTV. So all of the guidelines that are to be followed, we are 100% compliant as far as the gold loan book is concerned.

Subhanshi Rathi: Regarding LTV...

Moderator: I'm sorry, Subhanshi, you're not clear. Can you use your handset mode,

please?

Subhanshi Rathi: Yes, sure. I'm asking about any discussions held with the regulators regarding gold loans, LTV loans and loan rollovers?

Srikrishnan H: No, there's no special discussion that we've had with regulator on this. In a normal, whatever is there as part of the normal inspection and audit, et cetera, is something that happens on an annual

basis.
Moderator: Thank you. W e'll take our next question from the line of Amey Chheda from Banyan Capi tal. Please go ahead.
Amey Chheda: Sir, can we say that the cost of funds have peaked out now? The reason I'm asking you is that in your TV i nterview on December 12, you had mentioned that the cost of funds are peaked up and we have again a sequential increase in the cost of funds ?
Srikrishnan H: Yes. So I would think so. But of course, the market, while we are not aggressive on the overall deposit numbers in terms of the interest rate that we offer even on the retail, there are banks which are offering 8% on retail deposits, term deposits, which we are still at about 7.5%. So that way, we're still maintaining. But I think the whole market scenario has to be looked into, which

is the rate cut that is widely anticipated and also the fact that the overall impact as far as the bank is concerned.
And the last part is that we have to actually neutralize this by increasing CASA. Now the whole market is facing this CASA issue, but we are reasonably all right I would say that compared to many others, we are stil l, while the market had come down by 4%, as I said in the earlier commentary, we have come down by hardly 1.1% or 1.2% as far as the CASA is concerned.
So we are actually gaining traction there, and which is why we have deployed new products, we have depl oyed sales teams and deployed renewed focus as far as the branches are concerned on CASA.
Amey Chheda: Sir, on this NIM guidance of 3.2% to 3.4%, when do you think we can achieve that?
Srikrishnan H: We will start seeing that. We are already on a 9 -month b asis. We are at the 3.31%, as I mentioned to you , and we will continue this. And we'll start seeing an improvement in the NIM, as I called out earlier, which is a 10 to 12 bps and the real churn on the overall advances will happen, which will be in FY '26.
Amey Chheda: Okay. And sir, what is your guidance on ROA and ROE guidance for FY '26?
Srikrishnan H: 1.1 % to 1.2% is as far as ROA is concerned. And on the ROE, we would want to kind of be in the 12.5% to 13% as we go into FY ' 26.
Amey Chheda: Okay. And sir, just last one question. On the loan book so basically two, three quarters back we were eyeing 18% odd CAGR for loan book because you were trying to reach INR 1 lakh crores in the next 2 years. Now in the Q2 call, it got reduced from 15% to 18 %. In December, you had mentioned it will be around 13% and now it is again revised to 12%. So what is leading to the continuous revived guidance on the loan book growth?
Srikrishnan H: It is not an appetite issue or anything. It is just that we are doing this g ranular rather than having to do bulk. B ecause the real jump last year happened because of the larger bulky loans that we had done, which we have now stopped . We don't do that again. We have seen the INR 750 crores of repayment of some larger NBFC and bulk loans even this quarter.
Now having said that, we had committed to INR 1 lakh crores of advances , which was in June of '23 with a 3 -year outlook that is like June '26. I think we still stay committed to that. And the current outlook is at about INR 77,50 0 crores even if we grow about 4% to 4.5% now, we would easily cross INR 80,000 crores to INR 81,000 crores as of this financial year itself.
And then building on top of that at, let's say, INR 81,500 crores, if you grow about 14% year - on-year. Now the ne xt year , we will be closer to INR 92,000 crore

s. And then the first quarter,
we will do another about INR 4,000 -plus crores. So we would be closer to INR 1 lakh crores definitely by June '26, if not crossing INR 1 lakh crores.

Amey Chheda: So basically thi s is the guidance that has been revised. So just one suggestion from our side because I just suggest that we be more careful with our guidance because there has been a series of guidance not being met. So that was my suggestion .
Srikrishnan H: Thank you, thank you. Point noted, sir.
Moderator: Thank you. W e'll take our next question from the line of Anant Mundra from Mytemple Capital Advisors L LP. Please go ahead.
Anant Mundra: Sir, I just had one question. Why is there a difference in the net worth that i s reported in the presentation versus what is given in the result?
Srikrishnan H: Net worth. So...

Anant Mundra: If I add the capital and reserves and surplus as given on Page 13 of the presentation versus I think INR 11,320 odd crore s which is given in th e result?
Srikrishnan H: Okay. Allow us to check this, please. One second, CFO is wanting to say something. Sir, we will get back to you. Maybe it is revaluation reserve. That's what they are saying. It is revaluation reserve is wha t the team is confirmin g to me which is at INR 519 crores.
Anant Mundra: Got it. That is okay.
Moderator: Thank you. W e'll take our next question from the line of Anand Dama from Emkay Global. Please go ahead.
Anand Dama: My first question is primarily on our margins that we have seen a dip during the current quarter as you have already guided for the full year. The penal interest stuff is largely behind now on a quarter -on-quarter basis, if I have to look at it or there co uld be more impact because of that, number one .
Number two is that ideally, I think in the fourth quarter, we tend to see higher NPA formation - - third quarter versus second quarter was higher and fourth quarter ideally should be higher as there will be l ot of restructured loans slipping into NPA. In that case, there could be some more pressure on margins that you might see in the first quarter. That's how that it is .
Srikrishnan H: Anand, what you wanted to know. Just kind of to confirm one is that our ov erall mix of the loans and the fact that we are looking at the yield to increase by 10 bps to 12 bps as far as NIM is concerned, that is something which we are well on track. So that is the question number 1 that you had asked. And I do not see that as an issue going forward. So I don't think that we are in any way revising that or saying that we will not be able to achieve. That's one.
The s econd part is that as far as - the second part which is related to the margins . Now the fourth quarter, the fourth q uarter is something that is always good for Karnataka Bank. And one is that there are some charges and recoveries that is the other income part, which comes in. The second is that quarter 4 has been always the best performing quarter for us on advances as well as deposit because our nature of our customers because of some contractor segment, the agri segment and so on and so forth.

So both sides of the balance sheets are positively impacted as far as the bank is concerned. And we believe that we would actu ally be able to achieve what we wanted to do for the entire financial year. So from that perspective, overall, we are still bullish on that.
Anand Dama: So I think my question was that typically, you were saying you're guiding that basically restructure bo ok will continue to come down. And that basically, to some extent, would flow into the NPAs. So , my question was basically the penal interest plus higher interest reversal on NPAs could keep the pressure on the margins in the near term intact. Though obvio usly, there are other thin

gs like portfolio mix and all will help you. But in the near term, should we see the margins contracting?
Srikrishnan H: I do not think so. The reason being that on a 9 -month period also, we have not like really come down drastica lly, one. Secondly, this margin improvement and the restructured assets actually has come down as compared to the earlier time. So the number on a standalone basis, actually restructured is only about INR 900 crores.
And the INR 900 crores also, they have all currently crossed all the moratorium period and now either they have to standardize or we will have to recover through the collateral. They're all collateral backed. So I do not see that we would have any slippages from those.
And the second part is that because of that, I do not see any margin related issues as far as the restructured assets are concerned because , we are kind of managing these two on two independent tracks.
Anand Dama: Sir, any guidance in terms of PCR that we want to be there by yea r-end and maybe next year? And what's our current LCR?
Srikrishnan H: So the PCR, with technical write -off or TWO is in excess of 80% and 56. 03% is our PCR excluding the technical write -off. On a quarter -on-quarter basis, we are committed to kind of improv ing PCR by 1% every quarter, at least a minimum of 1%. And as far as LCR is concerned, we were at 150%, if I have to look at the number. So I do not see that as any pressure , because we are quite comfortable there.
Anand Dama: And sir, lastly, I think if t he retail banking head is also there on the call, if he can basically spell out the retail strategy that he would be now looking at, now that basically you have assessed things that are on ground changes which have happened in terms of what kind of loan po rtfolio that you want to target? Basically, we would want to hear from him.
Srikrishnan H: Our retail banking head, Sreenivas is not on the call, but I would request Mr. Sekhar Rao our Executive Director because he manages that business also. So he would b e in a better position

to just let you know very quickly, Sekhar ?
Sekhar Rao: Yes. So clearly, in sync with what we have stated earlier, the focus is on growing the RAM segment. We've already seen green shoots in that. If you see the current year book, a significant part of our growth out of the total growth of around INR 4,863 cr ores, has come from retail which has grown by INR 3,326 crores. So the majority of growth has come from retail.

Here, the strategy is to focus on Tier 2 for retail. We want to be a large , equivalent of the large bank for Tier 2 locations because Tier 1 i s already a taken space and the yields are also not very competitive there. We have a significant FI presence, agri and FI branches are there. The strategy of the bank was what you call to set up branches in clusters in Karnataka, in this agri and FI pocke ts.
So we have deployed AFOs in these branches, and we'll see traction there. We've also set up retail asset centers, and the first two have gone live. This is to improve ease of processing, improve turnaround time and the efficiency metrics. We inaugurat ed the Mangalore RAC yesterday, which is our second retail asset center. We plan to open 5 more. With that for retail loan processing, we'll have 10 centralized locations, 5 RLPACs and 5 RACs. So that's the strategy.
Apart from that, we are putting in pla ce a significant connector model feet on street that our MD and CEO spoke about, improving the product mix. We have undertaken a major credit transformation exercise through a well -known consulting firm. And through this, we have revamped the way we underw rite the credit policies for all our headline products. A combination of this, we are quite confident will yield results in the retail asset book.
Anand Dama: But sir, this is a strategy that we have h

eard last quarter as well. What we are talking about he re
is the product , any development which have happened like on the vehicle financing, new tie -ups that you have done or you are taking up ahead in terms of lending more from branches, non - branches and so on? If you can talk about the product -wise strategy, that would help a lot ?
Sekhar Rao: Yes. So there are two or three products that we have launched. In fact, commercial vehicle is one where we have launched the products, and that has taken off very well. We've launched a focused product for the student segment in combination of the liability product, KBL PEAK and KBL Ge nius. This is comparable to any and it's actually a kind of best -in-class product, and we are there tying up with education consultant, colleges, because we have good presence in the market in that space and the response there as well has been good.
As we speak, we have received approval from Maruti for a tie -up for their EV space, specifically. Then we have tie up with the dealers of JCB and also for the dealer tie-ups for LCVs. In fact, a large part of a number of Karnataka automobile dealers have been f unded by us for their overdraft space. There, we are extending inventory financing also so that our presence in the auto loan segment will improve.
On the liability side also, we are coming up with women account, the family account and the bundled wealth management proposition where we are in the advanced stages of implementing a wealth management platform.
Srikrishnan H: I hope you got the details on that, Anand.
Anand Dama: Sure, sir. Thanks a lot.
Moderator: Thank you. W e'll take our next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Firstly, if you sum it up, sir, although you have very elaborately explained us and given your views and thoughts on the way ahead, but taking into account the factors that are in fluencing the banking industry currently , and when we look at our interest expended part, that is not lying in commensurate to the increase in interest income.
So firstly, sir, going ahead for a year as a whole, since you have articulated to look at the 9 months, how confident are we to match our operating profits for the year ending 31st March '25, then on a comparable basis to 2024?
Srikrishnan H: So 2024, we have closed it out with INR 1,306 crores. And 9 -month period, we had INR 1,032 crores . So the la st quarter, if you look at the current, we are at INR 1,021 crores compared to INR 1,032 crores. So we are like hardly any different because hardly some INR 10 crores to

INR 11 crores difference is there.
So the last quarter is always the best quarter fo r the bank in the past. So I think we are well positioned to surpass the previous year number. And also the fact that you need to take into account that compared to the last year, the treasury income, which is on account of the AFS book, is not allowed to be taken into P&L by any bank as per RBI regulations effective from April 1, '24. And on a 9 -month period, that number itself is about INR 100 crores. And on a 12 -month period, the number could be anywhere between INR 115 crores to INR 120 crores. So if you really look through that if you surpass that INR 1,306 crores as of last year, without having to take the treasury number, then we would be well in excess of that, and that's, I think, very clearly visible from our perspective.
Saket Kapoor: Okay. Sir, and when we look at also as interest on balances with RBI, that income has gone up significantly. That has been doubled from a base of INR 17 crores to INR 37 crores. And last year, the balance was only INR 18 crores. So how is this going to pan out a nd if there are rate cuts that are envisaged, how will this line item be going to get affected?
Srikrishnan H: So basically, we are com

fortable on liquidity. We have been lending in the market on a continuous basis at least in excess of INR 2,000 crores to INR 3,000 crores per day. And this is why the interest, which is there based on various forms of lending, which involves RBI, and that is how the entire interest income has gone up. So basically, this is part of our treasury money market operations.
Saket Kapoor: Okay. Sir, what we investors would like to only get some understanding from the management people is that in the current scenario where deposits are becoming scarce and also costly, cost of deposit is going up and inching up higher. How confident are the midsized banks like KTK that they can look forward to grow profitably with the trajectory that is explained earlier.
Sir, since you have raised capital twice in the form of QIP and also used it very effectively in lowering the high -cost loans, but still the price at which the QIP were done, the current market cap and the enterprise value are significantly down are significantly lower than what it was. So what should investors take home, sir, especially in this current scenario of investing in the midsized banks like KTK, sir, which will be a transformative journey, sir?

Srikrishnan H: I agree with you. I will only talk about the journey that we do and the market price is an outcome of that. And this is not something that I would like to really comme nt on what the outlook as far as the price would be. But having said that, you need to look at strong multiples based on the position of the bank. So we are growing. The business turnover of the bank as of 2023 -24 was at INR 1,48,670.79 crores. Now we are about INR 1,77,978.27 crores or INR1,78,000 crores. Obviously, the top line growth is there.
The second part is that there are various metrics where the bank in the past had certain strategies adopted and which we are churning around, b oth on the liability as well as on the asset front. So those will yield results as far as profitability is concerned, and that's something that I answered to you earlier.
Third is that based on this trend, the market has to decide the multiples and compar able with other similar peer banks or with other banks. So this is the way that it works. So I'd really not want to kind of look at an outlook as far as the price is concerned. But having said that, if we are strong on the fundamentals and the growth path and the execution strategy, I think the market will reward us.
Saket Kapoor: Okay. Thank you sir and all the best for answering all the questions very elaborately and giving opportunity to everybody and we hope for the continuity of the same.
Srikrishnan H : Thank you so much. Thank you for your best wishes.
Moderator: Thank you. L adies and gentlemen that was the last question. Sir, over to you for closing comments.
Srikrishnan H: Thank you. I would like to thank the support and the interest in participation today as well as in various other investor conferences as part of our overall engagement with investors is concerned.
On behalf of the management team who is present here and on behalf of the entire Karnataka Bank workforce, I would like to thank you all and we hope that we'll be able to stand up to your expectations in the following quarters and coming up quarters. Thank you so much.
Moderator: Thank you, sir. On behalf of Karnataka Bank, that concludes this conference. Thank you for joining us and you ma y now disconnect your lines.

Call: May 2025

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Madam /Dear Sir ,

Sub: Transcript of Q 4FY25 Earnings Audio Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts/institutional investors audio conference call held on Wednesday , May 14, 202 5, on the audited Standalone & Consolidated financial r esults of the Bank for the quarter and financial year ended March 31, 202 5.
The same is also made available on the Bank's website under the following web link: https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

"Karnataka Bank Q4 FY'25 Earnings Conference Call "

May 14, 2025

BANK
MANAGEMENT : MR. SRIKRISHNAN H - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SEKHAR RAO - EXECUTIVE DIRECTOR
MR. ABHISHEK SANKAR BAGCHI - CHIEF FINANCIAL OFFICER
MR. VINAYA BHAT P. J. - CHIEF COMPLIANCE OFFICER

MR. RAGHURAM H.S. - CHIEF RISK OFFICER
MR. RAVICHANDRAN S – GENERAL MANAGER, CREDIT SANCTION S
MR. RAJA B S - GENERAL MANAGER, BRANCH B ANKING DEPARTMENT
MR. VENKATESWARLU MALLINENI, GENERAL MANAGER LIABILITIES, SALES & THIRD -PARTY PRODUCTS
MR. SHAM K. - COMPANY SECRETARY

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call hosted by Karnataka Ban k.

The Management participating from Karnataka Bank are Mr. Sr ikrishnan H – Managing Director & CEO ; Mr. Sekhar Rao – Executive Director ; Mr. Abhishek Sankar Ba gchi – Chief Financial Officer ; Mr. Raghuram H.S. – Chief Risk Officer ; Mr. Vinaya Bhat P. J. – Chief Compliance Officer ; Mr. Ravi chandran S – Head of Credit Sanctions ; Mr. Raja B S – Head of Branch Banking Department ; Mr. Sham K . – Company Secretary and Mr. Venkat – General Manager , Liabilities .

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srikrishnan H – MD & CEO from Karnataka Bank. Thank you. And over to you, Mr. Srikrishnan H, sir.

Srikrishnan H: Sagar, thank you so much , and good evening , everyone . A warm welcome to our Q4 F Y'25 Earnings Call . First of all, my apologies for the delay , – there were some other agenda item s taken up in the board meeting , which caused the delay . But having said that , the accounts , the finalization and upload etc ., happened well within the time. I am assuming that all of you would have seen it on the BSE and NSE .

With the ending of Financial Year 2024 -25, let me take this opportunity to wish everyone a very fulfilling new fiscal year ahead. The past 12 months have been a major transitional period in the history of Karnataka Bank, with various changes that we are br ing in g since 2023.Before we move to the business performance and numbers, I would like to highlight some of the major activities that the Bank has undertaken during FY 2025.We are hopeful that these will serve as long term and strong fundamental foundation to build upon and improve our performance going forward.

Firstly, the Bank has built up on its Four channels of business acquisition - Branch led, Sales led (liabilities, TPP & R AM), Digital and partnership based. In terms of branch led geographical expa nsion, the Bank has opened 31 new branches and 39 e -lobbies during the financial year, taking the tally to 952 branches and 1,228 ATMs and e -lobbies. The sales -led acquisition is fundamentally focus ed on liabilities and third -party sales. We have a dedicat ed lateral leader who has been hired, and has been in the system for over six months now. We also have a lot of focus on CASA and TPP, which is clearly reflected in the business performance from the last quarter onwards. Basically , there are four channels that have been set up. One is the CASA and the FOREX segments and the trade segments, CATFX as we call. Then the IB GB, which is institutional and the government business portfolio. The third is the salary channel and finally the RAM segment, which is basically the Retail , Agri and Mid-Market . MSME segment focus es on putting up the granular advances, the assets. We have actually carved out this from the credit

sales department and very seasoned lateral leader who joined us around 6 to 7 months ago and has started setting up a team. We have introduced a concept of regional sales manager (RSM) , and within the RSM we do have various segments covered , ensuring focus, leadership and accountability. In addition to that , we have d eployed a network of sales officers and we are actively expanding it. This will be done through our own in -house company which is a subsidiary , as well as through external corporate DSAs. This reorganization is primarily aimed at driving de

eper market penetration and improving execution and sustainable growth in the RAM vertical.

The digital channel that we had , has been further strengthened. We have a Digital Center of Excellence , and we al so have a data -driven analytics acquisition engine. This engine provides

leads based on the propensity as well as critical micro market analysis. It continues to play a pivotal role in generating leads for both the sales team and the branch teams.
In the branches, the sales team acquires customers from the market and hands them over to the branch for the servicing , as well as for upsell ing and cross -selling. For the existing bank customers, the increase in product penetration, and relationship values is driven through the branch channels. The last is the partnership -based model, where we have identified three specific product areas. One is alliances for insurance, which has been completed. Investment is also in place, and we are adding that with a wealth management portal this year. This will include advisory services and targeted marketing to affluent and specific cus tomer segments based on their investment surplus and AUM categories.
We also have co -lending arrangements with five partners , which are working well. We have built up a reasonable portfolio , and the portfolio quality is very healthy. There is significant technology intervention involved, and we have successfully executed this with the five partners, including one that we onboarded this quarter.
The Karnataka Bank also made a record in the last quarter when we acquire d a direct assignment portfolio from a l eading , reputed home loan NBFC. This transaction was for the Loans Against Property (LAP) product. It was a pilot transaction, and we had to ensure compliance with regulatory guidelines, technology integration, and internal policy requirements. Further, we plan to continue acquiring such portfolios through partnerships with a few more reputed NBFCs. We will also ensure that both the collection mechanism and, more importantly, the credit quality of the portfolio remain intact. This approach applies to both c o-lending and direct assignment partnerships.
There is a product that we launched in the last two quarters of the year - a credit line on UPI in partnership with Navi Technologies . This is a short -term personal loan, structured as an EMI on demand product . We started with a 30 -day product and have since added a 60 -day variant. The entire process is fully digital, and the product has performed well in terms of portfolio size. More importantly, repayment behavior has been timely, and the portfolio quality ha s been exemplary. This also opens up opportunities for cross -selling banking products through this acquisition channel. The partnership model ensures that all regulatory requirements — including

onboarding through video KYC or eKYC — are completed in -hous e by the bank. With this, we have effectively covered all four acquisition channels of the bank. This brings us to the product portfolio, which we have been consistently strengthening over the past two years.
In the last financial year, we launched 15 products - five each in liabilities, Retail and in MSME segments. These launches were aimed to plug the gaps in the overall product stack . Some of the key products were designed with both customer segment and sectoral focus. For example, we introduced offerings for the student community, such as KBL PEAK and KBL Genius, which combine a loan, savings account, debit card, and an insurance protection package that includes cybercrime coverage.
We also launched a personal loan product for governm ent employees. We do have a contractor product. This is again an existing product which we revamped. We have the CA credit line - a tailor -made credit facility for chartered accountants. This is ag

ain the first of its kind for the
professionals and continue to do this with other verticals within the professional gambit. On our Founders Day we introduced a unique product for women called KBL STRI . It's a very unique savings bank account product bundled with benefits such as cancer insurance , other hospitalizatio n benefits and debit card, etc.
We are soon launching a family program which is called KBL ONE , which will cover up to six members of the same family . It will offer interoperability across accounts and include a digital product developed in conjunction with NPCI, allowing features such as shared UPI payments within the family. In addition to this, we have a set of products planned for this year, particularly on the asset side. One of the key offerings is a supply chain finance program target ed at corporates, which is scheduled to be launched in the current quarter of FY26.
On the liabilities side, as I mentioned earlier, we are introducing KBL ONE — the family banking program. We also have a wealth platform in place, which will include mutual fund offerings. Additionally, on the digital front, we are developing a merchant app to strengthen our presence in QR -based payments. The bank already provides QR codes and POS machines, and we have a strong distribution network in this space. As far as t he asset book quality is concerned, the bank has done very well , significant improvement in both GNPA and NNPA. These indicators have consistently improved over the last 6 to 8 quarters. The same positive trend is visible in the restructured book, which ha s also performed exceedingly well — both in terms of direct and related accounts.
We had embarked on a credit transformation project, which has got completed into the one -year

project. Based on insights from market analysis, customer feedback, and internal process reviews — including identification of product and policy gaps — we have implemented updated policies across home loans, MSME loans, and other retail products. These changes aim to enhance product features, underwriting standards, and turnaround time. .

Additionally, we have set up two Retail asset centers in Bengaluru (Bangalore) and Mangalore. Once we perfect the model, we'll expand it to the other cities also as I mentioned in the last

quarter. So the two are working well and basically catering to origination, underwriting, onboarding as well as disbursement. So, the branches are actually decluttered quite a bit. So far, over 100 branches in Bengaluru have been onboarded, along with all branches in Udupi, into their respective Retail Asset Centers.

The focus is on granular assets as well as liabilities. So there has been a shift as far as the NB FC and PSU lending to wards higher yielding direct corporate lending . This was a strategy that we had outlined a couple of quarters ago with the structures in place from October this is started playing out and reflected very well in the last two quarters and likewise even on the deposit side we have not been bidding for bulk deposits, which now constitute only about 6.6% of total deposits as of March. Additionally, there are two other projects that we have taken very high-end projects , one is on the IT infrastructure creating a data lake which will combine both the Analytical Center of Excellence as well as the other data into one. And the other is the MIS architecture which we are revamping. And this is again a 12 -month project which has come more or less to a conclusion. And we will be releasing all the use cases including regulatory r eporting. The HR transformation, we have made the initial transformative steps. For \ FY'26, we have rolled out the KRA rationalization across the bank, across all levels. And that is something which will reflect as you go forward in terms of the overall bank's performance level,

performance

monitoring, and other metrics for measurement. On the mac ro side, before I go to the numbers, there were, of course, the geopolitical factors impacting the GDP growth and subsequently the credit growth. So, all of whatever I'm saying, the next couple of things are not necessarily pertaining only to Karnataka Ban k, but it is overall banking industry. Interest rate changes, I think, all of us are aware that there have been two repo cuts and there could be one more very soon. So, leading to reduction in yields and which in conjunction with the rising cost of deposit s has impacted margins across the whole banking industry and we are no exception to that. There were two, regulatory changes, one of which came into effect on April 24th, 2025. .

For the full financial year, in comparison to the previous year, there are two key accounting changes to note. First, the AFS (Available for Sale) reserve on the investment portfolio — this cannot be routed through the P&L and hence needs to be considered separately when making a like-to-like comparison. Second, there was a recla ssification of penal interest to penal charges, which has an impact on the Net Interest Margin (NIM). This reclassification will continue to affect reported NIM for another two quarters, since the implementation took place in June. While we will continue t o highlight this for comparability in the current quarter, from the next quarter onward, we will stop referencing the accounting policy change related to treasury investments. There have been one significant change in our accounting policy , specifically re lated to the superannuation and retirement benefits of our staff. One is that we have made a change on the overall salary escalation methodology, which is across pension, gratuity, PL encashment and sick leave s. Earlier the bank was doing 4 % on pension and 4% of gratuity, PL encashment and sick leave as two blocks. We have now reversed and maintained the pension provision at 4%, while revising the PL encashment and sick leave provision to 5%. This change has resulted in a

one-time incremental pre -tax provis ion of ■83 crore. Going forward, this provision will remain higher, which is a prudent step, as it better reflects the realistic outflows expected at the time of pension and retirement payouts. Additionally, though not very material, I would also like to highlight that as of March 31, 2025, due to rate cuts, the yields were lower, which led to a higher actuarial provision of approximately ■30 crore. So, taken together, ■83 crore plus ■30 crore — totaling ■113 crore — has been an incremental pre -tax provision made by the bank.

So, on the backdrop of all of this, let me get quickly into the three critical parameters that we look at for growth in advances, growth in deposits, and the growth in quality. In addition to that, I will also talk about the profitability and the returns to stakeholders. The aggregate business turnover of the bank, as of 31st March, we did a record high, the record for Karnataka Bank in the last hundred years . Rs. 1,82,766 crores, up by 7 % on a year -on-year basis, as against Rs. 1,70,990 crores as of 31st March. So that's like almost like Rs. 12,000 crores plus business that we have increased as far as the bank is concerned. And this has been a consistent factor in the last about two years.

The second one is on profit after tax. The profit after tax for FY'25 stood at Rs. 1272.37 crores, versus Rs. 1306.28 crores in F Y'24. Here again, to call out the change in accounting policy related to investments and the adjustment for the AFS available for sales portfolio. This alone, if had we taken the profits, and the book that is as per the earlier accounting policy, the profit after tax would have been higher by Rs. 110 crores. So, if you exclude the impact due

to the
accounting policy change and the one time increase in actual provisioning that I tal ked about, which is Rs. 113 crores pretax, the profit after tax would have become Rs. 1,467 crores in comparison to the year -on-year of Rs. 1,306 crores and reflecting a growth of 12.3%. Similarly, for the quarter, the profit stood at Rs. 252.37 crores for Q4 and as against the Rs. 274.24 crores in Q4 FY'24. Excluding the impact of actuarial and the change in accounting policy on investment, the adjusted PAT for the quarter would have been Rs. 372 crores, showing a year -on-year growth of 35 %. Gross advances stood at closer to Rs. 78,000 crores , Rs. 77,958.72 crores to be very precise as of March '25 reflecting a year -on-year growth of 6.8 % over March '24. And that was Rs. 73,001.66 crores.

Our overall strategy is to c ontinue Retail , Agri and Mid-Market , RAM segment , where the growth was led by gold, vehicle, housing loan portfolio with a net book accretion of Rs. 4,373 crores in the RAM segment during the last 12 months. During t he same period, direct to corporate advances grew from Rs. 16,997 crores as of March '24 to Rs. 19,146 crores, resulting in a net annual accretion of about Rs. 2,149 crores. So effectively, the new book that has come in which is the net accretion has been whatever I called out, which is Rs. 4,373 crores plus Rs. 2.149 crores. But however, the bank has also been committing to reduce its low yi elding large mid -corporate as well as some opportunistic treasury -based lending that we were doing and those have come down and here again the bank replaced Rs. 1,300 crores of low yielding NBFCs to higher yielding direct to corporate advances. So basicall y, there is a churn in the portfolio and a growth in the portfolio. And this same strategy will continue for F Y'26 also as we go forward.

On the aggregate deposits, the bank stood at Rs. 1,04,807.49 crores. which is close to Rs. 1,05,000 crores mark here again, all time high and reflecting a year -on-year growth of 6.96 % over March '24 which was Rs. 97,998.22 crores , which is closer to Rs. 98,000 crores .

CASA stood at 31.75 as against 30.29 for the previous quarter and 31.94 for March '24. So, we are more or less maintaining the same levels of about 31.75 compared to 31.94 for the year end. In absolute terms CASA deposit grew by about 6.35 % year-on-year from Rs. 31,293 crores to Rs. 33,381 crores as of March '25. A net accretion of Rs. 2088 crores closer to Rs. 2,000 crores. This is again the deposit engine which is really kicking in. So as far as the overall aggregate deposit is concerned, while it may look moder ate, we also have seen an achieve ment . There is also, lot of movement from bulk deposits into granular deposits. So, the Retail term deposit alone, less than Rs 3 crores, have seen a visible jump from approx Rs. 60,000 crores to Rs. 64,616 crores and the net acquisition was Rs. 4,614 crores on a year -on-year growth rate of 7.7%. So effectively here again there's a churn. We're not bidding for very high-cost deposit from the market but for our relationship customers and for our Retail customers we are definitely in the market and we've been able to really get the accretion on the overall deposit story. Our deposit franchise is also working very well.

Net inte rest income, result ant of all this, stood at Rs. 3, 310.38 crores for F Y'25, as against Rs. 3,298.72 crores in F Y'24. While the gross interest income has grown 8.62% , the year -on-year during this period, this cost of funds and the cost of deposit has result ed in overall NII growth remaining quite flat. It is also worthwhile mentioning here that the penal charges which have been impl

emented instead of the penal interest income, this is something which will also result in a reduction and that quantum is about closer to Rs. 23 crores for the Q4 and overall, for the year because it is implemented sometime in the middle of last year. The overall year annually it was Rs. 61 crores for the 12 -month period. If you really exclude this impact, we have grown the NII by about 2.2 % year-on-year. The NIM has grown, and it has been 3.19 % in FY '25 was 3.52%. Here again the NIM stood at 2.98 % for the last quarter which is Q4 compared to 3.02 % for the previous quarter.

Excluding the impact of the reclassification of penal charges which has happened the NIM for FY'25 would have been 3.25 % on a comparable basis with the previous year and that for the quarter would have been 3.06 %. With the improved focus on higher yielding Retail and direct to corporate advances , combined with expected easing in cost of funds we believe that the NIM will improve by at least 10 bps to 20 bps as we go forward in the first in this fiscal. The CD ratio of the bank has is at 74.38 % compared to 7 7.84% and that was the previous quarter and of course we have had very conscious exit strategy for some of the bulk advantage that I mentioned to you and for the last year comparable was 74.5 . While the CD ratio remains more or less at the same level , the churn in the advances portfolio has resulted in higher profitability and this will continue again as a strategy.

The stressed assets, which is very significant in terms of improvement to the book quality, with gross NPAs improving to 3.08 % in March '25 co mpared to 3.11 % in the previous quarter. For

the previous year ended, it was 3.53%. So there is actually reduction of almost 45 bps on the gross NPA and this is a commitment that we had given to the investors that by the end of the year we will bring it closer to 3 % and I think we are meeting that commitment . Likewise, on net NPA , we continue to improve which is at the 1.31 % as of March '25 improving from 1.39 the previous quarter and which was 1.58 for the previous year So annually again here we have improved by 27 bps. And this is a significant achievement because of the overall NPA numbers in absolute terms decreasing and in percentage terms also very favorable.

Gross slippages stand s at 0.34 % in the quarter as again st 0.79% in the previous quarter , in the corresponding quarter for the last year. For the year ended March ‘25 , the slippage ratio was 1.71% as against 2.8 % in the previous year. This is a significant reduction and the target for FY'26 will continue to be below 2 % as we go forward. And this is again possible due to recoveries and the quality of the book significantly improving. Recoveries for the quarter, for the entire year we have recovered at about Rs. 556 crores. But for the quarter, it was Rs. 174 crores in Q4 versus Rs. 101 crores the pr evious quarter and Rs. 197 crores in the corresponding quarter of last year. So this, again, the pool is reducing, but on the other side, whatever recovery measures that we need to institutionalize, including external agencies for Retail less than one crore, the granular loans, etc., we have a Retail collection team that has been set up. We have a specific DGM who was literally hired into the Bank. And this is basically setting up of the Retail franchise , that is where we grow in the Retail book, we need to also step up our collection organization .

The standard restructured asset, here again the bank has done significantly well, including related accounts to that sub -1,000 crores, it was Rs. 994.77 crores as of March ‘25 compared to Rs. 1,113.65 crores the previous quarter and Rs. 1,579.35 crores as of 31st March ‘24 . Here again this is a book which about 2.5 years ago was about close to Rs. 4,500 crore

s and this has come down drastically because of concerted efforts from all the regions and this is something which for the first time the bank has done exceedingly well by bringing it down. This actually has resulted in a very favorable position a s far as the bank is concerned because if you actually total up our gross NPA plus restructured advances as a percentage on the gross advances, it remains at 4.36 % as against 5.70 % the previous year and of course the prior years was even higher. The standa rd restructured advances is approximately 54 % of the restructured portfolio which comprises of loans which require upgradation because of the 30 % recovery. Otherwise, they are standard and performing as assets but up to the 30 % we need to actually keep it as restructured portfolio. The other notable item to call out is that this total portfolio which is the 54 % amounts to Rs. 553 crores. Out of that , Rs. 421 crores is actually housing loans. So these housing loans are also standard paying, but only thing is that they have not completed 30 % recovery and which is how the exit and the upgradation into standard advances will happen.

The PCR, Provision Coverage Ratio, including technical write -offs, stands at 81.42 % for March '25 compared to 80.64 % in December and including technical write -off, PCR improved to 58.18 % as compared to 56.03 % the previous quarter. This again is a commitment that we have made that every quarter , net of technical write -off the bank would improve the PCR by 1 % every

quarter. And we hav e been committing this ever since September quarter onwards and we have done better than what the commitment was.

Liquidity Coverage Ratio (LCR) as of 31st March stood at 162.5 % up from 152 % in the previous quarter and as again the statutory target of 100 %. Cost of funds this is a major worry as far as the industry is concerned and we are at 5.67 % compared to 5.42 % in FY'24 The previous quarter it stood at 5.83 % compared to again 5.69 % in Q3 FY'25 and 5.59 % in Q4 FY'24. The reduction in the dependence of bulk deposits and replace with Retail deposit at card rates and the CASA buildup, we should see this improving further as you go forward. So, and of course, we will have to reprice our deposits based on the interest r ates scenario in the country.

The credit cost stands at the lowest that this bank has achieved in the past . It was .05% for Q4 as against 0.12% for Q3 and 0.2% in Q4 of FY'24. The total credit cost for the entire year FY'25 stands at 0.37% as again st 0.84% as you know in the previous year . With this continued focus on slippages, the credit cost should remain in the target and at about 0.5 % for the entire Financial Year '26.
Cost-to-income ratio, this is something which is temporarily blips because of t he investments as well as the infrastructure that we are building on the Retail side, and the cost to income ratio stood at 60.11%. But if we exclude the impact of the additional one -time provisioning for actuarial assumptions, as I said earlier for Retail benefits, the adjusted cost to income ratio for the year would stand at 58.3%. Various cost rationalization efforts, including renegotiating rentals, vendor commercials and keeping operating expenses under check are happening. So, with the strategies to i ncrease NII and NIM , and through our advanced deposit strategies, the bank cost to income should come down to about 55 % by the end of this Financial Year FY '26.
The ROE stands at 11.1 % compared to 13.71 % of the previous year. ROA stands at 1.05 % versus 1.19% in FY '24. We expect the RO A and ROE in FY'26 supported by continuous accretion in the higher yielding RAM segment and movement from bulk into Retail deposit leading to improvement in NII and correspondingly the improvement in PAT. And we are hopeful that there is an improvement in both these

parameters.
The capital adequacy ratio, CRA R, stands highest in recent times for the bank. It's 19.85 % and tier one is 18.35%. This includes plo ughing back of the profits for the entire year. And tier two stands at 1.5 % in comparison to 17.64 % the previous quarter and 18 % for the previous year. So to summarize, the bank is quite comfortable when it comes to capital adequacy, LCR, the PCR and also the quality of the book which is both the restructured as well as the GNP and NNPA is concerned. So, the bank is focusing on growth and including some compliance measures and making sure that we are regulatory in full compliance control wise and also making sure that we have a very clear articulated growth strategy in each of the segments that we are in.
So, on that note, I would like to conclude and thank you all for the support. And I thank all of the senior management team who have rallied behind us to perform for the Financial Year ended '25 and looking forward to a promising growth in FY '26.

Thank you, Sagar. And now you may open the floor for questions .
Moderator: Thank you. We will now begin the question and answer session. Our first question comes from the line of Priyank Chheda from Val lum Capital . Please go ahead .
Priyank Chheda: Sir, there is delay in filing of investors presentation , which I understand that that it would have been much many more agenda points on the board . Maybe this call got reschedule d, we could have a schedule this for tomorrow . As an investor analyst we would require some time before coming out and thinking for the analysis of the result . It would be great if we shift this call on the next day whenever the board meeting is there. So that is one feedback. Second, on the implementation of the disclosures, I must congratulate bank that and the bank has implemented a lot of changes in terms of disclosures. One important change on the advance is breakup. On the slide #21, doesn't match quarter -on-quarter if one has to match up kind of a breakup that we would give on the sectoral front for the December versus say March. It doesn't match also doesn't matches with the slide #20 if I have to dissect how much of the Retail book is within the Agri, the disclosure on the gold loan within the Agri is not there on the slide. I would request bank to consider this with respect to the advances and for once give a 4-5 or 6 quarter comparable numbers, it would be really helpful for the analyst to plug in when it comes to on t he Excel sheets. So that's a second thing.
So I'll now start on the questions. My question is on the first on the liability side. We have garnered Rs. 3,000 crores of extra CASA quarter -on-quarter. But why this is not reflecting when it comes to cost of funds actually that have gone up. Why doesn't that reflect when it comes to cost of deposits while we have garnered more granular deposits , cost of deposits have also gone up. So please help me in dissecting this extra CASA while the cost has gone up ?
Srikrishnan H : Thank you so much , Priyank , for all the f eedback . Your continuous feedback has only improved our investor presentation and disclosures. We have taken the feedback related to this Agri and the break up that is the gold breakup , etc. we will do the RBI classification as well as the sector of classification . But just to let you know that you know the total accretion as far as CASA is concerned was Rs. 2,000 crores. It was not 3,000 crores per quarter , it was 2,000 crores for the entire year. The second is that Retail deposit, you're right that we've been growing the Retail deposit. But the Retail deposit also last year, it was not , up to February until the rate cut happen ed, it was quite tough in the market and all banks are offering 7.5 to 8 . In fact, we are perhaps one of the lowest, but because the relationship and

the loyalty that our customers have
with us, we've been still able to grow even with rates which were lower than the market . Having said that , we have stayed competitive and this year what we are doing is that , after the two rate cuts we have made some changes as far as the deposit overall offering is concerned both in terms of the tenor and in terms of offering value . So earlier whatever that we were doing for 375 days if they wan t to renew , they renew for a higher rate, but for a higher tenure. And this is a strategy that we have been adopting and it's actually played out well. So, we will see this impact as far as far as the lowering of the overall cost of funds, cost of deposit is concerned in this year only because all the changes that we have done, we made it towards the last year, but majority of the

last year, it was still at a higher level only. So, there's a lag always when it comes to the deposit pricing and the repricing. I hope I've explained that to you.

Priyank Chheda: Yes, it does explain. So, you mean that the changes that we have done should be visible going ahead in every quarter, right? Progressively we should see…

Srikrishnan H : Yes. Based on the 2 rate cuts, we h ave already done that for in fact, even prior to April, we have implemented the revised rates as far as the Retail term deposit is concern. So we will see that impact for this entire full year beginning this quarter itself.

Priyank Chheda: So would you want to call out how much would be the cost of funds benefit that we should think on a total deposit side?

Srikrishnan H : We are doing some study on that in terms of basis the maturity, because what happens is that there are various deposits tha t would have been taken for 375 days. And that is something that we will like to do that. So we'll come back to you on this Priya nk.

Priyank Chheda: Perfect. Coming to the on the asset side, I take note that there have been a lot of product launches that h ave happened at least on the Retail front, and we have grown at 15 %. But when it comes to total book, would it be , how should we see when it comes to a total gross asset which have not grown the way we would have thought of? And actually , what's holding back in terms of growing the total assets , firing the SME engine itself, which is which has also not grown this quarter. Is it a recovery mechanism that are taking more time or is it a credit underwriting mechanism that is taking more time ? Help us underst and how should we think about asset growth after implementing lot of products what's holding back bank in terms of growing every quarter?

Srikrishnan H : So, Priyank, actually, as far as the Retail segment is concerned, we have set up this engine which includes the sales teams as well as the new leadership , etc., only about 6 months to 7 months. So the real impact on that would be felt only this year. Although the last year we have grown in absolute terms , the book accretion just on the RAM segment alone is as I said earlier more than Rs. 4,300 crores for the year. But the current running rate obviously the last two quarters have been much better than the first two quarters of the last year. So we are trying to improve that because of this infrastructure, the Retail asset center and so on. The second is that, from a strategic perspective, for us immediately, we want to actually deploy our funds into Retail portfolio and not much of the MSME because again, the rate sensitivities and also, so that's got nothing to do with recovery as you were mentioning. It was basically again a setup for the first phase of Retail asset center . We have taken on housing loan and the rest of the other Retail vehicle loans and so on and we will be taking on the MSME in this quarter only. So, there is a time lag . Now we also got a national head of MSME who work

s under our overall, General
Manager who's in charge of Retail the RAM segment So there is a lot of focus at a national level and as I said the RSM concept that we are bringing in would also play out only during this year because we just kind of started aligning the teams and making sure that there are the products , etc., One of the key initiatives that we will be taking up this year is to launch a MSME portal, which is a digita l channel for MSMEs. We are looking at some evaluation, but that's something

that would take at least about 2-3 quarters from now to, but we do have a budget which has been approved for setting up a MSME portal and we will probably have very clearly value -added features in the portal and it will be a mobile access.

Priyank Chheda: Yes, I hear that. Would it be possible to call out the inflection point or the inflection quarter after all the deployment of the backend that we have done? Would it be June quart er? Would it be September or December quarter is when the engine really fires, the flywheel really gets the impact. So, would it be possible to call out in terms of what is the timeline that we're looking at to look out the real results?

Srikrishnan H : So actually it is very difficult to callout quarter wise. All that I can tell you this is an ongoing journey. T he investment that we made and the enhancement that we made in the last year will play out this year. And this year's enhancement will play out by the end of this financial year

and the next full year. So that is how this whole process works. But I can only tell you that the H2 will be better than the H1 of this year. By then, most of whatever that we need to do in the RAM segment, we would have done. And in any case, as we have the net accretion of book of Rs. 4,300 crores , we are expecting much higher numbers in this financial.
Priyank Chheda: Perfect. I get that. Just a last question. Commendable job again on the asset quality and the recoveries, what I again not able to apprehend is 52 % of the restructure loans are housing and I'm sure these are secured. Why does it, what's holding up bank to get that into the normal structured book and get them out of the restructured book ?
Srikrishnan H : It is a 30% regulatory requirement in terms of the repayment that has to happen and this is true of any classification of the loan . So, one year of satisfactory performance and up to 30 % of repayment has to happen . So it will all happen as they kind of complete this because this is all basis COVID restructuring and other restructuring that we have done , but the good news is that out of the total more than 50 % of the overall restructured book comprises of granular and h ousing and also standard and it has been in restructured only because of the fact that they have not met these two regulatory stipulations.
Priyank Chheda: One last just data keeping question , the amount that you called out for the provisioning of the empl oyee cost around Rs. 113 crores. How much of that was done in Q4 or was it only done in Q4?
Srikrishnan H : It was done only in Q4. So, when it comes to absolute cost of employee expenses when I look out on the adjusted basis around Rs. 1400 crores for the full year, how should we look when it comes to FY '26? Would it be a normal salary inflation that would come up or is there something else would? It will stabilize at this level because but for some impact due to maybe the yield on this actuarial basis , etc., there will not be anything . But from now it will be normal, fundamentally because normal salary increases which we will have to provision for which is basis IBA or other increases is what we will be providing for. And I think most of whatever that we needed to do has already been done. We could look at potentially increasing the pension

salary escalation rate also to 5 % as you go forward, but right now the bank will not make that call.
Priyank Chheda: Got it. I have few more data keeping questions. I'll come back in the queue . Thank you.
Srikrishnan H : Thank you so much for your support.
Moderator: Thank you. Our next question comes from the line of Satyan Wadhwa from Profusion Investment Advisors. Plea se go ahead.
Srikrishnan H : Good evening, Satyan.
Satyan Wadhwa: Good evening. So my question was again in terms of just our personnel cost, what is the real personnel cost that we should expect in FY '26? That Rs. 113 crore was a one-off, but what is the actual increase or what would you be sort of estimating for FY '26?
Srikrishnan H : So our current year, our overall establishment cost is about Rs. 1,500 plus crores. Out of that, the salary is about 1,182 and 355 is superannuation benefits. Compared to the last year, the superannuation benefits, it has increased and also the salary has increased. This is basically the normal salary increase that we will do from now. So we believe that, let us say that, on the last year basis, the salary has increased by about Rs. 150 crores and the retirement benefits by about approximately Rs. 50 odd crores . So Rs. 200 crores could be a potential increase that you see because all inves tments related to lateral hiring leadership as well as the overall staffing the regular increases , the manpower budget , etc. , have been done last year. Last year, w e have recruited close to about you 400 plus people and this year again, we will be recruiti ng, this includes both professional officers as well as the clerical staff and this year also we would perhaps we're doing another about similar or maybe about 20 % 30% more than that so this is something which is an ongoing exercise and we believe that for the new branches and for all of the backfilling that we need to do for our internal guys who will take on higher positions for promotions , etc., we believe that we have provided for and it will all be within the same number that I mentioned.
Satyan Wadhw a: So 1,600 to 1 ,650 would be a reasonable estimate, right? For F Y'26?
Srikrishnan H : 1,700 you should take because 1 ,538 plus 150 plus 50 is what I said.
Satyan Wadhwa : Okay. I was reducing the Rs. 100 crores out of that also. Okay. Fair enough. And what is the sort of ROE bump up one should expect for FY'26 and FY'27, what is the bank sort of looking to achieve?
Srikrishnan H : From a ROE perspective, fundamentally because of the capital that we have raised and also the fact that our capital adequacy has been really high , so we need to sweat it out and also put in the assets which from a risk weighted perspective is also consuming capital. So this is something which the bank is well placed for as far as this year is concerned. And so this is one of the key

initiatives here. And we believe that our ROA and ROE guidance, whatever that we have said earlier, which is at 12% to 14 % is what we have said as far as ROE is concerned. And our ROA currently, whatever it is, from there we believe that 1.1 % to 1.2 % is what we will see as well as the overall ROA is concerned. Fundamentally, the 10 to 20 bps of our increase in the yield and the NIM and also the fact that other income, including treasury income, etc., has been on the rise. All that will contribute to this. So we are quite confident on the RO A pulling it back to about 1.1 % to 1.2 % as we go forward. So that has been the guidance. We already published this in the investor report.
Satyan Wadhwa : Okay , great. Thank you.
Srikrishnan H : Thank you so much. you.
Mode rator: Thank you. Our next question comes from the line of Saket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Yes, namaskar sir . And firstly, th

ank you for this opportunity. Sir, i f you could just outline to us about the employee cost part of the line item, what are the one -off for this quarter and what should we be penciling in terms of a quarterly run rate going ahead, sir ?
Srikrishnan H : So as I mentioned to the previous participant that the total that we have had as far as the employee cost is concerned the one -time actuarial estimates were closer to Rs. 113 crores comprising of a change in our accounting policy on the salary escalation rate for PL, gratuity and sick leave that was increased from current 4 % to 5% for the entire year and w e provided that in the last quarter only. There was also a n actuarial adjustment based on the yield that also was about Rs. 30 crores. So Rs. 113 crores pre -tax is what we were hit with and but that's one time . But our overall cost as far as the personal c ost is involved is stabilized and as I said to the earlier participant that it will stabilize at that level and will continue to be there. So as far as the new financial year is concerned , I think all the investment that are required barring the 400-500-600 people that we need to recruit this year which will be done but that will be at probationary officer level or at the entry level on the clerical side. So technically we are all really well placed as far as the HR cost is concerned.
Saket Kapoor : So sir, can you be penciling in any number sir? I think so 1 ,550 was the number for this Financial Year. On a quarterly run rate or an annualized basis, what should we be employees cost going ahead ?
Srikrishnan H : We will close out the year including retiral benefit at about Rs. 1,700 crores.
Saket Kapoor : Okay, now coming to , you said that the new interest regime, I think so that that's going to be safe going ahead. And as you mentioned also earlier, that RBI may be taking the decision to lower the re po rate again in its meet . So taking that into account , what you are factoring that the coming rate cut in your NIMs guidance or we will be having a different number going ahead? What have you factored in that?

Srikrishnan H : Our NIM guidance, we have said that we would be between 3.2 % to 3.4 % for this new Financial Year.. But having said that, one of the key things and unique features in our portfolio on the asset side is that more than 50 % of our portfolios EBRL based and these are actually T bills based and if I add the overall RAM segment also , up to 70 % is actually on EBLR T - bills base . Now the T bills rate has more or less stabilized due to the rate cuts and the further reduction from our Treasury our house view and from our external economist views is that repo will come down but T bills will kind of maintain a level as to where it is , it won't come down as much as repo from now So in the falling interest rates scenario, we are in an advantageous position as far as the bank is concerned for almost li ke 70% of our book is concerned. The other is that if you look through the balance, the floating rate and the rest of the other repricing that we need to do as far as the corporate assets are concerned here again , we have the ability to repri ce them on a quarterly basis. So we will be in a position to repri ce the assets. So our asset strategy and basically the advanced strategy based on the movement in MCLR, EBLR for the last one year, I think we got our calls right. And we believe that, we have made the ri ght call for the future also.
Saket Kapoor : So sir, lastly sir, what should be expected in the growth in NIMs for the current financial year sir?
Srikrishnan H : It will be in the range of 3.2 to 3.4.
Saket Kapoor : No, I'm talking about the net interest income in terms of percentage growth , margin you have mentioned, the total NII?
Srikrishnan H : In terms of NII growth , I think what will happen is that becau

se of the rate cut, which is coming
up and the impact which will happen. So our own belief is that, the NII per se will not really have much impact and it will more or less stabilize at the same level. But the real benefit will be seen in the cost to deposits and the cost of funds which will come down. So as a result, the improvement to NIM will happen. And we believe that, overall the other income will also be a good opportunity for the bank, both in the falling rate scenario from a treasury perspective where the bank has a book which is basically the excess SLR book and so on. So on that basis, we believe that while there will be an improvement to NIM, NII will be stable and cost of funds will come down. And as a result, there will be a NIM impact positively of about 10 to 20 bps.

Saket Kapoor : Okay. And last point will be sir on the advances part I think we have guided for a 1 lakh crore number. So, we are on the path for the trajectory , I think so this year it was closer to Rs. 78,000 crore.

Srikrishnan H : What we had said was that in March of '23, actually June of '23 not even March, June of '23 is when we said that we will aspire to become one lakh crores . Going by the same way currently at 78 . This year was a little bit of a slowdown not only for us but for the entire market because the credit growth in the market had come down because of the low G DP geopolitical factors and so on . But it also happened that there's a churn in the portfolio , so the same portfolio which we had put up a lot of one time I would say assets , which are again better than treasury yields but

again low yield advances which we are replacing with direct to corporate and Retail advances. So as a result while the book growth may not be seen there is a churn in the advances portfolio which results in higher profitability. Having said that our target would be to achieve closer to Rs. 90,000 crores as of this financial year end. The book and also we would have one more quarter where you know we could probably go closer to the Rs. 100,000 crore. So I think Rs. 100,000 crore may not be a reality in this financial year itself, but we'll go closer to that and the next Financial Year we'll be achieving that.

Saket Kapoor : Okay, thank you for all the responses. In your press release also, one point was mentioned about we growing our corporate book going ahead. So can you allude more to it? What is the current percentage of our advances and what are we eyeing in terms of the corporate -facing part of our loan book going ahead ? That's last question.

Srikrishnan H : So what happens is that, if you look at our book, our book essentially comprises of close to 70% on granular which is essentially 50 % of Retail and about 16 % to 18 % is all the MSME and SME s and all that . The balance is where the corporate book is where it is divided into mid corporates and large corporates S o there will be a reduction in the large corporate and the NB FC lending which we have shown a significant decline this year . Replace d by direct to corporate which again will be mid corporate and large corporate, but these are not the PSU corporate which ar e opportunistic lending . These are direct lending to corporate where there is a relationship, account planning and a cross -sell and an opportunity to do other business also. So as a result, we believe that the overall growth will be there and also the account income per customer will also grow. And which is why we have a zonal coverage team and we have a national general manager for corporate and mid -corporate advances. And there's a support group which we have set up which is basically the Credit Under writing Teams under the leadership of GM Credit Sanctions. And this is a very powerful team. There are three groups within that which is doing. So basically we have enhanced our credit underwriting

skills, our ability in terms of outreach , and also acquiri ng
customers and where there is also a churn in the portfolio. So this is how the whole book will work. The balance 30% would be the mid corporate book.

Saket Kapoor : Right, sir. Thank you for all the answers and the only point was that , the lowering of dividend sir, I think so for your investing community what message are you conveying there by although it is by 10 %, but why have the board looked at Rs. 5 as a payout which is even lower than last year?

Srikrishnan H: See, I think, it is a growth story right now. And we had done 5.5 last year, fundamentally, which was the centenary year of the bank. And that was like a one time that we had done. But 5 is a number that we have been consistently doing for the past few years and we have gone back to that. So this dividend is definitely very important for all our valued Retail , as well as institutional shareholders. But I think investors have to look through this as a growth story where we are really trying to change the bank into a powerful kind of a brand , involving investments in technology, infrastructure, digital, sales, and distribution network. So this is where we are still,

we have gotten to an investment mode in this transformation exercise. So this will take, I mean, this is like a curve that takes time to really get to the next level.

Saket Kapoor : Thank you, sir. And all the best to the team.
Srikrishnan H: Thank you for your best wishes.
Moderator: Thank you. Our next question comes from the line of Harshvardhan Agarwal from Bandhan AMC. Please go ahead.
Harshvardhan Agarwal: Hi, sir. Thanks for the opportunity. So just 2 questions. Hi sir, just 2 questions. Just wanted to understand what's the guidance for the adv ances growth for the next ye ar?
Srikrishnan H: There will be a growth with a churn. So while absolute terms, the growth will be around 14%, but the net growth in the advances would be about 18 % to 19 % because of the fact that we are putting on new assets. But the overall growth in th e book would be about 11 % to 12 %.
Harshvardhan Agarwal: Okay, so what you are saying is probably we will end the next Financial Year at around Rs. 85,000 crores of advances , is that?
Srikrishnan H: More, we will be much more than that. We will be closer to Rs. 90,000 crores.
Harshvardhan Agarwal: Okay, so that's around 18 % loan book growth. Fair enough. And sir just wanted to understand in one of the previous participants ' question, you mentioned that your net interest income on an absolute basis will re main flat for the next year. Is that what you meant? Probably I just want to clarify that.
Srikrishnan H: So it's very difficult to give guidance on this at this stage, Harsh vardhan . So which is why we would desist from doing that.
Harshvardhan Agarwal: Just wanted to understand because I think that is what you sort of mentioned in one of the previous participants' questions.
Srikrishnan H: What is your exact question, Harshvardhan?
Harshvardhan Agarwal: So I just wanted to understand this net interest in come next year..
Srikrishnan H: It is v ery difficult because one is that the rates are coming down. So obviously, we have the NII which will more or less kind of remain flat. The reason that why our bank will remain flat while the couple of banks who have repo based or market them in CLR based portfolio which are higher that will come down even faster in our case it will be at least stable. So that is the difference number one. Second is that while NII could remain flat or more or less there , but the real difference would be the cost of funds because deposit interest rates would come down also.

The growth in book will have a yield which will be higher in terms of the NII. But I am

saying
that as a percentage or the overall margin on our overall book would mo re or less be the same.
Harshvardhan Agarwal: Fair. And sir, just one last quick question. Where we are seeing at around our advances growth will be 18 % roundabout for the full year. Is this contingent on a system growing at a specific rate or this is irre spective of what the system grows and will be at around 18 %?
Srikrishnan H: No. We have assumed obviously the system, the GDP at current levels and in fact from now on looking up rather than looking down. So that is a n assumption that we have made. But the last year when we were all planning exercise the same time or a little before this time last the previous for the previous year, we were all looking at GDP growth, but it actually has come down. So we hope that that doesn't happen this year. So that is a fundamental premise on which we are doing. But other than that in terms of the percentage is what I'm talking about, whereby irrespective of whatever happens while we might grow the book which will be like more than 18 %, 17%- 18% but the net book growth wo uld be about 14 % that is what we are looking at because of the churn that we are talking about because we also have some assets which are blocked like interbank part of the IBPCs and all that , so which we want to kind of know really move away from.
Moderat or: Thank you. Our next question comes from the line of Rishikesh from Robo Capital. Please go ahead.
Rishikesh: Thank you for the opportunity. So my question is, could you indicate what sort of cred it cost are we looking for in FY'26 and FY'27?
Srikrishnan H: So credit cost, the overall outlook for the year next year would be the same as this year which is more or less about , let us say that below 0 .5%.
Rishikesh: And also one question similar to what the earlier participant had asked. So, although we are saying that our loan book will increase from Rs. 78,000 crores to closer to Rs. 90,000 crores, are we saying that our NII will be flat?
Srikrishnan H: No. See, what happens is that, NII will increase marginally because of the fact that in a falling interest rate scenario, now there is a repricing that happened because I told you that approximately 70 % of our book is EBLR T -bill based. While the T -bill might not have a huge impact because it is already kind of stabilized and it won't fall further from what it is as much as how a repo will fall, it will fall. So as a result what happens is that the NII even on an enhanced book at least if you are maintaining at the same level itself is a big achievement in this market. However, corresponding position on the dep osit side is beneficial for us because the cost of deposit which we have already done on e repricing already and basis the next couple of rate cuts as and when they happen , we will be able to reprice this but of course there is always a lag

between the asse t side and the deposit side , but we already achieved the first phase and we believe that we will be able to do this in the second phase of the rate cuts that are projected. But these are all again estimation. The second part is that even if you reduce for the deposit the book to really the transmission to happen, that takes time because there is always a lag. The fact that

some deposits, the most deposits are 365 to 375 days. So then what happens is that only about 50% of the book would get impacted and the balance 50 % takes time. So that is a continuous exercise in that.

Rishikesh: Okay, thank you very much.

Srikrishnan H: Thank you so much.

Moderator: Thank you. The next question comes from the line of Yashvanth T. who's a Retail investor. Please go ahead.

Srikrishnan H: Good evening Mr. Yashwant.

Yashvanth T. : Yes, hi, Sri krishnan . I mean from the earlier call, I mean the caller, who has raised the question

with respect to employee expenses. So, for which you have guided that it would be like around Rs. 1,700 crores for the next Financial Year. So, considering that , looking at the loan advances, so we are churning out large corporate advances so that we can increase on the Retail front, right? So, on expenses side, we know that we are clearly seeing that it is going to grow up like maybe about 10 %, 15% from here on.

Srikrishnan H: On employee expenses, yes.

Yashvanth T. : Yes. So considering if we don't grow our book, how do we expect that the probability of the bank would go high. I mean, if we keep churning large corporate advances and then trying to increase the Retail . So, I mean, my point is how long we intended to do this in order to maintain this asset quality , I mean, do you foresee any timeline wherein you can say that, we are done with this c hurning and then we will be all good and then we will be increasing the book size ?

Srikrishnan H: Yashwant, this is a very complex thing. Let me make it simple for you. As far as the expenses are concerned, the expenses are a function of number of branches that we increase in terms of the staffing and also anything which is to be invested for any new businesses and so on. Now as far as the bank is concerned, we have done, I would say, of the investments in terms of the leadership and also everything related to the sales teams. Now the sales teams will further be augmented as we go forward, but they are all business teams and obviously, the cost whether it is through the DSA or through direct sales teams deployed by the bank . They are all obviously on a varia ble pay basis and the lesser of a fixed. So that way it is all more or less success based . The second part is that so while the employee expenses might look at a 15 % rise as you rightly said, but the real part is that as far as the overall income stream is concerned. Now, we are trying to grow the book on the asset side through Retail , Agri, Mid-Market , and mid -cost rate, where the yields are going to be much higher than what we are actually getting in our current book, and that is a churn . The second is th e new book which is getting into the bank through the accretion. That also will be at a rate which will be higher than what our overall cost of funds is. So the margin is something which is going to improve. That is the first part. The second part is that the deposit side automatically will come down in terms of the cost of funds and that is because of

the fact that everything there is a lag and as far as the overall pricing and repricing , etc. , between the asset side and the deposit side , each one takes a different route. But absolute amount, this particular value will increase and this is how the overall profitability of the bank also increases as it reflected this year. So compared to the last year on a book which is grown, but including the churn from Rs. 1,306 crores, we actually have made equivalent to Rs. 1,470 crores almost. And the reason is that we cannot recognize the treasury income because of the regulatory changes that have happened compared to the previous year. So we do have profitability intact. And the profitability increases as we go forward. And next year, of course, from a comparative basis, we will not have this treasury income to be called out separately etc., because the whole year itself, we have not been able to take treasury income. And this year also, we will not take it at all. So this whole thing is a very simple mechanism where the net interest margin, the other income on account of treasury, everything related to other income on fees, commissions and exchanges, etc., all of that contribute on the income side. And the expenses are more or less stabilizing now. And we believe that all the investments in technology scaling up, capacity buildi

ng, operational part, national back office, all those investments have been made. Trust I have answered your question.
Yashvanth T. : Yes, I will probably drop an email on that. So my question on the next part is, I was looking at the report generated by the Chartered Accountants. So I see that emphasis of a matter which has noted that there was a Whole -Time D irector who has used his delegated powers and then incurred some expenses and which was not ratified by the board. So can you explain or can you give some more informati on with r espect to that please?
Srikrishnan H: It's a very simple matter. The amounts are very insignificant, but it's just the governance part, the bank had to take this into account. If there is anything which is incurred beyond the delegated authority, obviously there are explanations and making sure that those are either ratified or we will have to kind of make sure that the bank has a very conclusive part related to that , so that has been done and which is why it is a simple matter which is an emphasis of matter , which is normal and the amounts are not at all large .
Moderator: Yashwant sir, due to paucity of the time, we would take that as the last question for today.
Yashvanth T. : I have a follow up question. I am just giving more information with respect to the process that has to be in place. I re quest you to allow me a minute.
Srikrishnan H: Yes, go on Yashwant, your question will be answered.
Yashvanth T. : Thanks Srikrishnan. So I understand that the amount is not that major. Rather, I am more focused with respect to the process. So as we understand that we should not have this kind of similar kind of situation going forward, do we have the process in place? That's my question.
Srikrishnan H: Yes, we do have a policy and process , etc. , but there was some kind of , I would say , interpretation al or ambiguity in the policy, which has been corrected already. And we will ensure the same so that it doesn't happen again.

Yashvanth T. : Okay. Thanks, Srikrishnan.
Srikrishnan H: Thank you so much. Sagar, back to you.
Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to turn the conference over to Mr. Srikrishnan H sir for closing comments.
Srikrishnan H: I wish to thank all the participant s today for the very insightful questions. And we hope that we have answered everything. Thank you for staying up late. And I apologize once again for a delayed start. And also, we have taken note of the feedback of some suggestions that have come, whethe r to hold the investor / analyst conference call the next day or not , we will evaluate that. And thank you so much. H ave a good evening, all of you. I thank my management team who has been present and rallying behind us.
Moderator: Thank you. On behalf of Karnataka Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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Madam / Dear Sir ,

Sub: Transcript of Q 1FY26 Earnings Audio Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts / institutional investors audio conference call held on Wednesday , August 1 3, 2025 , on the unaudited , reviewed Standalone & Consolidated financial r esults of the Bank for the quarter ended June 30, 2025 .
The same is also made available on the Bank's website under the following web link: https://karnatakabank.com/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Raghavendra S Bhat
Managing Director & CEO

"Karnataka Bank Limited Q1 FY '26 Earnings
Conference Call "

August 13, 2025

MANAGEMENT : MR. RAGHAVENDRA S. BHAT - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER - KARNATAKA BANK
LIMITED , ACCOMPANIED BY HIS S ENIOR MANAGEMENT
TEAM
CHORus ♦c LLl':l'

Moderator : Ladies and gentlemen , good day, and welcome to the Karnataka Bank Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conf erence is being recorded.

I now hand the conference over to the Managing Director and CEO, Mr. Raghavendra S . Bhat from Karnataka Bank , who is on the line along with his top management team. Thank you , and over to you, sir.

Raghavendra S. Bhat: Thank you. Good morning to all , and a very warm welcome to our Earnings Call for Q1 of FY '26.

Based on the feedback from last quarter's Earnings Call, we have decided to shift the timing of our earnings calls. This was done in a bid to provide sufficient time for our investors to go through our financial results and investor presentation, both of which have been uploaded post the conclusion of our Board meeting yesterday.

On a more personal note, after having spent more than 38 years across multiple divisions at Karnataka Bank, I have been given the opportunity of a second inning to lead the Bank in unlocking the immense potential that this organization has. Hence, it gives me great pleasure to participate in this Earnings Call to convey our vision for the future of the Bank and interact with you all who are one of the most important stakeholders in the growth of this organization.

As many of you would be aware, the 1st Qua rter of FY '26 has been a period of significant transitions for the Bank . We have tackled multiple challenges during the quarter, the learnings from which will serve as a foundation to enable the long -term sustainable growth journey for the Bank .

Our mission and vision remain clear and unchanged as we continue to pursue with renewed vigor our commitment to discipline , growth, operational excellence and strategic execution in line with our long-term objectives.

Let me present the business highlights.

Aggregate business of the Bank stood at Rs. 1,77,509 crores , marginally up by 1.1% on a year -on-year basis as against Rs. 1,75,535 crores in June 2024 .

Profit after tax Q1 FY '26, PAT of Rs. 292.40 crores as against Rs. 252.37 crores in Q4 of FY '25, quarter -on-quarter increase of 15.8%. Y-o-Y, there is a decrease in PAT from that of Rs. 400.33 crores in Q1 FY '25. However, it should be noted that in Q1 FY '25 last year, the Bank had received an interest income of Rs. 81.32 crores on tax refund , because of which it is not directly comparable.

Further, in line with the Bank 's commitment to increase PCR, the Bank has continued making accelerated provisioning. Gross advances stood a t Rs. 74,267.02 crores as on 30th June 2025, reflecting a Y-o-Y de-growth of 1.6% from Rs. 75,455 crores as on 30th June 2024.

Our overall strategy is to continue to focus on growing Retail, Agri and MSME, where the growth was led by Retail, Housing and gold loan portfolio with a net book accretion of Rs. 2,327 crores Y-o-Y in the RAM segment.

The Bank has been committed to reducing its exposure to low -yielding large /mid corporates that were opportunistically deployed for better yields than T reasury.

As conveyed during previous calls, we have started replacing the IBPC book with higher -yielding loans. Around Rs. 500 crores of IBPC advances have been replaced in Q1 , in addition to the reduction in NBFC portfolio already initiated during the previous quarters.

On a Q-o-Q basis, retail advances in Q1 FY '26 have grown marginally, while mid -corporate and large -corporate advances have degrown by 3% and 15% respectively. As we move forward, the strategy would be to accelerate retail growth , while also stabilizing our mid -corporate and large -corporate portfolio with good quality and better yielding loans.

Aggregate deposits, Rs. 1,03,242.17 crores as on June 2025, reflecting a Y-o-Y growth of 3.16% over June 2024 from Rs. 1, 00,079.88 crores. CASA deposits stand at 30.84% of aggregate deposits

as against 30.51% in June 2024. It is to be noted that in absolute terms , our CASA deposits have grown 4.28% Y -o-Y over June 2024.
CASA accretion remains a focal point for us , and the Bank has come up with focused strategies to further improve CASA build -up during the year. The Bank has continued to focus on shifting high - cost bulk deposits to granular and retail deposits of less than Rs. 3 crores.
Bulk deposits as a percentage of total deposits have come down from 6.6% as on 31st March 2025 to 5.4% as on 30th June 2025. Similarly , bulk deposits as a percentage of term deposits have come down from 9.7% as on 31st March 2025 to 7.9% as on 30th June 2025. As the Bank has excess liquidity and considering the CRR cu t, the Bank 's strategy will be to restrain itself from accepting costly bulk deposits. The majority are renewed at ALCO card rates to re in in the cost of deposits.
To summarize - while overall aggregate deposit growth has been muted, we have seen significant movement from bulk deposits to granular deposits. Retail term deposits, that is , less than Rs. 3 crores, have seen a significant jump from Rs. 60,134 crores as on June 202 4 to Rs. 65,786 crores as at the end of the previous quarter. Net year -on-year accretion is Rs. 5,652 crores.
Our focused new product development and launches continue to be on track to fill in some remaining gaps in our product offerings.

Launches planned in the coming quarters : EMI-based loan offering for gold loans , pre -approved personal loans for salaried and self -employed , surrogate -based lending for retail and MSME , supply chain finance and merchant payment app.
Net interest income is at Rs. 755.60 crores in Q1 of FY '26 as against Rs. 903.36 crores in Q1 FY '25. That is a de -growth of 16.36% and Rs. 780.68 crores in Q4 of FY '25, Q-o-Q de-growth of 3.21%.
While gross interest income has remained flat during this period, owing to a reduction in overa ll yields, the increased cost of funds and cost of deposits has put pressure on overall NII on a Y-o-Y basis.
However, both cost of funds and cost of deposits have started showing a Q-o-Q improvement on the back of a reduction in CASA , which we believe will improve even further in the coming quarters and help keep interest expenses in check. In conjunction with the added focus on improving the loan book, we should see an improvement in NI I during the second half of the year.
Net interest margin stood at 2.82% for Q1 FY '26 versus 3.54% in Q1 of FY '25 and 2.98% in Q4 of FY '25. The fall in NIM is mainly on account of the reduction of external loan benchmark rates driven by the repo rate cut to 5.5% from 6.5% a year ago. 70% of our loan book is EBLR -based, thus having an immediate impact on NIM levels.
We are expecting a bounce back of advances supported through our focus on co -lending and direct assignment, which should see us going back to the previous levels of around 3%. With the improved focus on higher yielding retail and direct -to-corporate advances combined with expected easing in cost of funds, we expect NIM to further improve by 10 basis points by the end of the year.
Loan Yields - as a result of

recent cuts in repo rates, owing to reduction in external benchmark rates,
partially offset by our changes in product mix, yield on advance for Q1 FY '26 stood at 9.28% as compared to 9.52% in Q1 of FY '25 and 9.43% in Q4 of FY '25.
As menti oned during the previous quarters, the Bank remains committed to its strategy of replacing the bulky opportunistic advances such as IBPC and some NBFC advances with direct -to-corporate and retail advances. Considering the potential churn to higher yielding segments, we expect to see an improvement of 20 to 30 basis points in the overall portfolio during the second half of the year.
CD ratio for the quarter stood at 71.93% as compared to 74.38% in March 2025 and 75.39% in June 2024.
Stressed Assets - Gross NPA percentage as on 30th June 2025 stood at 3.46% as against 3.54% in June 2024 and 3.08% in March 2025.
Net NPA percentage as on 30th June 2025 stood at 1.44% as against 1.66% in June 2024 and 1.31% in March 2025.

While we acknowledge there has been a slight hit to the asset quality on a Q-on-Q basis , we want to assure you that this is a temporary aberration and that the Bank has already initiated measures to control slippages and improve monitoring efficiency by intensifying regional collection centers .
While the gross NPA increased by Rs. 169.01 crores during the quarter, the Bank 's intensified focus on collections, especially on the retail front, has resulted in a post -quarter -end recovery of approximately Rs. 90 crores from accounts that has slipped into NPA during the quarter. These recoveries will be reflected in the results of the next quarter, and we should see improvement in the asset quality resuming again.

Gross slippages at 0.53% in Q1 FY '26 as against 0.59% in Q1 FY '25 and 0.34% in Q4 FY '25.
Recoveries for the quarter at Rs. 10 7.29 crores in Q1 FY '26 versus Rs. 133.12 crores in Q1 FY '25 and Rs. 173.91 crores in Q4 FY '25.
Standard Restructured Advances stood at Rs. 888.23 crores as on 30th June 2025 as compared to Rs. 994.77 crores as on 31st March 2025 and Rs. 1,395.25 crores as on 30th June 2024. This reflects a Q -on-Q improvement of 10.7% and Y-o-Y improvement of 36.3% in line with the Bank 's commitment to reducing restructured advances.
Provision coverage ratio, including technical write -offs at 81.11% in June 2025 compared to 81.42% in March 2025 and 77.97% in June 2024 , excluding technical rate of PCR improved to 59.18% as compared to 58.18% in March 2025, in line with the Bank 's commitment to improving PCR.
Liquidity coverage rati o as on 30th June 2025 at 200.7%, significantly improved from 162.5% as on 31st March 2025 and as against the statutory target requirement of 100%. Cost of funds stood at 5.77% in Q1 FY '26 compared to 5.83% in Q4 FY '25 and 5.57% in Q1 FY '25.
The sequential Q -o-Q improvement in cost of funds is expected to continue in the coming quarters as the benefit of the cut in repo rate material izes. This would be further supported by our continued endeavors to reduce the dependence on bulk deposits and repla ce them with retail deposit s at card rates and focus on CASA buildup .
Credit cost at 0.16% for Q1 FY '26 as against 0.05% in Q4 FY '25 and 0.11% in Q1 FY '2 5.
Cost-to-income : For the quarter ended 30th June 2025 , the cost-to-income ratio stood at 58.05% , showing considerable improvement as compared to Q4 and full -year FY '25 numbers of 68.98% and 60.11% respectively.
While operating expenses have remained stable Y-o-Y, we have seen a significant improvement on a Q-o-Q basis Rs. 646.67 crores in Q1 FY '26 as compared to Rs. 833.89 crores in Q4 FY ‘25. This comes as a result of multiple cost rationalization and monitoring initiatives undertaken by the Bank in a bi d to renegotiate rents and vendor commercials to keep operating expenses under check.
With a renewed focus on

increasing NI I and NIM through our advances and deposit strategies, the
Bank projects the cost-to-income ratio to come down to around 55% in the coming quarters.

Return on equity : Q1 FY ‘26 return on equity stood at 9.58% versus 8.56% in Q4 of FY ‘25.
Return on assets : Q1 FY ‘26 return on assets stood at 0.97% versus 0.81% in Q4 FY ‘25. We expect to end FY ‘2 6 with an ROA between 1.1 % to 1.2%.
We expect improvement in ROA and ROE in the com ing quarters in FY ‘26 supported by accretion in the higher -yielding RAM segment and movement from bulk to retail deposits , leading to improvement in NI I, an increase in other income and consequent improvement in profit after tax .
CRAR stood at 20.46% as on 30th June 2025 in comparison to 19.85% as on 31st March 2025 , both Tier-1 and Tier-2 put together.
This covers most of the key financial metrics of the Bank . While this has been a mixed quarter in terms of financial performance, I w ould like to reiterate that we are well -positioned and prepared to bounce back. The Bank 's fundamentals remain strong and our commitment to transparency, customer service and ethical governance remains unwavering. These will continue to be the core values and foundation for the future growth of the organization.
I would now like to hand over the call to the moderator for any questions and feedback from our callers that we would be glad to take. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Priyank from Vallum Capital . Please go ahead.
Priyank: Hi, team. Thank you for the opportunity and for a very good performance in such challenging times. So, my question first is on , of course , with the given leadership transition that we are witnessing , and I am glad to see the long -term targets remaining intact , what are the near -term key targets that Bank looks to further change or implement for a betterment of good , say, that there may be some differences in terms of the earlier leadership versus the current leader ship? What are the key operating KPIs that the Board would be judging going ahead or targeting in the near term ?
Raghavendra S. Bhat: Now , as far as growth is concerned , no doubt about it , we had some tough times . We have to face the
tough times ahead . Also , the key focused areas will be Growth in advances is the prime objective of mine and my team and growth in CASA; these are the two main areas which we are focusing on and since it is already August, I don't want to change any annual action plans at th is juncture. But wherever corrections are required in between , we will definitely review them , and we will come back.
Priyank: My second question is on the cost of deposits in the era where the large private banks have increased their minimum balances on the SA . The large private banks and including public sector banks , have cut down their deposit rates. What is stopping us from cutting down a few deposit rates , given that we already have a liquidity surplus ?
The core P&L that I understand is the issue o f NIMs . Other than that, I think we have performed very

well. How do we plan to address this, the falling NIM s? It can be via deposits or via yield . What would be the strategy for the Bank ?

Raghavendra S. Bhat: Yes, in the last ALCO meeting , we had deliberated in length on how to bring down the cost. We have to increase our ultimately spread and income. Ultimately , that matters a lot. After much deliberation , we have reduced the rate of interest on deposits , and we have planned for growth in CASA . These are the two important areas.

ALCO, of course , no doubt monthly mandatory meeting we need to have . In addition to that , whenever a correction is required , depending upon the market situation , we want to focus on that also and cost control is one of our important aspect s. I assure you that one is cost control . The o ther one is an improvement in CASA , and we are focusing on it.

Secondly, to increase the income , the priority , as I already highlighted , there is a de -growth in advances . We have to focus on ensuring the growth in RAM . That is Retail, Agriculture and MSME . That is the focus area . Ultimately, cost control , as you rightly said , is definitely on our target .

Priyank: Sir, actually , I was alluding for the cost of deposits in the retail term deposits given that we have such a high granular deposit base and when there is so much of surplus liquidity available in the wholesale market , at the times when large banks have undertaken deposi t rate cuts on the fixed deposits , what are the plans for Karnataka Bank on that front ? And given whatever the deposit , given the strategy , now how should we look for NIM s quarter -on-quarter going ahead for rest of the year? Should we end the full year in the guided range of 3 , 3.5?

Raghavendra S. Bhat: Yes, that is what I mentioned earlier. In the last ALCO, we have reduced the rate of interest on term deposits , particularly for whatever bucket is required , which is affecting the cost of deposits. Number one.

Number two, the rate of interest on advances during the current year , we have already revised downward . and the focus is on the CASA base growth . As you rightly mentioned , other banks are focusing on that. We are also targeting the same with regard to the cost control method , reduction in rate of interest with regard to savings Bank , as well as term deposits , in two areas we have already done and as I mentioned earlier , in the future we will discuss in length in the ALCO and take necessary corrective action wherever required.

One more thing I want to add here. Your concern is very much right. The cost reduction in the rate of interest has already started showing in Q1 of this current year. There is a reduction in the cost of deposits. Definitely , we will move in that direction.

Regarding excess liquidity , as you said , it is definitely available in the system , but our focus area is to grow in quality advances , where we are progressing . I hope I have answered your question .

Priyank: Very well, very aptly you have answered. My last question before I come back in the queue is on the asset quality front. There are two books which historical legacy books that the Bank is holding up. One is a standard restructured portfolio of Rs. 888 crores and you have mentioned that 54% of the portfolio requires a 30% upgrade . So, when is that upgrade coming up? How should we look at that

book panning out for the next 9 months or for this year end? That is the first part , which is on the standard restructured book .

And the second part is on the technically written off book that we have close to around Rs. 3,000 crores , and that book has been written off . So, whatever income comes helps banks to reinvest in the growth engine . So, what are the measures that the Bank is undertaking to recover the accounts where we have technically written off?

Raghavendra S. Bhat: Yes, our efforts are continuously on with regard to the reduction in restructured advances , which you must have seen in the presentation slide given to you. It is at Rs. 888 crores , with continuous reduction for the past several quarters. We are focusing on that . We have further plan ned to reduce it to Rs. 700 crores from Rs. 888 crores.

Priyank: Sorry, you mentioned Rs. 700 crores in the coming quart er itself ?

Raghavendra S. Bhat: No, it would be annual from Rs. 888 crores , wherein there is a continuous reduction, if you see in the last 6 quarters .

Priyank: Yes, I have that figure in the presentation . I t is coming down , yes.

Raghavendra S. Bhat: It is coming down . There is an improvement and by March end , we have a definite target of bringing it down to Rs. 700 crores . In between , some are getting upgraded , some are getting closed , and also through whatever mechanism of recovery is available to us . Rs. 700 crores is the target we have kept . Whatever best is possible to recover further , we are at it .

Priyank: Perfect, and when it comes to the technically written off book ?

Raghavendra S. Bhat: Yes, technically written off balance , it was at Rs. ~3,000 crores and this quarter , the Bank is passing through various stages , which you are aware . I have taken over very recently . Our efforts will be on that during the 1st Quarter . If you compare to the previous quarter of last year , some figures may not speak well , but we are at it , which is expected recovery from this technical write -off. During the current quarter , that is Q2 , we have focused on Rs. 38 crores to Rs. 40 crores . That will happen in this quarter only , and ultimately , the efforts will be fu rther on to bring it down and it will add to the income.

Priyank: I will come back in the queue. Thank you for answering all the questions. Looking forward for your executions.

Moderator: The next question is from the line of Unmesh Kantilal Shah from Hanumant Holdings Private Limited. Please go ahead.

Unmesh Kantilal Shah: Good morning. Thank you very much , sir, for giving me an opportunity . Let me first welcome you to your new a vatar, and I am sure that now things will be smo othened out. We have under gone turbulence for the last quarter , as all of us know .

Sir, the 1st Quarter results are out , and what I see is that profit , no doubt , quarter -to-quarter has 15 % to 16% gone up to Rs. 292 crores, but year-on-year we find a lot of fall from Rs. 400 crores to Rs. 292 crores , almost 27% down . That is one of my concern s.

And second thing , when I see the NPAs, of course , you have a very eminent Board, you have eminent people , you are also very comfortable with the Bank , with so many years of experience . So, I have nothing to say about it , but then NPA s are far higher , net NPA , gross NPA , compared to the peer 's Bank , if you see . That is my one question .

And second thing , if you see the advances for this quarter have slightly fallen compared to the earlier one. So, my question is , how does the Bank plan to increase the credit uptake? What is the major strategy or driver for the same? Are you raising by Tier-1, Tier-2, or capital raised by QIP or other means? Can you j ust highlight this? I will be thankful to you , Sir.

Raghavendra S. Bhat: Yes, with regard to the reduction in net profit , we also have the same concerns about how to address that. But compared to Q1 of last year , one specific item of IT refund around Rs. 81.32 crores was there during Q1 of last year and of course , these are all reasons , ultimately net profit has gone down . That is a different issue , but there is one such item . It was Rs. 81.32 crores refund of IT is there. That is number one.

Number two , with regard to the NPA , you have a concern. We too also have the concern. Even my predecessors also and even my priority is also to control the NPA , recovery and controlling of stress . That is on e of the prime objective of the Bank and our team is working on it round the clock to see that wherever possible , recovery is made .

And if you see the NPA movement also , recovery is also there , but with regard to the addition to NPA , whatever we compare , more efforts on our end are still required , which we will definitely be putting in going forward . And after this first Q1 , there are major account s that were NPA and have been upgraded , that is , around Rs. 90 crores recovery has happened and efforts ar

e still on to recover more .

We have priorities depending upon the size, s ecurities available , and the borrowers , all these plans are there , meeting the borrowers by our recovery team . The recovery mechanism is very well in place , so we will make all our efforts to recover.

In my personal view and in my capacity as MD and CEO , I have seen that wherever book growth is happening , advances , both deposits and advances , growth is coming when cost is controlled , yield is very well planned , all the ratios will be good. As you also mentioned , since there is a de-growth in advances , all the ratios are rather not comparable , which here also it has happened .

The GNPA and NNP A, of course , depending upon various other factors of provisioning and all , GNPA is particularly when the advance size is good , there is a negative growth or de -growth compared to the March figure . That is why the percentage looks higher . We are at it , sir.

Unmesh Kantilal Shah: Sir, can I ask a question? Any plan to credit uplift in recent times, or do you still have to strategize it or raise funds like Tier-1 or Tier-2 or something like that to uplift the credit ?

Raghavendra S. Bhat: We have a good capital adequacy ratio. We do not have plans for raising additional capital right now , but as and when the book size increases or going forward , that will be planned properly at the appropriate time. What was your one more question?

Unmesh Kantilal Shah: This is a question only . The credit up take and are there any strategies which you already addressed it, I think.

Raghavendra S. Bhat: Yes, I have already mentioned , but yes , focus is on retail growth , RAM.
Unmesh Kantilal Shah: Retail growth.
Raghavendra S. Bhat: Retail, Agri and MSME . We are coming out with definite strategy is there . As I told you , I have taken over charge recently , and I have started initiating action . Wherever corrective action is required , I am on it.
Unmesh Kantilal Shah: Thank you very much , sir, and I think you addressed all of my questions , and we wish you best of luck. I am in Mumbai . Sometime if you come , we will like a personal one -to-one meeting also if possible in the busy schedule of yours . And I look forward to…
Raghavendra S. Bhat: Surely. I will be looking forward for all the cooperation from stakeholders also .
Unmesh Kantilal Shah: Yes, we look forward to any help , any whatever way we can , we are with you , and we look forward to work with you more and best wishes for your new a vatar, which you have taken over recently , and best wishes to you and the Bank and all the stakeholders.
Moderator: The next question is from the line of Mayan k Gupta, an individual investor. Please go ahead.
Mayank Gupta: Congratulation on being the Managing Director of the Bank . As the new Managing Director, going forward, what will be the key focus areas for the Bank ?
Raghavendra S. Bhat: Yes, I thank you. Good morning , Mayank . Thank you for your question. I have already highlighted rather my main focus is growth , quality growth , particularly growth in liability side CASA, asset side retail ,and MSM E. These are the fo cused area to have . One is on the liability side growth is to control cost. Other side is have better yield so that there is an improvement in the margin .
Mayank Gupta: That is it for the day.
Moderator: The next question is from the line of Yaswanth Thippeswamy , an individual investor. Please go ahead.
Yaswanth Thippeswamy: Hi, good morning , Raghavendra Bhat. Welcome back.

Raghavendra S. Bhat: Good morning. Thank you.
Yaswanth Thippeswamy: I mean , I understand that you worked with this Bank for quit e some time and now you understand the culture. I think it would be nice , I mean , I would rather not question wha

t has happened because you were not directly responsible for the last quarter's performance . Rather from the presentation that has been shared , I have a couple of questions .
So, one is with respect to the asset quality . So, I see that there is an addition of Rs. 400 crores , and I just wanted to know which are the sector or what are the number of accounts that contributed to this addition ? And also have you provided for this slippage ?
Raghavendra S. Bhat: Yes, that is main addition has come in MSME , housing and agriculture. These are the three areas which our team is already acting on it. Some have started upgrading also , and improvement is happening there . And I am quite confident whatever additions are there , we are at it for the recovery of that .
Upgradation and down -gradation very strictly happening through the system when it is slipped for whatever that last moment happens because of t he liquidity problem of borrower s. And for all these NPAs adequate provision has been made , that you are aware , where we have no choice . We have to do that . It is a regulatory requirement . We are doing that and no big-ticket advances are there . And I am telling you , it is in the pool . It is happening , and we are at it for the recovery .
Yaswanth Thippeswamy: And regarding the retail advances which we are going to focus on , I mean , the RAM sector as such ,
like the segment , so, I see that there is a run rat e of around Rs. 500 crores . And can we see any improvement in the future ? Because based on the calculations that I have done , as per the branch per month , we are able to do around Rs. 1.8 crores with 950 branches . So, do you see that there could be an improvement on this side going forward?
Raghavendra S. Bhat: Yes, definitely focus is , as I mentioned in my presentation , definitely our focus area is RAM , as I said to you. While growing also , a lot of things we need to take into account the precautions of the quality of the advances with regard to the sanction and follow -up also .
We have got around 950 plus branches . 953 branches across India. Even if I select around 700 , 800 branches , which are very potential for advances , at least per branch if I take into account Rs. 2 crores , Rs. 2.5 crores depending upon the potentiality and the geographical location , we can go on giving full support from the head office and controlling offices . Definitely it is possible to gro w.
And one thing I have seen after taking charge , some correct active action is required in between with regard to the processing and sanction also . We are at it . Today, we have got four retail as loan processing centers . Immediately I have given the administrative clearance also . We will be increasing by three within a short span of one week or so , and within a month's time we will extend it to all the regions . Therefore, I am quite optimistic , definitely with the support from the head office and the controlling office at various centers , I am hopeful and optimistic to take it . As you rightly mentioned ,

I will be having certain geographical and identified branches . All branches may not be possible to have that kind of growth , but as a whole , definitely we are at it , Thippeswamy sir.
Yaswanth Thippeswamy: That is a great news . And one last question from my side . So, with respect to CR AR touching almost like more than 20% , and I understand that we are moving from the large corporate advances to the more lucrative and then better way of deploying the advances at the RAM side . So, are we also concentrating on the large corporate if there is any opportunity passes by ?
Raghavendra S. Bhat: No, as you rightly said , see, we have to consider growth , quality gro wth and mixture of all these , we have to balance . On the one side , we consciously want to bring it down . On the

other side , whenever the opportunity comes , taking into account the yield or the pricing wise , we have to be selective , taking into account overall benefit to the Bank . Concentration for the retail is the first priority.
This balancing , you said the capital adequacy ratio or all those things are there , that definitely it will help us to balance this growth . Unless the growth happens today t hat CRAR has improved compared to March also . Because there is a reduction in advances in current quarter . Mainly it has improved because of that . Otherwise, it is the only profit available that will accrue in the CR AR.
So, question here is , one is that we have to balance every segment without compromising on the pricing , quality , everything . But focus is there . Definitely, we have to balance and grow . This is the main objective.
Yaswanth Thippeswamy: All the best , Mr. Raghavendra Bhat . Hope to see a nic e and good results going forward. Thanks for answering all the questions.
Moderator: The next question is from the line of Chirag Singhal from First Water Fund. Please go ahead.
Chirag Singhal: In your earlier remarks , you mentioned about the quality growth and focus on RAM. When I look at the numbers , the RAM segment has grown at 5%. and the non -RAM segment , whether it is corporate or NB FC and all , that has de-grown which has resulted into minus 1.6% de-growth for the quarter on a year -on-year basis .
So, I just want to understand that incrementally , let's say , now we have this segment as the primary focus or a growth driver , for this year , like what is your guidance ? How much will this RAM segment grow to ? And accounting for the de-growth in other segments , what will be the overall advances growth ?
Raghavendra S. Bhat: Yes, the retail gross advances , as you know , it is furnished , total advances of Rs. 74,267 crores is there. Out of that retail advances Rs. 44029 crores . We want to take it at least to Rs. 51,000 crores by the end of FY '26. There is no doubt that it is a very ambitious target. We have to do that to stabilize the growth in advances.
As I mentioned earlier , it is a combination of Agri, MSME and other Retail. We have plans to take it from ~44,000 to ~51,000 around Rs. 7000 crores has to happen in retail . And one more area , no doubt it is coming under that , last year we had grown particularly under the gold loan segment , around Rs.

4,000 crores we have added in the gold loan portfolio . Due to constraints we could not move on there , and now because RB I circular also has come , you also must be aware , we have plans to grow further in gold loan. Growth has already started it is more secured advance and we want to gro w further there also.
These are the main plans. When I said the growth in retail means th ese main areas , housing , MSME and some other areas wherever there is potential , we will be definitely planning to grow .
Chirag Singhal: So, when I look at the gross advances breakup , the Retail, MSME and Agri totals to Rs. 47,000 odd crores. S o, did you mean this number will increase by Rs. 10,000 crores during the current fiscal ?
Raghavendra S. Bhat: No, we have internally plans and one is making good the figure which has already gone down . Added to that , the recovery during the year , that will be additional required.
Third one is our growth strategy , which we need to increase the size of our book taking into account we have AOP of Rs. 89,000 crores in the books approved plan . Rs. 89,000 crores may looks a little bit aggressive , but at least adding Rs. 7,000 crores to Rs. 8,000 crores of advances will definitely take us to a newer height. This much I can tell definitely .
I have no plans to revise it down while making full efforts to achieve the target. This is definitely possible to do that . If we strengthen our all t

he regions with the growth in retail , it is possible .
Chirag Singhal: So, Rs. 7,000 crores to Rs. 8,000 crores incre mental growth in the advances in the RAM segment for the rest of the year. Did I get that correct?
Raghavendra S. Bhat: Yes.
Chirag Singhal: And what about the balance book , which is Rs. 26,700 crores, what would this book look like by the

end of the year? So , broadly what I am trying to understand is the overall advance growth.
Raghavendra S. Bhat: Now overall advance only I told you . Right now as of June it is Rs. 75,000 crores, and our target to grow is at Rs. 89,000 crores, and Rs. 89,000 crores, as I mentioned earlier , there is no plans to revise it. And we have to make an attempt to achieve that , but 85 ,000 to 86,000 gross of advances by the end of the year , definitely it will give a big boost to us while making our full efforts to achieve the Rs. 89,000 crores.
Chirag Singhal: So, that is roughly 10% odd growth rate if I take Rs. 86,000 crores versus March closing number . That is roughly 10% growth rate.
Raghavendra S. Bhat: Yes.
Chirag Singhal: And how much is outstanding in IBPC and NB FC book at the end of June '25? And what is your target by the year end?

Raghavendra S. Bhat: IBPC as at June it is 3 ,315, and it was at 4016 as of June last year. Right now there is a reduction of around Rs. 700 crores. We have plans to reduce it further and as I mentioned earlier , we have to strike a balance in the book to grow and taking into account so many aspects , we have to balance. One is whether to take it or not. Other one is where we can grow. Third one is yield. All these things , we will take a c onscious decision and move forward.
Chirag Singhal: So, what are we guiding for this IBPC by the end of current fiscal?
Raghavendra S. Bhat: We want to bring it down to Rs. 1,000 crores by the end of this March.
Chirag Singhal: And if you could give me the same numbers for NBFC book ?
Raghavendra S. Bhat: Pardon?
Chirag Singhal: NBFC. How much is outstanding?
Moderator: Sorry to interrupt. Mr. Chirag, may we request you return to the question queue for a follow -up?
Chirag Singhal: Sure.
Raghavendra S . Bhat: If you have got more queries , definitely we will be, whatever you want particulars , you please send a mail to us. We will come back to you.
Chirag Singhal: I will do that.
Moderator: The next question is from the line of Jayen Shah from Mavuca Capital Advisors Private Limited . Please go ahead.
Jayen Shah: Good morning , Mr. Bhat, and con gratulations.
Raghavendra S. Bhat: Good morning .
Jayen Shah: Good morning, sir. Best wishes to your Karnataka Bank going forward.
Raghavendra S. Bhat: Thank you.
Jayen Shah: Sir, sharing a couple of observations , sir. Recently observed and even in the past, private banks have been onboarding their wholesale strategy where corporate s, large corporates end up being anchors where , of course , there is a tight pricing to enter this relationship , but they take advantage of or they leverage that relationship across the corporate anchors - entire vendor chain , distributor , dealer financing . So, they are trade products . Again, sharing this observat ion.
Second observation is that recently various banks have started segmenting retail crossing into mass afflu ent crossing into wealth , wherein HNI also , HNI becomes an equally important stakeholder in terms of sustainable balance growth . Sir, over to you for comment on both th ese parameters.

Raghavendra S. Bhat: Yes, as I highlighted in my opening remarks, we have a set of plans. I have mentioned a couple of new products. Our product department is very active. They have brought out certain new changes in the products overall. This supply chain is a new product that has

now been cleared. We are going forward with that and a couple of other things which we have planned.
You must have seen our cost -to-income . When you see that , it is at a higher level . So, many things have been invested into, which will start yielding a result going forward. We are at it , definitely supply chain will start immediately. Other things like surrogate -based lending , and two, three more items which I have mentioned earlier , definitely we are moving forward .
Jayen Shah: The second observation was about further segmentation in retail , specifically when it comes to liability gathering as well as products which are being marketed towards wealth products or affluent , mass affluen t to the HNI community.
Raghavendra S. Bhat: Yes, there is also a new solution we have planned is a platform and various other products through that, it is possible to meet the requirements of the liability products. We are coming out with that product also soon. And ultimate aim is to improve the liability side also with product to customer , we are planning one platform , and we will move forward in that direction , product to customer , where third -party products and everything is possible.
Jayen Shah: No, I am sure we will see exciting growth going forward when the traditional , well-respected , well-

trusted brand like yours gets into safe and strong hands like in your hands. I wish you all the best once again and looking forward to great growth at Karnat aka Bank. Over to you , the moderator.
Raghavendra S. Bhat: Thank you very much.
Moderator: The next question is from the line of Rakesh Kumar from Valentis Advisors . Please go ahead.
Rakesh Kumar: So, Sir, like just going slightly into the past, so, like you know , there are a couple of developments that happened and the product design and wholesale vertical head also left . So, what actually happened ? What went wrong all of a sudden , apart from the MD and ED e xiting from the system ? Because the shareholders and the investor at large would like to know what is actually happening .
Raghavendra S. Bhat: No, see, anyone leaving the organization is dependent upon their personal choice , but as long as they are here , they have trained a sufficient numbe r of people . Backup people are there , and you are talking about wholesale .
Rakesh Kumar: The whole sale vertical head and the product design head.
Raghavendra S. Bhat: Yes, the wholesale vertical h ead, other retail h ead is also there to tide over the situation . We have made alternative arrangements for that also and a sufficient backup plan is also there . We are working in that direction . There is no concern for that . In all the departments , the second line is from the in-house talent , and they have been well -trained and capable of handling the departments . All the projects , processes will be carried out as scheduled. There is no cause for concern. This much I can tell you.

Moderator: Mr. Rakesh? As there is no response from the curren t participant , moving on to the next question. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.
Sarvesh Gupta: Good afternoon, sir.
Raghavendra S. Bhat: Good afternoon, Sarvesh.
Sarvesh Gupta: Sir, the first question is basically dwelling on these growth numbers in advances . So, I can understand that there are some challenges with high cost or low yield corporate advances , which you might have pruned down. But on the RAM side itself , Sir, the growth of 5% is possibly the lowest amongst all the banks and including even the PSU banks and M SME book de-growing , that itself is something that we have not seen across the sectors .
So, before we think about advances growth in the coming year, have we been able to ide ntify? And this is after recruiting so many people , which increased ou

r cost -to-income from 50% to almost 65% or thereabouts in the previous quarter , because we recruited heavily , and the idea was to recruit a lot of people as field officers who will go ou t of the branches and get CASA and advances .
So, after increasing the cost so much , despite the result being even on the segment of our choice , which is RAM , we have grown by the lowest amongst all banks . So, what was the reason behind this , sir?
Raghavendra S. Bhat: Regarding the r eason , I am not interested in digging the past. What I have observed , your observation has also come to my knowledge. I started working in that direction. Definitely , we will push it forward . The results started happenin g, though I have joined very recently. I am very conscious of that.
Ultimately, cost benefit analysis , whether it is for this or anything else , is my first priority . Whether if there is no income , how to generate income , duly planning the cost and as well as the yield , these things are very much in my mind .
I have highlighted in my opening remarks also . Your concern is right . Even I am also having the same feeling . Definitely, we will come back. Have confidence in us. Definitely , our team is quite active. They will come back and you will start feeling the results also.
Sarvesh Gupta: And on the growth side, you had mentioned that you are planning Rs. 86,000 crores by end of this year. So, that is a 15% growth target, right? From Rs. 75,000 crores you want to…
Raghavendra S. Bhat: Yes, that is what I mentioned in the sense , though it appears to be very much optimistic , our plan was different . I don't want to change any plan now because we are in the mid the financial year . While trying to aim for that , what I feel , it should not create damage also to the institution . Priority is to grow with the quality without compromising yield , quality , and everything . We are at it . We want to grow . Definitely, that is the focused area . That is why I said in the beginning also , I am very much optimistic . We will do that .

Sarvesh Gupta: Now , on the NIM side, Sir, so we have also made a mistake of having G-Sec as our benchmark , right , because of which our NIM s have crashed much more than any other Bank . So, are we now trying to change it to repo rate or something ? Or what is the strategy for increasing this NIM to 3%, 3.5% , which we were enjoying earlier ?

Raghavendra S. Bhat: See, 70% of our advances are rather around EBLR , where the effect will happen immed iately , but our liability side is fixed that immediate effect won't happen . So, that is a constraint . That is why there is pressure on the spread or NIM.
Definitely, this one , as I mentioned earlier to some other caller , the ALCO is meeting regularly . We are reviewing this situation regularly , and as and when the need arises , cost consciousness is very much required and suitable changes are being made . The rate of interest on the deposit has been revised downward recently , and we will be further revie wing that .
That is why we are focusing on growth . Unless and until growth happens , this pressure on NIM will not yield result s. That is why the focus is to reduce the cost and increase the advances .
Sarvesh Gupta: Sir, o n the cost -to-income ratio…
Moderator: Sorry to interrupt , Mr. Sarvesh , may we request you return to the question queue for a follow -up?
The next question is from the line of Darshan Deora from In dvest Group. Please go ahead.
Darshan Deora: So, my first question was on the RAM disbu rsements. What would be our yield on the incremental RAM disbursements that we did this quarter?
Raghavendra S. Bhat: One second. Good morning , Darshan. One second. It is somewhere between 8.5 to 9.25 . RAM is at 9.5 to be precise .
Darshan Deora: 9.5 is the incremental yield for this quarter.
Raghave

ndra S. Bhat: No, no. As of now .
Darshan Deora: On the portfolio , you are saying , right ?
Raghavendra S. Bhat: 9.25 to 9.5. Ye s.
Darshan Deora: No, you are saying that is what you are offering now to customers , or is that what you have lent out for this quarter , or is this the portfolio yield?
Raghavendra S. Bhat: I am mentioning about the average . It is portfolio yield I am telling you . It depends upon various factors like rating and all . We will try to maintain it between 9 to 9.5.
Darshan Deora: So, then at 9 to 9.5 , it is not much different from the sort of portfolio yield , right , that we have already on the overall book . If I see the overall y ield on advances , that is about 9.28, right? S o, if we are going to be in the same region, then how are we going to increase our overall yields on the book?

Raghavendra S. Bhat: Yes, that is what I said. We have to have the mixture in the portfolio . Overall, s ome other investor has asked the question , whether you have plans to suddenly reduce this high cost , sorry , corporate advance and all. We have to strike a balance . Focus is on retail , where I said average , there are cases where we are charging 10.5 , 11 also .
Average yield will work out like tha t and all these things definitely affect when there is no growth in advances . When growth starts happening , it will carry various rates of interest . Ultimately , in the pool, it will definitely benefit the Bank . It will average out.
Darshan Deora: Yes, I get that. Specifically, on gold, what would be our incremental yields on the Agri and as well as non -Agri, if you can specify ?
Raghavendra S. Bhat: Incremental yield , I will come back . Incremental yield , I don't have right now. You kindly post a mail. We will come back.
Darshan Deora: Let me try to rephrase the question. If you had to offer a loan today to a customer, what would it be at for Agri gold and for non-Agri gold ?
Raghavendra S. Bhat: Around 10%. 9 to 10%.
Darshan Deora: It is on the same ballpark and just in terms of this quarter . Sorry, I didn't . It is 9% to 10% you are saying , right ?
Raghavendra S. Bhat: Agri, that is why I said , yes, 9% to 10% I said . Why? Because Agri will be having a preferential rate of interest also and other than Agri, we are charging a little higher.
Darshan Deora: Because the Agri, you get the PSLC benefit basically.
Raghavendra S. Bhat: Yes.
Darshan Deora: Now, just in terms of I know that in Q4 , you had the higher staff expenses and in Q1 of last year , you had that interest on the income tax , I think , which was Rs. 80-odd crores . So, adjusting for that , the numbers for this quarter are more comparable with the previous quarters. But are there any one -time incomes or expenses in this quarte r that we need to take into account? So , this is like a business -as-usual quarter essentially.
Raghavendra S. Bhat: Yes. Correct.
Darshan Deora: And just one second . I had one more question . In case of the EBLR , you said 70% of the book is linked to the EBLR , whether it is repo or it is treasury . How much of this has been passed through ? Is 100% already passed through ? So, is this quarter the lowest in terms of what you call NIM s, or would you think that next quarter , there will still be something to be passed o n, the next quarter will bottom out and then from H2 , it should pick up ?

Raghavendra S. Bhat: No, it is a continuous process . It will happen . I think 70% is already covered there , and it is a continuous process . As and when renewal happens or the reset clause happens , it will have its effect .
Darshan Deora: So, the renewal , that is what I was asking . So, like, some banks …
Moderator: Mr. Da rshan, may we request you to return to the question queue for

a follow -up? The next question
is from the line of Manish Dhariwal from Fiducia Capital Advisor s Private Limited. Please go ahead.
Raghavendra S. Bhat: Good morning , Manish.
Manish Dhariwal: Yes. Very good morning , Mr. Bhat, and our compliments to you on taking over as the leader of this century -old Bank , and we wish you all the best in your efforts to grow the Bank to bigger heights and greater heights. Sir, in fact, my fellow participants have also touched upon this, but one good statement from your side would be very helpful. We have had a turbulent recent quarter wherein the leadership team either went on its own or they had to go or whatever. But what has been the impact on the Bank ? Is there any hidden liability? Is there any hidden bomb in the books in term s of the bad assets , in terms of some provisions , any such thing like that ?
Raghavendra S. Bhat: No.
Manish Dhariwal: Is it what the NPA , the GNPA and the NNPA , the stress that we have shown , is it all ? Or can there be any future shock for us investors?
Raghavendra S. Bhat: No, there is absolutely no problem. It is business as usual. There is no concern , absolutely , for whatever you have . I assure you that there is no such concern at all. Everything has been resolved.
Manish Dhariwal: I really appreciate a very candid and a very firm response that you have given . So, see, the Bank has demonstrated its ability and the desire to go through the next stage of its growth , and in that process , it has taken decisions , which is fantastic. Some issues happen . That is part of the business . It is okay. Now going forward , I believe that your focus is on MSME , while you have also observed that MSME , the distress has started appearing . So, how are we ensuring that the book , the new book that we create , does not have a ny challenges in terms of asset quality?
Raghavendra S. Bhat: Yes, adequate , I assure you , the growth means suddenly we don't want to grow just like that. We will take all adequate precautions as a prudent lender , taking into account various aspects , their cash flows , their rating , the securities offered , yield . Absolutely, there is no problem . A collection mechanism is available , monitoring .
Manish Dhariwal: Wonderful , sir, wonderful and sir, what is our existing microfinance book or the plans of developing the microfinance side of the business ? Because I think the worst is over in that segment.
Raghavendra S. Bhat: It is approximately around Rs. 1,000 crores .
Manish Dhariwal: And sir , what is the plans going forward?

Raghavendra S. Bhat: No, we will move on cautiously. We will move on cautiously taking all precautions.
Manish Dhariwal: Sir, where is this book centered Sir, mainly , the microfinance book ? Which states ?
Raghavendra S. Bhat: It is Karnataka only.
Manish Dhariwal: So, now I think the worst is over. Are you seeing improvement in the collections and your frequencies?
Raghavendra S. Bhat: Yes, we have the geographical advantage also. Number one. Number two, we have plans. We have the people for that follow -up and recovery also.
Manish Dhariwal: That is wonderful. Sir, thank you so much and sir, wish you all the best . As we are like long -term investors , we would like to actually now see how the Bank can make its presence felt in the new scenario.
Moderator: Thank you. Ladies and gentlemen , due to time constraints , we will have to conclude the question - and-answer session here. For any questions we couldn't address , please email them to the management for a response.
I now hand the conference over to Mr. Raghavendra S. Bhat for his closing remarks.
Raghavendra S. Bhat: As I told earlier, my priorities I have already set , and I will be moving in that direction , taking my team along with me and on the one side , I am looking forwar

d to the cooperation from our time -
tested customers. Time -tested customers along with their reference , the additional growth in liabilities and assets , as, also fresh acquisitions of liability customers as well as asset custom ers. Growth and quality are the two important aspects , followed by working with a clear mind with regard to the spread , or taking into account all these aspects , we will be moving forward. Thank you very much to everyone who participated , who has worked with us. All the best to each one of you. Thank you.
Moderator: Thank you . On behalf of Karnataka Bank Limited , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.
Raghavendra S. Bhat: Thank you very much.

Call: Nov 2025

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228 182
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.bank.in
Mangal uru – 575 002 CIN : L85110KA1924PLC001128
SECRETARIAL DEPARTMENT
November 15, 2025
HO/SEC/ 237/2025 -26

To
1. The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G
Bandra -Kurla Complex
Bandra (E), Mumbai -400051
Scrip Code: KTKBANK The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai -400001
Scrip Code: 532652

Madam / Dear Sir ,

Sub: Transcript of Q 2H1FY26 Earnings Audio Conference Call
Pursuant to Regulation 30 read with Clause 15(b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts / institutional investors audio conference call held on Monday , November 10, 2025 , with regard to the u naudited , reviewed Standalone & Consolidated financial r esults of the Bank for the quarter and half year ended September 30, 2025 .
The same is also made available on the Bank's website under the following web link: https://karnatakabank.bank.in/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

"The Karnataka Bank Limited
Q2 FY 2025 -26 Financial Results Conference Call "
November 10 , 202 5

MANAGEMENT : MR. RAGHAVENDRA S. BHAT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. VIJAYAKUMAR P.H. – CHIEF FINANCIAL OFFIC ER
MR. RAJA B.S. – CHIEF OPERATING OFFICER
MR. RAGHURAM H.S. – CHIEF RISK OFFICER
MR. VINAYA BHAT P.J. – CHIEF COMPLIANCE OFFICER
MR. JAYANAGARAJA RAO S. – HEAD OF INSPECTION AND AUDIT AND INTERNAL AUDIT
MR. NIRANJAN KUMAR R. – CHIEF HUMAN RESOURCE OFFICER AND HEAD BRANCH BANKING DEPARTMENT

MR. NAGARAJA UPADHYAYA B. – HEAD CREDIT
SANCTION S DEPARTMENT
MR. CHANDRASHEKARA G. – HEAD CREDIT OF
SANCTIONS DEPARTMENT
MR. SHAM K. – COMPANY SECRETARY AND HEAD OF
OPERATIONS DEPARTMENT
MR. SREEDHAR S. – HEAD OF CREDIT MONITORING
DEPARTMENT

Moderator: Ladies and gentlemen, good day, and welcome to Karnataka Bank's Q2 FY 2025 -26 Financial Results Conference Call , hosted by Karnataka Bank.
We have with us today our top management team, Mr. Raghavendra S. Bhat, Managing Director and CEO; Mr. Vijayakumar P.H., Chief Financial Officer; Mr. Raghuram H.S., Chief Risk Officer; Mr. Vinaya Bhat P.J., Chief Compliance Officer; Mr. Jayanagaraja Rao S. , Head of Inspection & Audit and Internal Audit, ; Mr. Niranjan kumar R., Chief Human Resource s Officer and Head of Branch Banking Department; Mr. Nagaraja Upadhyaya B., Head of Credit Sanction s Department; Mr. Chandrashekara G., Head of Credit Sanctions De partment; Mr. Sham K., Company Secretary and Head of Operations Department; Mr. Sreedhar S., Head of Credit Monitoring Department; Mr. Raja B.S. , Chief Operating Officer, COO.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touch -tone phone. Please note that this conference is being re corded.
I now hand the conference over to Mr. Raghavendra S. Bhat, Managing Director and CEO. Thank you, and over to you, Mr. Bhat.
Raghavendra S. Bhat: Good evening, everyone and thank you for joining Karnataka Bank's Q2 of FY '26 Earnings Call. It is always a privilege to connect with our valued investors and stakeholders. Today, we will review the bank's performance for the quarter ended September 30, 2025, share key financial highlights and provide insights into our strategic direction for the coming q uarters.
In line with our previous quarter's earnings calls, we have allowed our investors ample time to go through the financial results and investor presentation, both of which have been uploaded post the conclusion of our Board Meeting held on 08th Nov ember , 2025. As you know, the first quarter of FY '26 was a period of significant transition for the bank. This quarter marks my first full quarter as Managing Director and CEO, and I am pleased to report that we have made steady progress in executing our strategy.
As we moved into the second quarter, the bank continued its journey with a business -as-usual approach, building on the momentum of the previous quarter as well as utilizing the advancements made by the bank in previous years in terms of IT infra structure and products. During this period, we have successfully navigated several challenges while maintaining focus on our strategic priorities. Our mission and vision remain clear and steadfast as we continue to pursue, with renewed focus and energy, ou r commitment to disciplined growth, operational excellence and strategic execution aligned with our long -term goals.
Before diving into numbers, let me emphasize that our approach this quarter was guided by 3 priorities: enhancing retail and MSME growth t o build a resilient and diversified portfolio; optimizing funding costs through CASA, retail churn and reduction of high -cost bulk deposits; and maintaining asset quality while improving profitability metrics such as ROA and ROE.
The banking environment c ontinues to evolve, influenced by macroeconomic factors such as interest rate movements and liquidity conditions. During Q2, the repo rate reduction impacted yields across the

industry. For Karnataka Bank, this meant recalibrating our lending mix to protec t margins, while continuing to serve our customers effectively.
Our strategy remains clear. Retail, Agri and MSME, we call it as RAM . These segments are the cornerstone of our growth. Corporate portfolio rationalization continues, reducing exposure to low -yielding large corporates and replacing op

portunistic IBPC advances with higher -yielding direct loans.
Digital transformation is accelerati ng with new products and platforms under development to enhance

customer experience and operational efficiency.
Let me now present the business highlights. Aggregate business stood at INR1,76,461 crores as of September 30, 2025, marginally down by 0.6% Q -on-Q from INR1,77,509 crores in June 2025. While this reflects a temporary slowdown, it is aligned with our strategic shift towards quality over quantity.
Regarding, Profit After Tax, Q2 FY '26 PAT of INR319.12 crores as against INR292.40 crores in Q1 FY '26. Q -on-Q increase of 9.1%. Y -o-Y, there is a decrease in PAT from that of INR336.07 crores in Q2 of FY '25. Further, in line with the bank's commitment to increase PCR , the bank has con tinued making accelerated provisioning and the PCR presently stands at 60.22% excluding technically written - off accounts.
Gross advances stood at INR73,644 crores as on 30th September 2025, reflecting a Q -on-Q degrowth of 0.8% from INR74,267 crores as on 30th June 2025. Our overall strategy is to continue to focus on growing Retail, Agri and MSME, where the growth was led by MSME, housing and gold loan portfolio with a net book accretion of INR392 crores Q -on-Q in the RAM segment. The bank has been committ ed to reduce its exposure to low -yielding large or mid -corporates that were opportunistically deployed for better yields than treasury.
As conveyed during previous calls, we have started replacing IBPC book with higher -yielding loans. IBPC portfolio as on 30th September 2025 was INR1,860 crores as against INR3,315 crores as on 30th June 2025. Accordingly, around INR1,455 crores of IBPC advances have been replaced in Q2.
On a Y -o-Y basis, Retail, Agri and MSME segment in Q2 FY '26 has grown by 4%, while corp orate advances have degrown by around 12%. This is very much in tune with the overall strategy of the bank to create a robust retail segment, wherein the business per account will also be on a higher side. Thus, as we move forward, we will be continuing th e strategy to accelerate retail growth while also stabilizing our mid -corporate and large corporate portfolio with good quality and better yielding loans.
Aggregate deposits of the bank stood at INR1,02,817 crores as on September 2025, reflecting a Q -on-Q degrowth of 0.4% over June 2025 from INR1,03,242 crores. CASA deposits stand at 31.01% of aggregate deposits as against 30.84% in June 2025. It is to be noted that in absolute terms, our CASA deposits have grown 0.15% Q -on-Q over June 2025. CASA accretion remains a focal point for us, and the bank has come up with focused strategies to further improve CASA buildup during the current year.
The bank has continued to focus on shifting high -cost bulk deposits to granular retail deposits of less than INR3 crores. Bulk deposits as a percentage of total deposits have come down from 5.4% as on 30th June 2025 to 5.3% as on 30th September 2025.

Similarly, bulk deposits as a percentage of term deposits have come down from 7.9% as on 30th June 2025 to 7.6% as o n 30th September 2025 . Bank, going by the well -stated strategy, is reducing the focus on accepting costly bulk deposits and majority of the deposits are renewed at the pre -fixed card rates. This helps the bank to have a control on the cost of deposits.
Retail term deposits, that is less than INR3 crores, have seen a marginal degrowth by 0.4% on Q -on-Q basis from INR65,786 crores as on 30th June 2025 to INR65,532 crores as on September 30th, 2025 . On Y-o-Y basis, retail term deposits has grown by 8.2%. Our f ocused new product development and launches continue to be on track to fill in some remaining gaps in our product offerings.
The l aunches planned in the coming quarters are PM Vidyalakshmi product for education loan, preapproved perso

nal loans for salarie d employees, surrogate -based lending for retail and MSME, supply chain finance , SHG (Self Help Group) lending to launch a dedicated product for lending to SHG's , Green Deposit , Merchant payment app.
Net interest income reported as INR728 crores for the Q2 of FY '26 as against INR756 crores in Q1 FY '26, showing a Q -on-Q degrowth of 3.6% and INR833.56 crores in Q2 of FY '25. Though the cost of deposits and cost of funds have reduced, the fall in yield on advances has put a pressure on our overall NII on a Q -on-Q basis.
Owing to our reduction in composition of bulk deposits in total deposits, our cost of deposit has reduced on a Q -on-Q basis from 5.73% for Q1 FY '26 to 5.54% for Q2 FY '26. In conjunction with our added focus on RAM segment, we should see an i mprovement in NII during the second half of the year.
Net Interest Margin stood at 2.72% for Q2 FY '26 versus 2.82% in Q1 FY '26 and 3.23% in Q2 FY '25. The fall in NIM is mainly on account of reduction of external loan benchmark rates driven by repo rates cut to 5.5% from 6.5%. 77% of our loan book is EBLR based, thus having an impact on NIM levels. We are expecting a bounce back of yield on advances supported through our focus on higher -yielding retail and direct to corporate advances and combined wi th expected easing in cost of funds, which should see us going back to the previous level of around 3% plus.
As a result of recent cuts in repo rates owing to reduction in external benchmark rates, partially offset by the changes in product mix, yield on advances for Q2 FY '26 stood at 8.98% as compared to 9.28% in Q1 FY '26 and 9.55% in Q2 FY '25. As mentioned during the previous quarters, the bank remains

committed to its strategy of replacing the bulky opportunistic advances with direct to corporate and retail advances.
Considering the potential churn to higher -yielding segments, we expect to see an improvement in the overall portfolio during the second half of the year. CD ratio remains our focal attention, but for the quarter ended, it stood at 71.63% as compared to 71.93% in June 2025 and 75.41% in September 2024.
Gross NPA percentage as on 30th September 2025 stood at 3.33% that is INR2,453 crores as against 3.46% in June 2025, thereby showing an improvement of 13 basis points. The gross NPA percenta ge as on September '24 stood at 3.21%. Net NPA as on 30th September 2025 stood at 1.35% as against 1.44% in June 2025, thereby showing an improvement of 9 basis points. Net NPA as on September '24 stood at 1.46%, amounting to INR1,083 crores.

The quarterly improvement in both gross NPA and net NPA shows our bank's intensified efforts to control slippages and improve monetary efficiency through regional collection centers. Credit costs showed a remarkable improvement at 0.03% in Q2 FY '26 as against 0.16% in Q1 FY '26. Gross slippages at 0.35% in Q2 FY '26 as against 0.53% in Q1 FY '26 and 0.33% in Q2 of FY '25. Recoveries for the quarter, excluding upgraded accounts, stood at INR193.25 crores in Q2 FY '26 versus INR107.29 crores in Q1 FY '26 and INR148.01 cr ores in Q2 of FY '25.
Standard restructured advances stood at INR939.35 crores on September 30th, 2025 as compared to INR888 crores as on 30th June 25 as against INR1,268 crores as on 30th September 2024. Though there is an increase in the standard restructured portfolio during the quarter, the bank has increased collection efforts, recovering around INR33 crores post quarter end.
Further, around 48% of the restructured advance portfolio amounting to around INR447 crores comprises of loans that requires a 30% r ecovery for upgradation. Bank is focusing on recovering the same, post which the same would be moved out of the restructured portfolio. These efforts underline the bank's commitment to reducing the restructured portfolio.
Including technical write -of

f, Provision coverage ratio is at 81.05% in September 30th, 2025 compared to 81.11% in June 2025 and 80.14% in September 2024. Excluding technical written -offs, PCR improved to 60.22% as compared to 59.18% in June 2025 and 55.15% in September 2024, in line with the bank's commitment to improving PCR. Liquidity coverage ratio as on 30th September 2025 stood at 188.16% against 200.72% as on 30th June 2025, and as against the statutory target of 100%.
Cost of funds stood at 5.58% in Q2 FY '26 compared to 5.77% in Q1 FY '25 and 5.58% in Q2 FY '25. The sequential Q -on-Q improvement in cost of funds is expected to continue in the coming quarters as the benefits of the cut in repo rates materializes. This would be better supported by our continued endeavours to reduce the dependenc e on bulk deposits and replacing the same with retail deposits at card rates and focus on CASA buildup.
Cost-to-income ratio for the quarter ended 30th September 2025 stood at 58.93% as against 58.05% for the quarter ended 30th June. The operating expense s of the bank have reduced by around 2% Q -on-Q, which comes because of multiple cost rationalization and monitoring initiatives undertaken by the bank in a bid to renegotiate rents and vendor commercials and keep operating expenses under check.
But the fa ll in yield on advances has put a pressure on our overall NII on a Q -on-Q basis, which in turn has adversely affected the cost to income for the quarter. Owing to a reduction in composition of bulk deposits in total deposits, along with our added focus on RAM segment, we should see an improvement in NII, which will favourably impact cost to income, which is expected to come down to 55% plus in the coming quarters.
Q2 FY '26 return on equity stood at 10.14% versus 9.58% in Q1 FY '26. Q2 FY '26 return on ass ets stood at 1.03% versus 0.97% in Q1 of FY '26. We expect to end the year with the ROA between 1.1% to 1.2%. We expect improvement in ROA and ROE in the coming quarters in FY '26, supported by accretion in the higher -yielding RAM segment and movement from bulk to retail deposits, leading to improvement in NII, increase in other income and consequent improvement in PAT.

CRAR stood at 20.84% as on 30th September 2025 in comparison to 20.46% as on 30th June 2025. I want to reaffirm that Karnataka Bank stands on a strong foundation and is fully prepared to capitalize on emerging opportunities. The progress we have made in strengthening our retail and MSME portfolio, optimizing funding costs and improving asset quality positions us for sustainable growth in the coming quarters.

Our strategic initiatives ranging from digital transformation to innovative product launches are not just plans on paper. They are actionable steps that will translate into tangible results. We expect to see steady improvement in margins, profitability and return ratios as we move forward. The banking landscape may continue to evolve, but our resilience, adaptability and customer -centric approach give us a clear competitive edge.
With robust capital adequacy, strong liquidity and a disciplined execution fr amework, Karnataka Bank is well equipped to deliver consistent value to our stakeholders. We remain confident that FY '26 will be a year of transformation and acceleration, and we look forward to sharing even stronger results in the quarters ahead. Thank y ou for your trust and continued support.
I would now like to hand over the call to the moderator for any questions and feedback that we would be glad to take. Thank you.
Moderator: The first question comes from the line of Rajesh Kamat, an Individual Inve stor.
Rajesh Kamat: Happy to see the stable balance sheet. What is the future plans for growth in the Bank? We observe you have a good capital adequacy in the system also.
Raghavendra S. Bhat: Rajesh, as I mentioned earlier also, now al

so I stand by my wor d that our focus is only on RAM, that is
Retail, Agri and MSME. This no doubt will help us in building further stronger balance sheet. Therefore, I'm confident that we will further expand our area in those sections.
Secondly, the gold loan portfolio, as I was mentioning earlier also, under this RAM, gold loan also is an important area. Last year also, it has contributed well. This year also, we are focusing on that. In between, some guidelines have come that made us go a little slow, because we have to com ply all the requirements also. Therefore, there was degrowth in the agri portfolio also over March figure, and it has come down. Almost around INR600 crores gold loan has come down in between. Now it started picking up and around INR350 crores plus over t he March figure has already come, and we are confident that we have already told our region al heads and all the branches in the recently concluded conference that though all branches may not contribute, but out of around 950 branches, around 800 branches c an contribute INR1 crore per month per branch.
That whatever mantra has been told , our people, they are on the action mode. They will contribute, I'm quite confident. In the month of October itself, around INR400 crores of growth in gold loan has come. Therefore, in the remaining months, that growth will further accelerate and that gold loan is one more strong area for us along with retail and MSME.
Moderator: Next question comes from the line of Sushil C . Choksey with Indus Equity Advisors.

Sushil C. Ch oksey: Congratulations to team Karnataka Bank for stable numbers in very much challenging time at your team level and management level. Sir, my couple of questions is for your guidance for the full year or maybe next 1 year basis. What is estimated growth on credit, ROA, ROE, NIM, RAM to corporate advances and cost to income?
Raghavendra S. Bhat: Mr. Choksey, you have asked all questions put together simultaneously. Because as a team, we are also
working on that system because we are all focusing on increas ing the CD ratio. The CD ratio as of last September or even for the month of March, for the financial year ended March, it was 75%. It has dropped to 71% plus as of today.
For various reasons, the CD ratio has dropped. Now we are focusing to improve the C D ratio. Minimum CD ratio, our aim is to take it to 80%, but it maybe very aggressive target. But unless and until we increase our CD ratio to that level , as I mentioned earlier also, I stand by my commitment, therefore, we want to take that CD ratio high.
Immediately, the growth started happening. To build that, we had certain plans of action and RLPCs, regional loan processing and sanctioning centers have been set up in all the regions, which initially started with 3 regions. Now it is extended to all th e regions. Added to that, regional heads are empowered now with the delegated power. Earlier, they were not having the delegated power. Priority is to increase the CD ratio. It is over a period of time, by the end of March, I'm very much confident that it will be increased. At least to that extent, I am focusing.
Secondly, you are aware that once the CD ratio is improved, all our other ratios will start improving, be it increase in the NII, NIM spread or ROA, ROE, including the cost -to-income ratio, becaus e one important agenda along with the increase in the CD ratio is to keep the cost -to-income ratio under control. So all these issues what we have perceived and it is really a challenge for us. Therefore, priority is to increase the CD ratio, Mr. Choksey, that I think if you ask me, CD ratio is 80%. NIM, as I was always telling 3% plus, ROA 1% plus, and cost -to-income ratio to between 55% - 56%. With all these actions, that will happen.
Sushil C. Choksey: Sir, if you look at your own guidance, 72% of you

r l oans are linked to EBLR. And now we are focusing
further on RAM led by housing loan, auto loan, gold loan, various other things. Entire public sector advances published results for first 6 months and even peer banks in South, everybody wants to grow RAM at 16%- 18%, and balance growth is on a lower number.

Money market, specifically treasury is not likely to support. Every bank is changing CASA. First is our TAT needs to have a fantastic improvement from where we stand. So I'm not complaining on the current TAT. But if you want a better milestone, our TAT needs to improve. So to enable all these points, which you have the aspiration for in 4.5 months to reach, because we're already on November 10. So looking at that, what dramatic changes have we done in terms of executing the exuberance in the aspiration what we have?

Raghavendra S. Bhat: Yes, you are 100% right. While focusing on improving the CD ratio, TAT is the important factor, which if I'm ignoring, CD ratio improvement will not happen. Therefor e, as I mentioned earlier, along with the restarting of RLPCs, regional heads are also empowered, I have mentioned earlier. Along with that , empowering the regional office sufficient ly has strengthened their hands now. It has now started

producing results in October. Therefore, I'm quite confident that addressing the TAT issue also is very important to me, along with the decentralization of credit sanctions.

I'm quite sure that it will produce the results, because some time back or in my previous concall a lso I have told that there were cases where growth has come to the extent of 27%, particularly in 2017 -18; and 2018-19, 19% Y -o-Y growth has come. I'm quite sure that with that action, strengthening the regional office and the RLPC, improving the TAT is al so important in my agenda and the team KBL is working in that direction.

Sushil C. Choksey: So have you changed the sanctioning power or it's just a processing order?

Raghavendra S. Bhat: No. Delegated power has been given even to the regional heads, which was not there earlier . A small portion was there earlier , small amount was there. Now they have been delegated with adequate powers.

Sushil C. Choksey: In our balance sheet, what INR10 crores, INR20 crores is adequate power or a larger number?

Raghavendra S. Bhat: Our regional heads rely on Deputy General Managers and Assistant General Managers who have been
given delegated powers. However, if a matter goes beyond their authority, it will not be held up in a three -tier process. Instead, it will move direct ly from the branch to the head office, ensuring there is no delay. That’s an important point, as you rightly highlighted, and we will make sure to address that. We will address that issue also.

Sushil C. Choksey: Sir, my one humble request, when you're analyzing all this , in 2023, Karnataka Bank was trading at a premium to South Indian Bank by INR500 crores, and INR2,500 crores below Karur Vysya Bank. I'm not even going to City Union, Tamilnad Mercantile, CSB and others. Kindly have a look on comparative ratios where we stand today and where we need to strengthen.

Do we need more digital capability or human resource or execution capability is our internal challenge. But if we showcase that, the gap which has been created in the last 3 years, we need to c atch up. And that can only happen if team management of Karnataka Bank empowers them.

Raghavendra S. Bhat: Sure, sir. All those suggestions are definitely taken into account. And the team is also of the same opinion.

And your suggestions are also very valuable to us. We will take it forward.

Sushil C. Choksey: Sir, good luck to team Karnataka Bank for very good result for coming quarters and the years to come.

Raghavendra S. Bhat: Thank you, sir.

Moderator: Next question comes from the line of Priyank w ith Vallum

Capital.

Priyank: This is Priyank from Vallum. Sir, good to connect again, but let me focus back before getting into the specific numbers. My question is you have started this responsibility at the stage where the ship was not at all stable. My question is that is the stability around us, is everyone now single -headedly focused on the growth which you are sharing with us?

Because at least in the month of October or in the recent months, I do find a lot of notifications coming out around the resi gnations of the senior leadership. So my first question to the Board is, is the leadership

stable now? Are everyone right now focused on the growth? Or is there more leadership spaces yet to be filled?

Raghavendra S. Bhat: Good afternoon, Priyank. Yes, the se challenges are also there, no doubt about it. But as I have mentioned during my visit to Mumbai, the management is always on the right track, taking adequate steps to handle this type of eventuality.

And the people who have come and joined Karnataka Ba nk, along with them, the top management under DGM cadre and all, they have been posted with the sole objective and idea of transforming th ose ideas or experience to the second line.

These resignations or whatever is not a threat to the bank. I'm confirming that to you. Because the transformation and experience has come or our experience are equipped with to handle that kind of situation. The resignations have happened, no doubt about it. It is because of personal reasons, they have quoted. And we cannot hav e any control over that.

Whoever resigns, we have to make alternative arrangements. Management is totally aware of that to meet these kind of challenges. As of now, I have no such challenges. People have been in the respective positions wherever required and internal promotions also have happened. I will assure you that this will not come in the way of my growth.

Priyank: Sure. My second question is on the yields. I think the whole show of the P&L has taken off with the yields falling 30 bps higher than even the 20 bps benefit coming from the cost of funds or cost of deposits. And now it has fallen down even below your targ ets of 9%, right? And this is despite the IBPC book going down, retail book shoring up.

I'm unable to figure out the core reason of yields going down. 77% of the book, if it's EBLR, the external benchmark, if it's short -term yields, or if it's a 2 -year tr easury bill, that has seen a quarter -on-quarter increase at least according to our view. So why the yields on the book has fallen down?

Raghavendra S. Bhat: Yield, see, over a period of 1 year, this repo rate has reduced almost 100 basis points. And the 75 basis points, whatever has happened earlier, the entire repricing has happened on the EBLR portfolio. So there was this drop, particularly highest hit in the previous quarter. I think you agree with me, it is almost in the bottom line now.

And going forw ard, of course, ifs and buts are there depending upon the market condition. But I am confident, based on the study, even after this 30th September also, I'm very closely observing even the October month also, I'm quite confident that this yield or NIM will improve, number one.

Number two, we had accepted a particular deposit of 555 days around a year back or so, which was at a high cost rather, depending upon the market condition then. So that is proved to be a little bit costly. And it is all maturing and that cost benefit also we are going to get now.

The liabilities are not getting repriced immediately. It is happening only on the due date, but assets are immediately, as you are aware. Therefore, I'm quite confident that this NIM will improve further. B enefit of reduction in cost, though less compared to the drop in the yield, definitely, it will help us now when we are going forward.

Priyank: So for H2, should we at least consider 9.25% or 9.5% kind of a yield, for H2?

Raghavendra S. Bhat: Yes, 9 plus.

Priyank: 9 plus, okay. All right. My second question is on the recovery. So what I fail to understand is that we have seen a recovery from a standard restructured book of around INR193 crores. At the same time, standard restructured closing book has gone u p quarter -on-quarter by, I think, around INR60 crores. How does this match it up? I mean, we see a recovery and then too, the closing book goes up?

Raghavendra S. Bhat: You mean to say under restructure?

Priyank: Yes.

Raghavendra S. Bhat: Yes. Restructure is one account that has in the last moment, it has added. We are quite confident that, that will be resolved before November end or December 15 . Because of some technical issues, it has been added under restructure. So we have added that. And going forward , that action when it is fulfilled, that will come back.

Priyank: What was the size of that one account which got added, which moved the whole book by INR50 crores, INR60 crores ?

Vijayakumar P.H.: Approximately INR101 crores...

Priyank: Or maybe due to that one account which technically went into a restructuring, ex of that what would be the restructured book if that account had not filled in the restructured book?

Raghavendra S. Bhat: It is INR101 crores.

Priyank: Okay. Given this, should we confirm that we are on a target to achieve this standard restructured book towards the goal of INR700 crores by March end?

Raghavendra S. Bhat: No. See, as I told you, with regard to this particular account, when it is remote, definitely, it will be much better, number one. Number two, our recovery machinery is on the action front. And you must have seen the stress level also coming down, SMA also coming down. And NPA also, by and large, it is under control. Therefore, I'm quite confident that this will he lp in producing better results in the coming

quarters.
Priyank: And sir, 48% of the restructured portfolio, which requires 30% recovery upgradation, what is the time line of this?
Raghavendra S. Bhat: That continuously, we are following it up, because you must be aware, you are seeing Karnataka Bank from the past several years, the restructured portfolio once upon a time, it was INR4,000 crores plus. We have brought it down through continuous efforts. Today, it is less than INR1,000 crores.
Priyank: Sure. D efinitely. One last thing on the technical return of book in H1, and I feel proud about the recovery that we are looking at it. We have recovered almost INR80 crores in H1. What would be the closing technical return of book today? And by how much the gross book has reduced in this recovery process of INR80 crores in last 6 months?

Raghavendra S. Bhat: One second. My CFO will answer that.
Vijayakumar P.H.: As on 30th September, the write off book was INR2,700 crores. We have sold during the September quarter a portfolio of INR490 crores, realizing INR42.5 crores by way of sale to ARC.
Priyank: So you sold INR355 crores worth of book and realized INR44 crores, right?
Vijayakumar P.H.: Yes.
Priyank: Okay. A nd what's the plan for this balance INR2,700 crores, what kind of yield and the timeline we should consider?
Raghavendra S. Bhat: No. In the technically written off account, continuous efforts are on. And recovery made under technical
written -off account, the CFO will inform.
Vijayakumar P.H.: INR100 crores.
Raghavendra S. Bhat: Around INR100 crores, we have recovered under technically written -off account. Continuous efforts are
there on technically written -off accounts also like NPA. NPA and technically wr itten-off, both are same to us as far as recovery is concerned, because it is contributing to the bottom line.
Priyank: Yes. Certainly, sir. This

is what I would like to add. So most of the other regional or your peer banks who are listed, you just need to reconcile their technical written -off and the recoveries that they have seen over the last 2, 3 years from the technical written off, it has almost contributed 20 bps to their ROA, and this should certainly also contribute to us. In case if the Board beco mes more vigilant around the faster recovery process, it can be a path towards what we are also looking forward and a path which we are sharing together.
Raghavendra S. Bhat: We have targets how business targets are there to the regions, even we have the t arget for technically written -off accounts also, it is getting continuously monitored.
Moderator: The next question comes from the line of Sarvesh Gupta with Maximal Capital.
Sarvesh Gupta: So sir, first question is on the cost to income. Now earlier, if I see FY '23, '24, we were averaging around 50-odd percent on the cost to income. Then under the erstwhile management, there was a lot of hiring to promote growth in the loan book, which never happened actually. So now that you have taken over, what are the se excess costs that you see in the system which can be taken out?
If you can quantify a little bit on that, because we are also seeing a lot of employee resignations. We are seeing employee cost coming down this quarter, although other opex has gone up. So what is our path on reduction on the opex ? And would it impact our loan growth? Or how are you seeing to grow without increasing our cost to income?
Raghavendra S. Bhat: Yes. See, this cost -to-income ratio also is the derivative of our main other income like CD ratio when it improves, one that is direct hit here also. If it is improved, this will come down, number one. Number two, it does not mean that we have totally lost focus on controlling the expenditure. Other expenditures,

if you anal yze whatever is published, there is a reduction in other expenditure also, which is under control.
Number three , normally, during the first quarter, this cost -to-income ratio will be slightly on the higher side also, still we have control.
Fourth one is how to control the cost -to-income ratio, you are also aware. One is increasing the income - fee-based income. Other one is cutting the cost. Added to that, the target which we have kept for improving the CD ratio. With all these things, it will come. But by and large, I have seen in the published results, which is very much available on the website, the cost is under control. I don't say everywhere it

is better, but we have not lost focus there. Definitely, we will be focusing on that. One is reducing the cost and increasing the fee -based income. This is our main idea to control the cost and keeping the cost under control.

Sarvesh Gupta: Sir, I understand CD ratio and everything, but my main point was that the cost -to-income ratio went up from 50% to m ore than 60% under the previous management. So after you have taken over, are there some low -hanging fruits in the reduction of costs that you see, which were excess costs, because the fruits of those costs never occurred to the bank. The advances growth w as never happening. So now are there some excess costs that you have identified which can be taken out?

Raghavendra S. Bhat: See, the same question you are asking in a different manner now. What I'm trying to tell you is, the 2, 3 areas are there , for exam ple, it is under control. Under control in the sense, we are watchful. So say, for example, rent of the premises, we have 955, 956 branches. All are not happening on the same day, because this rental agreement every year, this cost is bound to go up once i n 3 years or 5 years, depending upon the individual cases.

Now when these things are coming into picture, while we are focusing on reduction cost, reduction of rental also i

s there . Every year, there will be renewals, renewal of some premises which are falling due. There, we are reducing our cost rather than investment. Otherwise, we are shifting if the location is not good. Of course, if the location is excellent, we cannot shift because business also, we cannot compromise.

In addition to that, the costs which have already been incurred on IT, we are getting the reward now. It is all huge investment has gone during last year and last to last year. That benefit, when so many produc ts are in the launching stage, when we are launching that, it will contribute by way of additional business, by way of income also, or it will help to reduce the operational cost. With all this put together, I'm quite confident that we should keep the cost under control and get the additional business.

Sarvesh Gupta: Okay. And secondly, sir, on the NIM part, so now, in the last 2 quarters, we have slipped from 3% to 2.7% because of the fall in the EBLR, which we understand. But going forward if I look into it, you have repricing of deposits, which can happen. You have more of RAM mix in the advances, then you can have higher CD ratio. So given all of that, the aspiration to just reach 3% looks to be a very conservative one. So I mean, where do you aspire to sort of reach in 2, 3, 4 quarters in terms of NIM, because we have multiple levers. If we are able to execute it well, we can get far beyond 3%.

Raghavendra S. Bhat: Yes. Growth, you see, when we are trying to control some areas, some areas are also gettin g affected.

Here, I think twice we have reduced the rate of interest on deposits, because our capital adequacy ratio is quite good. When the advance is not happening, we decided to control the cost, which has impacted the growth slightly on the liability s ide also. While focusing for the NIM, the profits, somewhere we have to take a corrective action. And taking that into account, one more thing I want to assure you, because it may look a bit aggressive or optimistic also, the growth.

Normally, this growth comes as I have told in my previous call also, this first quarter growth doesn't come normally if you analyze any bank for that matter. Second quarter also starts. Second quarter also, due to transformation changes and all this time, it has affected. Now, this second half is the crucial period for us.

No doubt, even I am also aware that 1 month has already gone. In the remaining months, we have to put our best, whatever turnout is possible is best . This second quarter normally gives growth in CASA, and I have analyzed the history for past 5, 6 years or 10 years for that matter, in my earlier tenure also, this growth comes, particularly in CASA during the second half.

And we have a lot of competitions, plans and target achievements. So many things are ther e. Even, for your kind information, this CASA additional growth, no doubt it is not visible in the trial balance, but from the fresh additions of CA and SA put together, around INR870 crores has come in the balance sheet. Otherwise, it would have been further less. Why I'm telling this is, this 2 or 5 months remaining is a challenge for us. Along with the challenge, we have to put our best efforts.

I'm repeatedly telling, my strength is my team. My team has started working on it. And I have travelled also. A couple of regions also I had gone personally. A couple of regions, my general managers and CBO, COO have gone. Message has been conveyed very clearly, that the growth has to come from CASA. And when the CASA growth happens, I think best pricing or N IM will improve and competitive pricing is also possible.

But you mentioned about the growth aspiration. Yes, that challenge is not there. But with the confidence and the team spirit, whatever is built up, I'm quite optimistic. Though it looks a bit aggre ssive, but definitely, we

want to maintain that. We want to prove that and t his is my assurance to you also. And
based on the assurance from my team, I am quite sure that this we want to make it a reality.
Moderator: Next question comes from the line of Pr anay Dhelia with Panchatantra Advisors LLP.
Pranay Dhelia: Congratulations on a good set of numbers under the circumstances. I hope you're well. Sir, I don't have anything on the numbers. It is there for everybody to see. So you would see, everybody else i n the call previously has also cited only one thing that vis -a-vis all our peers, our bank has not been taken with seriousness or the numbers have been applauded by the industry or any of the investors, which is a very worrying sign.
I have been a shareho lder for more than 8 years, and I would say that the FD return of the bank has been better than the shareholder return. And any other bank which was a trifle compared to us has jumped up, moved ahead of us. So what is it the bank doing to try to change the image, get investor interest? I mean

Raghavendra S. Bhat:
Pranay Dhelia:
Raghavendra S. Bhat:
Pranay Dhelia:
Moderator:
Pratik Jain :
Raghavendra S. Bhat:
Moderator:
Raghavendra S. Bhat: it's bet ter that you get delisted otherwise. I mean if you're making 5.5% on the share, the FD i s giving a
better rate, I assume?
Yes. The situation at present, because there is excess liquidity in the market, the rate of interest on deposit, no doubt, it is less. But coming to our profitability, yes as far as profitability is concerned, it is flat. And we really want to build a stable portfolio which gives us better yield. Ultimately, main business, you are aware, you are quite experienced in the market also, main business of banking is accepting and lending. There we have to have the full control. Ultimately, we have to earn.
To earn, we have to build a credit portfolio. Whatever it is there now, the base figure, I can tell you that only. Only thing is kindly bear with us. You are with us for the past 8 years, you said. Yes, change has started happening, that you can see going forward, definitely, I assure you from that point of view. Today, the investor is not happy, even I am also not happy. But yes, that is also a commitment.
Have we got a bette r ESOP plan to get good talent, retain some way of the expansion? Can we guide for better profitability fo r the future?
Yes, that, right now, we have not yet planned, because I joined 3 months back. And a lot of plans are happening. Board is also very positive with regard to the growth. Growth has to happen. This is the direction from the Board also. What you are doing, whatever support you want, you go ahead. And with that, we are planning total turnaround by way of business. We are working on it, Dhelia sir.
Definitely, a lot of things are there, which I'm not in a position to tell you right now. Yes, some seriou s discussions are going on, first, business has to happen. Then along with that, support is coming from the Board. With all these things, getting the people, right kind of people, right people at the right place, all these things we are working on it. Definitely, I will assure you that.
Okay, fine sir. I just hope that a s shareholde rs, we don't have to wait. I mean long term also ha s its own frustrations.
Next question comes from the line o f Pratik Jain, an Individual Investor.
Sir, my only question i s that las t time, I guess, 1 month back, RBI had granted an extension to fill a position fo r the new CEO. I s there any update on that end, sir?
Yes, Board ha s taken a call and Board ha s recommended the panel of names also to the regulator. It may come any time.
Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Raghavendra S. Bhat for

closing
comments.
Yes. Good evening, everyone. And as I mentioned earlier, thank you very much. Investors are our strength and supporting us from the beginning all along as long-term investors. It is our duty to bounce back and meet their expectation also. With that, as I mentioned earlier also, at the cost of repeating, I'm telling you that our growth mantra is to grow in credit first, quality growth in liability side also, CASA, and ultimately to aim at NIM or ROA or controlling the cost to income and working within the framework

of the regulator, duly complying all the requirements. And to the satisfaction of the Board, to the satisfaction of the investors, and all the stakeholders, I'm quite confident that all this, whateve r assurance I have given, definitely, we will try to meet that. Thank you very much. Kindly bear with us and support us, we'll be there with you. Thank you.

Moderator: Thank you. On behalf of Karnataka Bank, that concludes this conference. Thank you for jo ining us. You may now disconnect your lines.

Note : This transcript has been edited for clarity and readability purpose and does not essentially purport to be a verbatim record of the conference call.

Call: Feb 2026

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228 182
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.bank.in
Mangal uru – 575 002 CIN : L85110KA1924PLC001128

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Madam / Dear Sir ,

Sub: Transcript of Q 3FY26 Earnings ' Audio Conference Call
Pursuant to Regulation 30 read with Clause 15 (b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts / institutional investors audio conference call held on Wednesday , February 11, 202 6, on the unaudited , reviewed Standalone & Consolidated financial r esults of the Bank for the quarter and nine months ended December 31, 2025 .
The same is also made available on the Bank's website under the following web link:
https://karnatakabank.bank.in/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

"The Karnataka Bank Limited
Q3 FY 2025 -2026 Financial Results Conference Call "
February 11 , 202 6

MANAGEMENT : MR. RAGHAVENDRA S. BHAT – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. RAJA B. S. – CHIEF OPERATING OFFICER
MR. CHANDRA SHEKAR – CHIEF BUSINESS OFFICER
MR. VINAYA BHAT P.J. – CHIEF COMPLIANCE OFFICER
MR. JAYANAGARAJA RAO S. – HEAD, INSPECTION AN D INTERNAL AUDIT AND INTERNAL VIGILANCE
MR. NIRANJAN KUMAR R. – CHIEF HUMAN RESOURCE S OFFICER
MR. NAGARAJA UPADHYAYA B. – HEAD, CREDIT SANCTIONS DEPARTMENT
MR. VENKATESWARLU MALLINENI – HEAD, LIABILITIES SALES AND THIRD -PARTY PRODUCTS
MR. VIJAYAKUMAR P.H. – CHIEF FINANCIAL OFFICER
MR. RAGHURAM H.S. – HEAD, BRANCH BANKING

DEPARTMENT , PRODUCT DEPARTMENT AND BUSINESS
SOLUTIONS GROUP (BSG) , AND IT & MIS DEPARTMENT
MR. CHANDRASHEKARA G. – HEAD, CREDIT SANCTIONS
DEPARTMENT
MR. SHAM K. –COMPANY SECRETARY AND HEAD OF
OPERATIONS DEPARTMENT
MR. SREEDHAR S. – HEAD, CREDIT MONITORING
DEPARTMENT
MR. MANOJKUMAR P.V. – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the Karnataka Bank Q3 FY 2026 Financial Results Conference Call , hosted by the Karnataka Bank. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone. Please note that this Conference Call is being recorded.

Mr. Raghavendra S. Bhat, Managing Director and CEO from the Karnataka Bank, who is on the line along with his top management team; Mr. Raja B. S., Chief Oper ating Officer; Mr. Chandra shekar, Chief Business Officer; Mr.Vinaya Bhat P.J., Chief Compliance Officer; Mr. Jayanagaraja Rao S., Head of Inspection and Internal Audit and Internal Vigilance; Mr. Niranjan Kumar R., Chief Human Resource s Officer; Mr. Nagaraja Upadhyaya B., Head of Credit Sanctions Department; Mr. Venkateswarlu Mallineni, Head of Liabilities Sales and Third -Party Products; Mr. Vijayakumar P.H., Chief Financial Officer; Mr. Raghuram H.S., Head of Branch Banking Department, Product Department & Business Solutions Group (BSG) , and IT & MIS Department; Mr. Chandrashekara G., Head of Credit Sanctions Department; Mr. Sham K., Company Secretary and Head of Operations Department; Mr. Sreedhar S., Head of Credit Monitoring Department; Mr. Manojkumar P.V., Chief Risk Officer.

I now hand the conference call over to the Managing Director and CEO. Thank you, and over to you, Mr. Raghavendra S. Bhat.

Raghavendra S. Bhat: Good evening, and thank you for joining the Karnataka Bank's Q3 FY '26 Earnings Call. We appreciate the continued interest and engagement from our investors and stakeholders. During today's call, we will walk you through the Bank's performance for the quarter ended 31st December 2025, outline the key financial highlights and share our strategic priorities ahead.

Consistent with our approach in the previous quarter, we have provided our investors sufficient time to review the financial results and the investor presentation, both of which were uploaded to the website of the Bank

following the conclusion of the Board meeting held on 10th February 2026. As highlighted in the previous quarter, the first quarter of FY '26 was a period of significant transition for the Bank.

Q3 marks my second full quarter as the Bank's MD and CEO, and I am pleased to share that we have built on the momentum and made ste ady progress in executing our strategy. By keeping our strategic focus intact, we have successfully navigated the transition phase, strengthened operational stability and laid the groundwork for sustainable growth. Our mission and vision remain firmly anch ored as we move ahead with renewed focus, reinforcing our commitment to disciplined growth, operational excellence and effective strategic execution in line with the Bank's long -term objectives.

Before getting into the financials, I would like to highlig ht that our approach during the quarter was anchored around three key priorities . Number one, strengthening retail and MSME growth to build a more resilient and well -

diversified portfolio; number two, optimizing funding costs by increasing CASA and reducing reliance on high -cost bulk deposits; number three, sustaining asset quality and provision coverage while maintaining a sharp focus on core profitability metrics such as NIM.
Strategic overview . The banking landscape remains dynamic, influenced by evolving macroeconomic factors such as interest rate movements and liquidity conditions. During Q3, the reduction in the repo rate put pressure on yields across the industry. In response, the Karnataka Bank recalibrated the lending mix to p

rotect margins while continuing to effectively serve the needs of customers.
Our strategy remains clear. Retail, Agri and MSME, (RAM), segments remain the core drivers of our growth strategy. Corporate portfolio rationalization continues, with a sustained focus on high yielding assets . Digital transformation initiatives are gaining momentum with new products and platforms being developed to enhance customer experience an d improve operational efficiency.

Let me now present the business highlights. Aggregate business stood at INR 1,81,394 crores as of December 31, '25, up by 3% Q -on-Q from INR 1,76,461 crores in September '25. PAT in Q3 FY '26 was INR 290.79 crores as against INR 319.12 crores in Q2 FY '26 reflecting a decrease of 9%. Y-o-Y, there is an increase in PAT from INR 283.60 crores in Q3 FY '25.
Further, in line with the Bank's commitment to increase PCR, the Bank has undertaken accelerated provisioning and the PCR presently stands at 61.23%.
Gross advances stood at INR 77,283.85 crores as on 31st December '25, reflecting Q -on-Q growth of 5% from INR 73,64 4.15 crores as on 30th September '25. Overall strategy is to continue to focus on growing retail, agri and MSME, with the growth led by the MSME, housing and gold loan portfolio s with a net book accretion of INR 962 crores Q -on-Q.
The Bank remains committed to reduc e its exposure to low -yielding corporate loans that were opportunistically deployed for better yields than treasury. As conveyed during the previous calls, we have started replacing IBPC book with higher -yielding loans. IBPC portfolio as on 31st December '2 5 stood at INR 1,639 crores as against INR 1,860 crores as on 30th September '25. Accordingly, around INR 221 crores of IBPC advances have been replaced in Q3.
On a Q -on-Q basis, the Retail, Agri and MSME segment in Q3 FY '26 has grown by 2%, while mid -corporate advances have grown by around 7%. As we move forward, we will continu e our strategy of accelerating retail growth while also stabilizing our corporate portfolio with good quality and better yielding loans. Aggregate deposits as on 31st December '25 stood at INR 1,04,111.52 crores as against INR 1,02,817.19 crores as at 30th September 2025 .
CASA deposits stood at 31.53% of aggregate deposits as against 31.01% in September '25. It is to be noted that in absolute terms, our CASA deposits have grown 3% Q -on-Q over September '25. CASA accretion continues to be a key priority for the Bank , and we have put in place focused strategies to further accelerate CASA growth over the course of the year.

The Bank has continued to focus on shifting high -cost bulk deposits to granular or retail deposits of less than INR 3 crores. Bulk deposits as a percentage of total deposits have come down from 5.3% as on 30th September '25 to 4.8% as on 31st December '25. Similarly, bulk deposits as a percentage of term deposits have come down from 7.6% as on 30th September '25 to 7.1% as on 31st December '25.

In line with this clearly articulated strategy, the Bank has consciously curtailed the acceptance of high -cost bulk deposits with the majority of deposit renewals being carried out at a predefined card rates. This approach has enabled the Bank to exercise better control over its cost of deposits.
Retail term deposits , that is less than INR3 crores, have grow n from INR 65,531.80 crores as on 30th September '25 to INR 66,252.24 crores as on 31st December '25. On a Y -o-Y basis, retail term deposits ha ve grown by 6%.
Our focused efforts on new product development and launches remain on track aimed at addressing and bridging the remaining gaps in our product offerings. Several Launches are planned in the coming quarters. Under the Agri Infrastructure Fund, we are exploring th

e best opportunities available under the scheme, which includes assistance for creation of post -harvest management infrastructure and creation of community farming assets.
For SHG lending, we are in the process of launching a dedicated product specifically for Self -Help Groups. To sca le up our MSME business, an ecosystem tie -up is underway, which includes onboarding business facilitators and Loan Service Providers (LSPs) for electric -vehicle financing. We are also introducing the ‘Soulabhya Deposit,’ a new variant offering a partial withdrawal facility, along with enhancements to our Flexi Deposit Scheme, Supply Chain Finance, and Trust Finance offerings .
Net interest income. Net interest income for Q3 FY '26 stood at INR 792.06 crores as compared to INR 728.12 crores in Q2 FY '26, registering a Q -on-Q growth of 8.8%. Net interest margin stood at 2.92% for Q3 FY '26 as against 2.72% in Q2 FY '26 and 3.02% in Q3 FY '25. While t he cost of deposit and

cost of funds have declined, the fall in yield on advances has put some pressure on our NIM during the quarter.
However, supported by an increase in CASA and a reduction in the share of bulk deposits, our cost of deposits has redu ced from 5.5% for Q2 FY '26 to 5.43% for Q3 FY '26. Along with the added focus on the RAM segment, there has been an improvement in NIM during this quarter, and we expect to see our NIM returning back to the previous level of around 3% plus.
Loan yields. As a result of the recent cut in the repo rate owing to reduction in external benchmark rates, partially offset by changes in the product mix, yield on advances for Q3 FY '26 stood at 8.71% as compared to 8.98% in Q2 FY '26 and 9.37% in Q3 FY ' 25. As mentioned during the previous quarter, the Bank remains committed to its strategy of replacing the bulk deposits and bulky opportunistic advances with direct to corporate and retail advances. Considering the potential churn to higher -yielding segments, we expect to see further improvement in the overall portfolio.
CD ratio for the quarter stood at 74.23% as compared to 71.63% in September '25 and 77.84% in December '24.
Gross NPA percentage as on 31st December '25 stood at 3.32% amounting to INR 2,565.31 crores as against 3.33%, INR 2,453.10 crores in September '25, thereby showing an improvement of 1 basis point. The gross NPA percentage as on December '24 stood at 3.11%, that is INR 2,419 crores.
Net NPA percentage as on 31st December '25 stood at 1.31% amounting to INR 994.70 crores as against 1.35%, that is INR 975.96 crores in September '25, thereby showing an improvement of 4 basis points. Net NPA percentage as on December '2 4 stood at 1.39% amounting to INR 1,063 crores. The quarterly improvement in both gross NPA and net NPA percentage reflects our Bank 's intensified efforts to control slippages and improve recovery efficiency through regional collection cent res.
Credit cost stood at 0.11% in Q3 FY '26 as against 0.03% in Q2 FY '26 and 0.12% in Q3 FY '25. Gross slippages stood at 0.47% in Q3 FY '26 as against

0.35% in Q2 FY '26 and 0.40% in Q3 FY '25. Recoveries for the quarter, excluding upgra ded accounts, stood at INR 114.18 crores in Q3 FY '26 versus INR 193.25 crores in Q2 FY '26 and INR 100.52 crores in Q3 FY '25.
Standard restructured advances including related accounts, stood at INR 867.95 crores as on 31st December '25 as compared to INR 939.35 crores as on 30th September '25, registering a reduction of 7.6% Q -on-Q. Standard restructured portfolio stood at INR 1,113.65 crores as on 31st December '24.
Around 55% of the standard restructured portfolio that is INR 477.37 crores comprise loans that require a 30% recovery for upgradation. Bank is focusing on recovering the same, post which the se accounts woul

d be moved out of the
restructured portfolio. These efforts underline the Bank 's commitment to reducing the restructured portfolio.
Provision Coverage Ratio (PCR) , including technical write -off, stood at 80.90% in December '25 as compared to 81. 05% in September '25 and 80.64% in December '24. Excluding technical write -off, PCR improved to 61.23% as compared to 60.22% in September '25 and 56.03% in December '24, in line with the Bank 's commitment to improving PCR.
Liquidity Coverage Ratio (LCR) . As on 31st December '25, LCR stood at 186.84% as against 188.16% as on 30th September '25 and as against the target of 100%.
Cost of funds . Cost of funds stood at 5.46% in Q3 FY '26 as compared to 5.58% in Q2 FY '2 6 and 5.69% in Q3 FY '25. The sequential Q -on-Q improvement in cost of funds is expected to continue in the coming quarters as the benefits of the cut in repo rate materializes. This would be further supported by our continued endeavours to reduce the dependence on bulk deposits and replacing the same with retail deposits at card rates and focus on CASA build -up.
Cost -to-Income Ratio. For the quarter ended 31st December '25, cost -to-income ratio stood at 58.72% as against 58.93% for the quarter ended 30th September '25. The Bank has undertaken multiple cost -rationalization and

monitoring initiatives to renegotiate rents, revise vendor commercials, and keep operating expenses under control
Owing to our reduction in composition of bulk deposits in total deposits, along with our added focus on RAM segment, we should see an improvement in net interest income, which will favorably impact cost to income ratio, and is expected to bring it down to 55% in the coming quarters.
Return On Equity . Q3 FY '26 ROE stood at 9.06% as against 10.14% in Q2 FY '26. ROA, Q3 FY '26 return on advances stood at 0.92% as against 1.03% in Q2 FY '26. We expect to end the year with a return on assets of around 1.1% or higher . We expect ROA and ROE t o further improve, supported by higher accretion in the high -yielding RAM segment and a gradual shift from bulk deposits to retail deposits. These factors are expected to drive an improvement in net interest income and consequently lead to an improvement i n PAT.
I would like to reiterate that Karnataka Bank is built on a strong foundation and is well -positioned to capitalize on emerging opportunities. The progress we have made in strengthening our retail and MSME portfolio, optimizing funding costs and imp roving asset quality provides a solid platform for sustainable growth in the coming quarters.
Our strategic initiatives ranging from digital transformation to targeted product launches are firmly execution -driven and designed to deliver measurable outcom es. As these initiatives gain further traction, we expect to see a steady improvement in margins, profitability and return ratios going forward.
While the banking landscape continues to evolve, our resilience, agility and customer -centric approach remain key differentiators. Supported by strong capital adequacy, healthy liquidity and a disciplined execution framework, the Karnataka Bank is well -equipped to deliver consistent and long -term value to all stakeholders.
Thank you for your trust and continued s upport. I would now like to hand over

the call to the moderator for any questions and feedback from our callers that
we would be glad to take.

Moderator: The first question comes from the line of Mr. Vinay Nadkarni from Hathway Investments Private Limited.
Vinay Nadkarni: Just some bookkeeping questions. What percentage of advances you said are...
Moderator: Mr. Nadkarni, sorry for interrupting. Your voice is not clear. Can you come a little closer to the mi ke and speak?
Vinay Nadkarni: Yes, just wanted to c

heck out what is the percentage of EBLR or MCLR -linked advances that we have?
Raghavendra S. Bhat: Around 80% of Gross advance is linked to EBLR.
Vinay Nadkarni: Okay How much of your deposits are to be repriced downwards in Q4 because of the repo rate cut?
Raghavendra S. Bhat: Because of the rate cut, deposits are fixed rate , no floating rates and as of the rate cuts, nothing to do with the EBLR . Deposit rate are fixed rate.
Vinay Nadkarni: Okay. And just one more question on you said you are focusing on MSMEs and the RAM portfolio. But when I see your SMA 2, maximum outstanding is coming from these 3 segments, including h ousing loans. So is there a stress there that we are going to encounter as we grow this RAM book?
Raghavendra S. Bhat: No. MSME, stress was there, no doubt about it. A portion of MSME was mainly because of CMA & renewals. In total, it was reduced from almost 10.2% to 7.6%. Because of continuous follow -up efforts and the renewal of working capital facilities, we don't foresee any threat, and it is under control.
Vinay Nadkarni: Okay. And just last question, on housing loans, you seem to have , these are secured loans, right? So still in SMA 2, you have a sizable portion of housing loans standing there, around 27%. So why is this delay happening? I mean, is there any particular reason?
Raghavendra S. Bhat: Housing loan?
Vinay Nadkarni: Okay. This is I am looking at your Slide #22, where you have mentioned special mention account breakup, for Q3 FY '26, housing is 26.9%.

Raghavendra S. Bhat: No, I will clarify this to you. As far as housing loan segment is concerned, there is no 26% stress , I will need to check this, and revert back to you.
Moderator: Next question comes from the line of Mr Suraj with Infoedge Ventures.
Suraj: As I am able to see that the Bank has been able to achieve the CD ratio of 74%. Going forward , how are we planning to improve it further?
Raghavendra S. Bhat: Yes, it is a continuous effort to increasing the CD ratio. As I told you earlier we are focusing on RAM segment . And as I mentioned earlier also, here comes housing, MSME and gold. And the gold loan also during the current financial year has shown substantial growth. So also, we have re vised the rate of interest on housing loan and MSME loans.
We are now at a competitive rate of interest and, taking all these things into account, this growth started coming from October onwards, along with the RLPSCs, retail cent res started in all 15 cent res and additional delegated powers to the regional heads, all these are contributory for growth. Growth actually started coming from October onwards.
Taking into account all these factors, I am quite confident that which has gone negative over March till September, now positive traction has started coming and that going forward in the remaining months, this growth will be further stepped up, and it will show better results in the coming quarters.
Moderator: Next question comes from the line of Mr. Pankaj, an Individual Investor.
Pankaj: This is Pankaj sir, I woul d like to know 2 points. Number one, gross NPA has increased from 3.11% to 3.32% year -on-year. What would be the behavior of stressed accounts in future? And whether any shocks expected ahead? Number two, what is the strategy for future retail, agriculture and MSME improvement

and branch expansion, sir?
Raghavendra S. Bhat: With regard to gross NPA, I had better plans of controlling the stress as well as NPA in the earlier quarter . This quarter also, it was very much under control because of one particular account , the efforts with regard to controlling has come in the way of negative to the Bank .

And in this particular case also, single account, a big amount , big borrower account

, I am quite confident of recovery , it is fully backed by very good security in the prime location. I am quite confident that the recovery action has already started. If recovery happens before 31st, a big boost to overall recoveries and help keep the situation well under control.
Otherwise, with regard to NPA, which is very much under control, because of our focused attention for recovery as well as follow -up of advances through CRMD . And with regard to agri, are you referring to agri target, or I missed it?
Pankaj: I would like to know about the RAM improvement.
Raghavendra S. Bhat: As far as agri improvement is concerned , we are very much on track, and we have surpassed the target fixed by the regulator. Against the target of 18%, we have crossed that level. However, with regard to the subsectors under agri, we are a slightly short and we are making all our efforts to ensure that this target is achieved under that subsector of small farmers and marginal farmers.
Overall, agri, we have achieved.
Moderator: Next question comes from the line of Mr Chirag Singhal with First Water Fund.
Chirag Singhal: So my first question is on the NIMs. So we saw a very good improvemen t, almost 20 basis point improvement sequentially. Now with no fresh rate cuts, is it fair to assume that 3% plus NIM is achievable in Q4?
Raghavendra S. Bhat: Yes. See, as I mentioned earlier, , we have all strategies in place. Growth started coming from October onwards. And going f orward , this growth is contin uing across in all 15 cent res as well as the higher amount of exposure taken up by the head office .
One is growth. Other one is the recovery efforts. This both going together will add value. And my continuous efforts on recovery as well as controlling stress and growth, this will definitely give better yiel d in the coming days. I am hopeful that it will be 3% plus during the quarter. It will happen because there

is an improvement which you have seen. Added to that, it is this EBLR effect where the assets are getting repriced faster, liability side remains fixed. With all th e focus on CASA it will , and, definitely 3% plus by the year -end.
Moderator: Next question comes from the line of Mr. Yaswanth Thippeswamy, an Individual Investor.
Yaswanth Thippeswamy: So my first question is with respect to gross NPA. So there is I mean, the industry standard, if you see the sector average of GNPA for MSMEs, it has improved from like 1% to 4% now . But with the Karnataka Bank, we are still staying around at 8%, as you said, answering another caller. So are there any special focus that has been placed in order to improve on that front? That is first question.
And the second question is what are the sectors or industries in MSME that is causing this kind of high GNPAs because the slippage is comparably higher when we compare quarter -on-quarter basis or the sequentially like from 4 quarters?
Raghavendra S. Bhat: Thank you for the question. As I mentioned earlier, it was at 10.2%, you are right. It was brought down to 7.6%. Continuous efforts will be there in reducing the stress and further slippage to the NPA, number one. Number two, by large borrowers , our facilities are adequately secured by the collaterals, if

not 100%, some collateral backup is there .
But the sectors involved are mainly contractors, manufacturing, and services.
Here, cash -flow issues are the primary challenge. The borrowers remain in regular contact with the controlling office and the dedicated teams I mentioned earlier. These teams wor k to understand the issues and ensure timely resolution of any problems. Without this engagement, the improvement we are seeing now would not have been possible.
And for contractors is around 2.1% stress level and manufacturing 2.3%, service sector 3.2%. It is reduced to 7.6%. Our efforts

will be continuously on that, to further reduce this down by the end of this quarter, to 5% or below 5%.
We will work on it.

Moderator: Next question comes from the line of Mr. Darshan Deora from Indvest Group.
Darshan Deora: I had a question on the NIMs. So just looking at Slide number 12, I se e that on a Q-o-Q basis, the NIM has gone up by about 20 basis points, but the yield on advances has gone down more than the cost of funds, by about 15 basis points.
I see the CD ratio has gone up. So is it fair to say that a lot of improvement in NIM was because of the increase in CD ratio for this quarter?
Raghavendra S. Bhat: One is, as you rightly mentioned, improvement in the CD ratio, number one.
Number two, we are very cautious with regard to the cost of deposit also and by focusing on CAS A. CASA improvement is also there. With all these efforts and as you mentioned, improvement in the CD ratio and better yielding advances like retail , on the other hand, these wholesale advances, we have reduced the liability under IBPC which were yielding lesser advances. All these are contributory factors, which we are working out in our re gular ALCO meeting , discuss and deliberate and finally take decision, which will contribute.
Moderator: The next question comes from the line of Mr. Priyank from Vallum Capital.
Priyank: Sir, because I won't get another chance by operator, I would req uest you to take down the list of questions that I had, okay? And I won't take it much long.
I just want your brief broader guidance just to touch base again for a betterment of the public audience. In terms of loan book, you had guided that you would grow to the size of, say, at least from INR 77,000 crores to INR 85,000 crores by end of FY '26. Where are we? How would we progress?
Second question on the CD ratio, you are surely improving it quarter -on-quarter. We had a target to reach 80% by Q4. What would be that aspirations and how it stands for next year? On the NIMs, you are surely again improving, and you're walking the talk what you had given out in your first conference call. Just to reassure for the public, what would be that NIMs going ah ead with the exit of this year as well as for the next year?

One, in this whole aspect, which is just a missing point is cost to income, which is at 55% which you had guided for, a 55% and a better recovery, better improvement, which is not yet visible . So your comments on that.
Lastly on the provisioning front, should we consider INR100 crores per quarter as a minimum requirement just for our aspirations to improve the PCR ratio by 100 bps every quarter, is what we had guided. How should we look that for next quarter and for the coming year? You had guided for recoveries from the technical written -off book. Where are we this quarter? We couldn't get much income from the written -off book.
Your clarification on the restruc tured account, which had slipped last quarter up to INR 100 crores. Has that been recovered? If yes, then why the restructured book has just fallen by INR 70 crores versus INR 100 crores recovery that should have come?
And finally, on the ROA front, you have been very much vocal to have

aspirations of ROA of more than 1%. After a long time, we have slipped down that number, would you call it one -off? And would you yet call it out to be a 1% target to be crossed in the coming quarters? That's all. I hope you have noted down all the questions.

Raghavendra S. Bhat: As I told you, walking that talk is always important, and we are doing that. Whatever promises have been made, we will try to achieve it, number one. Number two, to give you comfort, advances figure of March FY 25 was at INR 78,000 crores, which has dropped to INR 71,000 crores. From there, it started picki

ng up. Today, we are at INR 78,000 crores plus. And we have got sanctioned facilities of around INR 4,000 crores, even if I take 50% or 75%, because there are stages in disbursement, all those things are there we cannot disburse the entire amount immediately, around INR 2,500 crores to INR 3,000 crores disbursement will happen.

We are at INR 78,000 crores, as I said. INR 3,000 crores will come from there. Around INR 1,500 crores are coming from gold loan. Gold loan after September started picking up. We have added around INR1,500 crores to

INR1,800 crores, and daily growth is happening there and in housing loan. As I told you in my me eting also in the investors meet in Mumbai, this finer rate of interest we have done for housing, retail, MSME and a couple of other areas, new products also have been added.

Taking all those things into account, around INR 3,000 crores, I am hopeful it will come from there INR 85,000 crores is my target, and my team is working in all the 15 regional cent res as well as head office. Sufficient leads are also there. In principle, cleared proposals are also there. We are behind the people who have submitted the proposals for in -principle clearance. All these things are simultaneously happening.

And with regard to this disbursement, if it is happening at the end of the year, the entire interest income if I may not get it in the current quarter, but whatever is sanctioned and happening, the disbursements are happening during the month and in the month and the following month, definitely, it will add to interest income, number one.

Number two, CD ratio , 80%, you have said. No doubt, it is a task ahead before us. One is growing on the asset side. The other is that if we grow equally on the liability side, 80% may not happen. But if we're keeping the liability side on one side intact, if the asset growth only is happening but for a Bank , we have to grow on both the sides. I am assuring something between 76% and 80%. We will definitely be there. And I want growth on both the sides because my focus is on CASA.

Since I am focusing on CASA, my overall yield, or what you call, spread, everything, cost controlling, because of improvement in CASA, improvement in NIM, NIM has shown improvement as you are observing in Q2, in Q3 there is improvement. Further imp rovement will happen. 1% plus will definitely happen. That is number three.

Number four, cost to income. Yes, consistent efforts are there to reduce, you are seeing, based on the Q1, Q2, Q3. Q4 of last year, if you see, it was highest. Continuo us efforts are on. It is improving quarter -by-quarter with the increase

in the income, definitely, cost -to-income ratio will be very much under control. I am hopeful between 55% to 56%, at that range, it should come if everything goes well. Then provisioning, yes, we are committed, and we want to improve this position of PCR continuously, if you are seeing this PCR Q4 of last year was 58%. From there, it is continuously improving. And every time there is an improvement, we want to have the better financials. Continuously, based on this, we are improving, and it should be possible for us.

Then with regard to technical written -off. The total recovery from tech nical write offs during Q3 was INR 43 crores, which is straightaway added to income. In the Q4 also, some proposals are in the advanced stages where discussions are happening. I am quite optimistic between INR 75 crores to INR 80 crores. If it is happening, INR 100 crores is very good, INR 75 crores to INR 80 crores should happen. And with that, it will be definitely adding to improving the cost -to-income ratio and other important ratios also.
With regard to the restructured advances, there is a continuous improvement ove

r March ‘25. Restructured advances as on March '25 was INR 994 crores and improved to INR 939 crores, further improved to INR 867 crores. And as far as restructured NPA is concerned, it was INR 549 crores as of March ’25, and further reduced to INR 393 crores. Both put together out of the total restructured advances of INR 1,544 crores as of March ’25, now it is INR 1,261 crores. Continuous improvement is happening quite optimistic that it will further improve. And the upgradation, by collecting that 30%, it will further improve in the restructured portfolio.
Then ROA, as I already told you, with these continuous efforts , improvement in the CD ratio, improvement in the cost control through CASA improvement and recovery. I am quite optimistic that ROA will be 1% pl us by the end of this March. I think I have answered all the questions if I have omitted anything , please, let me know . I think whatever I have noted, I have told Mr. Priyank.
Moderator: Next question comes from the line of Sushil C. Choksey.

Sushil C. Choksey: Sir, team Karnataka replies I've heard, whoever has asked questions. I have a very simple question. Sir, I take y ou 4 years back when our market cap was INR 500,000 crores, higher than South Indian Bank, INR 1,000 crores below Karur Vysya Bank and more or less on par with City Union and other peer banks.
If you look at the differentiation, Karur is 4x, City Uni on is 2x, South Indian is 1.5x and even Tamilnad Mercantile is 1.5x our bank size. Our asset book advances to all other ratios is not reflecting, something has gone right in the centre. I understand there is a management change. But when do I see that slumber is over where the team Karnataka is over? I understand, sir, you've just come in to the team, but I expect if you can talk on behalf of the team.
Raghavendra S. Bhat: Yes. Sushil Choksey, thank you for coming online. Thank you for seeking clarification . Yes, you are right. Market cap is one thing, which if the financials are really good, market cap will automatically go up. And this is coupled with so many reasons.
One is, improvement in CD ratio, interest income, net interest inco me, return ratios, and NPA under control , all these things ultimately adding value to the earning s of the Bank . That is why in the first meeting itself, I told you and all other investors and well -wishers who are supporting us , taking into account the long -term interest of the o rganization, I was telling that unless and until we improve the quality of advances and the loan book or the CD ratio, if it is not less than 80%, around 9 to 10 ratios will go bad.
So I started focusing on this immediately after ta king over charge. And as you rightly observed, all these strategies coming into effect post October only, the refining of rate of interest, delegation of powers to the retail cent res, in the respective 15 regional offices. Number two, focused atten tion on retail in all these 15 cent res. All these started yielding results now. Therefore, the CD ratio has started showing improvement.
And the focused attention till Q2, RAM segment , everywhere, the figures were red rather negative. And the book the figures as of 31st March and up to

September were showing red . Today, I am seeing green. Going forward, green

trend will continue , no doubt about it because I am optimistic and I am quite confident my team is working very hard in the head office also, in all 15 regional cent res also with regard to the grow th of credit, number one.
Number two, like this growth, by my team, CASA and TPP working across India, focusing on onboarding fresh customers and going forward, which will add benefit with regard to better pricing, cost control. These two are also happening.
Number three, my C rM

D team at head office, they are in touch with the borrowers, particularly larger advances. They go to the field, they understand the customer. Sometimes though they are from C rMD, on their visits, they visit other borrowers also, to assess market potential and leverage that benefit. Likewise, C rMD team is there in the regional office. They also started working by visiting to the field. Last but not the least, ARMBs in all cent res, they are targeting recovery of NPA. That is why I was very much optimistic in the Q3. As far as the NPA is concerned, you must have seen our past Q1 and Q2, it was improving. Suddenly, one particular account, as I mentioned, has swallowed all our efforts of recovery under other area. That also I am quite confident, as I mentioned earlier, it has very good asset in the prime location. Therefore, I am quite confident that recovery is happening there also. Once it is happening, this reversed unrealized interest also will be coming back to the income. With all these things, the NIM will improve, ROE will improve, everything will improve. Along with that, when the earnings are good, market cap also will improve.
Raghavendra S. Bhat: Along with that, you said when I would see brighter days ahead, yes, it is an continuous effort that is required. With that, definitely, we have lost ground compared to other banks. We will be bouncing back and at the earliest possible time. I cannot commit to you right now. Once this Q4 is over, I will have a proper strategy how to do it. When I can, I will definitely come back to you. Thank you very much.

Moderator: Next question c omes from the line of Mr.Varun Bang with Bandhan Life Insurance.
Varun Bang: I have 3 questions. so basically, first is from the leadership standpoint, do you believe the management and the key functional teams are now in place or ther e are areas where additional talent or restructuring is required? That's question number one.
Question number two is in terms of your key focus areas. What are your key focus areas as you look to drive further execution over the next couple of quarters? And third is in terms of the key challenges that you are facing at the moment as you basically focus to deliver the stated guidance. Management stability, focus areas and challenges, the 3 questions, if you can answer.
Raghavendra S. Bhat: Regarding management stability, I feel and I have clarified earlier. I am fully aware of why you are asking that question. Earlier also, I have clarified that with regard to the leadership, there is no problem because I have clarified in the earlier con call also, and in our one -to-one meeting also.
Even earlier, when there was a change in the management, they were sufficiently backed by equal ly capable and skilled people as a second line, which was there and continuous ly you have seen some changes have happened during the current year also in the key position that were all replaced. And with the equal number of talent, results started coming in . That is, I am confident. There is no threat. I guarantee. Absolutely, there is no problem. There is sufficient backup . It is going on well.
Regarding focus area, as I told you earlier, and again, I am repeating, the retail, mid-corporates, retail, MSME, housing and gold loan. And added to that, mid -corporate where diversified risk is there, diversification is there, focused attention is there. Yield is slightly better and collate rals are available .
And as I told you earlier, these corporates where the yield is less and risk is also more, without collateral and all. And very carefully, Bank is after analysing so many things, rating, very carefully, we are taking the exposure back. Focus is, again, mid -corporates and retail.

With that, growth is happening

. I think if you have gone through the presentation, which we have made available to you , the growth st arted happening and continuous inflow in all these retail 15 cent res as well as higher ticket advances, it is coming to head office.
Both in housing, in mid -corporates, everyw here, ticket size has gone up. I am quite optimistic, taking all these things into account, this retail and gold and mid-corporate, the growth will come in the remaining period or in the immediately next because of our strong marketing team, which is work ing in the ground. All this will add value.
Secondly, some understanding with the tobacco corporation, some major tie - up breakthrough has happened. There also, we are focusing our advances. All this ultimately, small, small efforts will turn out big. And I am quite confident that also will happen.
Then challenges, as you asked, as every banker is having, we are also having. One is competition. With our improved TAT, we have to make it and we cannot ignore compliance and quality in the advances. We have taken adequate steps when the retail is growing. The follow -up action also need s to be improved. For that, concurrent auditors also have been placed in all the 15 centres, even in head office also. All these collective efforts put together, challenges have been met with mitigating factors. I am quite sure that all these will produce best results going forward.
Moderator: The last question comes from the line of Mr. Piyush Chada with Share India.
Piyush Chada: Just wanted some guidance on what you see as longer -term growth and ROA targets. I know that your immediate urgency is to get to something like INR 84,000 crores, INR 85,000 crore s balance sheet end of this financial year and a 1% plus ROA. But say, if we were to look at slightly longer term, '27- '28, what kind of growth rate do you think you can sustain in your assets? And what kind of ROA would you target on a slightly more longer -term basis?
Raghavendra S. Bhat: As I was mentioning earlier also, I still stand by whatever I have committ ed earlier. One is I have to focus on overall growth of 15% business. 15% business

means I am focusing for growth in advances between 15% to 20% and growth in liabilities between 10% to 15%. Overall growth will produce around 15% business which I want to commit going forward as a long -term plan. As I told you earlier, my immediate target is Q4 because the actual business started happening from Q3 beginning only. So long -term plan since you asked, I am telling you, overall growth in business is around 15% and this, as I mentioned earlier, ROA of 1% plus.
If you ask me 1% plus, what it means? Immediately, my plan of 31st March, it should be 1% plus. Going forward, next year, 1.1% to 1.2%. Third year, 1.2% to 1.3%. It is a step tow ards like this. And spread also 3% plus immediate. Going forward, I have to further improve depending upon so many other factors, growth, challenges, all these things come into picture. Taking all these things into account, my immediate plan of action is li ke this.
I am moving in this direction immediately next month. Again, I will revise that. Revise in the sense, strategies and other things, marketing, everything I will plan. By the end of March, the picture will be very clear. Based on that , I will work further to improve all these strategies.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. And due to time constraints, we have reached the end of question -and-answer session. For any queries, you may reach out to team. I would now like to hand the conference over to Mr. R aghavendra S. Bhat for closing comments.
Raghavendra S. Bhat : Thank you, all the gentlemen who have come online . Thank you for the opportunity given to me to interact wi th you. I will be more often interacting

with you

. I am assuring you that I will be interested to discuss with you in person also , whenever I am in Mumbai or elsewhere, wherever it is convenient, number one.
Number two, it is a commitment from my side that whatever some gentleman has told, walking the talk, we always do that. We are committed to that and what best service is also possible. All these things ultimately will produce the

best result to the Bank and increasing the value of our stakeholders also. Thank you very much, one and all.
Moderator: Thank you. On behalf of the Karnataka Bank, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Note : This transcript has been edited for clarity and readability purpose and does not essentially purport to be a verbatim record of the conference call.

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Call: May 2026

Karnataka Bank Ltd.
Your Family Bank, Across India

Regd. & Head Office Phone : 0824 -2228 183
P. B. No.599, Mahaveera Circle E-Mail : comsec @ktkbank.com
Kankanady Website : www.karnatakabank.bank.in
Mang aluru – 575 002 CIN : L85110KA1924PLC001128

SECRETARIAL DEPARTMENT
HO:SEC: 44:2026-27 Date: 27.05.2026
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra -Kurla Complex, Bandra (E)
MUMBAI - 400051 The Manager
Corporate Relationship Dep artment
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
MUMBAI - 400001

NSE Scrip Code: KTKBANK BSE Scrip Code: 532652

Madam / Dear Sir ,

Sub: Transcript of Q 4FY26 Earnings ’ Audio Conference Call
Pursuant to Regulation 30 read with Clause 15 (b) of Para A of Part A of Schedule III and Regulation 46 (2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith the transcript of the post results analysts / institutional investors audio conference call held on Wednesday , May 20, 202 6, on the Audited Standalone & Consolidated Financial Results of the Bank for the quarter and financial year ended March 31, 202 6.
The same is also made available on the Bank’s website under the following web link:
https://karnatakabank.bank.in/investors/quarterly -results
This is for your kind information and dissemination .
Yours faithfully,

Sham K
Company Secretary &
Compliance Officer

“The Karnataka Bank Limited
Q4 & FY 2025 -26 Financial Results Conference Call ”
May 20, 202 6
Management: Mr. Raghavendra S Bhat – Managing Director and Chief Executive Officer
Mr. Raja B S – Chief Operating Officer
Mr. Chandra Shekar – Chief Business Officer
Mr. Vinaya Bhat P J – Chief Compliance Officer
Mr. Vijayakumar P H – Chief Financial Officer
Mr. Jayanagaraja Rao S – GM (Inspection and Internal Audit and Inter nal Vigilance)
Mr. Niranjan kumar R – Chief Human Resource s Officer
Mr. Nagaraja Upadhyaya B – GM (Credit Sanctions)
Mr. Raghuram H S – GM (Branch Banking Department, Product Department and Business Solutions Group , and IT & MI S)
Mr. Chandrashekara G – GM (Credit Sanctions)
Mr. Sham K – Company Secretary & GM (Operations)
Mr. Sreedhar S – GM (Credit Monitoring)
Mr. Manoj Kumar P V – Chief Risk Officer

Moderator: Ladies and gentlemen, good day, and welcome to the Karnataka Bank Limited Q4 and FY '26 Earnings Conference Call. We have with us Mr. Raghavendra S Bhat, MD & CEO, along with the Management team.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this con ference is being recorded.
I now hand the conference over to Mr. Raghavendra S Bhat , Managing Director & CEO of the Karnataka Bank. Thank you, and over to you, Mr. Bhat.
Raghavendra Bhat : Thank you. Good evening and thank you for joining the Karnataka Ban k Q4 FY '26 Earnings Call. The Karnataka Bank, a bank which began its journey from Mangaluru , a coastal city of Karnataka, has emerged even stronger during the just concluded financial year 2025 -'26, thanks to the collective resolve of every stakeholder, every customer and every employee of the Karnataka Bank. The results we announced yesterday reflect sustained momentum which we have built da y after day and quarter after quarter.
As your Bank continues its journey into its second century of banking excellence, I am pleased to report that we have witnessed meaningful improvement in all the ratios and have delivered on the guidance given during my previous interactions with the investor community, a reflection of the disciplined execution of our strategy and improved operational efficiency.
Before going in detail about the results, let me have the opportunity to brief you about the perfor mance of the Bank as against the guidance given earlier. Total business as against the guidance of INR1 ,92,000 crores of business, the figure was INR1 ,92,118 crores. Gross advances against a guidance of INR84,000 crores to INR85,000 crores, it was INR83,33 9.92 crores. Deposits, against the guidance of INR1 ,08,000 crores it was INR1 ,08,778.75 crores.
CASA, around INR34,500 crores to INR35,000 crores, the figure was INR36,559 crores. CASA percentage, we have mentioned as a guidance of 32% to 32.5% against wh ich it was 33.61%. GNPA whatever guidance was given less than 3%, it was 2.78%. NNPA guidance was less than 1%, it was 0.98%. NIM , we have mentioned at 3% plus, Y -o-Y, it was 2.88%, but Q4 it was 3.07%. Cost to income, what the guidance was given was 55% t o 56%, against which it was 56.34% FY '26, and for Q4 it was 50.47%.
ROA, we have given the guidance of 1% plus, against which it was 1.05%. ROE, around 15% we have mentioned, Q4 it was 12.69%, Y -o-Y it was 10.36% for FY '26. Yield on Advances , around 9% was the guidance, against which it was 8.94%. CD ratio, guidance was 75% plus, it was 76. 61%.
Standard restructured, guidance was INR750 crores, it was INR806.44 crores. I have been highlighting the need for having consistent progress in executing our strategy with greater clarity and direction, and I'm happy to note that we were able to deliver on it. I trust you have had the opportunity to review our financial results and investor presentation, which were shared following the conclusion of the Board meeting yesterday.
During my previous interactions, I had outlined our key priorities, namely strengthening growth in the retail segment, optimizing funding costs through a higher CASA mix and a reduced reliance on high -cost bulk deposits and sustaining asset quality while maintaining a sharp focus on margins. Our growth trajectory has

been robust and ahead of the detailed financial review . I would like to highlight that we have made significant progress across these priorities, which will be evident as I walk you through the financial performance.
Before m

oving on to the business highlights, I would like to take a step back and briefly touch upon the broader financial system. The Monetary Policy Committee (MPC) in its April , 2026 policy noted that global growth has remained resilient, while domestic economic activity has also sustained its strength, supported by private consumption, monetary easing and continued government emphasis on infrastructure -led investment.
Looking ahead, India's macro economic outlook remains resilient , despite elevated geopolitical tensions and persistent global trade frictions, strong underlying fundamentals such as steady growth, moderated inflation and fiscal consolidation provide the economy with the resilience to navigate external uncertainties. However, the war in West Asia, along with the rising input costs driven by higher energy prices and supply chain disruptions, could weigh on the growth.
The intensity and duration of such conflicts pose risks to both inflat ion and economic expansion. MPC has highlighted that in navigating through these turbulent times, monetary policy in India will continue to focus on reinforcing price stability while remaining growth supportive.
In this context of evolving external dynamic s, we remain measured and cautious in our outlook. We will navigate these uncertainties with prudence while closely monitoring the evolving inflation trajectory.
Let me now present the business highlights. Bank has achieved its highest -ever aggregate busin ess, which

stood at INR192,11 8 crores as of March 31, 2026, up by 5.12% Q -on-Q from INR181,394 crores in December '25. Gross advances stood at INR83,340 crores as on 31st March '26, reflecting a Q -on-Q growth of 8% from INR77,283 crores as on 31st December '25.

Our overall strategy is to continue our focus on growing ; Retail, Agri and MSME, that is RAM, which has grown from INR49,152 crores as on December '25 to INR51,197 crores as on March '26. On a Q -on-Q basis, Retail, Agri and MSME segment s during Q4 , FY '26 ha ve grown by 4%, while mid -corporate advances have grown by around 13%.

In absolute terms, Housing, Agri, Gold and Vehicle Loans have contributed around INR1,547 crores of growth to our Retail segment during the quarter. As we move forward, we will continue to focus accelerating retail growth while stabilizing the corporate portfolio through high -quality and better -yielding assets.

The Bank is committed to reduc ing its exposure to low -yielding corporate loans that were opportunistically deployed for better yields than treasury. As conveyed during previous calls, we have started replacing IBPC book with higher -yielding loans. IBPC and Food C redit portfolio, which was at INR4,057 crores as of March 31, '25 has been brought down to INR1,707 crores as of 31st March '26. Accordingly, around INR2,350 crores have been replac ed during FY '25 -'26.

Aggregate deposits as at 31st March '26 was INR108,779 crores, reflecting a Q -on-Q growth of 4% over 31st December '25 at INR104,112 crores. CASA ratio stood at 33.61% of aggregate deposits as against 31.53% in December '25. In absolute terms, our CASA deposits have grown 11% Q -on-Q from INR32,829 crores as on 31st December '25 to INR36,560 crores as on 31st March '26.

CASA accretion remains a key priority and we have implemented targeted strategies to further accelerate its growth during the year. The Bank has continued to focus on shifting high -cost b ulk deposits to granular, that is retail deposits of less than INR3 crores. Bulk deposits as a percentage of total deposits have come down from 4.8% as on 31st December '25 to 4.2% as on 31st March '26. Similarly, bulk deposits as a percentage of term depo sits have come down from 7.1% as on 31st December '25 to 6.3% as on 31st March '26.

In line with the strategy, the Bank has deliberately reduced its reliance on high -cost bulk deposits an

d ensured
that most renewals are executed at predefined card rates, t hereby enabling tighter control over the overall cost of deposits. Retail term deposits have seen a growth of 2% on a Q-on-Q basis from INR66,252 crores as on 31st December '25 to INR67,648 crores. On Y -o-Y basis, retail term deposits ha ve grown by 5%. CD ratio for the quarter stood at 76.61%, as compared to 74.23% in December '25 and 74.38% in March '25.

Net interest income ; NII for Q4 FY '26 stood at INR843 crores, as compared to INR792 crores in Q3 FY '26, registering a quarter -on quarter - growth of 6 %. On a Y -o-Y basis, NII for Q4 FY '26 stood at INR781 crores, recording an 8% Y -o-Y growth. Net interest margin stood at 3.07% for Q4 FY '26, versus 2.92% in Q3 FY '26 and 2.98% in Q4 FY '25. Improvement in net interest margin was driven by the bank's foc used initiatives in the RAM segment with an emphasis on enhancing yield, alongside a calibrated improvement in CASA and retail term deposits aimed at optimizing the cost of funds.

Regarding l oan yields ; Yield on advances for Q4 FY '26 stood at 8.78%, as compared to 8.71% in Q3 FY '26, recording a 7 basis points increase. Loan yields will further be strengthened by accelerating retail growth while stabilizing the corporate portfolio through high -quality a nd better -yielding assets.

Cost of Funds stood at 5.38% for Q4 FY '26, as compared to 5.46% for Q3 FY '26, registering an 8 basis points improvement. The sequential Q -on-Q improvement in cost of funds is expected to be supported by our continued efforts t o reduce the dependence on bulk deposits and replacing them with retail deposits at card rates and focus on CASA buildup.

Regarding Profit After Tax, Q4 FY '26 PAT was INR408.19 crores, as against INR290.79 crores in Q3 FY '26, an increase of 40%. There is an increase in PAT from INR252.37 crores in Q4 FY '25, which is a 62% increase for the full year FY '25 -'26. The Bank has achieved its highest -ever PAT at INR1,310.50 crores as against INR1,272.37 crores, with a Y -o-Y growth of 3%.

Stressed Assets - Gross NPA percent as on 31st March '26 stood at 2.78%, as against 3.32% in December '25, thereby showing an improvement of 54 basis points. The gross NPA percent as on March '25 was 3.08%, which is a 30 basis point improvement. Net NPA percent as on 31st March '26 stood at 0.98%, as against 1.31% in December '25, demonstrating a 33 basis points Q -on-Q improvement. Net NPA percent as on March '25 was 1.31%, recording a 33 basis points Y -o-Y improvement.

The sustained quarterly improvement in both gross and net NP A ratios reflect the Bank's stringent efforts to curb slippage and enhance monitoring efficiency, supported by the functioning of regional collection centers.

Credit cost stood at 0.1% in Q4 FY '26, against 0.11% in Q3 FY '26. Slippage was 0.20% for Q4 FY '26, against 0.47% in Q3 FY '26.

Recoveries for the quarter, excluding upgraded accounts, stood at INR150.46 crores in Q4
FY '26 versus INR114.18 crores in Q3 FY '26.

Standard restructured advances including related accounts - Standard restructured advan ces as on 31st March '26 was INR806.44 crores, as compared to INR867.95 crores as on 31st December '25, recording a 7% Q -on-Q reduction.
Provision Coverage Ratio - in line with the Bank's commitment to increase the PCR, the Bank has continued making accelerated provisioning and the PCR, excluding technically written off account s, presently stands at 65.39% as of March '26 as against 61.23% as of December '25. PCR, including technicall y written off accounts , stands at 83.54% as of March '26, as against 80.90% as of December '25.
Cost-to-Income Ratio - For the quarter ended 31st March '26, cost -to-income ratio stood at 50.47%, as against 58.72% for the quarter ended 31st December '25. F or the full year FY '25 -'26, Bank's cost -to-income was 56.34%,

as against 60.11% for FY '24 -'25. The Bank has implemented various cost rationalization and monitoring measures to keep expenses under control. Concurrently, our focus on low -cost deposits to r educe the cost of funds, along with the emphasis on RAM and high -yield portfolios to enhance loan yields, is improving the net interest income and supporting sustained control over the cost -to-income ratio.
Return On Equity - Q4 FY '26 ROE stood at 12.69% , as against 9.06% in Q3 FY '26.
Return On Asset. Q4 FY '26 ROA stood at 1.27%, as against 0.92% in Q3 FY '26.
Liquidity Coverage Ratio (LCR) As on 31st March '26, LCR stood at 165.34%, as against 186.84% as on 31st December '25 and as against the statut ory target of 100%.
CRAR stood at 20.07% as on 31st March '26, of which Tier 1 - 18.68% and Tier 2 - 1.39%, in comparison to 19.94% as on 31st December '25, of which Tier 1 was at 18.44% and Tier 2 was 1.50%.
Products - We remain on track with our products development and launch initiatives with a continued focus on bridging the remaining gaps in our product offerings.
Launches planned during the coming quarters :
Agri input loans for tobacco crops , short-term agri input loans are extended to registered tobacco growers to meet the cultivation requirements, with digital onboarding and faster sanctioning under a tobacco board tie -up.
Programmable CBDC enables the funds to be used only for predefined purposes within a s pecified time or through designated beneficiary.
NFC -based QR payments , Tap and Pay facilities are provided for QR payments .
Surrogate -based lending for housing and mortgage loans .
Dropline OD for MSME , LAP for MSME.
Digital and Technology - The Bank is leveraging IT investments through modular and faster implementation of solutions. The Bank is also exploring leveraging AI tools for improving internal efficiencies, including process improvements .
A few major solutions that are planned for completion in F Y '26 -'27 are loan originating system revamp with collateral management, implementation of DevSec Ops, HRMS revamp , Treasury revamp and BHIM 3.0.

The Karnataka Bank's strength lies in its well -established foundation and its readiness to leverage emerging growth opportunities. Over recent periods, the Bank has made meaningful progress in expanding its retail and MSME portfolios, rationalizing funding costs and enha ncing asset quality, collectively creating a strong base for sustained growth ahead.
Our approach is firmly anchored in execution with the strategic initiatives spanning digital transformation and focused product offerings already gaining momentum. As the se initiatives continue to scale, they are expected to translate into steady improvements in margins, profitability and key return ratios over the coming quarters.
Despite global headwinds arising from geopolitical tensions, volatile commodity prices and supply chain disruptions, the Bank continues to differentiate itself through its prudence, resilience, agility and strong customer -centric approach, supported by robust capital adequacy, comfortable liquidity and a disciplined execution framework . The Karn ataka Bank remains well positioned to deliver consistent and long -term value to its stakeholders.
Looking ahead, with a focused strategic road map and improving business momentum, the Bank is confident of sustaining healthy growth and enhancing overall fin ancial performance in the periods ahead. To ou r investors, customers and well -wishers, I wish to convey that the Karnataka Bank is not resting on the strength of a single year's performance.
We will continue our efforts in building an institution that is future -ready, customer -centric and governance -driven. We will continue to honor the legacy of our founders even as we embrace the opportunity in this fast-evolving era. Thank you for your trust and cont

inued support and look forward to all your continuing
partnership as we write together the next glorious chapters in the history of the Karnataka Bank. I would

now like to hand over the call to the moderator for any questions and feedback from our callers and we would be glad to take.

Moderator: Thank you. We will now begin the question and answer session. T he first question comes from the line of Anshul Patel, an Individual Investor. Please go ahead.

Anshul Patel: Thank you. M y question is whether advances have increased significantly during the quarter. Can you explain the rationale behind this and how it aligns with your funding and liquidity strategy?

Raghavendra Bhat : You are aware, as I was telling earlier in the beginning also, since our CRAR was good, I want to increase the advances first. To increase the advances, I need to have the fund . There was no shortage of funds . We could meet that funding requirement with the available resources and to some extent in between some short - term funds, we have also met it through borrowings . That was not th e constraint at all.

Anshul Patel: That's it from my side.

Moderator: Thank you. N ext question comes from the line of Chirag Singhal with First Quarter Fund. Please go ahead.

Chirag Singhal: Congratulations, Mr. Bhat and the entire team.

Raghavendra Bhat: Good evening, Chirag. Thank you.

Chirag Singhal: Yes. This is I think the second quarter with consecutive growth and very good improvement across all the metrics, particularly in this quart er. Sir, first question on the guidance. So in Q4, clearly, many metrics have seen significant improvement. So , I'm just trying to understand how much we should extrapolate for the current fiscal. So , if you can please provide guidance on all the key metri cs, advanced growth, ROA, cre dit cost, gross NPA and net NPA?

Raghavendra Bhat : Yes. I was mentioning earlier also in various meetings and forums, while meeting you also in person in Mumbai, I was telling that we want to grow steadily, slow but steady, but with a conservative outlook we want to grow. The overall position I ha ve given, I will stand firm on it with the overall business growth of around 15% and m aintaining we want to have the deposit growth between 10% to 15% and advanced growth of 15% to 20%.

While focusing on CASA, we have assured that 33% plus, we want to maintain 33% -plus of CASA percentage. And all these ratios, once we do that with the CD ratio of 80%, we are able to meet all that I had mentioned , maybe it is NIM, maybe it is ROA or spread or GNPA and NNPA level. By and la rge, we will stick to the stand which I have taken earlier. We will move further.

Chirag Singha l: Yes. So advance growth 15% to 20%. What about ROA and cre dit cost for the current fiscal a nd then cost - to-income?

Raghavendra Bhat : Yes. ROA, I was telling 1% plus. 1% plus may be anything. So 1% plus, I will still hold on to it. Right now, I am not in a position to tell, b ut when the ROA was less than 1%, I was telling that 1% plus. Today, in the Q4, you have seen it is 1% plus only. Now also, I'm telling 1% plus. That 1% plus will be definitely towards improvement only.

Chirag Singhal: Okay. And also , credi t cost and cost -to-income ratio b ecause even your cost -to-income has fallen significantly in Q4. So , is it fair to assume it will remain around these levels for the entire year?

Raghavendra Bhat : Yes. For the entire year, cost -to-income ratio has been brought down from 60% plus to 56%, which I was by and large telling 55% plus. It stood at 56%. But Q4, there was a significant improvement of 50% and our efforts will be there to reduce it further. It wil l be between 52% and 53%. Once the costs are under control and the business is running smoothly, we will certainly work on further improvements.

Chirag Singhal: Okay. So 52% to 53% for the cost -to-income. Coming to the employee expenses. So in Q4, there wa s a sharp decline on a sequential basis, but there was an increase in other opex. So if I look at the total ope x, it's largely flat on a sequential basis. So was there any restatement, like one line item has increased significantly and one line item has de creased significantly?

Raghavendra Bhat : It is not like that. While all efforts are on to reduce the cost, cost reduction is ultimately helping to improve overall efficiency. One is working towards the continuous reduction in cost. Other one is improving the income. Here, one time such measures are not th ere. To some extent, there is an upward movement in the yield that has helped us and whateve r upward movement in the yield has happened, has helped us to make accelerated provision also.

Chirag Singhal: Okay. So , what will be the expected range for employee expenses for the current fiscal?

Raghavendra Bhat : See, I will tell you, employee expenses cannot be reduced. That part you will agree. Bu t all efforts will be there to reduce the other expenditure, while employee expense also, we will ensure that whatever required will be there. Improvement in employees cost is a difficult task, no doubt about it. The number of employees

who are working, wh ether additional staff is required, and all those things are part of a business plan. I cannot answer that question right now. All efforts will be made to control the cost.
Chirag Singhal: So you are saying that the employee expense for entire FY26, like t he full year FY 26 employee expense, we should expect a similar number for FY 27 als o, not any significant decline b ecause in Q4, clearly, there is a steep decline on a sequential basis ?
Raghavendra Bhat : Yes, it will be under control, that is my assurance. But sometimes, see certain business expansion and other things, we m ay require additional manpower also. T aking that into account, it will be duly compensated from the business. Need not worry. While expenditure quantum may go up, it will be duly compensat ed for by the increase in the business.
Moderator: Mr. Dama. P lease go ahead.
Anand Dama : Sir, my question was on the other income. So other income had sharply risen during the current quarter. Is it more because of the core fee income going up? And if yes, what's the reason o r is it more about treasury performance which has led to such kind of higher other income for us?
Raghavendra Bhat : One minute, my CFO, Mr. Vijayakumar will answer.
Vijayakumar P H: Good evening. T he other income increase is on account of fee -based income and also recovery from the technical write -off portfolio. We have a technical w rite-off portfolio of about INR2,500 crores.
Raghavendra Bhat : Recovery under technically written -off account. When the business grows along with the interest income, other income also will grow from processing charges and other fee -based income. If it is a non -funded commission on bank guarantee, all those improvements will be there.
Anand Dama : But i s it more significant in nature beca use when you look at the treasury gain, it's about INR13 crores, but then your fee income quarter -on-quarter jumped to about INR320 crores to INR230 crores run rate? Last year also, we had a similar situation. So , is it a lot of fee, the general banking fe es, what we typically bundle up in the fourth quarter and that's the reason?
Vijayakumar P H: Yes, that's what processing charges and recovery from written -off account has majorly contributed to the increa se in the other income.
Anand Dama : Sir, I'm talkin g about fee income, core fee income, does this, including recovery from bad debt they are INR66 crores?
Raghavendra Bhat : The fee income in the sense, every year, there will be income in the Q4. With regard to ATM card, one -time card fee

is there, it is will be there every year, in the Q4.
Anand Dama : Okay. Got it. And sir you said that you want to grow at about 15% to 16%, notwithstanding the macro seems to be deteriorating. Do you see that would lead to some kind of yiel d pressure going forward in FY 27? We've already seen sequential improvement in margins, whether we have seen the peak of margins now, how do you basically balance the growth and margins for FY 27?

Raghavendra Bhat : Unless there is a movement in EBLR it is at the lowest now , if it is moving upward and all and it gets compensated. Otherwise, if the trend is continuing, we will be on the same trend. I feel it has bottomed out. There may not be any chance it is coming down further.
If there is a movement in upward movement, th at will also take care of the interest income also. It is, by and large , is happening to the market. As and when the situation comes, w e have to plan accordingly. ALCO is taking care during meeting as and when required. We will work out. We are cost consci ous and we are always working on the pressure of margin.
Moderator: Thank you. Mr. Dama. Please rejoin the queue for more questions. N ext question co mes from the line of Parth Gutka , 360 ONE Capital. Please go ahead.
Parth Gutka : Sir, if I look at your slide 24, the number of employees in the first 9 months had increased. And in the last quarter, it has actually declined. What is actually happening here?
Raghavendra Bhat : See, the number of staff is always going down. Every month, it wil l go down, with the superannuation. As and when required, we will recruit people. In between , last year , we have opened around 31 branches, staffs are required. In between, we recruit also. That during the first H1 or up to Q3, we have recruited some peopl e. Again, Q4, there was no recruitment rather. Rather, people retired in 3 months. On average, 50 to 60 people getting superannuated and the number wil l go down to that extent a nd that is a continuous process. Every month, it will be there.
Parth Gutka : Okay, sir. And my second question is what is the impact of ECL guidelines on the net worth and what would be the increase in the credit cost run rate post the implementation of the ECL guidelines?
Raghavendra Bhat : Yes. We have got adequate capital adequacy ratio, number one. I believe the guidelines which has now come, which is available to spread over to the next 5 years and we have stud ied the impact also maybe around 1% to 1.5% overall will be there. Even that also available for the next 4 years or 5 years, that will be spread over

to 25 basis points, 30 basis points. And we have sufficiently taken care of that.
Moderator: Thank you. N ext question comes from the line of Yash Dantewadia with Dante Equity Research. Please go ahead.
Yash Dantewadia : Yes. Hi, so c ongratulations on a good set of numbers. I really appreciate the way you increased your PCR
by 400 basis points. I'm pretty sure the bottom -line number would have looked much, much higher if you would have done it at the pace that you've done it in the previous quarters, which is only 100 basis points. So, this sort of acceleration, where are we aiming to re ach by, let's say, in the next four quarters in terms of PCR o r are you happy with where we are?
Raghavendra Bhat : See, it is a continuous pr ocess. As and when the quarter comes, do the business and how we are working
with the efficiency in working, we will decide then and there. Don't think otherwise. We are very carefully moving forward. As you only said, it is very good, very well provisioni ng has been made. We do understand our responsibility working taking all precautions. We will take care. For the ti me being, yes, as it is g oing forward, we will decide.
Yash Dantewadia : So, you don't have any number in mind where you would want the PCR to be by the

end of this next coming
financial year?

Raghavendra Bhat : We want to increase 1% every quarter. That number still I'm holding on. But last quarter, we have done more. That is why I said, while moving forward as and when the requirement will be t here, we will take appropriate decision.
Moderator: Thank you. N ext question comes from the line of Priyank Chheda with Vallum Capital. Please go ahead.
Priyank Chheda : Yes. Hi, sir I would request you to note down the questions .
Priyank Chheda : Thank you. I will link the story. There were two, three surprises which I will note it down. I mean would like to call it out. One was gross slippages came down significantly in quarter 4 at IN R147 crores versus a run rate of INR250 crores, INR300 crores. What has been the reason for that?
This leads to maybe interest reversal because lesser slippages lead to lesser interest reversal. So, what has been that quantification or what has been that c ontribution in the interest income, w hich ultimately lead s to NIM going higher because yields benefit. So, if you can link these three aspects together. First , on what has been the slippage, w hy are the slippages were so low? What should be the normal run rate? Should we read more to it? How much was the interest reversals contributing to the overall income of Q4? That is my first question ?
Raghavendra Bhat : Yes. You're asking the question. Should I ans wer then and there.
Priyank Chheda : Yes. You can answer one by one.
Raghavendra Bhat : Yes. With regard to slippage coming down, I was mentioning earlier also and our focus on the day of taking
over charge, I was telling, I want to control the stress. The main area of controlling SMAs , CMA s , recovery and restructured advances efforts, continuously, best efforts have been put by my team. And because of that, stress has come down, both under SMA and CMA. Interest reversal and all - it is a regular phenomenon . Some account s during the course will be added, interest reversal will happen. Wh en it is getting upgraded, it will be reversed. I cannot answer that. I can get that, right now, I'm not havi ng, b ut it is day in and day out. Regarding the slippage, yes, we will further increase our efforts to improve the quality. That was the main focus . I assured our investors earlier also, now also I stand by it; we will see that slippage is stopped. For that, two - three reasons. One, our C rMD team in Head Office, C rMD team in all the Regional offices, ARMB at all the centers, all these are putting their best efforts to recover.
Number two, selection of borrowers, at the entry level, that also we have a f ocused attention. And I want my team at all 15 centers and loan sanctioning center at the Head Office that whatever may be that, quality cannot be compromised. With all these things put together, definitely going forward, further we will improve as far as recovery is concerned. Recovery, I mean, I will not restrict it only to NPA. Recovery under restructure, recovery under stress, recovery un der CMA, whatever. That is the reason for improvement.
Priyank Chheda : No problem. Second surprise for sure was on the employee cost. Whenever in our history we have seen employee cost less than INR300 crores at least for last 13, 14 quarter s, that I can s ee. First, I understand it's because of the actuary revaluation what CFO sir had mentioned. What would be the fluctuations or the sling that leads to this, the reason why I'm asking is that or else on a full year number, what should be that number?

Because it was INR1500 crores in FY25, we are strengthening our team, branches, sales office and the retail branches. So , what should be that cost of employee that we are bud geting out for full year in FY 27 given that there are so much of variations t

hat come thr ough because of the actuary revaluations. That is on the
question on the employee expenses?
Raghavendra Bhat : This question is very difficult to answer. Why because it all depends upon the yield movement. It is all because of geopolitical situation, country's monetary policy and so many other factors. But as far as we are concerned, we are always working on monitoring the cost every now and then.
Definitely, I will assure that, as you know everything, again, you are asking this question, no problem. We will assure you that with this, definitely we will take care of this. We are always leveraging cost to all other things, the cost control as I told in the beginni ng itself, controlling cost and improving overall efficiency and increasing the fee -based income and other things. We will work on it, Priyank.
Priyank Chheda: Wonderful. My last question, sir, we had a target of INR85,000 crores book to be ended by this y ear and we are close to it, there's no doubt about it, we are nearing the target. When it comes to the way to achieve this target and when I see the composition within the book, 65% of the incremental growth has yet been coming via corporate and not via re tail or MSME. In f act, MSME has yet remained flat.
And incremental growth via retail to the total loan book is yet slower and lower. So , what's your thoughts around, what more needs to be done for us to see that firing out? And if you can further bifurcate in terms of what are the key milestones so that we should think of it that would be X, Y, Z things needed for you to achieve 15% to 20% advances growth?
Raghavendra Bhat : Yes, I will answer in a different way. Earlier also, like you , so many people have a nswered this question. Last year was a difficult year for us. I admit that. INR78,000 crores of advance ha d come down to INR 71,000 crores. If you look at from INR78,000 crores and INR 83,000 crores, that is not a growth at all.
If you take into account from INR71,000 crores to INR83,000 crores, there is substantially good growth.
Why I am telling this, agri and retail has not grown because somewhere I have told you also regarding though our intention is to reduce the bulk advances. Why because , the yield is low.
Grow th in retail and mid -corporate - Somewhere or other, you will ask the question - why you have grown negatively? So we have to balance those acts also. But taking that into account, all these retail segments which have degrown, while th e advances had degrown from INR78,000 crores to INR71,000 crores, retail also ha d degrown.
When I joined, my team said there is no growth in the retail and mid -corporate, that is the need of the hour. I understood that. What is the time available at my disposal? I joined on July only, while studying situation October onwards, this retail credit center were started. Retail growth will not happen overnight. It will take time.
Bulk advances, yes, four, five parties can contribute larger amount. But I'm not interested in that. Growth has to happen in this sector onl y. For me, growth should come from retail and mid -corporate only.
Going forward, consciously, we will reduce the bulk advances and we will gro w in retail and mid -corporate.
This is the only answer I can give. Earlier also so many investors were asking, but you are not believing me

to that extent. I was assuring you we will do it, we will g row it. As you rightly said, INR 83,300 and odd crores , though it is not INR85,000 crores, still I will say I told in the earlier meeting also in Q3 meeting, yes, we have got a lot of proposals on hand. And as of March, we had INR 2,000 crores of sanctioned but pending for dis bursal . It has not happened for vari ous reasons . It started happening post April. Advance s is positive. We are positive. We will grow.
Priyank Chheda: Wonderful, sir. We always have a h

igh confidence in you. Just one last thing, this wa s a question also earlier
asked but not clarified. Sir, recovery from technical written -off book, we have booked roughly INR190 crores in the other income. And in the technically written off outstanding book , is around INR 2,500 crores. Any target or any th oughts around what should be this recovery that we should pencil in for the c oming year? And along with that , say if we are recovering INR200 crores, would we have a higher provisioning done to fasten up our PCR. We have done that. But then what will be th e number that we should think of, provisioning requirement or say, a credit cost on the P&L for FY27? Two questions - recovery from technically written off book number and provisi oning impact on the P&L for FY 27.
Raghavendra Bhat : Regarding recovery, I wil l tell you it is not only for recovery. It is to the business. Our aim is think big, aim high, don't compromise on quality. We will work on that principle. So that principle applies even to recovery also. I have traveled across India to meet my regional te ams.
13 regions I visited personally, 2 regions I have addresse d through the video conference a nd the team is optimistic everywhere and the team is geared up - with regard to the growth in business, growth in recovery.
Growth for the business is also targ et, there is a target for recovery also.
What quantum, what number, our aim is always to recover 50% of the book of NPA, 50% of the technical written -off. What happens, we have to wait and see because we are working on it. This is a highly ambitious target , I know. But unless and until as far as recovery is concerned, if we are not ambitious, we are not able to justify or recover.

Therefore we have kept the ambitious target . Whether it is possible, yes, I was telling earl ier also, you are not believing, yo u are not believing me now also, I know that. But we will make all efforts to do that. It may look very big. But yes, our people on the ground are charged up. I am hopeful next quarter ; we will resolve this question. As a follow -up question you are asking, I know that. Even then we will make our best efforts.
Moderator: Thank you. N ext question comes from the line of Sarvesh Gupta with Maximal Capital. Please go ahead.
Sarve sh Gupta: Sir. So, two questions . Firstly, on the NIMs. So , I think we had a lot of book which was linked to G -Sec. And so , if you can just break up the book into various EBLR or G -Sec, how what is the mix of our book?
And secondly, sir, on the employee expense if the CFO, sir, can give us the data for how much wa s the gratuity -related, because yield increase, so that pool would have gone down in one quarter, so what was that impact specifically, if you can share that number? Thank you.
Raghavendra Bhat : Yes. CFO, can you share that? One is G -Sec percentage.
Vijaya kumar P H: For both the questions, we will share the information later on. Just e-mail the requirement s. Right now , we don't have that.

Sarvesh Gupta : Okay, sir. Sir, broadly on the NIM side, so we have crossed 3%, and I recall that a large part of the book was related to G -Secs, and G -Secs have been actually hardening. So given that sort of a thing, because earlier we had a negative impact on our results because the G -Secs was falling before the repo rate. So , what is the outlook, sir, for next year NIM?
Raghavendra Bhat : As I was telling in the beginning, if you have seen, I am working on that 3% plus NIM. I will be working on it. It has come down. If you analyze our earlier data, it has come down to as low as 2.72%. So , it is improving, no doubt about it.
And we do not have any G -Sec linked advances. We have EBLR, treasury bill related. Majority of that under that, around 60 % - 65%. And MCLR, some portion is there. Some old , A small portion is base rate,

is also there.
To be very frank with you, base rate is 0.31%, MCLR 5.59% at the end of March '26. Then EBLR linked to G-Sec 2.31% , EBLR linked to T -bill rate 55%. This is the component.
Sarvesh Gupta : Linked to G -Sec and T -bill, right?
Raghavendra Bhat : Yes.
Sarvesh Gupta : And there, we should expect a positive impact if the yields are hardening?
Raghavendra Bhat : Again, it depends upon the market forces.
Moderator: Mr. Gupta please switch on the queue for more questions. Next question comes from the line of Yaswanth Thipp eswamy , a Retail Investor. Please go ahead.
Raghavendra Bhat : Good evening Mr. Thippeswamy.
Yaswanth Thippeswamy: Good evening , sir. I hope everyone is doing good. And c ongratulations. I know, in the middle of the management crisis last year, you joined and you have showed that what you are capable of. And kudos to team Karnataka Bank.
You have put in a lot of effort to make sure that they are capable , and they are able to deliver it. So , I would want to also congratulate the Board of Directors for bringing in you and having confidence in you. And I'm also pleasantly surprised, I mean I'm surprised that there is a look out I mean, we have appointed , we have nominated and we are getting an Executive Director from outside.
So, my first question is, ha ve you looked out for internal talent to o, I mean, I'm pretty sure that there could be a lot of experienced guys who are around. And then considering the last years ' experience where we have got in people from outside and because of the work , I mean, work cultural differences, we had difficult times in managing and then we had to overcome that.
So that is my first question. And the second question is with respect to West Asia conflict. So , considering that, are we still planning to expand the number of bran ches this fiscal? That's my second question.

Raghavendra Bhat : Good evening Thippeswamy , Yes, both your questions are relevant , difficult to answer. But I will assure you that the recruitment of E xecutive Director has been taken based on the need arisen at a particular point of time. Executive Director was there earlier.
Executive Director was not there for the past around 9 or 10 months. It was a process required by , based on the, see sometimes need arises based o n the requirement. That is one thing. Secondly, it does not mean that, as you rightly said, talent is inside. No doubt, we are not ignoring the talent. As and when the time passes, you will come to know. We are not ignoring. We are handholding, we are trai ning, we are grooming them up. They will come up in the ladder. Definitely, yes.
And regarding this exit and all which you said cultural difference, I don't want to talk now. Earlier also, I

have told the past is history, present is reality and f uture is the requirement. We will work according to that. Therefore, yes, that is one thing.

Secondly, your question with regard to the geopolitical scenario. Geopolitical scenario, our plan to open a huge number of branches, whether there is any change? This is li ke business plans ; this is also a plan. And in between if such things arise, we will make course correction and depending upon the market requirements, our growth and requirement, all these things will be planned at an appropriate time.

Corrective action a lso will be taken with regard to whatever guidance we have given . In the guidance , branch also has come. We will take appropriate decision at that time. But definitely, we will not put the Bank into some problem. Don't worry about it. That is my assurance.

Moderator: Thank you. Mr. Thippeswamy please rejoin the queue for more questions. Next question comes from the line of Vinay Nadkarni with Hathway Investments Private Limited. Please go ahead.

Vinay Nadkarni : Yes. Just one question. Most of my questions have been answ

ered. Just want to know the disbursem ents that you have made for FY 26, what is the figure, total disbursement?

Raghavendra Bhat : Pardon?

Vinay Nadkarni : Disbursement, loan disbursement.

Raghavendra Bhat : Loan disbursement, right no w, last year, we had repayment of around INR 26,000 crores for the entire year,

around INR 26,000 cr ores. And you can calculate INR 26,000 crores is that figure . INR26,000 crores plus INR5 000 crores, i.e. INR31,000 crores, INR 32,000 crores.

Vinay Nadkarni : Okay. And then I'll send you a n email to get the breakup of the corporate and mid -corporate also from there.

Raghavendra Bhat : No problem .

Vinay Nadkarni : Thank you very much .

Raghavendra Bhat : Thank you.

Moderator: Thank you. Next question comes from the l ine of Pranay Dhelia with Panch tantra Advisors LLP. Please go ahead.

Pranay Dhelia : Sir, first of all, many congratulations on a much better performance than what any of us could have imagined. You have actually rewarded the shareholders with the trust tha t they have reposed in you and now you have to beat this performance.

Raghavendra Bhat : Good evening , Pranay.

Pranay Dhelia : Good evening , sir. So, is it that we've seen a sharp reduction in cost of manpower this quarter, year -on-year as well as quarter -on-quarter. So , is this , has this bottomed out now? Or will we see further reductions?

Raghavendra Bhat : Further reduction, I cannot tell because, as I told you, it's all depending upon the requirement. We will optimally use the staff resources. Definitely, yes, we have got plans of expansion, additional manpower required. At the a ppropriate time, we'll plan appropriately. By doing so, we can cut cost.

That is the only answer I can give now. Otherwise, cost control, leveraging it with the business requirements and all, taking every moment , we are cost conscious.

Pranay Dhelia : Thank you and many congratulations once again. As shareholders, we are wanting to see the Bank grow at this pace.

Raghavendra Bhat : Thank you.

Moderator: Thank you. The next question comes from the line of Saket Kapoor with Kapoor & Company.

Saket Kapoor : Sir, categorically, as specified by all the se speakers earlier that these are definitely commendable results and the backdrop of what looked very drained out earlier. Bu t for investor and even layman like me just to take into account, i f we do a comparison on an annual basis? It is only this employee cost part that has significantly made a difference to the operating profit. Correct me there, sir. Because if we look at ou r interest income, the operating cost and the employee cost part, that we had posted operating profit before provision of INR1,827 crores for FY 25.

This has risen to INR 1,974 crores. So that is the difference in the lower employee cost in happening that is why all the investors have been asking the question. So , we would like to understand, sir, what would be the general run rate for the employee cost? And sir, how are you seeing the current year in terms of how this opera ting profit number will shape up , taking into account our disbursement target, the existing loan book, the recoveries, all the factors that you have just explained to us, how should this line item expand on a quarter -on-quarter or year -on-year basis? Some more colo r on the same would suffic e.

Raghavendra Bhat : Yes. It is not quarter -on-quarter or half -yearly. It is on a monthly basis. We have this time changed our strategy that growth should come every month rather. Out of the growth percentage, we said 5% in first 3 months, that is, 15%, next 3 months 8%, next 3 months 9%, next 2 months 10%, and last month 14%.

If I analyze the history of our bank for the past 10 years, the growth has come mainly in H2 and more percentage in Q4. Taking that into account, we have bifurcated business pl an in such

a way that, first, H1,
the growth percentage will be around 39% . H2, it should be 61%. The bifurcation, as I told you, we are working on that month -on-month and full efforts are on , results already started. Regarding employee cost and all, as I told you in the beginning and to others also, it is very much guarded, cautious decision s are taken. It is like, employee cost is not possible to reduce. But how to optimally use the existing resources,

team has really worked hard. The team has delivered w ith that maximum utilization of the staff. The result has come. The cost in the trial balance figure may look down. But as I mentioned to the query in other cases, that on an average, monthly staff members, resignation, retirement, VRS, superannua tion, ev erything will be there.
Taking that into account, on average, 350 to 400 people are retiring. To the extent required, only we'll recruit because a lot of IT spending is happening. We are trying to move to this additional load taken over by the IT. All thes e are planned. Continuous efforts are on. Therefore, cost may look a little reduced, but we will utilize it optimally. I will put it other way. Thank you very much.
Saket Kapoor : So sir, what should be the operating profit trajectory for the bank on an yea rly basis, on the base of now INR2,000 crores? How should we invest it, taking into account the current environment also and the type of de-growth which we may expect because of the oil prices and the other geopolitical issues? On this business, how confid ent are you, first of all, we will be posting growth? And what should be the number on the operating profit that we should work on?
Raghavendra Bhat : That see, I'm confident only. But in certain external situation, how can I predict now? As and when the situation comes, we will take appropriate decision at that particular time. How to reverse or how to address that issue at an appropriate time, because Prime Minister of India himself has given a statement, yes, cautioning everyone with all those things are getting managed. We also in the Bank, we will try to manage best.
That is the only answer I can give at this juncture, because external forces, we have no control rather. We have to adjust ourselves to change that situation. We will do it. Definitely, we w ill do it. Last year was also not a better year for us, still, we have done fairly good, though not very good.
Moderator: Thank you. Mr. Kapoor please rejoin the queue for more questions. Next question comes from the line of Umes h Kantilal Shah, an Individual I nvestor. Please go ahead.
Umesh Kantilal Shah: Good evening sir. Thank you very much for giving me an opportunity to post the question before you. I'm
an individual investor and also my corporate company also has invested in the Karnataka Bank. First, let me congratulate you for a good set of numbers you definitely post, which was beyond o ur expectation. And also the NP A is another thing which I have been always telling and you assuring me which coming in the line at par with the good banks. So for that, congratulations. Good dividend also you have given.
Sir, my only worry is now the situation in the Middle East. Are we dependent on the deposit from the Middle East like other Keral a Bank s or other few? Or how are we protected or insulated if sit uations are there? Because as you have a number of times said, there is no one who can say what happens tomorrow, no one knows. I agree with you.
But still, if you can highlight in this sort of situation on the Middle East deposit and the things which we a re dependent on, to what extent and how we can insulate it from the same? Thank you very much sir.
Raghavendra Bhat : Good evening. Umesh , as you yourself asked the question, you yourself answered also. My job, you made it
easy rather. With regard to the depositors from Middle East or

whatever, in a way, it's good, I should not
say, all banks are trying to get good NRI deposits and FCNR dep osits. But we have a little portfolio, not sizable portfolio. Majority is local domestic deposits only.

External situation do affects the internal situation also. That is not in our control. But with regard to your specific question of the deposits from Middle East, it is not sizable one and we will not be affected much. That much only I can tell you.
Umesh Kantilal Shah: Thank you very much sir I got your answer.
Raghavendra Bhat : Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I now hand the conference over to the management for closing remarks.
Raghavendra Bhat : Yes. Thanks to all the investors who have posed the questions, and whatever best we have presented our
case, number one. Number two, still if there are any clarification required, you are all free , I assure you , feel free to seek clarification. We will try to give the best clarification t o you, number one. Number two is, a lot

of people have spoken high about the results.
We assure you that we will work still hard and thanks for reposing the confidence on the Bank also. I need your support going forward. And whatever these plans are there, we will try to come and connect with you. And definitely, we will work up to your expectation s. Thank you. Thank you one and all.
Moderator: Thank you. On behalf of the Karnataka Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for clarity and readability purpose s and does not essentially purport to be a verbatim record of the conference call.

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